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El Salvador
Updating Economic Memorandum

January 21, 1983

Country Programs Department I
Latin America and the Caribbean

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CURRENCY EQUIVALENTS

US$ 1.00 = 2.5 Colones (C)
C 1.00 = US/ 0.40.

WEIGHTS AND MEASURES

1 Manzana (mz) = 0.699 Hectares
1 Quintal (q) = 100 Pounds
1 Pound (lb) = 0.453 kilograms

GLOSSARY OF ABBREVIATIONS

ABC	-	Farmer Welfare Administration
AID	-	Agency for International Development
ANDA	-	National Administration for Water and Sewerage
ANTEL	-	National Administration for Telecommunications
BFA	-	Agricultural Development Bank
CABEI	-	Central American Bank for Economic Integration
CACM	-	Central American Common Market
CEL	-	Lempa River Hydroelectric Commission
CELADE	-	Latin American Demographic Center
CENAP	-	National Productivity Center
CENCAP	-	National System of Agricultural Training
CENTA	-	National Center of Agricultural Technology
CEPA	-	Port Authority
COFINTA	-	Agricultural Land Bank
CONAPLAN	-	National Planning Council
COPAL	-	Cooperative of Cotton Growers
DGRD	-	General Directorate for Irrigation and Drainage
DIGESTIC	-	Statistical Office
EDURES	-	Urban and Regional Development Study
FEDECREDIT	-	Federation of Credit Cooperatives
FES	-	Salvadorian Railways
FENADESAL	-	National Railways of El Salvador
FHTSM	-	San Miguel National Textile Industry
FIGAPE	-	Finance and Guarantee Fund for Small Business
FNV	-	National Housing Fund
FSV	-	Social Housing Fund
FSDVM	-	Salvadorian Foundation for Development of Low-cost Housing
ICR	-	Rural Colonization Institute
IDB	-	Inter-American Development Bank
INCAP	-	Central America and Panama Nutrition Institute
INPEP	-	Government Employees Pension Fund
INSAFI	-	Salvadorian Institute for Industrial Promotion
INSHOS	-	Public Hospitals System
ILO	-	International Labor Organization
IRA	-	Regulatory Supply Institute
ISCATT	-	Salvadorian Institute for Training and Technology Transfer
ISCE	-	Salvadorian Foreign Trade Institute
ISIC	-	Salvadorian Coffee Institute
ISIAP	-	Salvadorian Institute for Agricultural and Fishing Research

GLOSSARY OF ABBREVIATIONS (Continued)

ISSS	-	Salvadorian Social Security Institute
ISREN	-	Salvadorian Institute for Natural Resources
ISTA	-	Agrarian Reform Institute
ISTU	-	Salvadorian Tourism Institute
IVU	-	Urban Housing Institute
LONAB	-	National Lottery
MAG	-	Ministry of Agriculture and Livestock
MOH	-	Ministry of Health and Social Welfare
ODEPOR	-	Planning Office, Ministry of Education
PAHO	-	Pan American Health Organization
PREALC	-	Regional Employment Program for Latin America and the Caribbean
PRIDECO	-	Programa Integral de Desarrollo Comunal
REIFALDI	-	Regulation of the Central American Agreement on Fiscal Incentives
SSMA	-	San Salvador Metropolitan Area

FISCAL YEAR

January 1 to December 31

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SYNOPSIS

The Economic Memorandum assesses the impact on the economy of El Salvador of the institutional and economic transformations that have taken place during the last few years. The report analyzes the recent behavior of the economy, particularly with respect to the development of the major productive sectors, agriculture and industry, as well as short term financial problems and related Government policies, and major structural reforms, with particular emphasis on the agrarian reform. The report arrives at a number of proposals for policy actions with respect to demand management, the orientation of public investment in the immediate future and in the longer term, and several important agricultural issues.

This report is based on the findings of an economic mission to El Salvador in December 1981 composed of:

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Nathan Koenig	Agricultural and Agrarian Reform Specialist
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A draft report was discussed with the authorities in October 1982. The main text has been updated to reflect these discussions and some recent events. The Annex, however, reflects the situation as it was in early 1982.

EL SALVADOR

UPDATING ECONOMIC MEMORANDUM

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COUNTRY DATA - EL SALVADOR

AREA
21,000 km

POPULATION
4.6 million (mid-1981)
Rate of Growth: 2.9% (from 1970 to 1981)

DENSITY (1981)
222 per km[2]/
357 per km[2]/ of arable land

POPULATION CHARACTERISTICS (1980)

Crude Birth Rate (per 1,000)	40
Crude Death Rate (per 1,000)	8
Infant Mortality (per 1,000 live births)	60

HEALTH (1978)

Population per physician	3366 1/
Population per hospital bed	721 1/

INCOME DISTRIBUTION (1977))

% of national income, highest quintile	
lowest quintile	

DISTRIBUTION OF LAND OWNERSHIP (1971)

% owned by top 10% of owners	78.0
% owned by smallest 10% of owners	0.4

ACCESS TO PIPED WATER (1978)

% of population - urban	89.0
- rural	28.0

ACCESS TO ELECTRICITY (1975)

% of population - urban	44.7
- rural	14.4

NUTRITION (1977)

Calorie intake as % of requirements	90
Per capita protein intake	54

EDUCATION (1978)

Adult literacy rate %	63.0
Primary school enrollment %	79.0

GNP PER CAPITA in 1981 : 2/ US $ 640

GROSS NATIONAL PRODUCT IN 1981

	US $ Mln.	%
GNP at Market Prices	3,491.9	100.0
Gross Domestic Investment	433.2	12.4
Gross National Saving	173.2	5.0
Current Account Balance	-260.0	-7.4
Exports of Goods, NFS	933.3	26.7
Imports of Goods, NFS	1,164.5	33.3

ANNUAL RATE OF GROWTH (%, constant prices)

	1965-70	1970-80	1981
GNP at Market Prices	4.5	3.2	-8.5
Gross Domestic Investment	1.9	2.4	-8.8
Gross National Saving	4.7	1.6	-61.1
Current Account Balance	.		
Exports of Goods, NFS	2.7	4.3	-15.2
Imports of Goods, NFS	0.5	4.1	0.8

OUTPUT, LABOR FORCE AND PRODUCTIVITY IN 1975

	Value Added		Labor Force 3/		V. A. Per Worker	
	US $ Mln.	%	Mln.	%	US $	%
Agriculture	411.3	23.0	607.5	47.2	677.0	48.7
Industry	445.9	24.9	188.9	14.7	2360.5	169.7
Services	933.9	52.1	491.4	38.1	1900.5	136.6
Unallocated	.	.			.	.
Total/Average	1791.1	100.0	1287.8	100.0	1390.8	100.0

GOVERNMENT FINANCE

	General Government			Central Government		
	(US$ Mln.)	% of GDP		(US$ Mln.)	% of GDP	
	1981	1981	1974-77	1981	1981	1974-77
Current Receipts	528.7	15.0	16.9	451.2	12.8	14.4
Current Expenditure	626.0	17.8	11.6	491.7	14.0	10.1
Current Surplus	-97.3	-2.8	5.3	-40.5	-1.2	4.3
Capital Expenditures	198.2	5.6	5.5	187.2	5.3	4.5
External Assistance (net)	109.6	3.1	1.0	109.6	3.1	1.0

1/ Health services of the Ministry of Health. Excludes Social Security Institute's services.
2/ World Bank Atlas Methodology.
3/ Total labor force; unemployed are allocated to sector of their normal occupation.

COUNTRY DATA - EL SALVADOR

MONEY, CREDIT and PRICES	1970	1975	1979	1980	1981
		(Million	outstanding end period)		
Money and Quasi Money	594.3	1250.6	2270.3	2414.1	2636.1
Bank Credit to Public Sector	78.7	56.8	125.6	540.0	1388.3
Bank Credit to Private Sector	616.9	1460.6	2813.6	3244.1	3171.8
			(Percentages or Index Numbers)		
Money and Quasi Money as % of GDP	23.1	27.9	26.3	28.5	30.5
Wholesale Price Index (1970) = 100	100.0	174.7	278.9	327.8	362.9
Annual percentage changes in:					
Wholesale Price Index	2.8	19.0	17.1	10.7	10.0
Bank credit to Public Sector	-18.8	619.0	470.4	329.9	157.1
Bank credit to Private Sector	6.2	6.5	16.6	15.3	- 2.2

BALANCE OF PAYMENTS

	1975	1979	1980	1981
	(Millions US $)			
Exports of Goods, NFS	594.1	1313.1	1218.4	933.3
Imports of Goods, NFS	-685.3	-1267.2	-1185.8	-1164.5
Resource Gap (deficit = -)	-91.2	45.9	32.6	-231.2
Interest Payments (net)	- 7.0	-20.7	- 24.1	- 29.5
Other Factor Payments (net)	-21.9	-42.0	- 59.9	- 40.5
Net Transfers	27.3	51.4	48.9	41.2
Balance on Current Account	-92.8	34.6	- 2.5	-260.0
Direct Foreign Investment	13.1	-10.0	5.9	-
Net MLT Borrowing				
Disbursement	67.4	83.4	123.8	181.6
Amortization	-47.3	-12.7	-17.1	- 17.1
Subtotal	20.1	70.7	106.6	164.5
Capital Grants 1/	13.6	0.8	-	-
Other Capital (net)	29.3	19.1	-51.4	-29.5
Other items n.e.i	48.0	-214.0	-317.6	
Increase in Reserves (+)	31.3	- 98.8	-217.9	-100.0
Arrears	-	-	41.0	25.0
Gross Reserves (end year)	142.2	206.8	181.8	168.5
Net Reserves (end year)	108.5	122.0	- 95.9	-195.9

MERCHANDISE EXPORTS (AVERAGE 1979-81)

	US $ Mln	%
Coffee	581.0	58.2
Cotton	73.3	7.3
Sugar	18.0	1.8
All other commodities	325.9	32.7
Total	998.2	100.0

EXTERNAL DEBT, DECEMBER 31, 1981

	US $ Mln
Public Debt, incl. guaranteed 2/	664.0
Non-Guaranteed Private Debt	..
Total outstanding & Disbursed	..

DEBT SERVICE RATIO for 1981 3/

	%
Public Debt, incl. guaranteed	4.8
Non-Guaranteed Private Debt	..
Total outstanding & Disbursed	..

RATE OF EXCHANGE

Through - 1971
US $ 1.00 = 2.5 Colones
C/. 1.00 = US $

1971 - 1980
US $ 1.00 2.5 Colones
C/. 1.00 = US $

1982
Official Market US$ 1.00 = 2.5 colones
Parallel Market US$ 1.00 = 4.0 colones (mid-March 1982)

IBRD/IDA LENDING, OCTOBER 31, 1982 (MILLION US $):

	IBRD	IDA
Outstanding & Disbursed	103.4	26.9
Undisbursed	54.5	-
Outstanding incl. Undisbursed	157.9	26.9

1/ Loans repayable in domestic currency.
2/ Repayable in foreign currency. Excludes IMF
3/ Ratio of Debt Service to Exports of Goods and non-factor Services

.. not available
. not applicable

January 1983

SUMMARY AND CONCLUSIONS

Background and Recent Economic Developments

i. Political and social tensions began to escalate in El Salvador in 1977. Kidnappings, strikes, and political protests were followed by guerilla warfare. A coup d'etat at the end of 1979 installed a five-member Junta, which ruled during most of 1980, although its composition changed as some members left the Government. The Duarte regime, inaugurated in 1980, sought to reach a political settlement based on elections, a strengthening of political institutions, and structural and social reforms. Guerrilla warfare increased in early 1982 but was not successful in preventing a record voter participation, in National Assembly elections in March 1982. President Duarte's party received 40 percent of the vote while a coalition of opposition parties obtained a 60 percent majority. An independent, interim President, Dr. Alvaro Magana, was selected and his administration took over in May 1982.

ii. Partly as a result of the political instability, the Central American Common Market (CACM) trade difficulties, and lower export prices, production decreased in all major sectors of the economy during 1979-81. Large declines in real output took place in manufacturing (29 percent), construction (35 percent), and commerce (24 percent) over this period. Agricultural value added also declined (14 percent) because of both the civil strife and the production impact of the 1980 agrarian reform. Export crops were particularly affected, with cotton and sugar experiencing substantial drops; coffee exports were less severely affected. GDP declined at least one-fifth and in 1981 was at about the 1974 level. Gross domestic income (GDI) showed a sharper deterioration owing to the decline of coffee prices and large price increases for imported goods, particularly oil. Both prior engines of growth, investment and exports, showed significant declines. Real public and private fixed investment declined by 25 percent and 69 percent respectively from 1978 to 1981. Real export value decreased by 17 percent in the same period. Wholesale prices increased 17 percent a year during 1979-81 compared to 10.3 percent in 1976-79. Real minimum wages deteriorated, particularly during 1978-79, but recovered sharply with the increases in minimum and general wages that took place in 1980.

iii. The current account of the balance of payments was positive in 1979 and in equilibrium in 1980; it deteriorated significantly, however, in 1981. The overall balance of payments, however, deteriorated continuously during 1979-81. Net foreign exchange reserves declined by about US$400 million from December 1978 to December 1981 and payments arrears of about US$ 65 million occurred. Several factors explain the overall balance of payments situation: capital flight, the interruption of lines of credit from foreign commercial banks and suppliers, production declines in cotton and sugar, payments difficulties in the CACM, and lower coffee prices. Foreign exchange controls were tightened and a dual exchange market system is now in place, with priority imports being transacted at the official rate (C 2.5 per dollar) and non-essential imports and invisibles being

transacted at the parallel market rate (C 4.0 per dollar in March 1982). Foreign exchange proceeds from non-traditional exports outside the CACM can be transferred and used freely in the parallel market to pay for imports.

iv. The financial position of the Central Government also deteriorated sharply in 1980-81. Expenditures, many of them for military purposes, increased; revenue collections fell because of reduced economic activity and incomes, as well as lower imports and exports, particularly coffee exports. Fiscal savings declined from 4.1 percent of GDP in 1979 to -1.1 percent in 1981 and the overall deficit increased from 0.7 percent of GDP to 6.4 percent in 1981. Capital expenditures declined 18 percent in real terms. Current savings of the rest of the public sector also decreased. The public development corporation, the food marketing agency, the agrarian reform institute (ISTA), and the university had growing current account deficits, thereby reducing total public savings. As current savings deteriorated, a larger proportion of public investment was financed by domestic credit from the banking system.

B. Structural Reforms

v. The Salvadorian Government undertook significant reforms in 1980 that affect ownership and control of land, banks, and coffee and sugar exports. The land reform provided for expropriation of estates over 100 hectares (Phase I and Phase II), and for ownership titles to all tenant farmers for the land they rented (land-to-the-tiller, Phase III). Phase I (expropriation of all estates over 500 hectares) and Phase III were implemented. Phase II (expropriation of estates of 100 to 500 hectares)is still pending. The nationalization of the banking system was intended to eliminate the concentration of credit to a few people and enterprises. The nationalization of foreign trade placed the marketing of coffee and sugar exports under a coffee marketing board and a sugar marketing board, both autonomous agencies. Their policies are controlled by Boards composed of the Ministers of Foreign Trade, Planning, Economy, Agriculture, and Finance, the President of the Central Bank, and a representative of the President of the Republic.

vi. Under Phase I, the agrarian reform institute acquired 326 properties with 224,000 hectares (17 percent of the country's agricultural land). About 35,000 families (about 8 percent of the peasant families) were beneficiaries of these expropriations; two-thirds were organized in cooperatives. Under Phase III, 31,000 families had applied for benefits by mid-1982.

vii. Apart from the adverse effect of lower export prices and continued violence, which caused a decline in areas planted in some reformed haciendas, Phase I had an adverse impact--hopefully temporary--on production, which is to be expected from any radical transformation of the land tenure system as the experience of other Latin American countries has shown. Production in Phase I cooperatives run by ISTA has declined. Maintaining production in the reform haciendas was not a simple task for the poorly trained campesinos or the insufficiently staffed ISTA's co-management teams. Timely provision of management, extension, technical assistance, credit and other support services was a problem. Furthermore, the

cooperatives have not fully repaid credit from commercial banks and the agricultural development bank. In addition, they have not generated a surplus to service their debts to the former owners. The delays in compensating many former owners have been a major issue of the reform.

viii. Implementation of Phase II would affect a very important section of farms (about 24 percent of the farmland), which generates a significant proportion of export earnings and provides substantial employment and incomes. Because a decision to proceed with Phase II is still pending, there is insecurity and uncertainties among property owners, with a beginning of decapitalization and relaxation of management and cultivation practices. The current Government acknowledges the physical and financial constraints to move forward with Phase II at this time; any definition on the form and timing of any future action regarding the lands involved is a task that apparently would be undertaken by the Government to be elected in 1984.

ix. Phase III is likely to have an immediate positive impact on some beneficiaries as long as the debt service payments are lower than their prior rent. The size of the plots allocated to tillers, however, only averages about 1.7 hectares, which commits the tiller to a meager living. The average plot is mostly adequate for subsistence production, most likely from cultivation of basic grains; thus, only those with somewhat larger holdings would be able to have some excess production to sell locally.

x. The nationalization of the banking system has created less problems than originally anticipated because the Government has retained most of the management teams and has maintained some autonomy in day-to-day operations. However, credit allocations to and recoveries from agrarian reform groups will need close supervision to ensure timely repayments and to avoid large arrears and a weakening of the financial system. The Government is now prepared to pay more attention to this situation.

xi. The nationalization of foreign trade in coffee and sugar has adversely affected production but it is too early to evaluate the full impact. The spread between farm and export prices for coffee widened in 1980. In the 1981/82 coffee crop, however, the price spread diminished to a level similar to that of 1979, and grower prices increased by about 10 percent in spite of lower export prices. In the case of sugar, a significant number of sugar mills expropriated under Phase I are now idle as sugarcane production declined.

C. Government Programs and Policies

xii. For the next few years, economic conditions in El Salvador are likely to remain depressed. The main task ahead for the new administration will be recreating favorable conditions for the recovery of production to 1979 levels, and then setting the basis for further economic growth. Decreased production in agriculture and manufacturing, the weak financial position of many firms, damaged infrastructure, lack of foreign exchange, and uncertainties adversely affecting private investment and growth are all factors that make the task of the Government particularly difficult. It is expected that political-military considerations may well dominate economic events in the near future.

xiii. The Government has a short-term program aimed at economic reactivation. Although the Government is faced with overriding priorities for defense and basic needs, its program promotes improved utilization of scarce resources and some conditions needed for private investment revival, provided violence levels are reduced. Its main elements are a liberalization of exchange and trade controls and interest and pricing policies; increased credit allocations to the private sector compensated by a reduction of credit used by the public sector; and a careful demand management of the economy to strengthen the balance of payments and avoid higher inflationary pressures. This program, however, needs complementary actions to restore private sector investment and growth, and increase production levels. Among them:

(i) improved support to the agrarian reform with proper consideration of trade-offs and costs involved, as well as of the means (management, planning, extension, supervised credit) needed to achieve the objectives of land distribution. Given the problems encountered with Phases I and III, Phase II might seriously disrupt the country's already reduced income and export capacity if it were implemented poorly. A major effort should be made to raise production and productivity in Phase I cooperatives to complement the recent Government effort to clarify the legal situation of rental arrangements of land subject to Phase III provisions. These actions will not only assist a recovery of early production levels, particularly of cotton and sugar, but they would also favorably affect the incomes of most reform beneficiaries.

(ii) expanded support to non-reform agriculture through larger credit and foreign exchange allocations and revised marketing, and pricing arrangements for coffee and sugar by the coffee and sugar marketing boards (see paras. 57-58 and 63-64), in order to expand agricultural production and exports;

(iii) effective promotion and marketing of manufactured exports outside the CACM, which most likely offers the best possibility for expanded production. Industries may well need increased assistance by means of urgent credit and foreign exchange support to finance imports, spare parts and some equipment for rehabilitation in order to expand utilization of idle capacity;

(iv) improvement of the financial position of the public sector by reducing costs, increasing tariffs and prices of public services and products, thereby reducing the need for Central Government transfers or domestic credit. Alternatively, tax reforms may be considered. The Government is faced with difficult decisions in this area because of existing wage and price controls.

xiv. Furthermore, the Government needs to focus its attention on a reconstruction program for damaged infrastructure in the medium term and on designing a longer term development strategy and public investment program for the late 1980s and 1990s. Although the Government, understandably, is preoccupied with short-run problems and consequently this report focuses

primarily on them, once production conditions are normal again the country must also look to longer term issues. Because of its demographic dynamics, El Salvador must return to a path of accelerated economic growth or face continued depressed economic conditions. Even assuming a substantial decrease in the rate of population growth, the Salvadorian population by the year 2000 would be about 1.6 times the 1980 size. In the absence of sustained growth, per capita incomes will decline. This population pressure would also create serious pressures on the restricted land and natural resources base, public services, and the capacity of the economy to create jobs. Population movements to the cities and towns would further exacerbate existing pressures for urban employment, services, and housing. Urban services levels now are low and the weak financial position of the municipalities and water agencies will require a revision of urban property taxation and water rates to finance the expansion of urban services.[1]/

D. Growth Prospects

xv. El Salvador's growth prospects are not very encouraging, at least for the next couple of years. The economic situation in 1982-83 is likely to be heavily influenced by the immediate political/military priorities. GDP is expected to decline further with an additional pressure on jobs. Disruption of transport, power, and other services could continue as well as refugee problems. Improved security and restored private sector confidence--two important but highly unpredictable factors--might permit the beginning of an economic recovery by 1984, but any forecast at this time is highly uncertain. The short-term economic outlook will continue to be closely connected to export growth, basically coffee, cotton, sugar, and manufactured exports. Growth prospects beyond 1985 will depend,to a large extent, on significantly accelerating manufacturing growth, including labor-intensive manufactures, for export to non-CACM countries; this will provide both needed foreign exchange and employment.

E. Public Investment and Finances

xvi. Real public investment declined 25 percent in the biennium 1980-81. Transport and manufacturing showed large declines while social and public administration projects increased their share of total public fixed investment. In 1982, the Central Government's constrained finances likely forced a 40 percent cut in its fixed investments. Within these reduced levels, most of the investments were dictated by three considerations: (i) support to the agrarian reform; (ii) completing some large ongoing projects; and (iii) employment creation with the financing entirely or almost entirely from foreign sources.

1/ See IBRD 2945-ES El Salvador: An Inquiry into Urban Poverty, November 1980.

xvii. Beyond these immediate objectives, the Government has yet to focus on an appropriate public investment strategy for the medium term, including a review of possible projects. Drastically changed domestic conditions suggest a reformulation of project content and priorities. Large projects, such as the Acajutla container port, power and telecommunications expansions, and the San Salvador freight terminal are not economically and financially viable with present depressed conditions and should be postponed until these sectors recover or begin to expand beyond pre-1979 levels of activity. Rebuilding infrastructure and projects with an immediate impact on production, basically related to the recovery of production, both public and private, have a much higher priority.

xviii. Public investments will continue to be constrained by weak public finances because of slow revenue growth and continued high military expenditures. Substantial foreign support on highly concessionary terms, with some provision of counterpart funds, will be crucially needed. The main possibility for improving public finances and financing local counterpart funds is in public enterprises and decentralized agencies, through tariffs and price increases and cost-cutting efforts. Especially important will be the financial viability of agrarian reform cooperatives and the timely repayment of credit received by them.

xix. Only when short- and medium-run rehabilitation and reconstruction needs are satisfied, will El Salvador be able to return to a longer term development strategy. Past Bank reports have stressed an approach of promoting growth of manufactures and modern urban sectors to increase their labor-absorption capacity. Then, stepped-up support for manufacturing and maquila activities--through improved port facilities, industrial parks and free zones, labor training, revised export incentives, and greatly strengthened promotion activities--will be needed. Agriculture will also need further public investments and support, particularly for the expansion of cropped area, land conservation and erosion control, and increases in areas under irrigation.

G. Balance of Payments and Creditworthiness

xx. The overall balance of payments will continue to be weak in 1983, although this is very hard to predict given the volatility of some factors involved, such as access to commercial credit, capital flight, and the widened parallel market. For the next few years, however, the crucial factor is export production, particularly coffee. Failure to act in a timely fashion to arrest export declines could further undermine the foreign exchange situation, constrain the economy, and adversely affect future creditworthiness.

xxi. The debt service ratio for public medium- and long-term debt is now low (about 3.4 percent in 1980 and 4.8 percent in 1981) and the level of the external debt outstanding at the end of 1981 was also low (US$ 664 million; US$ 1,035 million, if undisbursed loans are included). Given the lack of foreign commercial banks' credit, most of the net inflows of

external financing will be from undisbursed loans and from new operations with multilateral and bilateral sources mostly on concessionary terms. Therefore, the future debt service will likely increase slowly. Future creditworthiness, therefore, will depend significantly on three factors: export prospects, demand management, and military-political events. An acceleration in the present level of violence could well lead to a further general economic and balance of payments deterioration. For this reason the military situation will be a prime factor in determining future creditworthiness. The political situation, however, has improved after the March 28, 1982 elections. Demand management is another important factor, particularly strengthening the financial position of the public sector and reducing the size of the Central Government deficit; this would permit implementing prudent monetary and credit programs to allocate more credit to the private sector. These elements provided the basis for a stand-by arrangement with the IMF. However, prudent demand management will not ensure creditworthiness alone. GDP and export declines have to be arrested. The links between GDP and export growth, employment, and creditworthiness make the Government's efforts to arrest the export decline and bring about a recovery of export production, the deciding factor for future creditworthiness. Export growth will be the most effective policy to maintain and reinforce El Salvador's creditworthiness. A detailed analysis of creditworthiness is presented in paras. 110-114.

UPDATING ECONOMIC MEMORANDUM ON EL SALVADOR

I. INTRODUCTION

1. This current Economic Memorandum updates and reviews recent developments and short-term prospects and policies of the Salvadorian economy while it undergoes a military conflict and structural changes. In the last few years, El Salvador has confronted significant terrorism and guerrilla activities that have adversely affected production and the country's productive capacity. Private sector uncertainties originating from the armed struggle as well as from the reforms undertaken by provisional Governments have also contributed to lower production and a sharp decline in investment. These political-military considerations have dominated economic events, even though worldwide and regional developments have also contributed significantly to shape domestic problems.

2. Political violence began to escalate in 1977. Since then, a number of prominent local and foreign businessmen, Government officials, clergymen, students and peasants have been killed or kidnapped. Strikes and political protests in the cities became common. Increasing unrest, violence and the initiation of guerrilla activity led to a coup d'etat at the end of 1979. A five-member junta (three civilians and two army officers) ruled the country during most of 1980, although its composition changed as some of its members left Government in early 1980. The Junta, which was representative of both the military and the Christian Democratic Party, faced growing opposition from both the extreme right and the extreme left, and this resulted in a deteriorating political climate, increased guerrilla warfare, and a disruption of economic activities. Armed clashes were frequent. The Junta undertook important reforms early in 1980; an agrarian reform affected land tenure rights on large properties and rented land, commercial banks were nationalized, and the State took over marketing of coffee and sugar exports. A Christian Democrat, Jose Napoleon Duarte, was installed as President in 1980. Mr. Duarte's administration aimed at a gradual strengthening of institutions, a political settlement based on elections, and the effective implementation of the 1980 reforms. Guerrillas mounted a major offensive to overthrow the Government in January 1981; this push failed. The Duarte regime held elections, as scheduled, in March 1982 for a Constituent Assembly. A second wave of increased guerrilla warfare was not successful in disrupting the elections. A record voter participation gave a 60 percent majority in the Assembly to a coalition of opposition parties over the ruling Christian Democrats. A new, independent Coalition President, Mr. Alvaro Magana was installed in May, 1982.

3. The deteriorating economic conditions, prevailing uncertainties about private sector activities, social unrest, the ongoing military conflict together with available statistics being subject to wider margins of error than usual, and Government policies being modified with greater frequency than in the past make it difficult to look too far into the future. Therefore, the focus of this memorandum is primarily short-term and it does not attempt to analyze longer-term economic prospects.

II. ECONOMIC DEVELOPMENTS AND THE EFFECTS OF POLITICAL-MILITARY EVENTS

A. Past Growth Trends

4. To place in perspective recent developments, a quick overview of past trends follows. The Salvadorian economy grew at 5.4 percent a year during 1960-78 (2.2 percent a year in per capita terms). Exports and investment were the main engines of growth. Investment grew faster than GDP, and the investment/GDP ratio increased from 14 percent in 1960-62 to 23 percent in 1976-78; investment was financed mostly out of domestic savings which increased from 12 percent to 20 percent of GDP. While savings grew rapidly, per capita real consumption was repressed; thus, the GDP share of private consumption declined from 78 percent to 68 percent. The other growth factor, exports, also increased its GDP share from 22 percent in 1960-62 to 36 percent in 1976-78. Manufacturing exports became significant--about one-third of total exports. Substantial social progress was also made. Mortality rates declined by about 40 percent (from 15 per thousand in 1960 to about 9 per thousand in 1978), although infant mortality rates continued to be high. Life expectancy increased by 10 years to 63 years. The adult literacy rate increased from 49 percent in 1960 to 63 percent in 1978, and primary education enrollment covered about 90 percent of the school-age population compared to 60 percent in 1960. However, while access to primary education was widespread in urban areas, primary coverage in rural areas was 70 percent for children age 7-12 but only 8 percent for children age 13-15.

5. In spite of this progress, the 1978 per capita GNP was low at about US$ 600. El Salvador was and is a poor, densely populated country with limited natural resources and a large number of its citizens living in poverty. Malnutrition was common among small children. About two-thirds of the Salvadorian households were without piped water, over half without electricity, and only one-sixth were served by waterborne sewerage systems. Furthermore, rapid population growth, at over 3 percent a year, puts additional pressures on the country's limited territory and natural resources.

B. Recent Performance of the Economy

6. During 1979-81, El Salvador's economy experienced a serious setback as both private sector uncertainties and political violence increased. The 1981 real GDP was at about the 1974 level following a 18 percent decrease from its peak 1978 level. Both past engines of growth, investment and exports, experienced declines of about 60 percent and 17 percent respectively from their 1978 real levels. The investment/GDP ratio and the export/GDP ratio averaged 13.0 and 33 percent, respectively, during 1979-81. In addition, these declines show a deteriorating trend; in 1981 these ratios were 12.2 percent and 26.3 percent, respectively (See Table 1).

Table 1. INVESTMENT AND EXPORT INDICES

.	1960 (% of GDP)	1960-78 (Annual % growth rate)	1978 (% of GDP)	1978-81 (Annual % growth rate)	1981 (% of GDP)
Investment	15.5	7.6	26.1	-25.7	12.2
Exports	20.4	6.5	30.7	-6.0	26.3

Source: Tables 2.1 and 2.2, Statistical Appendix.

7. Production decreased significantly in all major sectors of the economy during 1979-81. Manufacturing, construction, and commerce were the most affected, with declines of 29 percent, 35 percent and 24 percent, respectively. Agricultural value-added was also down by about 14 percent because inter alia of disruptions caused by the guerrilla warfare and the implementation of the agrarian reform, which have particularly affected export crops, such as cotton and sugar. Coffee production, the backbone of the economy, did not decline as much as cotton and sugar in spite of much lower export prices in 1981 and uncertainties about the application of the agrarian reform to landholdings in the 100-500 hectares. However, its outlook is less buoyant, given the reduction of the 1981-82 coffee crop and expected stagnation of the 1982-83 coffee crop.

8. Gross domestic income (GDI) showed an even larger decrease than GDP because of the terms of trade deterioration which was brought about by rising import prices for petroleum and products from industrialized countries coupled with the sharp decline of coffee and other primary export prices. Since 1974, imported inflation drastically affected the traditional price stability of the Salvadorian economy. Domestic factors also played a role in the last few years until the 1981 wage-price freeze. The consumer price index reportedly increased at 15 percent a year during 1978-80 and rose about 12 percent in 1981. Real minimum wages deteriorated sharply during 1978 and 1979 but recovered in 1980 when minimum wages were increased to about 93 percent of the December 1977 real wage.

9. Following a large deficit of US$286 million in 1978, the current account balance of payments improved significantly in 1979-80. Current transactions were positive in 1979 and slightly negative in 1980. Exports of coffee by volume were at all time record levels during 1979-80, averaging 60 percent over the 1977-78 level. Cotton and sugar exports showed a downward trend. The balance of payments, however, deteriorated significantly in 1981, and the current account deficit reached US$260 million. Sharply lower coffee prices and lower manufactured exports to the CACM explain about two-thirds of the 1981 export decline with respect to 1980. The rest stems mostly from lower exported volumes of coffee and cotton, which declined 16 percent and 45 percent, respectively.

10. Traditionally, El Salvador has kept overall public sector cash deficits at low levels, but finances of the public sector (excluding public banks) deteriorated significantly in 1980-81, with the overall deficit reaching

about 7.4 percent of GDP. The main reasons for the changed situation are: (i) a 15 percent decline in tax revenues during 1980-81 from the high 1979 level owing to reduced economic activities and a sharp drop of coffee prices; (ii) rising current expenditures, particularly in the Central Government, which resulted in negative Central Government current savings and negligible savings for the public sector as a whole; and (iii) an expansion of agrarian reform expenditures.

11. In 1982, all major productive sectors are expected to decline as production continues to be adversely affected by the civil strife, electricity cutoffs, transport problems, sabotage, scarce credit and foreign exchange, and the impact of the agrarian reform and low international prices for agricultural production. As a result, GDP will decline further. The Government is committed to reduce the overall balance of payments deficit significantly in 1982 which, with some use of IMF and USAID resources, would permit a reduction of arrears in foreign payments and a modest improvement in gross foreign assets. The 1982 cash budget programs a reduction of the overall deficit of the Central Government, and thus the need for domestic credit from the banking system, by decreasing total expenditures 2.5 percentage points of GDP. This will be accomplished by reducing non-defense current outlays and capital expenditures.

12. Deteriorating economic conditions have been accompanied by increasing open unemployment--in the range of 20-30 percent--a substantial refugee problem and accelerated rural-urban migration by persons displaced by open warfare in rural areas. Most affected are the border departments--Chalatenango, Cabanas, Morazan, and La Union--and the San Vicente and Usulutan departments in the coastal areas.

C. The 1980 Reforms

13. The Salvadorian Government undertook significant foreign trade, land, and banking reforms in 1980. First, a land reform, which provides for expropriation of estates over 500 hectares (Phase I) and over 100 hectares (Phase II) and for ownership titles to all tenant farmers on the land they rent (land-to-the tiller, Phase III). Both Phase I and Phase III were implemented. Phase II (expropriation of estates between 100 and 500 hectares) is still pending and, given the problems experienced with Phase I, will need to be carefully reviewed before a decision is made to implement it. Second, the nationalization of the banking system, which is intended to eliminate the concentration of credit on few people and enterprises; the Government is expected to retain only 51 percent of the shares and sell the rest to the general public, including previous owners and bank employees. Third, the nationalization of foreign trade which puts the control of coffee and sugar exports in two autonomous agencies: INCAFE and INAZUCAR. Both agencies' policies are controlled by boards composed of the Ministers of Foreign Trade, Planning, Economy, Agriculture, and Finance, the President of the Central Bank, and a representative of the President of the country. These reforms are discussed later in this report.

D. Government Development Policies and Finances. The Expanding Role of the Public Sector

14. The public sector's role in the economy expanded gradually during the 1970s as the Government undertook a more active development role. This was

reflected in the increasing importance of public enterprises providing power, ports and airports, telecommunications and water services; a rising level of public investment, including large infrastructure works for power, transport, and telecommunications as well as expanded social outlays for education and health; and a higher level of Central Government expenditures supported by rising tax revenues, particularly those from coffee.

15. The 1980 reforms expanded the Government role in the economy, which now controls about 9 percent of the gross value of agricultural production (2.3 percent of GDP) and 15 percent of the agricultural land, 10 of the 13 sugarmills, all foreign trade in coffee and sugar, and all commercial banks. This has also increased significantly public employment (8 percent of the economically active population before the reforms) but precise estimates are not available.

The Financial Position of the Public Sector

a. Central Government

16. Traditionally the Central Government's financial management was very prudent. Capital outlays were adjusted to the availability of current savings, overall deficits and borrowings were low, and current expenditures tightly controlled. In 1980-81, however, the situation changed dramatically as Central Government finances deteriorated significantly. Current savings were negative by 1.1 percent of GDP in 1981; the overall deficit grew to 6.4 percent in 1981 (See Table 2). This is the result of increased expenditures, mostly current, and lower revenue collections because of reduced economic activities and incomes. Most of the increase in current expenditures was for wages and salaries; the Ministries of Education, Health, Agriculture, and Defense showed the largest increases. Capital expenditures at current prices increased only 13 percent from the 1979 level but, as savings deteriorated, a larger proportion was financed by domestic credit from the banking system, mostly from the Central Bank, which reduced credit availabilities for the private sector. Transfers to the rest of the public sector showed little growth as the Government implemented a policy of self-sufficiency for the autonomous institutions and enterprises.

Table 2. CENTRAL GOVERNMENT FINANCES

(in percentages of GDP)

	1978	1979	1980	1981	1982 a/
Central Government					
Current Revenues	13.5	14.1	12.6	12.7	12.3
Current Expenditures	11.0	10.0	12.1	13.8	13.8
Current Savings	2.5	4.1	0.5	-1.1	-1.5
Overall Deficit	1.9	0.7	5.3	6.4	6.4
Domestic Financing (Net)	0.1	-1.1	2.7	3.3	3.4
External Financing (Net)	1.8	1.8	2.6	3.1	3.0

a/ Programmed.

Source: Table 5.1, Statistical Appendix.

17. The 1982 cash budget programs a reduction of the overall deficit to 6.4 percent of GDP to reduce the Government's use of credit from the banking system. To achieve this result and also to set aside enough resources for interest payments of the agrarian reform, existing expenditures will have to be reduced about 2.4 percentage points of GDP with discretionary outlays on current account for non-defense items falling in nominal terms and Central Government investment outlays decreasing 40 percent unless additional resources are obtained. Current outlays will be lowered by reducing staff (mostly through attrition), decreasing expenditures for goods and services 5 percent with respect to the 1981 level, and slashing transfers by 10 percent. Expenditure controls have been tightened through periodic allotments and prior approval requirements.

18. The rest of the public sector (local Governments, autonomous institutions and enterprises) have also shown a deteriorating trend for current account savings, generating in 1981 current savings for only 0.4 percent of GDP, a four-fifths decline from the 1979 level. The main contribution to savings in 1981 was from the housing social fund, teachers' retirement fund, social security, power company, and telecommunications agency. The public development corporation (INSAFI), the food marketing agency (IRA), the agrarian reform institute (ISTA), and the university had current account deficits. Fixed investment expenditures declined by about 30 percent. The overall deficit of the rest of the public sector was about 1.7 percent of GDP in 1981, excluding land purchases of ISTA and other financial transactions. Austerity measures, increased university tuitions, higher Government contributions to the social security system, and possibly tariff revisions by the power generating company (CEL) may change the trend in 1982. For some enterprises (i.e., CEL) increased savings are a prerequisite to continue their repair and maintenance work as well as to proceed with their investments. However, the financial positions of the power company, the port authority, and other public enterprises are likely to continue to be adversely affected by declining economic activities, sabotage, and other difficulties.

19. As a result of these events, consolidated public sector savings declined by 6 percentage points of GDP between 1979 and 1981, and the overall deficit increased from 2.1 percent of GDP in 1979 to 7.4 percent in 1981. 1/ Public savings, which represented about one-third of domestic savings in 1978, became negative in 1981. As a result, domestic credit to the public sector increased by over 5 percentage points of GDP. In brief, the consolidated position of the public sector weakened considerably during 1980-81.

1/ Excluding certain financial transactions in support of ISTA. See Table 5.9, Statistical Appendix.

Table 3. PUBLIC SECTOR FINANCES

(in percentages of GDP)

	1978	1979	1980	1981	1982 a/
Consolidated Non-Financial Public Sector					
Current Savings	5.3	5.8	1.0	-0.4	-1.7
Overall Deficit	-1.4	-2.1	-6.8	-7.4	-7.9
Domestic Financing (Net)	-0.7	0.4	4.7	4.8	4.8
External Financing (Net)	2.1	1.7	2.1	3.5	3.1

a/ Programmed.

Source: Table 5.9, Statistical Appendix.

Public Investment

20. Public fixed investment grew rapidly during the second half of the 1970s; the peak in 1978-89 was almost double the level of 1973-74 at constant prices. This was directly related to the improvement in public finances and to a more dynamic development policy, which was initiated with the 1973-77 development plan. Most sectors showed substantial real increases during 1975-79, the largest being in power, transportation and telecommunications; their combined share of public fixed investment reached 58 percent in 1978-79. Productive sectors also increased their share of public fixed investment owing to the more aggressive government approach to agricultural development. Social investment grew significantly in real terms, though at a more moderate rate, from a very low base. Fixed public investment growth was complemented by an even more rapid expansion of financial investment, which reached 39 percent of total public investment in 1978-79.

21. Real public fixed investment declined 25 percent during 1980-81. Transport and manufacturing investments experienced large declines while social development projects as well as public administration projects expanded significantly. In general, the sectoral distribution was dictated by the following considerations: (i) supporting the agrarian reform through small irrigation projects, rural schools and health centers, and rural roads; (ii) completing some large projects which were at an advanced stage of construction, i.e., the San Lorenzo hydroelectric plant, the Ahuachapan geothermal power plant, and water supply to San Salvador; (iii) supporting employment by going ahead with new projects which are entirely or almost entirely financed by external sources, i.e., road construction and livestock development, financed by IDB; urban and housing development, financed by USAID; and roads and other projects, financed by CABEI, and (iv) the expansion of expenditures for public administration projects. This reflects the vital role that foreign financing

played in maintaining some public investment and generating some employment. Further support will be needed in the years ahead.

22. A decline in fixed public investment at current prices is expected in 1982 because of financial constraints. Central Government fixed investment will likely decrease 40 percent in 1982. Since the financial position of the autonomous public enterprises also deteriorated, the level of total fixed public investment will decline to less than C 490 million compared to C 585 million in 1980. Given that ongoing projects will need about C 428 million a year in 1982 and in 1983, and that certain reconstruction expenditures are urgently needed, there is now little scope for starting new public investment projects.

E. Balance of Payments

23. The balance of payments has been adversely affected by four events: lower commodity prices, the impact of the agrarian reform on cotton and sugar exports, the guerrilla warfare, and the payment difficulties of the CACM. Exports lost much of their dynamism after reaching a peak in 1979. Coffee exports reached a peak level of 207,000 metric tons in 1979 but declined afterwards to earlier levels reaching about 150,000 metric tons in 1981 because of production problems (see the agriculture section and Annex A) as well as low farm prices paid by INCAFE. Cotton exports showed a sharp deterioration in 1979-81 as production decreased owing to the impact of the agrarian reform and guerilla warfare. Cotton lands were severely affected by Phases I and III of the agrarian reform; the Usulutan area has also been the subject of substantial guerrilla activity. Sugar exports had not overcome the negative impact of low international prices during the late 1970s when this activity experienced the impact of the agrarian reform--which included most sugar mills--the nationalization of sugar exports, and violence, which adversely affected sugar cane production. As a result, sugar production and exports decreased sharply. Manufactured exports had difficulties during 1979-81 as a result of (i) the constrained financial situation of Costa Rica and Nicaragua; even though El Salvador's overall balance is negative in the CACM, it has positive balances with these countries, and exporters of manufactures find that previously accumulated trade balances with these two countries are not easily convertible in Colones and thus there are no adequate incentives for increasing exports to these two countries; (ii) lack of financing, originating in capital flight and lack of foreign credits from foreign banks and suppliers, as well as reduced access to domestic credit.

Table 4. MAIN EXPORTS PERFORMANCE

(million dollars)

	1978	1979	1980	1981
Coffee	386	675	615	453
Cotton	98	85	83	53
Sugar	19	27	13	14

24. The current account balance of payments, which showed some resilience to the negative developments in the Salvadorian economy during 1979 and 1980, deteriorated significantly in 1981, but the size of the deficit is still moderate given the circumstances; 7.3 percent of GDP. Capital movements, mostly capital flight and the interruption of lines of credit from foreign private banks and commercial suppliers played a dominant role in a large decline of foreign exchange reserves in 1980. Other factors also played a significant role in 1981. Export values declined while import levels were similar to those of 1980 in spite of continued economic deterioration; this behavior is explained by the Government's increased use of domestic credit and the need to provide essential foodstuffs and employment to the population, financed partially by special foreign credits. Capital flight also continued, although on a more moderate scale, and foreign commercial lending virtually ended. At the end of 1981, net foreign exchange reserves were negative by about US$200 million, not counting payments arrears of about US$65 million.2/

25. Exchange controls have been tightened in the last couple of years as the country's balance of payments deteriorated. The dual exchange market system has an official market rate of C 2.50 = US$1.00, and a parallel market rate determined by market forces (about C 4 = US$1 in mid-March 1982). Priority imports (energy supplies, basic food products, medicines, imports of raw materials for industry and agriculture, and spare parts) are transacted at the official rate. Non-essential imports from all origins (about 25 percent of all imports) are transacted in the parallel market. Foreign exchange to pay for invisibles, with very few exceptions, is obtained in the parallel market. Proceeds of traditional exports (coffee, cotton, sugar, shrimp and lobster) and CACM exports must be surrendered at official market rates within 90 days while proceeds of non-traditional exports outside the CACM may be deposited in dollar accounts in the commercial banks. These accounts may be used for authorized transactions or transferred to other dollar accounts at exchange rates determined in a negotiated sale, thereby providing a source of dollars for the parallel market. The accounts, in turn, can be used freely to pay for imports of goods and services. Proceeds from invisibles must be surrendered at the official rate with the exception of family remittances, personal services,and commissions. Exchange receipts from capital transactions must be surrendered at the official rate in order to qualify later for foreign exchange for debt servicing, dividend transfers, and capital repatriation in the official market. Alternatively, these exchange receipts can be deposited in foreign currency accounts with commercial banks and used for authorized transactions.

2/ IMF estimate; Central Reserve Bank estimates are higher because they overstate the arrears by including requests for open letters of credit for future imports.

Table 5. BALANCE OF PAYMENTS: SELECTED INDICATORS

(millions of dollars)

	1978	1979	1980	1981
Exports Goods and Non-factor Services	945	1,313	1,218	933
Imports Goods and Non-factor Services	-1,222	-1,267	-1,186	-1,165
Resource Gap	-277	46	32	-232
Current Account Balance	-286	35	-3	-260
Public Medium- and Long-Term Flows (net)	69	72	107	165
Errors and Omissions	-76	-214	-318	-
Other Capital Items	326	8	-45	-30
Change in Reserves (- increase)	-33	99	218	100
Arrears Increase	-	-	41	25

Source: Table 3.1 Statistical Appendix.

26. The payments arrears have partially led to a tightening of credit conditions from foreign suppliers, who now require a confirmed letter of credit or have interrupted transactions with El Salvador. Since individual importers have little or no access to credit from foreign banks, this in effect means prepayment of imports. The Central Reserve Bank and some commercial banks have arranged for special letters of credit with foreign banks to facilitate access to payments with 60 days-after-shipment letters of credit for priority imports. However, these arrangements are for limited amounts and based on collateral deposits of the Central Reserve Bank covering a certain proportion of the line of credit.

27. External debt controls have also been strengthened. Medium- and long-term debts of the public sector traditionally have required approval and ratification by the Legislature. Long-term debts of the private sector must be registered in the Ministry of Foreign Trade to ensure access to foreign exchange for payment of interest and amortization as established when registering. These payments must be approved by the Central Reserve Bank in consultation with the Ministry of Economy. In addition, all short-term public and private debts continue to require authorization of the Central Reserve Bank. Its Exchange Control Department makes an analysis of the financial situation of the enterprise, the use and characteristics of the foreign loans, and its compatibility with the global country limits established for external indebtedness.

28. Disbursements of external official capital have stepped-up during 1980-81 and are expected to continue at high levels during 1982. Main sources of the increase in 1981 were operations with IDB, USAID and other U.S. agencies, and Venezuela.

Table 6. DISBURSEMENTS OF OFFICIAL LOANS REPAYABLE IN FOREIGN CURRENCY a/

(million dollars)

	1978	1979	1980	1981
CABEI	13	5	2	14
IBRD/IDA	13	20	13	15
IDB	30	27	20	50
IMF Trust Fund	-	-	25	-
OPEC Special Fund	2	-	-	-
Multillateral	58	53	60	79
France	-	5	24	10
U.S.A.	1	2	18	73
Venezuela	15	15	9	19
Other	6	8	5	-
Bilateral	22	30	56	102
TOTAL	80	83	116	181

a/ Excludes grants.

Source: Central Reserve Bank.

29. The Government is committed to reduce the overall balance of payments deficit significantly in 1982 which, together with the possible use of some IMF resources, would permit a reduction of outstanding foreign arrears and a modest improvement in gross foreign assets of the monetary authorities, provided there is some refinancing of short-term external debts. To reduce the balance of payments deficit, the Government has introduced some exchange rate flexibility by authorizing some additional transactions in the parallel market: some non-essential imports previously included in a prohibitive list or subject to prior deposit requirements (about one fourth of merchandise imports); non-Government debt service payments (about US$130 million); and import and service payments of exporters of non-traditional goods (about US$60 million of exports to markets outside the CACM (see para. 71). Licenses are now issued freely for imports that do not require foreign exchange from the Central Reserve Bank. Formalization of the parallel market is a step toward the reunification of the foreign exchange markets and during 1982 the Government may shift additional transactions to the parallel market.

F. Monetary Developments

30. The Government took over all domestic commercial banks, all savings and loan associations, and an investment bank in 1980. Foreign banks were required to stop accepting deposits and were given one year (later expanded for another year) to close their local deposit departments but they are still authorized to carry out other operations under the law that regulates credit institutions. So far the reform has created less problems than anticipated

because the Government has retained most of the management teams and has continued to give them autonomy in day-to-day operations. The banks are subject to the control of the Superintendency of the Financial System and audited by external auditors. Nevertheless, the banking system, under Government control, may encounter problems similar to those of past Salvadorian public financial institutions; i.e., poor repayment records, deficiencies in accounting systems, lack of detailed audits and other practices that will weaken financial intermediation. Already some instances of difficulties in recovering agrarian reform loans have been identified. If these types of problems occur more frequently, a return to some form of private sector participation in the ownership and, most important, in the operation of the commercial banks might be desirable. Proposals to return some ownership share (less than 51 percent) to the private sector were incorporated in the legislation at the time of the nationalization of the banking system. The main purpose of any adjustment would be to obtain a reasonable balance between the Government goal of avoiding the concentration of credit in a few hands and the need to maintain an efficient operating banking system, which would facilitate production and trade.

31. After reaching a high level in 1978-79, financial savings growth weakened considerably during 1979-80 as the private sector shifted its monetary assets from time and savings deposits to currency and sight deposits and, as much as possible, to deposits in banks outside the country and other foreign assets. In addition, commercial banks experienced difficulties from lack of credit from foreign banks. As a result, the supply of loanable funds from the banking system was insufficient to satisfy domestic credit demands, which increased 60 percent from 1978 to 1980. Net foreign exchange reserves declined by about US$ 316 million from December 1978 to December 1980, and payments arrears of about US$ 40 million occurred. Although in 1981 time and savings deposits grew 25 percent, this was insufficient to support the 20 percent increase in domestic credit, allocated mostly to the public sector. Foreign exchange reserves declined again (US$ 100 million), and payments arrears increased by about US$ 25 million.

32. The distribution of the increase in domestic credit between the public and private sectors has shifted in the last few years in favor of the public sector. Credit to private businesses and individuals increased by about 6 percent a year during 1979-81--a decrease in real terms. Government credit needs in 1981 were particularly high (see Table 6.1, Statistical Appendix), and thus credit to the private sector in that year declined even in nominal terms. This is mostly explained by credit demands of the Central Government, INCAFE and INAZUCAR.

33. The Central Reserve Bank credit program for 1982 considers a significant deceleration in the rate of credit expansion with a limited increase of money in circulation designed to bring down its ratio to GDP to a level more in line with the historical experience. More important, credit by the banking system would shift to provide about half to the private sector.

34. With the acceleration of inflationary trends that took place in the last few years, real interest rates in El Salvador became negative. The September 1978 revision of interest rates, which was expected to result in positive real rates of interest, was not sufficient to offset the price increase during 1979-81. To remedy this situation, some interest rates were increased in February 1982. Loans made with local resources now fluctuate in the 13 to 20 percent range depending on the operation; for those made with foreign resources

interest rates are free depending on cost. Deposit rates were also modified with the most important change taking place for time deposits. These are gradual steps to liberalize interest rates but more is needed to reduce the incentives to hold deposits outside the country, once socio-political factors return to normal.

III. THE MAIN PRODUCTIVE SECTORS

A. Agricultural Production 3/

35. Agriculture is the most important productive activity with about one-fourth of GDP and over one-half of the economically active population. Exports of coffee, cotton, and sugar provided about three-fifths to three-fourths of total exports and about one-fourth to one-seventh of GDP during 1979-81. Agricultural exports are traditionally an important determinant of foreign exchange earnings and the level of economic activity. Coffee price variations and production shifts in cotton and sugar explain most of the sharp export fluctuations. In addition, agriculture provides a substantial share of the food supply. However, pressures on agricultural land to feed and employ the Salvadorian population are already significant and continue to accumulate with population growth at about 3 percent a year. With a density of 223 persons per square kilometer, El Salvador's per capita agricultural land is now about 0.3 hectares and only 2 to 3 hectares per farm worker.

36. Past agricultural production showed a dualistic pattern. Before the agrarian reform, export crops were dominant in agriculture production and produced mostly in about 2,000 large farms (each over 100 hectares and comprising about 40 percent of the arable land), while domestic food production, mainly basic grains (corn, beans, rice, and sorghum), were produced for the most part in about 250,000 small farms (about three-fifths exploited under sharecropping or renting arrangements, with about one-fourth of the arable land).

37. Poor subsistence farming predominates in the northern areas (mostly the Departments of Chalatenango, Morazan and Cabanas), which are the descending slopes of mountain ranges that peak in Honduras. The land is not very fertile and relatively small acreages are in permanent crops. Uncontrolled land use has led to serious soil exhaustion and erosion problems. The central highlands have relatively good soils suitable for coffee, which predominates in the region. The coastal zone is characterized by large farms producing cotton and sugar. The land is fertile and large landholdings were prevalent before the agrarian reform.

38. For years, agricultural policy was mainly concerned with the promotion of exports. This emphasis changed in the early 1970s when the Government supported irrigation, improved seeds and technology, small farm credit, and basic grains marketing to increase the output of staple foods. As a result, production for domestic consumption increased rapidly after the mid-1970s while

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3/ The role of agriculture and the agrarian reform is covered in much more detail in Annex A.

export production, particularly coffee, also continued to expand. Agricultural and food production indices, both total and per capita, showed significant advances during the 1970s. Agricultural output, in both volume and value, reached peak levels during the biennium 1978-79, as did the rest of the economy.

39. Agricultural output, however, declined thereafter because of substantial rural unrest and guerilla warfare, unfavorable export prices, and the adverse effects on production of the agrarian reform. Output of cotton, sugar and coffee in the crop year 1981-82 decreased by 59 percent, 29 percent, and 15 percent from their 1977-78 levels; lower export prices aggravated the negative impact on the balance of payments and the economy. The decline in food production was less severe because of temporary advances in some basic grains (corn, rice, and sorghum) in 1980; nevertheless, domestic food crops were insufficient to satisfy the domestic demand and more imports were needed. In addition, the sharp reduction in cottonseed production, which depends on cotton production, seriously curtailed the main domestic source of vegetable oil. Furthermore, beef and dairy production were adversely affected by decapitalization of herds, indiscriminate slaughter by armed groups, and uncertainties created by the agrarian reform. As a result of the above-noted difficulties, the value of food imports rose 42 percent in 1980. Food imports of milk products, beans, fruits, legumes, potatoes, fats and oils increased sharply. This situation persisted during 1981.

Table 7. AGRICULTURAL PRODUCTION

	Crop Year				
	1977/78	1978/79	1979/80	1980/81	1981/82
Coffee (in thousands of 60-kilo bags)	2,800	3,423	3,322	2,490	2,380
Sugarcane (in metric tons)	2,892	2,745	2,019	1,824	2,096
Cotton (in thousand quintals)	1,743	1,575	1,430	997	711
	(in quintals per person)				
Corn	1.98	2.57	2.58	2.52	2.46
Beans	0.48	0.22	0.23	0.19	0.17
Rice	0.17	0.26	0.29	0.29	0.22
Sorghum	0.79	0.82	0.79	0.67	0.64

Source: US Department of Agriculture and Central Bank.

40. Agriculture is now at a critical stage. Despite efforts to increase domestic food output, especially staple foods, reliance on food imports is increasing to make up for production deficits. Furthermore, export crops are affected adversely by unrest, uncertainties about future land reform efforts (Phase II), and low export prices that diminish the country's ability to pay for all required imports. Under these circumstances, agricultural output is likely to decline further in 1982. Food production deficits are likely to increase and

thus further increases in required food imports can be expected in the near future. Moreover, export crops, the country's largest source of foreign exchange, may continue to decline unless steps are taken to reduce uncertainty, and recover some of the lost production.

B. Agrarian Reform

The Reform and the Role of the Agrarian Reform Institute

41. Although in 1975 ISTA was created and a comprehensive land reform was passed in 1976, this effort failed because of strong resistance from large landowners. A large reform proposal, covering 60,000 hectares in the San Miguel-Usulutan region, could not be implemented. Afterwards, land reform efforts were scaled down and redirected; as a partial solution, the Government established an agrarian land bank (COFINTA) to purchase land and redistribute it to small farmers.

42. Land reform efforts recovered momentum in early 1980. A new administration launched a significant land reform program, which provides for expropriation of estates over 100 hectares (Phases I and II; Decree 153 of March 1980) and for ownership titles to all tenant farmers on the land they rented (land-to-the tiller, Phase III; Decree 207, April 1980). In March, 1980, ISTA undertook to carry out its expropriating mandate for landholdings over 500 hectares, including non-contiguous haciendas with a total acreage exceeding the 500 hectare limit.

Table 8. 1971 LANDHOLDINGS BY SIZE AND ISTA'S 1981 HOLDINGS

(hectares)

Size	Number of Properties	Area	In Cotton	Sugar	Coffee	Basic Grains
Less than 5	236,751	287,815	2,267	2,515	24,019	85,771
5- 9.99	15,730	112,590	1,885	1,743	10,092	16,885
10-19.99	8,977	126,566	3,152	1,680	13,715	10,574
20-49.99	6,772	213,067	4,080	1,825	30,047	8,712
50-99.99	2,241	154,840	5,157	2,245	24,942	5,776
100-199.99	1,115	153,514	8,496	1,148	22,430[a/]	4,141
200-499.99	640	192,250	17,077	3,467		5,702
Over 500 hectares	206	223,217	20,817	9,704	21,793[a/]	6,812
TOTAL	272,432	1,463,859	62,931	24,327	147,039	144,373
ISTA Holdings, Phase I (1981)	183[b/]	188,936[b/]	19,020	14,570	21,793	28,324

a/ Breakdown not available. Figure for farms over 500 hectares taken from ISTA's records.

b/ Contiguous properties over 500 hectares expropriated in Phase I. Including non-contiguous properties over 500 hectares owned by individual owners, the total is 326 properties with 224 thousand hectares (Nov. 17, 1981). In addition, ISTA owns other properties acquired before the agrarian reform, which raise the totals to 374 properties and 228,000 hectares.

Source: Direccion General de Estadistica y Censos, Tercer Censo Nacional Agropecuario, 1971 and ISTA.

43. The purpose of the land-to-the-tiller reform was to broaden the agrarian reform to include renters, sharecroppers, and other small farmers working land without title to it. Decree 207 provided that campesinos could acquire up to 7 hectares of land under rental or similar arrangements. Financiera Nacional de Tierras Agricolas (FINATA) is the principal institution administering the land-to-the-tiller program. Expropriation of estates in the 100-500 hectares category (Phase II) is still pending.

Phase I of the Reform (Over 500 hectares)

44. ISTA utilized personnel from the Ministry of Agriculture and related agencies, such as the National Center for Agricultural Technology, to move forward with its responsibilities under Phase I of the agrarian reform. However, the size and scope of the assignment was underestimated. ISTA is short on staff in many categories, and those involved often lack needed experience or, a particular expertise. (See Annex A, para. 107). Furthermore, ISTA's mobilization of personnel from other public agencies reduced these agencies' programs as well.

45. Reformed property is administered in co-management by ISTA and the cooperatives or campesino organizations to which the holdings are allocated. The agrarian reform displaced most of the original administrative and management personnel of the expropriated estates. ISTA, therefore, had to staff each cooperative with a technician to co-manage with the coop's directors. It also provided technical assistance with 178 technicians taken from other agencies (See Annex A, paras. 179-183). Since ISTA's competent staff is insufficient to meet the needs of the reformed farms, it spreads its personnel among various cooperatives on a part-time basis. Many farms where the original management has been retained are both more efficient and productive than those under ISTA's management teams. In addition, the agrarian reform has been plagued by political unrest and violence since its very start; this has forced 26 cooperatives or campesino groups to abandon their properties.

46. The time period for co-management of the cooperatives still remains to be resolved. The apparent intention is that, after a suitable period of co-management, the cooperative should have gained enough experience to run its own affairs. At that time, ISTA would pull out and have the cooperative's board make both policy decisions and hire competent managers. However, titles issued to some cooperatives stated a five-year period of co-management renewable for another five years. Efforts should be made to reduce the co-management period and avoid a long-term involvement of ISTA's co-managers.

47. ISTA has acquired a total of 326 properties affected under Phase I with 224,000 hectares, which represent about 11 percent of the territory and 17 percent of the agricultural land. About 56 percent of the Phase I expropriations affected 183 single properties in excess of 500 hectares accounting for 84 percent of the land expropriated. The remainder came mostly from single-owner non-contiguous holdings which in total exceeded the 500 hectare limit.

48. About 35,000 families (perhaps 8 percent of the peasant families) were beneficiaries of Phase I with an average of six members per family as of October, 1981. About two-thirds of the expropriated properties were organized as cooperatives, one-fourth as campesino groups and the remainder were still being organized as of that date.

49. Apart from the depressing effect that continued violence has on crop and livestock production, Phase I of the agrarian reform itself had an adverse impact. As the experience in other countries has shown, this is to be expected, at least in the beginning, from a radical transformation of the land tenure system. Maintaining production in the reform haciendas was not a simple task for the poorly trained campesinos and the Government agencies were not adequately staffed to provide management, extension, and technical assistance as well as timely credit and essential inputs, such as fertilizers and pesticides. This resulted in a slow start in spite of ISTA's priority access to the nationalized banking system and foreign exchange.

50. Overall production data for Phase I are still incomplete. Although some information is available indicating that Phase I cooperatives have been able to maintain a 90 percent level of production in the 1980-81 crop year, no comparable evidence is available for the same properties before expropriation.

The available information, moreover, understates output declines, especially in view of the importance (78 percent in the 1980/81 crop year)[4]/ of export crops (cotton, sugar, coffee) on the total gross value of agricultural production in the reform sector covered by Phase I and the performance of these crops. Actual results of cotton and sugarcane production, where ISTA controls one-third and over two-fifths of the planted land, were disappointing. (See Tables 6 and 9, Annex A). The adverse production impact of Phase I on coffee was less significant since ISTA controls only 15 percent of the coffee land. [5]/

51. Credit allocations to and recoveries from agrarian reform groups will need close supervision to ensure timely repayments and maintain the long term viability of agrarian reform financing by the banking system. About C 155 million in credit was provided to ISTA coops in 1980-81 and C 231 million in 1981-82. However, production declines, lower export prices and salary payments which reduced cooperative profitability, have created financial difficulties and not all the production units have been able to fully repay their credits to Banco de Fomento Agropecuario and the state-owned commercial banks. There are arrears of 26 to 30 percent in the 1980-81 crop year. Similar situations in the 1981-82 crop and following years will result in larger arrears if appropriate steps are not taken to maintain them at a low level. This will lead to serious difficulties for the financial system. Additionally, the cooperatives owe money for farm improvement credits and for payment of the expropriated land. (See Annex A, paras 216 to 224.)

52. ISTA has taken a rather long time in determining the indemnities that should be paid on each hacienda; this appears related to the total financing required to pay the issuance of bonds. However, this process as well as titling must be expedited, first, to resolve the compensation issue and, second, to provide a basic linkage between the members and the cooperative as a viable economic unit on which the member families must rely for sustenance.

53. A significant development is that ISTA's titles will be issued to the cooperative group to which the project was originally allocated. There is no provision in the law for campesino ownership and thus the individual member's vested interest in the property is limited to being part of the cooperative. There is no clear property right to be passed on as inheritance to other family members, a situation that resembles that of the former colono to the owner. Clearly, the rights and obligations of cooperative members require elaboration and clarification since the member's labor input will be responsible for generating additional wealth and meeting its obligations from income generated by its farming operations. Unless settled now on equitable terms, property rights could plague the efforts of the agrarian reform participants and generate dissatisfaction among them.

Phase III of the Agrarian Reform (Land-to-the-Tiller)

54. As of December, 1981, the Government had received about 32,000 applications for land titles from about 25,000 potential family beneficiaries with an

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4/ MAG, Informacion Basica del Proceso de Reforma Agraria, 1980-81, (December 9, 1981).

5/ Ministry of Agriculture and ISTA statistics showing higher yields on agrarian reform Phase I holdings than national averages for all other farms are inconclusive because they do not make allowance for the fact that the reform properties were more advanced in infrastructure and related production inputs, including some of the best land.

average 1.7 hectares per capita. In some departments, the per capita application is for only 1 hectare. Thus, an average family of six will be faced with wrestling from that small piece of land enough to eat or forced to look for outside employment to cover basic needs. This phase of the land reform is likely to have an immediate positive impact on some beneficiaries; to the extent the debt service payments on their property is less than their prior rent, they are better off. Nevertheless, this approach will not resolve the national problem of very little land for farmers. Since the average plot is barely adequate for subsistence production, most of the land will probably be used for basic grains and perhaps a vegetable garden. Only those with larger holdings might have some excess production to sell locally. Unless Phase III farmers can expand their ownership to about 4 hectares or even better to the 7 hectares limit, the recipient families would be committed to a meager living.

Phase II of the Agrarian Reform (100 to 500 hectares)

55. The strength of El Salvador's agricultural sector is in the 100-500 hectare farm holdings, which generate most of the export earnings and provide substantial employment and incomes for a large segment of the population. Properties in the 100-500 hectare range comprise about 1,750 farming units 6/ with about 345,000 hectares of land (about 24 percent of the land in farms) distributed as follows: Western region, one-third of the land; Central region, one-fourth; Para-Central region about one-seventh; and Eastern region, one-third. 7/

56. So far, uncertainties about a decision to implement Phase II have created insecurity among property owners. There is a start of decapitalization, a slowdown in new investments, relaxation of normal management practices, and postponement of decisions. Phase I dealt with properties in excess of 500 hectares to eliminate land concentration in a few hands and afford better opportunities to a larger campesino population; elements of the same problem are present in Phase II property holdings. However, all factors considered, Phase II may require a different approach than Phase I. First, the prevailing uncertainty urgently requires government decisions and assurances to create a healthy climate for confidence and renewed production efforts. Second, the experience with Phase I shows that the Government needs to have sufficient trained manpower for co-management of these holdings to produce at satisfactory levels and to maintain or increase foreign exchange earnings. Phase II involves about 2,000 properties; six to seven times the number of properties already expropriated under Phase I and, correspondingly, will require an expansion of ISTA's personnel and services in about the same proportion. Furthermore, if coffee production drops in the same proportion as cotton (60 percent) or sugar (30 percent), the result could be disastrous for the economy and employment. In addition, there would not only be substantial credit needs, the possibility of significant payment arrears equal to those occurring in Phase I would lead to further strains on the financial system. While land redistribution is still justified on equity grounds, in order to avoid the economic impact of implementing Phase II in a manner similar to Phase I requires careful analysis.

6/ It comprises 15 percent of the coffee plantations.

7/ Additional non-contiguous holdings over 100 hectares owned by individual owners may increase the total number of farms to be expropriated above 2,000.

Some compromise solution, balancing production and redistribution objectives in a way that encourages present owners to divest part of their holdings, is needed perhaps by dividing them into economically viable farm units, related to soil quality. However, the divested units would still require effective extension and technical assistance services along with adequate credit for which the Government's scarce trained manpower may prove to be inadequate. Imaginative ways of acquiring or retaining farm management may be required given the experience of Phase I.

C. Coffee Production

57. Coffee usually represents about half of the value of export receipts. Given the recent decline in cotton and sugar exports, maintaining coffee production and exports in the medium term will be crucial to the future viability and the creditworthiness of the Salvadorian economy. As the area under cultivation and the number of trees per hectare expanded in the mid to late 1970s, coffee production expanded by over one-fourth to reach peak levels in the crop years 1978-79 and 1979-80. Coffee production declined by 19 percent in the 1980-81 crop year and declined 12 percent in the 1981-82 crop year. A distinct possibility exists of further production declines, mostly associated with lack of maintenance and replanting of the plantations, violence, and coffee rust. These developments, if not corrected, will adversely affect coffee production in the short run. The more important effect, however, will be in the medium run because of lack of replantings. This will significantly affect the country's foreign exchange earnings in coming years and will take longer to correct. Efforts to reverse this decline are urgently needed.

Table 9: EL SALVADOR: GREEN COFFEE PRODUCTION AND EXPORTABLE SUPPLY, AVERAGE 1972-73/1976-77, ANNUALLY 1977-78 THROUGH 1981-82

(in thousands of 60-kilo bags)

Item	1977-78	1978-79	1979-80	1980-81	1981-82	1982-83 a/
Total Production	2,700	3,360	3,322	2,690	2,380	2,400
Exportable Supply	2,510	3,165	3,122	2,490	2,180	2,200

a/ Provisional estimates.

Source: Foreign Agricultural Service, U.S. Department of Agriculture.

58. The nationalization of foreign trade in 1980 placed coffee and sugar exports under INCAFE and INAZUCAR, which operate under the Ministry of Foreign Trade. It is too early to evaluate the impact of this reform on production. Nevertheless, coffee growers complain about low prices, which are partly

associated with conditions in external markets. 8/ While FOB coffee prices fluctuated, farmgate prices have not reflected much change and the intermediation margin between both sets of prices widened in 1980; grower prices declined 15 percent. However, in the 1981/82 coffee crop the price differential decreased to a level similar to that of 1979 and grower prices increased by about 14 percent in spite of lower export prices. For sugarcane, the situation is the reverse since, in fact, a subsidy is being paid to growers, and the sugar agency is in poor financial situation.

D. Cotton Production

59. Cotton production expanded in the mid-1970's reaching a peak of 350,000 bales of lint cotton in the 1977-78 crop. Since then, production steadily declined to an estimated 143,000 bales in the 1981-82 crop. Both acreage and yields were reduced; acreage by 54 percent and yields by 11 percent. The value of cotton exports dropped from US$98 million in 1978 to US$66 million in 1981. Increased violence and disruption in the cotton-growing areas, the impact of the agrarian reform, and sharp cost increases are behind these results.

60. The agrarian reform has affected cotton production in two ways. First, a significant proportion of cotton land (about one-third) was expropriated under Phase I and has been used for other purposes or is not producing at its full potential--agrarian reform beneficiaries do not seem yet to have the competence needed to manage a modern, technology-intensive cotton farm. Secondly, land owners are fearful of renting land because of the possibility of being expropriated, and renters that plant cotton are also afraid to rent because of the risk involved if the plantation is taken over by FINATA. A May 1982 Government Decree addressed this problem by permitting cotton and sugar land rental contracts for one crop cycle without the risk of expropriation under Phase III. The same decree also included production of basic grains and cattle.

61. The cotton outlook is not very promising. Only 62,000 manzanas 9/ are being planted in the 1982-83 crop year, about 60,000 manzanas below the pre-agrarian reform 1977-78 and 1978-79 crop years (see Annex A, Table 6). Much of the reduction in acreage corresponds to the larger, more productive plantations (See Annex A). Of about 29,000 manzanas in expropriated Phase I cotton properties, about 27,000 manzanas are still under production. Since about 65,000 manzanas remain in cotton in the 1981-82 crops, only 38,000 manzanas of land out of 117,000 manzanas not affected by Phase I are still growing cotton. This roughly indicates the problem with private growers. The expected output is about 115,000 bales of lint cotton. The future of cotton clearly depends on a reassessment of Government policies to provide adequate incentives to private growers, particularly renters, and on a vastly improved operation of the cotton properties expropriated under the agrarian reform. Of course, recent cost increases as well as price prospects will need to be taken into account to determine production levels.

8/ Farmgate prices are an average obtained from sales during the crop year. They may show slightly different trends than FOB prices because of previous year inventories and export quotas.

9/ 1 manzana = 0.7 hectares.

E. Sugar Production

62. Sugarcane acreage expanded significantly during the mid-1970's and raw sugar production reached its peak level of 288,000 metric tons with the 1977-78 crop. Since then, both acreage planted in sugarcane and production declined. By 1980-81, the levels were 32 percent and 40 percent lower respectively than in 1977-78. Sugarcane yields per hectare as well as sugar yields at the mill have also decreased. Low world market prices, rising costs, guerrilla warfare, and the impact on production of the takeover of sugarcane lands and mills have all combined to adversely affect sugar production and exports. Sugar exports declined from US$ 27 million in 1979 to US$ 13 million in 1980 but recovered to US$ 19 million in 1981.

63. About 45 percent of the 42,000 hectares of land remaining in sugarcane in 1981-82 were expropriated under the agrarian reform. ISTA also took over seven sugar mills which owned some of the expropriated land. The mills are now run by INAZUCAR, the Government sugar corporation created when the Government nationalized foreign trade in sugar and coffee. In addition to INAZUCAR's seven sugar mills, three more are Government property, and three are private property. While all mills operated at an average of 82 percent capacity during 1976-79, by the crop years 1979-80 and 1980-81, many mills closed; only 6 were operating for the 1981-82 crop and 1 was maintained in reserve.

64. Sugar prospects will depend on the world price, but vigorous actions to increase sugarcane acreage and field productivity to provide enough sugarcane for the mills will also be vital. The Government expects to increase sugar cane production levels significantly in 1983. Efforts will also be needed to train more local technicians to raise production efficiency in the sugar mills. In the future, conditions may be more adequate for rationalizing sugar production by moving sugarcane and some sugar mills to better areas. INAZUCAR has developed plans to do this.

F. Basic Grains and Cottonseed

65. Basic grains (corn, beans, rice, and sorghum) production expanded considerably in the late 1970s primarily because of the use of hybrid seed corn and improvements in production technology. The peak production crop year for most basic grains was 1979-80. The exception was corn, which continued its expansion into 1980-81, the first year of the agrarian reform because of the switch of cotton land to corn by ISTA cooperatives. However, in 1981-82, acreage and output of basic grains are at about 90 percent of the 1979-80 levels (see Table 15, Annex A).

66. Cottonseed is the principal domestic source of vegetable oil. As cotton production dropped, so did cottonseed. Thus, imports of vegetable oil are up substantially to make up for the production deficit.

67. El Salvador is confronted with the need to maintain its food production. Reliance on imported foods has increased recently in spite of Government efforts to increase domestic production. As a result, food imports have been given priority for foreign exchange. Large increases took place for imports of beans, fats and oils, fruits, and milk products. (see Table 20, Annex A).

G. Livestock and Poultry

68. The country's livestock has been reduced by about 20 percent through decapitalization of herds, slaughter of animals by participants in the civil strife, and the initial disincentives created by the agrarian reform among land owners. Meat production and average yield per animal also has dropped. Furthermore, fluid milk production in 1981 was at about 16 percent below the 1979 level; previously, milk production had shown a dramatic increase of 60 percent between 1975 and 1976. As a result of production problems, there has been a steep rise in powdered milk imports from US$ 20 million in 1978 to US$ 23 million in 1980. Recovering earlier meat and milk production levels is a difficult task; the situation cannot be solved in the short run.

69. Because of lower incomes and an increased reliance on poultry, exports of red meat to the U.S. market, however, are expected to continue at levels close to those of 1979, barring further problems with pesticide residues that violate U.S.D.A. standards. This difficulty effectively stopped meat exports from March 1980 to mid-1981.

H. Manufacturing Sector

Production and Exports

70. Manufacturing production expanded at about 9 percent a year during the 1960's, well in excess of GDP growth at 5.1 percent, mainly owing to the opportunities provided to El Salvador by the creation of the CACM. In 1968, El Salvador's industrial sector was the most dependent on intra-CACM trade; it exported about one-third of its gross output to the region. The 1969 war with Honduras had a detrimental impact on the CACM and particularly on El Salvador. As a result manufacturing growth slowed down to about 4 percent a year in the early 1970s. After some readjustment, the sector recovered partially in the 1973-79 period for a combined growth rate of about 6 percent during 1970-79.

71. Manufacturing experienced serious difficulties in adjusting to changes in the composition of intra-CACM trade. Exports of textiles, clothing, footwear and leather products, which accounted for about 28 percent of its 1968 trade, declined in the 1970s; non-traditional subsectors, such as pharmaceutical and metal working industries, provided the major thrust for export expansion. The country's heavy dependence on textile exports to the CACM compounded the problems stemming from the conflict with Honduras. The textile subsector difficulties were eased somewhat by a relatively important expansion in textile exports to markets outside the CACM, which from an insignificant level in 1968 increased to about US$15 million in 1979. Other non-primary manufactured exports that expanded were basic metallic industries, metallic products, and pharmaceuticals. Manufactured exports to non-CACM markets increased by about 20 percent between 1977 and 1980. In 1981, these exports increased by about 40 percent. However, the development of extra-regional markets for non-primary manufactured exports has lagged behind El Salvador's potential. Table 10 shows the relative share of non-CACM trade in manufactures.

Table 10. MANUFACTURED EXPORTS a/

(in current US$ millions)

	Total	Percentage of Manufactured Production	CACM	%	Non-CACM	%
1968	87.2	19	81.1	94	5.4	6
1977	239.5	22	206.4	86	33.1	14
1978	259.6	22	227.9	88	31.7	12
1979	296.5	23	255.0	86	41.5	14
1980	327.5	25	288.3	88	39.2	12
1981	260.0	18	204.0	78	56.0	22

a/ CIIU Classification excluding sugar, beef, and seafood products.

Source: MINPLAN, Indicadores Economicos y Sociales

72. As export growth to the CACM slowed down in the 1970s, the Government made efforts to stimulate labor-intensive exports to third countries through fiscal incentives, free trade zones, and improved services to industry. An Export Development Law, which offered significant incentives to export industries, was passed in 1974. However, existing CACM incentives continued to bias the direction of export trade in manufactures towards the CACM where, in addition, markets are well known and quality controls are relaxed. Both the common external tariff and the agreement on fiscal incentives would need major revision to provide a stimulus to growth of manufactured exports to third markets. This however, would require regional agreement. The Export Development Law, nevertheless, had some initial success. About 10 to 15 firms a year, mostly for textiles and chemicals, applied for benefits under this law during 1975-78. Afterwards, applications declined dramatically. In addition, the first free zone, located in the outskirts of San Salvador, attracted a number of plants, some of them foreign with labor-intensive assembling processes. The zone has 13 buildings, but only four are operating normally. Three buildings have machinery for maquila operations which is now under the control of workers' cooperatives because the owners left the country. The Government plans to connect the zone directly with the Ilopango airport so that planes can taxi to the buildings for loading and unloading.

Recent Developments

73. Manufacturing production in real terms declined by about one-third during 1979-81 with most sectors severely affected. The factors behind this decline are:

(i) Violence and political uncertainties, which are adversely affecting the investment climate. The guerrilla warfare and the lack of a clear Government posture vis-a-vis the role of the private sector has in the past reduced incentives for new investments and contributed to inadequate maintenance of the existing facilities. Favorable Government policies to promote private sector activities are expected to be followed by the present administration;

(ii) low domestic demand caused by a deteriorating economic situation and investment climate, which has increased open unemployment dramatically, and significantly reduced the purchasing power of most of the population;

(iii) foreign exchange and foreign credit shortages for imported raw materials, spare parts, and replacement equipment, mainly associated with the balance of payments disequilibrium; payments for orders have to be made in advance, further constraining the financial position of firms;

(iv) difficulties within the CACM because of the constrained financial situation of some of its member countries. Frictions in the payments mechanisms mean that exporters with positive balances with Costa Rica and Nicaragua are not able to collect promptly. The situation is complicated for the exporters by El Salvador's overall deficit with the area. This puts pressure on the financial capacity of the Salvadorian exporters, who cannot continue exporting under these circumstances to Costa Rica and Nicaragua; and

(v) reduced domestic credit availabilities, associated with lack of credit from foreign banks, lack of foreign exchange, and the increasing financial needs of the Central Government but also with precarious financial positions and capital structures of industrial firms, which make them a higher than normal credit risk.

Table 11. BALANCE OF CENTRAL AMERICAN CLEARING HOUSE OPERATIONS WITH EL SALVADOR

(In thousand colones)

	1978	1979	1980	1981 (p)
Total	-76.1	-58.3	-220.8	-215.8
Guatemala	-51.8	-104.1	-277.2	-255.3
Nicaragua	-31.8	11.8	65.7	54.0
Costa Rica	13.7	35.9	9.7	2.4
Honduras	- 6.2	-1.9	-19.0	-16.8

(p) Preliminary estimates.

Source: MINPLAN, Indicadores Económicos y Sociales, 1981, and SIECA.

74. Although reportedly only 6 percent of the firms doing busines in 1978 had closed down by 1981, the employment impact was significant since the shutdowns were concentrated in labor-intensive textile, apparel and metal products industries. Employment in most large firms has decreased substantially. Social security employment statistics by sub-sectors showed a large decrease in employment from June 1978 to March 1981 in textiles,

apparel, shoes, paper products, plastics, and basic metallic products. Employment generated by sugar mills, liquor and beer production, however, increased. Although these figures are subject to some margin of error since firms may delay paying their contributions because of tight finances, they reflect the employment problem in manufactures. Labor-management relations, which were seriously strained during 1979-80, improved considerably in 1981 as workers placed a high priority on retaining their jobs in the midst of increasing unemployment.

Industrial Financing

75. Limited credit could be a major obstacle to the revitalization of industrial firms, although this is not a simple issue. On the one hand, the demand for credit is now declining as a result of closings, low capacity utilization of most plants, difficulties in obtaining foreign exchange, and postponement or abandonment of plant expansion and new investments because of deteriorating markets. This is evidenced, for example, by declines of 45 percent and 41 percent on outstanding credit balances of producers of non-metallic minerals and basic metallic products because of the decrease in construction activities. On the other hand, the tight liquidity position of the commercial banks and the credit needs of the public sector and the agrarian reform limited new production and working capital loans to the manufacturing sector in 1981. Outstanding industrial credit balances were below the 1978 level at the end of 1981. New credit went down sharply and refinancing was up, reflecting not only the deteriorating situation of manufacturing firms, but also that of the banking system. On balance, the rate of new domestic credit to manufacturing value-added has declined in 1980 and 1981 with respect to 1978-79 levels (See Table 12). This indicates that the general level of utilization of industrial credit has fallen below the declining production levels. This is partly associated with the lack of foreign exchange (see para. 77). In addition, foreign credit to manufacturers has dried up. Thus, it is very likely that credit will be a major problem for those firms still able to produce and export as well as for those firms that find their domestic demand increasing.

76. Furthermore, to revitalize the economy, an export-oriented production program for manufacturing, which will more efficiently use underutilized or idle productive capacity and create badly needed jobs is essential. The ability of the sector to significantly increase exports outside the CACM will depend on efforts to improve the competitiveness of Salvadorian exports as well as on marketing through appropriate channels, such as marketing agents, importers, retailers, etc. A more ample availability of medium term loans would help in restructuring the finances of the industrial sector in the immediate future by providing longer term refinancing for short-tem liabilities. It will also permit rehabilitation of existing equipment and replacement, if needed, under more appropriate conditions. The exact amount and methods of financing these needs (i.e. to avoid capital flight) need to be studied.

Table 12. DOMESTIC CREDIT TO MANUFACTURING

(in millions of current colones)

	1978	1979	1980	1981
New credit used (during period)	324	297	197	192
Refinancing (end of period)	39	51	78	96
New Credit/Manufacturing value added (ratio)	.27	.23	.14	.15
Credit Outstanding (end of period)	267	297	281	271

Source: Central Reserve Bank.

77. The foreign exchange shortage is an important limiting factor in the utilization of installed capacity, if new export markets are to be developed. Potential exports originate in sectors with a high raw materials import component--textiles and apparel 40 percent, paper products 44 percent, chemicals 53 percent, electrical supplies 45 percent. About half of the present demand for commercial bank loans from private industries reportedly will be used to finance imports of raw materials, spare parts and equipment. Raw materials imports for industry (excluding construction materials and petroleum) were in 1981 at US$277 million, or about 90 percent of similar import values in 1979. By volume, the reduction is much greater (75 percent or less of constant 1979 import volumes) given inflation rates of about 20 percent in the suppliers' countries during 1980-81. Owing to a negative investment climate and production declines, imports of capital goods for manufacturing industries dropped from US$ 87 million in 1978 to an estimated US$ 39 million in 1981, a decline of 45 percent in nominal terms (65 percent or more in real terms). Obviously, a revival of manufacturing would mean significant needs of credit tied to foreign exchange to import raw materials, spare parts and replacement equipment.

78. Manufacturing credit has been provided in the past by the Central Bank, commercial banks, and two special-purpose public financial institutions--the Salvadorian Institute for Industrial Promotion (INSAFI) and a Small Business Fund (FIGAPE).

79. The Central Bank is operating two rediscounting credit lines and two funds that support manufacturing activities: (i) short term pre-export and export financing, using its own resources, and (ii) two special lines of credit to provide short-term and refinancing funds for the manufacturing industry. Both of these lines had been established with counterpart funds from USAID. The first line of credit is aimed at the needs of small and medium size enterprises but was barely used, reportedly because of the industrialists perception that interest rates (13 percent and 15 percent) were too high and that maturities (12 months)were too short. The second line of credit is for working capital and was established in mid-1981 and modified later to reduce elegibility requirements; it has had only limited success despite its lower interest rates (7-10 percent) and longer maturity (4 years). Potential users have complained that documentation requirements (historical and proforma cash flows for the life of

the loan) are too stringent compared to those used for loans from banks' own resources and are not realistic given the country's prevailing conditions and the volatility of market sales and other projections with a medium term horizon. A further complication is that the Central Bank is understaffed with credit analysts to deal promptly with all the requests. The Central Bank claims that close scrutiny of applications and other procedures are needed to avoid diversions of loans to other uses, including capital flight, and that this explains the complaints. On the other hand, some commercial banks have indicated their willingness to take up their own credit analysis based on their long standing relationship with their clients. Owing to past banking practices where loans were made on a personal basis, however, financial and loan analysis skills in the commercial banks will most likely have to be further developed before the Central Reserve Bank can delegate its responsibilities to them. An externally financed training program in this respect is planned. In any case, there is a clear need to speed up processing of loan applications and to streamline requirements. At the end of November, 1981, of about C21 million in loan requests only about C7.5 million had been approved. However, the experience suggests the need for further study of the credit needs of the manufacturing sector.10/

80. Commercial banks have been traditionally the largest source of funds for the industrial sector. They accounted in 1977 for about half of total institutional lending to the sector, mostly in the form of short- and medium-term loans, each representing about 40 percent of their industrial portfolio. Long-term loans (more than 5 years) accounted for about one-fifth, which is an unusually high proportion for commercial banks. Central Reserve Bank regulations that required banks to maintain 80 percent of their portfolio in "productive" sectors as well as its special credit lines had an impact on the increasing level of bank lending to industry. While the commercial banks' industrial portfolio amounted to only C74 million (8.2 percent of their total portfolio) in 1973, it reached C297 million (14 percent) in 1979 and C281 medium in 1980. In December 1981, commercial banks' credit for manufacturing had decreased by 4 percent as compared to December 1980, reflecting the above-noted limited credit availability. However, higher credit levels in 1979 and even 1980 may have helped capital flight. Most of the commercial banks' credit to industry was made on the basis of collaterals and commercial banks did not build up technical capabilities to appraise projects, with the possible exception of evaluations of small-scale enterprises under a much simpler methodology.

81. The Instituto Salvadoreno de Fomento Industrial (INSAFI) established in 1961, was until the mid 1970s the single most important industrial finance institution in El Salvador, accounting for over one-third of total manufacturing lending in 1974-77. However, this role has been significantly reduced as INSAFI's finances deteriorated in recent years as a result of its involvement with very poor equity investments. Since October 1980, INSAFI has not made any new loans. For all practical purposes, INSAFI was considered insolvent in 1981, with negative working capital and cash generation, and unable to repay its creditors and raise additional capital. The Central Bank had to repay INSAFI's foreign loans.

10/ A recent study of manufacturing financed by USAID does not adequately cover the credit needs of the sector.

82. INSAFI's situation induced the Government to embark on a financial and administrative reorganization early in 1982. The reorganization created two new and distinct organizations: an investment corporation, which is entrusted with INSAFI's equity portfolio in the public sector enterprises, and an industrial bank, which will act as a commercial bank financing industrial investments with medium and long-term funds. It is too early to evaluate the impact of this restructuring but important issues will have to be dealt with if the new approach is to be sucessful. Among them: preparation of specific rehabilitation plans for the more promising among the ailing plants now in public hands, which could be transferred to the private sector in exchange for agrarian reform bonds and/or other obligations.

83. Fondo de Financiamiento y Garantia para la Pequena Empresa (FIGAPE) was established in 1973 to assist small-scale enterprises. Later on, FIGAPE's activities expanded to include lending operations. Improper lending policies and political factors led to a heavy concentration of FIGAPE's portfolio in a few sectors, especially urban transport. No precise information is available on the magnitude of the portfolio in arrears although it is understood to be substantial, particularly in urban transport. A study of FIGAPE's operational and financial problems was carried out in 1979-80. The implementation of some of its recommendations has helped FIGAPE streamline its administrative, accounting, loan evaluation, and supervision procedures. FIGAPE is presently engaged in an increased loan supervision effort which is aimed at improving the collection process.

IV. COUNTRY PROSPECTS

A. Immediate Priorities

84. El Salvador's prospects will continue to be closely related to military and political developments. Production difficulties, a weak balance of payments and tight public finances will likely continue as long as the disruption created by guerrilla warfare persists. Substantial concessional foreign assistance will be needed just to fill the gaps of an economy significantly weakened by war; medium term growth prospects are not favorable. Furthermore, because of the limited agricultural land and rapid population growth, a longer run development effort will need to concentrate on industrializing the country with a view towards non-CACM foreign markets. The presently poor climate for local and foreign investors now precludes this.

85. For the next few years, economic conditions in El Salvador most likely will remain depressed. The main task ahead for the Government would be first recreating favorable conditions for the recovery of production levels before considering further economic growth. Recent production setbacks in agriculture and manufacturing, infrastructure destruction, foreign exchange constraints, weak finances of many firms, and uncertain economic and social conditions for private sector investment and growth are all factors that confirm this assessment and make the Government's task particularly difficult. In the short run, the Government is confronted with overriding priorities--national defense and the employment, feeding, health and reallocation of refugees. This effectively limits the scope for additional financial and infrastructure support to the private sector. Thus, the Government's economic programs for 1982 are

geared towards improved utilization of the scarce financial resources available and the creation of some conditions needed for the revival of private investment, once guerrilla warfare subsides. The main elements of this short-run program are a phased liberalization of exchange and trade controls, and a gradual rationalization of interest rates and pricing policies; a more balanced distribution of credit between the private and public sectors; and careful demand management to avoid a further balance of payments deterioration or much higher inflation rates. This program, however, needs further complementary actions in the short-run to stimulate the economy and restore private sector growth. Some of these policy issues are discussed in Section C below.

86. To promote continued growth in the medium run, the Government will need to focus on a reconstruction program for rebuilding damaged highways, bridges, power transmission lines and other infrastructure affected by the civil strife. Afterwards, the Government would need to prepare a longer term development strategy and public investment program for the late 1980s and 1990s. Because of its demographic situation, El Salvador must accelerate economic growth or face continued economic depression. Even under the most favorable assumptions for fertility declines, the population is expected to be at least 1.6 times its 1980 size by the year 2000, which will place extremely severe pressures on natural resources and public services, notably education, but mainly on the demand for urban jobs.

87. Growth prospects for the immediate future are bleak. All major productive sectors are expected to decline in 1982 as production continues to be adversely affected by the civil strife, scarce credit and foreign exchange, and other shortcomings noted earlier. Most likely no major recovery will take place in 1983. With improved security, restored private sector confidence and a continuance of the unprecedented foreign assistance of 1980-81, the economy might begin a turnaround by 1984 with some recovery in 1985. Of course, under the present circumstances, any forecast of future developments is highly uncertain. Other scenarios may be equally plausible, such as one with continuous violence in the next two to three years, a continuation of the downward trend of the economy, and thus increased needs for special external assistance. In any case, export performance and the continuation of high levels of bilateral foreign assistance would play a large role in the final outcome. Some of these issues are examined in the creditworthiness section.

88. The economic outlook in the Salvadorian economy has always been closely connected to export growth, basically that of traditional products (coffee, cotton and sugar) and manufactured exports. In the next few years, the relationship between exports and growth will become even more dominant than in the past given the severe disruption experienced by the Salvadorian economy, the lack of foreign exchange reserves and limited prospects for private capital inflows. Most hopes for a quicker and significant economic recovery are linked to export production. Moreover, any growth prospects beyond 1985 will depend, to a large extent, on significantly accelerating manufacturing growth, including labor intensive manufactures, for export to non-CACM countries, as a source of employment and foreign exchange. This is particularly important given the present high open unemployment, the expected growth of the labor force, and the limited growth prospects of major export crops.

89. Unless new conditions are created, medium- and long-term employment creation prospects are bleak. Once conditions are normalized and private investor confidence is restored, stepped-up infrastructure support through new industrial parks, free zones, and improved infrastructure (particularly transport), as well as vocational training may be needed to help both industry and the related modern and high productivity sectors, like commerce, financial services, power generation, and transport grow after 1985. For the time being, however, declines in production seem to indicate that existing infrastructure, if rebuilt to pre-1980 capacity can accommodate any increase in production for the next few years.

90. Even with the recovery of manufacturing and related activities, agricultural production would have to recover and grow beyond its 1978-79 crop levels to significantly reduce open rural unemployment and also to employ new additions to the rural labor force. Improved support to peasants in Phase I and Phase III of the agrarian reform, strong support to agroindustries like coffee and food processing, tobacco, cheese and milk products, and expanded utilization of labor-intensive inputs in the agricultural sector (hybrid seeds, fertilizers) will tend to increase agricultural employment. In addition, irrigation projects represent a clearly identified possibility for more efficient land and labor utilization. Furthermore, additional rural labor could be absorbed by putting some potential additional arable land in production and by utilizing about 500,000 hectares suitable for forestry.

B. Policy Issues

Price and Wage Policy

91. Prices were frozen for most basic commodities and services through June 30, 1982. However, some public agencies revised prices to improve their financial position. Sugar prices were increased recently by 20 percent to cover INAZUCAR's subsidy to the growers and the marketing institute's (IRA) budgetary transfer for price support was cut in half. Further pricing action is needed in public enterprises to finance counterpart requirements for their rehabilitation, reconstruction, and investment programs. Inflationary trends and a dual exchange rate system make these price revisions all the more necessary.

92. Public wages continue to be frozen because of budgetary constraints in 1982. Minimum wages also continue to be frozen. Effective in February 1982, however, private sector wages could be increased by up to 10 percent, but only if the financial position of the affected firm is sound. Great caution will be needed in matters of wage policies, particularly in the public sector. Increases in public wages will be quickly reflected in the financial position of the public sector leading to greater use of domestic credit and further inflationary pressures, which would adversely affect real incomes of the population.

Agrarian Reform

93. Given the limited arable land and the need to recover and further increase agricultural output and exports, it is essential to restore the vitality of the agricultural sector. Improving the production record of the holdings affected by the agrarian reform is one important element of this recovery, which will help employment, the balance of payments equilibrium, income generation and the financial position of the public sector.

94. Towards this end, the three phases of the agrarian reform raise policy issues that deserve careful attention. Phase I has suffered from declining production and productivity. In addition, Phase I cooperatives are affected by slow titling and lack of a clear definition of property rights of members as well as of their rights and duties in the cooperative. These factors which may affect members' incentives, their ability to generate surpluses, pay credit obligations and other debts--including amortization and interest on the land expropriated for the cooperative. The difficulties clearly show the need to strengthen Phase I cooperatives' production capacity by improved organization, productivity, technical support, and incentives for the cooperatives' members. To produce agricultural products, such as cotton, which require sophisticated production techniques, in cooperatives is not an easy task but efforts should not be spared. Failure to do so would continue to adversely affect production in about 17 percent (and some of the best) of the country's agricultural land, crippling the economy's exporting capacity and requiring increasing reliance on food imports to compensate for growing production deficits.

95. The production declines and the management difficulties experienced with Phase I should be carefully taken into account in implementing Phase II, which would cover about 24 percent of the country's agricultural land in farms, including about 15 percent of the most productive land in coffee. Phase II would be a very major undertaking considering the productivity, structure, and dispersion of the 100-500 hectare holdings and their importance to the economy and the balance of payments. Thus, Phase II may require a different approach than Phase I, one that would encourage property owners to divest themselves of excess land into economically viable units while eliminating existing uncertainties to encourage the owners to maintain productivity and production, particularly coffee production.

96. The experience with Phase III shows the need to proceed rapidly with titling of applicants, but also to remove uncertainties that affect some rented land, mainly cotton land. Furthermore, since Phase III will likely end up by giving very little land to many people, some acknowledgement should be made now of the fact that a longer term land reform process will be needed to consolidate and rationalize the new minifundia, as other urban employment opportunities are created for the country's many subsistence farmers. Technical assistance and research, as well as credit are also badly needed by these groups.

Non-Reform Agricultural Sector

97. New credit of the banking system to the non-reform agricultural sector has been significantly reduced during 1980 and most of 1981, affecting particularly cotton, sugarcane, and cattle, as credit to the private sector remained sluggish owing to reduced availabilities but also to production difficulties in the farms. Refinancing, however, increased. Larger credit and foreign exchange allocation would be needed to stimulate the recovery of production, particularly of cotton and sugarcane. Recovery of sugarcane and cotton production would have a salutary effect on the balance of payments, employment, and incomes of the Salvadorian people. Toward this end, further steps are also required in clarifying the status of rented cotton land.

Manufacturing

98. Manufacturing will require credit as well as foreign exchange to finance inputs, spare parts and some equipment needed for rehabilitation, if the

present low level of capacity utilization is to increase and manufacturing exports outside the CACM are to be developed. As noted earlier, the 1981 volume of imports of raw materials (excluding petroleum), for the manufacturing sector was 25 percent below 1979 imports and the 1981 volume of capital goods was about 65 percent below 1978 imports. The hard currency shortage has affected the manufacturing sector because it is only third on the list to receive critical foreign exchange; behind basic consumer goods--such as food and medicines--and inputs for labor-intensive activities--such as public works and housing that contribute significantly to employment. Clearly, not all this decline is the result of lack of credit or foreign exchange. Other factors--decreased demand in the country and in the CACM, disruptions in distribution systems caused by the domestic violence--play a role. However, rehabilitation of the manufacturing sector will depend heavily on outside financial assistance and the development of new markets outside the CACM. Particular needs may well be financing of inputs for export production as well as equipment for plant rehabilitation and investment by medium and small industrial firms. In addition, sugar production--now mostly in Government hands--needs special support to rehabilitate the sugar mills and sugarcane production. Given earlier experiences with Government-owned sugar mills--such as the Jiboa sugar mill--and with the recent nationalized sugar mills, eventual divestiture to the private sector seem to be advisable for a successful rehabilitation of the sugar industry.

99. Strengthening promotion and marketing activities in support of manufacturing exports outside the CACM is another action. Marketing is a key element to the success of this activity and requires development of contacts with marketing agents, importers and retailers with expertise in the markets of the developed countries. Further infrastructure and a revision of CACM fiscal incentives to increase production efficiency would also be required.

Marketing of Coffee and Sugar Exports

100. Coffee and sugarcane growers have been facing unfavorable international prices that result in poor net returns on their operations. For coffee, the differential between the export and grower price widened in 1980, permitting INCAFE to cover increases in financial and consignment costs. However, coffee growers have experienced losses, or at best marginal returns on the basis of INCAFE and MAG's estimates of production costs.

101. Low returns and land reform uncertainties have resulted in poor maintenance of coffee plantings, reduced use of fertilizers and other inputs, and a decreased replanting rate. An additional negative factor is guerilla interference with production and harvesting. The cumulative effect has been a drop in coffee production that needs to be reversed for balance of payments and creditworthiness purposes.

C. The Public Investment Program

102. Beyond these policy issues, the Government needs to focus on the formulation of an appropriate investment strategy for the medium term, including a review of past projects and foreign loans for new projects owing to recent developments. Large projects, such as the Acajutla container port, power and telecommunications expansions, and the San Salvador freight terminal, are not economically viable under present depressed conditions in agriculture and

manufacturing and would have to be postponed until these sectors, in particular manufacturing, show symptoms of expansion beyond pre-1979 production levels. Higher priority should be placed now on rebuilding damaged infrastructure (highways and bridges, power transmission lines, telephone exchanges) than in undertaking new, large projects which will not be needed until the economic recovery is well underway. The most obvious priority, apart from reconstruction of damaged infrastructure is for projects with an immediate impact on production, basically related to the recovery of agriculture and manufacturing, both public and private. In the public sector, it is essential to make ISTA's cooperatives viable concerns by providing needed support, as noted in other sections of this report. Similarly, public manufacturing enterprises, previously under INSAFI, need restructuring, and financial rehabilitation. With regard to the private sector, public support, in the short and medium run, would have to concentrate in recreating conditions for growth, such as higher credit allocations, and in providing minor needed infrastructure, such as a special ramp in the Ilopango airport for maquila operations in the San Bartolo free zone.

103. Once the short and medium run rehabilitation and reconstruction needs are satisfied, a longer term development strategy and corresponding public investment needs and financing could be considered. This, of course, can only be put in place once violence ceases. Industrial and modern higher productivity urban activity would have to increase their labor absorption beyond the historical pattern; a continuation of historical labor absorption in urban, modern occupations would mean a very significant retention of laborers in agriculture, substantial employment pressures on the informal sector, and social tensions. Stepped-up support for manufacturing and maquila activities through improved port facilities, new industrial parks and free zones, labor training, and expanded export incentives and promotion to support industrial growth to markets outside the CACM and help related modern sectors grow will be needed. Agricultural growth, however, will still be crucial. Six areas will be of critical importance: a continuation of activities to strengthen Phases I and III of the agrarian reform, a shift of crop patterns to higher value crops in order to maximize income and employment, planting more pasture land into crops, improvements in crop yields, greater attention to land conservation and erosion problems, and expansion of the land under irrigation. Fishing also provides an opportunity for expanding employment and incomes.

D. Public Finances Prospects

104. On the basis of substantial expenditure restraint, the Central Government deficit is expected to continue in 1982 at about the 1981 level, i.e., US$235 million. Current revenues are not expected to grow much as economic activities will likely continue to be depressed; coffee tax collections, however, could show some improvement based on better average export prices. Current fiscal savings are expected to remain negative (C 145 million), continuing the trend that began in 1980.

105. To avoid increasing the overall deficit and given needed expenditure levels for defense and some employment generating programs, the Government restricted other expenditures in 1982 as follows: (i) vacant posts were cancelled, overtime pay was strictly controlled, and wages were frozen; (ii) a 5 percent reduction of outlays with respect to the 1981 level; (iii) a 10 percent reduction of current transfers; and (iv) a 40 percent reduction of capital expenditures if no additional revenues (i.e., taxes) were collected.

Budgetary controls were strengthened. Nevertheless, foreign assistance from USAID was needed to fill the financial gap. Overall external assistance to the Central Government most likely exceeded C 300 million in 1982.

106. For 1983, Central Government finances may continue to be weak because of slow revenue growth until the private sector recovers its dynamism and high military expenditures are reduced. This will only be possible once the civil strife subsides. Although the Government may be able to take some new revenue measures, this will have to be on a limited scale given the economic situation. These assumptions are clearly subject to high margins of error given the uncertainties present in today's El Salvador. Weak public finances, however, will seriously limit Central Government investment programs unless substantial foreign support can be obtained with very favorable local counterpart provisions. This may mean the continuation in 1983 and beyond of the extraordinary assistance received from bilateral donors,particularly USAID. The need for this assistance will continue for the next few years and will be essential to avoid a deterioration of the overall financial position of El Salvador. Failure to provide it means heavy reliance on domestic financing, reduced credit to the private sector, and additional balance of payments,exchange, and inflation problems.

107. Increased tariffs and prices of public enterprises and decentralized agencies, will be needed to improve the financial position of the public sector as well as permit these agencies to finance counterpart requirements of their investment programs. Furthermore, the financial viability of ISTA's cooperatives is essential to avoid yearly increases in Central Government transfers to service their debts as well as increasing arrears to the banking system, which would undermine overall credit operations.

E. Balance of Payments and Creditworthiness

108. The current account balance of payments in 1982 likely showed a somewhat lower deficit (US$149 million) than in 1981 as imports decreased slightly because of the depressed economic conditions. Larger imports could only be sustained on the basis of larger foreign concessionary lending. Exports are expected to remain at about the 1981 level or even decrease mainly because the impact of somewhat better coffee prices will be offset by declines in exported volumes of coffee and cotton as well as manufactured exports to the CACM. The overall balance of payments position is very uncertain to predict owing to lack of commercial credit, capital flight, and the impact of a widening parallel market. Concessionary financing will have to close most of the current account gap.

109. Balance of payments projections become even more uncertain for the next few years as the main export products (coffee, cotton, sugar, and manufactures) enter a crucial stage. Policies outlined in this report could turn around production declines and result in a healthy export development and thus a stronger current account, particularly if the present level of violence is reduced. Failure to act in a timely fashion to arrest export production declines could further undermine the foreign exchange situation, constrain the economy, and adversely affect the country's creditworthiness.

110. The debt service ratio for external public debt is low (3.4 percent and 4.8 percent in 1980 and 1981). The total external public debt outstanding at the end of 1981 was low; US$ 661 million (US$1,035 million, if undisbursed loans are included.) Given the present difficulties in contracting new debts from foreign commercial banks and suppliers, future net inflows will depend substantially on undisbursed loans and on official sources, mostly with favorable terms. Therefore, the debt service will likely increase slowly and future creditworthiness will depend significantly on three factors: export prospects, demand management, and the military situation. Clearly economic management requires some control over the economy; if the military situation were to deteriorate so significantly as to cause the authorities to lose control over the economy, El Salvador's creditworthiness would be jeopardized.

111. Another important factor will be a continuation and enhancement of prudent financial management in the next few years. Particularly important will be strengthening the financial position of the public sector and reducing the size of its--mostly Central Government--deficit. This would not only decrease the need for domestic credit financing of the fiscal gap but would also permit prudent monetary and credit programs to allocate increasing credit to the private sector. A further analysis of interest rate policies would also be useful. These policy elements will strengthen the balance of payments and are supported by a stand-by arrangement with the IMF, which will help to eliminate or substantially reduce payments arrears.

112. Prudent demand management alone will not ensure creditworthiness. Between 1978 and 1981, real GDP dropped 20 percent; in per capita income each Salvadorian was 25 percent worse off. Exports also dropped and the terms of trade deteriorated. Yet, in 1982, GDP and exports likely dropped even more. The economy's ability to meet its payments abroad depends on the net effect of the resource transfer on incomes and foreign exchange receipts. Unless the decline in GDP and exports can be arrested, the Government will find it increasingly difficult to service its debt; unless exports can be increased, the debt service burden will rise. Given the link between exports and GDP growth, and between export receipts and debt service payments, the Government's efforts to reverse the decline in exports, particularly coffee exports, will be the decisive factor for creditworthiness.

113. Because of the great uncertainty, surrounding any projection of the economy of El Salvador, various scenarios or alternatives are presented to show their implications. The table below illustrates rough orders of magnitude for the effects on the country's future performance and creditworthiness of a base run and three of these alternatives. A base projection assumes continued depressed economic activities in 1982 and 1983, a modest turnaround in 1984 and some recovery in 1985 and following years, particularly of export production. The alternatives are:

Alternative 1: Lower coffee exports possibly owing to continued agrarian reform uncertainties, increased violence or a poor implementation of Phase II.

Alternative 2: Lower bilateral concessionary assistance matched by lower imports.

Alternative 3: Same as base run but with higher bilateral concessionary assistance to further economic recovery.

Table 13. CREDITWORTHINESS SENSITIVITY ANALYSIS

(in million dollars)

	1981	1982	1983	1984	1985
Base Projection					
1. GDP Growth (%)	-8.5	-6.3	0.0	4.8	4.6
2. Current Account Balance of Payments	-260	-149	-204	-232	-251
3. Exports of Goods and Services	933	889	923	1,086	1,268
4. Imports of Goods and Services	1,234	1,175	1,244	1,398	1,573
5. Debt Service Ratio (%)	4.8	8.2	8.8	7.9	7.4
6. Terms of Trade Index (1980 = 100)	93	98	99	98	98
Alternative 1					
1. GDP Growth (%)	-8.5	-6.3	-6.2	-1.8	3.2
2. Current Account Balance of Payments	-260	-149	-306	-308	-288
3. Exports of Goods and Services	933	889	812	938	1,092
4. Imports of Goods and Services	1,234	1,175	1,236	1,326	1,434
5. Debt Service Ratio (%)	4.8	8.2	10.0	9.2	8.5
6. Terms of Trade Index (1980 = 100)	93	98	100	99	100
Alternative 2					
1. GDP Growth (%)	-8.5	-6.3	-1.6	2.1	5.2
2. Current Account Balance of Payments	-260	-149	-131	-147	-170
3. Exports of Goods and Services	933	889	923	1,086	1,268
4. Imports of Goods and Services	1,234	1,175	1,171	1,314	1,493
5. Debt Service Ratio (%)	4.8	8.2	8.8	7.9	7.4
Alternative 3					
1. GDP Growth (%)	-8.5	-6.3	1.6	1.5	6.6
2. Current Account Balance of Payments	-260	-149	-299	-327	-349
3. Exports of Goods and Services	933	889	923	1,086	1,268
4. Imports of Goods and Services	1,234	1,175	1,338	1,493	1,672
5. Debt Service Ratio (%)	4.8	8.2	8.8	7.9	7.4

Source: Mission estimates.

These alternatives show that lower exports and reduced external assistance mean lower growth and that the current account of the balance of payments is constrained by external capital inflows. Alternative 3 shows that, with increased aid and tranquility, it is possible to expect substantial growth.

114. In brief, leaving aside political/military events, El Salvador's creditworthiness depends heavily on: (i) export production policies, particularly for coffee; (ii) the continuation of prudent domestic financial policies; and (iii) the availability of special external assistance on concessionary terms. This special assistance is needed to support the Government budget as well as the balance of payments and avoid a significant additional burden on limited future public revenues and foreign exchange earnings. However, given the link between exports and GDP growth and employment, and between export receipts and debt service payments, as noted, Government efforts and policies to arrest export declines and bring about a recovery will be the decisive factor for creditworthiness.

ANNEX A

AGRICULTURE AND AGRARIAN REFORM SITUATION AND PROSPECTS

I. AGRICULTURAL PRODUCTION AND EXPORTS

A. The Role of Agriculture in the Economy

1. Small in size with a great density of population, El Salvador is heavily dependent on the agricultural sector for its livelihood and earnings of essential foreign exchange. The population is about 4.7 million on a total land area of 2.1 million hectares for a density of 223 persons per square kilometer. This means nearly 0.45 hectares per capita, of which less than two-thirds, exclusive of forest land, has some agricultural potential. This results in a density of 330 persons per square kilometer or about 0.30 hectares of arable land per capita. The combination of so many people with so little land poses a basic problem, which is intensified by the continuing rapid population growth at over 3 percent a year. A 1979 survey estimates the economically active population at 1,575,000; 45 percent were engaged in agriculture with only 2 hectares per worker. About one-fifth were workers without remuneration. The agricultural sector has long been the largest single employer. Since agricultural work is mostly seasonal, the rural labor force is underemployed.

2. Salvadorian agriculture's most important crops are primarily for export. Coffee is the dominant crop and the principal foreign exchange earner followed by cotton and sugar. The earlier development of the large hacienda system gave primary emphasis to export production with food crops and livestock down the line in a secondary position, and strongly conditioned the agricultural pattern that evolved. Most of the basic food production for domestic consumption was in the hands of small property owners and renters or colonos tilling small plots. Agricultural policy shifted during the 1970s and fostered increased output of staple foods (corn, sorghum, rice, and beans). Price support incentives and other assistance proved effective.

B. Agricultural Performance

3. Agricultural production in both volume and value, reached peak levels during 1978-79. Agricultural production indices reflect these advances (see Table 1). Food production led other agricultural production. The efforts made during the 1970s to improve domestic food output are fully reflected in the indices of per capita food production, at least through 1978, even though population grew rapidly.

Table 1: EL SALVADOR: INDICES OF TOTAL AND PER CAPITA AGRICULTURAL PRODUCTION, AVERAGE 1971-75 AND ANNUAL 1976-80

(1969-71 = 100)

Item	Average 1971-75	1976	1977	1978	1979	1980
Indices of Production						
Crops	110.0	114	112	131	125	108
Total Agriculture	108.6	116	115	133	129	115
Total Food	109.6	119	123	140	142	138
Per Capita Agriculture	98.2	95	91	103	97	84
Per Capita Food	98.8	97	98	109	107	100
Index of Population						
1969-71 population = 3,503,000	110.8	121.6	125.3	129.0	133.3	137.7

Source: Economic Research Service, U.S. Department of Agriculture.

4. The gross value of production was also at its highest during the two consecutive years of 1978 and 1979 (Table 2) with 70 percent of the gross value of production coming from crops output, which grew about 21 percent during 1976-79. However, the gross value of agricultural sector production in 1980 declined by 6 percent from the 1979 level. At current prices, the gross value of total agricultural sector output also dropped sharply in 1980; crop production value showed an even steeper decline. This decline continued in 1981.

Table 2: EL SALVADOR: GROSS VALUE OF AGRICULTURAL SECTOR PRODUCTION, ANNUAL 1976-80

(in million colones)

Item	Constant 1962 Prices					Current Prices				
	1976	1977	1978a/	1979a/	1980a/	1976	1977	1978a/	1979a/	1980a/
Sectoral Total	725	751	828	840	791	2,001	2,786	2,589	3,253	2,784
Crops	489	509	578	592	552	1,600	2,380	2,131	2,712	2,199
Livestock	103	102	104	102	99	218	217	246	328	321
Poultry	93	100	104	106	99	109	117	135	134	171
Forestry	26	27	29	25	27	31	33	33	32	33
Fisheries	12	12	12	13	13	38	36	38	42	54
Agriculture	2	2	2	3	2	4	4	5	5	6

a/ Preliminary.

Source: Banco Central de Reserva.

5. Agricultural production was adversely affected in 1980-81 by rural unrest, low export prices, uncertainties, and the agrarian reform. The decline had its earlier ferment seeded by economic, social and political factors. In an effort to ease tensions and stabilize the country, the military-civilian Government which assumed power in October 1979, put into effect a series of significant reforms and policy changes, including a far-reaching agrarian reform program. Some of these, by their nature, had a direct impact on agricultural production in 1980-81. The agricultural sector, which already showed marked signs of slippage in 1980, deteriorated further in 1981. Furthermore, the prospect of production continuing at relatively low levels in 1982 is high. Without the restoration of a greater degree of stability and confidence, the outlook for improvement in the agricultural sector in the next few years is likely to remain gloomy.

6. The agricultural outlook is plagued by: terrorist disruptions of the rural economy; uncertainties about the implementation of the agrarian reform; high unemployment and reduced consumer purchasing power; relatively low returns from export crops in the face of continuing high production costs; depletion of operating capital; and inadequacy of credit. This situation is having an adverse impact on both production for domestic consumption and for export. The next section presents an analysis of the problems plaguing agricultural export production and the rising dependence on food imports.

Coffee Production: The Economy's Backbone

7. Coffee is by far the most important export crop in terms of natural resources utilization, employment and incomes. Coffee is grown in five zones, but the greatest concentration of production is in the western Departments of San Salvador, La Libertad, Santa Ana, Sonsonate, and Ahuachapan. Of the 1981-82 cherry coffee harvested, an estimated 55 percent was from the zone in which the Departments of San Salvador and La Libertad are located.

8. Including small growers, there are about 40,000 coffee producers cultivating 180,000 hectares of land. Coffee does best in the western and central parts at altitudes ranging between 500 and 1,500 meters. The most desirable quality coffee is grown in high altitude areas. Prior to 1980, an estimated 120 beneficios or mills processed the harvested coffee and turned out green coffee which was bagged primarily for export.

9. As vital as the coffee industry is to the economy, there is no central internal source with a continuity of information on the planted and harvested areas and the numbers of coffee trees in bearing and nonbearing stages. There also is a paucity of information on the number of coffee growers or producing units. The last agricultural census dates back to 1971. It showed that there were some 40,000 production units with the area devoted to coffee totalling 147,000 hectares. Of all these units, 72 percent were less than 1 hectare in size and they represented only about 5 percent of the total amount of land in coffee. On the other hand, production units above 5 hectares in size totalled 3.9 thousand and had 123,000 hectares in coffee. These represented 9.7 percent of all the units producing coffee and had over 80 percent of all the land devoted to this crop. Plantations over 50 hectares represented 1.5 percent of all the coffee production units but 47 percent (69,000 hectares) of the total plantings.

10. Of an estimated 188,000 hectares devoted to coffee, about 186,000 hectares were harvested in 1981-82. The areas of coffee planted and harvested over the past five-year period increased significantly with respect to the five-year period beginning with the 1972-73 crop year reflecting much improved coffee prices; they have held rather steady despite the unrest and turmoil that has prevailed in the country.

Table 3: EL SALVADOR: COFFEE AREA AND TREE POPULATION, FIVE-YEAR AVERAGE 1972-73/1976-77, ANNUAL THROUGH 1981-82

Crop Year (Oct.-Sept.)	Average 1972-73/1976-77	1977-78a/	1978-79a/	1979-80a/	1980-81a/	1981-82a/
Area (hectares)						
Planted	172,000	183,500	185,000	187,000	188,000	188,000
Harvested	158,000	165,000	170,000	185,000	185,000	186,000
Tree Numbers (thousands)						
Bearing	417,417	484,808	505,000	505,000	516,000	526,000
Nonbearing	62,695	66,869	70,000	70,000	60,000	50,000
Totals	480,112	551,677	575,000	575,000	576,000	576,000

a/ Preliminary estimates.

Source: Foreign Agricultural Service, U.S. Department of Agriculture.

11. During the five crop years beginning with 1972-73, the coffee tree population averaged 480,112 thousand with 62,695 thousand in the nonbearing stage. Coffee tree population increased in the next five-year period and totalled over 551,000 thousand in the 1977-78 crop year and 576,000 thousand in 1981-82, of which 67,000 thousand and 50,000 respectively were nonbearing.

Coffee Production and Prospects

12. The Ministry of Agriculture places the 1980-81 coffee output at 161,000 metric tons (2,690 thousand bags of 60 kilograms) and the 1981-82 production at 142,000 metric tons (2,380 thousand bags). Both coffee production and exportable surplus have declined since the 1978-79 crop year.The1981-82 level compares unfavourably even with the five-year period beginning with the

1972-73 crop year; it would be 12 percent or more below the 1980-81 output. One reason for the decline is lower yields per hectare. 1/

Table 4: EL SALVADOR: GREEN COFFEE PRODUCTION AND EXPORTABLE SUPPLY, AVERAGE 1972-73/1976-77, ANNUALLY 1977-78 THROUGH 1981-82 a/

(in thousands of 60-kilo bags)

Item	Average 1972-73/1976-77	1977-78	1978-79	1979-80	1980-81	1981-82	1982-83b/
Total Production	2,610	2,800	3,423	3,322	2,690	2,380	2,400
Exportable Supply	2,434	2,610	3,228	3,122	2,490	2,180	2,200

a/ Crop year October-September.
b/ Preliminary estimates.

Source: Foreign Agricultural Service, U.S. Department of Agriculture.

13. The outlook for coffee production is not encouraging. Yields have declined steadily over recent years due to poor maintenance of plantings, reduced availability of fertilizer, guerrilla interference with farming activities, and reluctance to make further operational investments because of prevailing uncertainties. The cumulative effect of all these negative forces is expected to be reflected in a stagnation at the 1981-82 level in the 1982-83 coffee production. The 1981-82 and 1982-83 coffee crops are among the smallest in a decade. Moreover, the annual rate of coffee tree replacement has slowed down recently and is below the usual replanting rate. Poor maintenance and below normal replanting rates are bound to have a deleterious effect on coffee trees in coming years. The most common number of coffee trees per hectare is somewhat over 2,000 with a range of between 1,300 and 7,200, depending on the sophistication of the farming operation. In general, the tree density per hectare tends to be higher in El Salvador than in most other producing countries.

1/ On the basis of an estimated 2,360 thousand bags being produced in 1981-82, the average per hectare yield would be 12.6 bags of 60 kilos against 14.5 bags in 1980-81, and 18.0 bags in 1979-80. The 1981-82 average yield is low compared with the most recent high of 19.8 bags per hectare in 1978-79 and the average yield of 18.7 bags during the five-year period since 1972-73.

Costs and Returns

14. In recent years, as a result of low coffee prices coupled with internal problems, growers have generally experienced losses or at best marginal returns. Coffee production costs with optimum maintenance and high average yields have been estimated by the Ministry of Agriculture (MAG) at C 3,631.45 per manzana [2]/for 1980-81. With an average yield of 20 quintals of green coffee per manzana, the unit cost amounts to C 181.57 per quintal (US$0.73 per pound). Similarly, INCAFE calculated the 1981-82 production costs at C 3,211.28 per manzana for a farm of 50 manzanas and a tree population of 1,600 per manzana yielding 20 quintals of green coffee. In this case, the cost per quintal of green coffee amounts to C 160.56 (US$0.64 per pound).

15. Production costs include those of growing the crop as well as those of harvesting, including delivery to the processing mills. Maintenance of the coffee plantings is an integral part of the whole operation. An estimated 40 percent of production costs, relates to the growing phase; the remaining 60 percent to the harvesting phase. About 70 percent are labor costs. An estimated 160,000 persons are engaged in production, maintenance and harvesting work. Harvest employment at the peak is placed at 80,000; the harvest season covers a span of four months, from November through February with a peak occurring from mid-December through mid-January. An additional 10,000 farm workers are engaged in other related work such as in beneficios, transportation, etc.

16. The financial situation of the growers is affected by the fluctuation in coffee prices as shown in Table 5. In the first year of operation of INCAFE, the new coffee marketing agency, the price paid to growers averaged an estimated US$ 0.63 per pound on a green bean equivalent basis, excluding the cost of processing for export. In 1981, the price paid to growers averaged US$0.72 per pound (a 14 percent increase). These prices are not fully comparable with prior prices because INCAFE pays for the cost of processing coffee. Adjusting for the US$0.20 per pound INCAFE paid to beneficios for processing operations would result in a gross of US$0.83 and US$0.92 per pound to growers in 1980 and 1981. Coffee producers have expressed dissatisfaction over what they allege to be low prices.

2/ A manzana is equal to 0.7 hectare.

Table 5: EL SALVADOR: COFFEE EXPORTS, UNIT FOB VALUE OF EXPORTS, PRICES TO GROWERS, AND DIFFERENCE BETWEEN EXPORT VALUE AND GROWER PRICE

Year	Exports (60 kilo bags)	Unit Value Exports	Price to Grower (green bean equivalent)	Difference
	Thousands	----------	U.S. cents per pound	----------
1975	3,062	56.66	35.50	21.16
1976	2,666	114.45	85.12	29.33
1977	3,015	198.15	183.49	14.66
1978	2,347	151.14	96.64	54.50
1979	3,390	141.58	96.40	45.18
1980	2,644	159.20	82.52 a/	76.68 b/
1981	2,212	140.00	92.40 a/	47.60

a/ Estimated as paid by INCAFE and adjusted by 20 U.S. cents to cover payment to beneficios.

b/ Calculated on the basis of US$0.83 per pound grower price equivalent, which includes US$0.20 cents paid to beneficios by INCAFE.

Source: International Coffee Organization (ICO) documents, INCAFE and Mission estimates.

Coffee Rust

17. A major threat to coffee is the prevalence of rust (Roya del Cafeto), which already has raised fears in the western three major coffee producing zones and scattered into other parts of the country. Reportedly, coffee rust was first discovered in El Salvador in December, 1979. Responding to the need, MAG developed a project to combat coffee rust through the Salvadorian Coffee Research Institute (ISIC), and the Department of Agricultural Protection (DDA), with INCAFE collaboration. Since coffee growers did not have the capacity to pay for needed control measures, the Government undertook most of the work. The Government supplied materials and spraying equipment while the grower provided the labor.

18. In mid-1981, about 29 thousand hectares were under quarantine against coffee rust, of which about 7 thousand hectares were reported as infected. Where coffee rust was found, the project called for spraying with a copper base fungicide up to five times per season depending on altitude, levels of coffee production and density of foliage. The cost per chemical treatment was C 80 colones per manzana; about US$45 per hectare. More recently, efforts to control coffee rust have been concentrated on both spraying and fumigation. At the end of 1981, about 24,500 hectares have been sprayed and another 6,900 hectares were expected to be fumigated in the months ahead.

19. Research on various aspects of coffee rust control, including formulation of fungicide materials, systems and rates of application, timing, etc., is a major responsibility of ISIC. This agency has also been working on the development of rust resistant varieties of coffee trees but none have yet

been released to growers. There also is the concept that poorly nourished coffee trees are more readily susceptible to coffee rust while those well fertilized to encourage vigorous growth tend to have greater resistance.

20. The coffee rust infestation in El Salvador has been identified by ISIC as the classic Hemileia vastatrix which is perhaps the most destructive; in fact, coffee rust is the most serious coffee disease.3/ All varieties of coffee grown in the Americas are said to be highly susceptible to Hemileia. Coffee rust infections originate with a parasite.

21. Coffee rust activities are directed out of 26 operation centers. These offices help producers deal with the rust by supplying technical advice, spray equipment, chemicals and other materials for chemically controlling the disease. In addition, six units are located in different sections to provide repair and maintenance services required for spraying equipment. Financial requirements covering the cost of the coffee rust project have been placed at a total of C 35 million.

22. Despite the efforts to control and confine the rust infections, the disease has continued to spread and widen the areas affected. This is cause for growing concern among growers over the future of their industry. There is in fact considerable potential danger to coffee production and the key role of this crop in the national economy, especially under conditions favorable to still further and more rapid spread of the rust infected areas.

INCAFE Marketing

23. Virtually all aspects of coffee marketing, including exports and much of the production financing, have been vested in the Instituto Nacional del Cafe (INCAFE), established under Decree No. 75 issued December 20, 1979. The underlying purpose of this legislative action was to nationalize coffee marketing. INCAFE has a seven-member governing board, which includes five Ministers--foreign trade, planning, economy, agriculture and treasury--the President of the Central Bank, and a representative named by the President of the Republic. Administrative responsibility is vested in a board of directors and a general manager. Decree 75 made provision for periodic internal audits, an annual report on operations, and financial statements. Subsequent legislative actions, (Decree No. 83 of January 9, 1980, Decree No. 404 issued September 29, 1980, and Decree No. 554 of January 5, 1981) strengthened and clarified earlier authorizations. Decree 75 also terminated operations of the National Coffee Department, which played a limited part in export coffee marketing mainly by maintaining a registry of contracts. The Salvadorian Coffee Company, created in 1942, was abolished with its assets and liabilities

3/ It is described by the U.S. Department of Agriculture in "Plant Diseases" as follows: "the first symptoms are small, yellowish, translucent, oil spots on the leaves. They expand into rather large, round spots and early show a powdery coating of spores on the under surface. As the spores mature, the spots gradually turn bright orange to red. With age the lesions become brown and surrounded with a yellow rusted band. Defoliation occurs to such an extent that many trees retain only two or three leaves on their branches where they might ordinarily have 15 to 20. Such affected trees are stunted, cannot produce, and usually die in a few years."

transferred to INCAFE. Decree 75 created a commission primarily to audit the affairs of this company including its operating losses and coffee market speculation during the 1972-79 period.

24. The main objective of INCAFE is to buy coffee from the producers, facilitate its milling, and market the final product abroad. On the farm production side, INCAFE's main activity is to provide financing for maintenance of the plantings and harvesting of coffee. This particular financing aspect of the coffee industry amounted to about US$100 million in 1980. Coffee producers are financed on an installment basis; funds are supplied in accordance with the spread of work done or production supplies purchased over the course of a year. While no credit advances are made, producers are required to pay interest on the installments paid to them. Coffee production is also financed through the Central Bank and various financial intermediaries.

25. For processing coffee, beneficios or millers, received from INCAFE C 50 (US$20) in the 1981-82 crop year for each 46 kilos processed.[4/] The agency also processes part of the national harvest in its own mills, roughly 15 percent of the 1980-81 crop. Coffee is sold by producers mainly in two forms, cherry coffee (uva fresca) and parchment coffee (pergamino); the percentage of each during the 1980-81 crop was 72 percent and 11 percent respectively, the rest being in other forms. Since INCAFE handles the export marketing of coffee, it receives the proceeds from sales and in turn pays the producers, the millers and the taxes levied on shipments of this commodity to external markets.

26. Operating on a flat fee basis, millers are only required to meet INCAFE requirements. There is no particular incentive to maximize quality. This situation may result in lower quality coffee being exported. During the prevailing internal conflict and unrest, some beneficios have been shut down due to power outages and thus have been unable to process growers' cherry coffee beyond fermentation. Where this has been experienced, the outturn of export coffee reflected a lower quality.

27. Although INCAFE does not provide technical assistance to coffee growers, it does supervise credit extended to them for production of their crops. Services such as combating coffee diseases, guidance on planting systems, dealing with production problems, etc., are provided by various governmental agencies and also by some private importers. However, INCAFE has imported equipment and materials to help combat the coffee rust, in collaboration with MAG and the Instituto Salvadoreno de Investigaciones del Cafe (ISIC).

28. Although INCAFE was established during the 1979-80 coffee harvest, it did not get into its first full year of operation until the 1980-81 crop. This institution is now embarked on the 1981-82 crop, its second full year of operation, but it has not yet issued an annual report or a balance sheet statement to its board as required. However, toward the end of 1981, the Board of Governors did enter into a contract with a U.S. firm to make an audit of INCAFE. This would be the first audit of INCAFE and an important step. In the absence of

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4/ In the mill processing operation, it takes five kilos of cherry coffee or 1.2 kilos of parchment coffee to produce one kilogram of green coffee for export.

annual reports and balance sheets, INCAFE lacks accountability. Moreover, since the agency has not been adequately responsive in providing for primary source information on its operations, this has given rise to dissatisfaction among coffee growers and the industry in general.

29. Unfortunately, INCAFE is not a primary source of information on much that is of vital interest to the country's coffee industry. Specific information on INCAFE's calculations of net margins between its total cost per unit of coffee on a green bean equivalent basis and its returns from export sales could not be obtained by the mission. Statistics on exports and prices over a period of years were supplied but this information was derived primarily from secondary sources, such as the International Coffee Organization (ICO). Nevertheless, INCAFE periodically issues a memorandum relating to current purchases of coffee by volume and value with such information also presented on a cumulative basis during the course of the crop year. Information relating to current local and international coffee prices is also regularly supplied by INCAFE.

The Cotton Sector's Dilemma

30. Cotton is predominant in the central and eastern parts along the coastal region, particularly in the Departments of Usulutan, San Miguel and La Paz, where soil and climatic conditions are suitable for growing cotton. Since in the 1930s crop production and management techniques as well as ginning were deficient and effective pest control was almost unknown, cotton producers decided to join efforts and organize a cooperative (COPAL) that would be unique in the services available in dealing with virtually all aspects of cotton production and marketing. With Government support, COPAL became the only seller in domestic and foreign markets of all the cotton produced. Although no cotton could be grown by any individual without being a member of COPAL, the only requisite for membership was to subscribe to a share of stock. The overall objective was to develop cotton growing in an orderly and well-planned manner. COPAL had approximately 4,000 members at its peak but with the recent decline in cotton production, its membership dropped to about 2,900 in 1980-81.

31. The Ministry of Agriculture (MAG) licenses all cotton growers. Through this process, both MAG and COPAL along with the individual grower are advised of supplies needed and also the kind of cotton to expect in order to keep the harvested varieties separate for purposes of ginning, grading and marketing.

32. COPAL has developed for El Salvador's cotton a broad market and a reputation for both consistency in its grading and quality of product. COPAL conducts its own breeding and fiber selection program. The newest and best variety of cotton developed through this work is Cedix which with a staple length of 1-3/32", has a greater tensile strength and yields more lint and less seed than other traditional varieties. COPAL has special arrangements with growers for producing seed which it sells to its members.

Cotton Production

33. In 1961, there were 1,600 production units with 44,000 hectares in cotton and an output of 40,703 metric tons of raw cotton. By 1963-64, plantings expanded to reach 114,000 hectares but cotton production ran into problems.

There was an overextension into unsuitable land and improper use of fertilizers along with insecticides that upset the ecological balance and resulted in serious insect and disease problems. Cotton production suffered a temporary setback. A recovery began in 1969 under a rehabilitation program undertaken by COPAL with technical assistance from Israel. The 1971 census showed nearly 3,000 production units with over 64,000 hectares of cotton and an output of over 69,000 metric tons of raw cotton. Annual production of lint cotton from 1971-72 through 1979-80 averaged over 307 thousand bales of 500 pounds. However, production has slowed down significantly in the early 1980s (more below). The table below shows cotton production and yields.

Table 6: EL SALVADOR: COTTON AREA HARVESTED, PRODUCTION AND YIELD, a/ 1971-72 THROUGH 1981-82

Crop Year	Area Harvested	Estimated Production		Average Yield	
		Raw Cotton	Lint Cotton	Raw Cotton	Lint Cotton
	(manzanas)	(thousand quintals)		(quintals per manzana)	
1971-72	103,750	4,087.9	1,495.3	39.7	14.4
1972-73	121,800	4,195.2	1,493.4	34.2	12.3
1973-74	135,800	4,553.9	1,632.7	35.8	12.9
1974-75	125,900	4,562.6	1,617.5	37.3	12.9
1975-76	105,700	3,609.5	1,313.3	34.5	12.4
1976-77	113,300	4,315.6	1,427.6	35.0	12.6
1977-78	142,100	4,946.5	1,745.3	33.1	12.3
1978-79	146,100	4,408.3	1,579.6	30.2	10.8
1979-80	120,800	4,004.8	1,429.3	33.5	11.8
1980-81 a/	83,200	2,602.9	997.3	30.6	12.0
1981-82 a/	65,000	-	711.4	-	10.9

a/ Provisional Estimates.

Source: Direccion General de Economia Agropecuaria (MAG), Cooperativa Algodonera Salvadorena (COPAL) and Mission estimates.

34. During 1979-80, the area harvested was reduced by 17 percent. During the crop year 1980-81, while agrarian reform was being implemented and rural unrest increased, cotton growing operations were seriously hampered. This is reflected in deep declines in cotton areas harvested and bales produced during the 1980-81 and1981-82 crop years.

35. As production expanded in the mid-1970s, COPAL undertook an investment program to modernize its gins, improve operating capacity and efficiency as well as upgrade cotton storage facilities to maintain quality. There are four ginning plants. During 1979-80, these gins turned out 286 thousand bales of lint cotton at a cost of about C 13.4 million, or C 9.37 per quintal (US$3.75 per 100 lbs). However, with the decline in cotton in production since 1980, the cotton gins are now operating at less than 50 percent of their capacity.

36. In the 1970s, cotton provided employment for an annual equivalent of up to 50,000 workers, mostly nonskilled labor engaged in planting, cultivating and harvesting activities. The ginning phase required about 2,500 skilled workers from November to April. Administrative activites engaged some 500 office workers. In the production of cotton, the cost of labor represents about 45 percent.

Cotton Exports

37. The export market usually absorbs 70 to 85 percent of the cotton produced in the country while the remaining quantities are utilized by the domestic textile manufacturing industry. The largest volume of exports was 309,000 bales in 1977-78 for C 228.4 million. The largest number of bales sold for domestic use was 65,957 in 1975-76.

Table 7: EL SALVADOR: VOLUME AND VALUE OF EXPORT AND DOMESTIC LINT COTTON SALES, 1971-72 THROUGH 1980-81

Crop Year	Export Marketing		Domestic Consumption	
	Bales	Value	Bales	Value
	(500 lbs)	(Million Colones)	(500 lbs)	(Million Colones)
1971-72	245,408	87,910.2	55,810	20,303.0
1972-73	258,856	99,176.8	49,583	19,444.5
1973-74	276,385	139,222.5	61,073	38,471.6
1974-75	302,927	176,583.5	23,585	13,890.0
1975-76	196,319	140,088.9	65,957	47,072.2
1976-77	245,186	206,987.1	65,326	56,818.6
1977-78	308,896	228,419.9	40,850	31,381.9
1978-79	251,264	222,429.6	63,537	56,420.9
1979-80	235,928	214,619.3	49,350	45,375.9
1980-81	143,908	147,931.8	55,318	52,294.9

Source: Cooperativa Algodonera Salvadorena (COPAL).

38. Although El Salvador usually exports cotton to more than a dozen countries in different parts of the world, the two largest buyers in recent years have been Japan and China. Out of the 1980-81 crop, 89 percent represented cotton of superior grades on the basis of international standards.

Prices and Costs

39. International cotton prices tend to vary widely as the table below shows.

Table 8: EL SALVADOR: AVERAGE FOB EXPORT COTTON SALES PRICES, 1971-72 THROUGH 1980-81

(US Dollars per Quintal)

Crop Year	General Average	Average Middling Plus Grade (C-1 ANA)
1971-72	28.59	28.90
1972-73	31.20	31.82
1973-74	47.78	48.01
1974-75	45.03	45.27
1975-76	56.19	56.76
1976-77	68.12	68.41
1977-78	57.91	58.76
1978-79	69.45	69.95
1979-80	71.54	72.14
1980-81	81.15	81.42

Source: Cooperativa Algodonera Salvadorena (COPAL).

40. Prices paid by domestic textile manufacturers for lint cotton in the domestic market are closely related to FOB export prices. Domestic users have first call on El Salvador's cotton production; local textile manufacturers indicate to COPAL the number of bales required by each. Such quantities are held in reserve by the cooperative to be drawn upon as needed by the individual processor. The price paid is determined on the basis of the FOB average of the international market for the marketing year. This apparently has resulted in an equitable price arrangement with an assured supply.

41. The cost of cotton production has more than doubled since the mid-1970s because of inflation, security expenses, and higher prices for oil based inputs. Sophistication of cotton production and its costs are brought into sharp focus in Table 7.4, Statistical Appendix by the very nature and range of items listed. The components shown imply growing much of the cotton in large areas as is the case with the use of tractors, heavy machinery, and related equipment for soil preparation, planting and tilling. The size and scope of cotton producing operations is characterized by the vast use of insecticides, which together with airplane spraying represents about one-third of the total production cost. The problem has become so serious that the usual application of control chemicals is twice a week at the start of the season and then weekly during the remaining months of the growing period. In addition to privately operated airplane spraying enterprises, COPAL itself has a fleet of its own (10-14 airplanes). The cooperative supplies the spraying service along with the required chemical material on request of its members at a lower charge.

42. The especially heavy and extensive use of cotton insect and disease control chemicals in El Salvador provides a strong basis for an ecological nightmare. The chemical spray material, although diluted with water, kills off the beneficial insects along with the bad, taints underground water resources, pollutes rivers and streams, contaminates soils and tends to be harmful to life in general. There is need for an alternative approach through biological control to plant protection in the Salvadorian cotton sector. Fortunately, COPAL is interested in such a course with work already underway.

Heavy Reliance on Rented Land

43. Cotton in El Salvador has developed a heavy dependence on rented land. Before agrarian reform became effective after 1979, reportedly at least half of the cotton production took place on rented land. Most of those engaged in growing cotton on rented land had their own tractors and necessary mechanical equipment.

44. The distribution of cotton growing by size of planting gives an important insight to cotton production before and after agrarian reform. In 1979, about 420 farms with over 50 hectares each (16.8 percent of the total area planted), had about three-fourths of the total harvested area and the total raw cotton tonnage. Since Phases I and III of the agrarian reform became effective, both the number of cotton producers and the land area ranging up to 50-100 hectares have remained relatively steady but significant decreases have taken place among the larger growers. In the 1979-80 crop year, 14 percent of cotton growers showed intentions to plant upward of 70 hectares each for about 70 percent of the 84,000 hectares intended to be planted; the next crop year--the first of agrarian reform--only 10 percent intended to plant over 70 hectares each for about 57 percent of the 67,000 hectares intended for 1980-81 cotton growing. In 1981-82, the second year of agrarian reform, 14 percent of COPAL members showed intentions to plant over 70 hectares of cotton each for about 71 percent of a total of 64,000 hectares; actual results were lower (42,000 hectares), due to lack of bank credit, higher costs of production, and violence in the countryside.

45. The agrarian reform has affected cotton land in two ways. First, agrarian reform Phase I expropriated properties exceeding 500 hectares. Second, Phase III (land-to-the-tiller) created a potential problem for both land owners and renters. Owners are fearful of renting land for cotton production because under Decree No. 207 there is a possibility of the parcel being expropriated; renters that plant cotton face a risk since it could be claimed and taken over also under Decree No. 207. Reportedly, about 45 percent of the country's cotton land has already experienced a change of ownership under the agrarian reform. Currently, the prime factors in El Salvador's ability to continue cotton production at reasonable levels are security, availability of rental land, and financing. This suggests that improved conditions would be needed to retain the experience and know-how vested in the cotton producers on rented land to avoid further production problems.

46. The outlook for 1982-83 is not very encouraging. Prospects are for a harvested area of around 43,500 hectares, down 1,500 hectares from the previous year and nearly 40,000 hectares below the 1979-80 pre-agrarian reform year. Early indications are for a 1982-83 output of only 115,000 bales of lint cotton as compared with 143 thousand bales in 1981-82 and 286 thousand bales in 1979-80.

COPAL Financial Status

47. COPAL is now in operational and financial difficulties. This basically results from the steep drop in both cotton output and exports while there are financial obligations that both COPAL and its members need to meet. COPAL built much of its capital structure through the support of its members. This was made possible through a 10-year, 8 percent forced loan, which each member is obligated to make to COPAL at the end of the marketing year and which ranges from C 1.25 to C 2.0 per quintal of lint cotton. A 1981 evaluation placed the cooperative's fixed assets at C 34 million with equipment and machinery amounting to some C 25 million. COPAL's indebtedness to the Central Bank is about C 46 million plus accumulated interest for a total of about C 55 million to C 60 million.

48. The situation of COPAL is complicated by two financial decisions made in 1979. Based on good market prospects for the 1979-80 crop, COPAL paid its members C 10 per quintal of cotton above the selling price for an overall expenditure of C 17 million. 5/ This probably was prompted by the anticipation of a fate similar to that of coffee and sugar exports, which were nationalized. The second decision was to repay foreign loans reportedly to retain its good credit standing among external lending institutions that had made loans to COPAL to buy new equipment (C 17.5 million), spare parts (C 4 million) for its gins and other installations, and pesticides, fertilizer and other supplies (C 9 million) for sale to members.

49. The financial situation of COPAL is important to cotton growers. In the past, cotton growers financed 70 percent of their production costs through credit with the balance coming from their own resources. To facilitate bank financing, COPAL supplies the grower with an irrevocable letter of credit that assures the grower's bank that it will be repaid out of cotton deliveries to the cooperative. As the marketing season advances, COPAL makes advances to permit early repayment of bank credit. Furthermore, in earlier years, COPAL obtained from external banks short-term loan commitments (for up to six months) to finance grower advances as cotton ginning and marketing got underway. Now foreign banks are reluctant to operate in El Salvador and, in addition, interest rates are higher than those charged by local banks.

Cotton Prospects and Government Policy

50. As analyzed, this sector is presently confronted with a grave crisis. A continuing emergency situation has placed the growers in an economic squeeze, and threatens the existence of the producer-owned and controlled cooperative. Cotton growers need solid assurances that continued high level production is essential as a significant provider of employment, income, and

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5/ In this connection, there is a formal agreement to pay back the C 17 million that had been handed to growers as an addition to the price they received from 1979-80 cotton crop sales. Under this arrangement, each of the members assumed the amount paid above that year's cotton liquidation price as a personal debt to be repaid to the cooperative over a period of three years. Of the C 17 million, one-third has already been repaid with the full amount to be turned over by COPAL to the Central Bank for credit to the cooperative's debt.

vital foreign exchange. This will require the Government to focus attention on actions required to restore cotton area and production to previous levels, and to foster greater productivity per unit of land to increase output. Agrarian reform campesinos, who took over cotton holdings were poorly trained and did not have the competence needed to manage a modern, technology intensive cotton farm, even though they had worked previously in cotton crops. Increasing production would need the Government to improve production and yields in agrarian reform cooperatives and to recognize that cotton is also grown on rented land and that, in the prevailing circumstances, a decision not to rent land is also a decision not to grow cotton. Renters are usually responsible for all phases of production with the equipment they already have. Once steps are taken to make available rental land, some assurances will also be required so that it remains in cotton production for a reasonable period to ensure some stability in overall output. Different approaches may be followed. Based on Government guarantees and a grower commitment to produce cotton for a five-year period on a specific land area, individual growers should be able to rent land. The owners in turn could release the cotton land on a negotiated annual rental basis, while the grower agrees to follow soil conservation practices to minimize erosion. The Government also needs to be concerned with uplifting cotton production and effectively marketing the crop. There is a need to improve the financial strength of COPAL to increase productive capacity as output expands, and improve production efficiency to lower costs. The cotton sector urgently needs also effective extension and technical assistance along with research services and backstopping support of adequate credit.

Sugarcane Production

51. During recent years, marked changes in management and farming practices have sharply reduced both the land area in sugarcane and production of this important crop. The fall-off in sugarcane planted and harvested areas with consequent lowered production started with the 1977-78 crop. Since then, the decline has greatly accelerated. The resulting deterioration is dramatically highlighted by comparing present production with mid-1970s levels (see table below).

Table 9: EL SALVADOR: ESTIMATED SUGARCANE LAND PLANTED, AREA HARVESTED, PRODUCTION AND YIELDS
CROP YEARS 1971-72 THROUGH 1980-81

Year	Planted Area (hectares)	Harvested Area (hectares)	Production (metric tons)	Yield per Hectare (metric tons)
1971-72	34,982	22,685	1,849,227	81.5
1972-73	34,129	23,553	1,888,392	80.2
1973-74	39,516	30,251	2,397,980	79.3
1974-75	43,520	33,175	2,615,982	79.9
1975-76	41,104	33,540	2,589,456	77.2
1976-77	41,585	34,650	2,933,512	85.4
1977-78	40,839	34,350	2,892,904	84.2
1978-79	38,977	33,336	2,745,246	82.4
1979-80	33,534	27,273	2,019,218	74.0
1980-81	27,972	26,573	1,824,100	68.6

Source: Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion.

52. From the start of the 1970 decade, sugarcane production in El Salvador expanded progressively, reaching a peak in 1976-77. However, by 1980-81, production had dropped to 62 percent of its mid-1970 level while average yields per hectare reached a new low for the decade. This has idled some mills and resulted in sizeable underutilization of others. Sugarcane production for 1982-83 is expected to recover somewhat as a result of crop loans made by INAZUCAR with the 1980-81 crop year.

53. Overall sugarcane production costs have risen by more than 60 percent since the mid-1970s. The major cost items as inputs, growing and harvesting along with transportation have spiralled during the period because of inflation. But there are additional factors attributable to internal strife and uncertainties.

54. With greatly increased production costs, sugarcane growers have been hard put to make ends meet in the face of inadequate returns due to prevailing low international sugar prices. Thus, for the 1980-81 and 1981-82 harvests, INAZUCAR provided advance guarantees of minimum grower prices for cut sugarcane sold, which were substantially above those of the 1979-80 harvest, as a grower incentive to maintain production. This policy of fixing minimum prices in effect subsidizes the grower to cover rising production costs. This subsidy amounted to C 10-12 per ton of cut cane in 1980-81 and 1981-82. For 1982-83, the guaranteed price of C 50 per ton will continue but without it entailing any cost to INAZUCAR because the domestic sugar price was raised to cover the subsidy.

55. An additional element that merits closer attention is sugarcane rust or carbon. This malady has had a minimal effect so far since it has attacked only one variety representing a minor part of the local sugarcane crop. About 20 resistant sugarcane varieties are being tested on the experimental grounds of a remaining private sugar company to determine adaptability to growing conditions in El Salvador. Hopefully, this testing should result in suitable resistant varieties being available in the event that sugarcane rust becomes more of a problem in this country. In the meantime, where sugarcane rust becomes evident there are measures taken to control it so as to prevent its spreading.

Sugar and Molasses Production and Exports

56. Changes in management and operating practices since 1978-79 adversely affected the output of sugar more than the production of sugarcane, although both were down substantially. In terms of volume and value of sugar, the peak was reached for both in 1977-78, based on the high tonnage of sugar produced. Especially noteworthy, along with the sharp drop in sugar output during 1979-81, is the low percentage yield of this sweetener per ton of sugarcane in that two-year period. This, to a considerable extent, reflects the reduced use of fertilizer and other lowered production practices.

Table 10: EL SALVADOR: SUGARCANE PRODUCTION, VOLUME OF SUGAR OUTPUT, PERCENTAGE SUGAR YIELD PER TON OF CANE AND VALUE OF SUGAR PRODUCED, CROP YEARS 1971-72 THROUGH 1980-81

(value in thousand colones at 1970 constant prices)

Year	Production		Percentage Yield	Value of Sugar
	Sugarcane (metric tons)	Sugar (metric tons)		
1971-72	1,849,227	187,473	10.13	86,649
1972-73	1,888,392	190,164	10.07	92,092
1973-74	2,397,980	231,722	9.66	110,316
1974-75	2,615,982	256,757	9.81	124,585
1975-76	2,589,456	261,797	10.11	127,796
1976-77	2,933,512	286,021	9.75	136,639
1977-78	2,892,904	288,007	9.95	141,663
1978-79	2,745,246	277,261	10.09	132,378
1979-80	2,019,218	178,809	8.85	93,192
1980-81	1,824,100	174,058	9.54	90,632

Source: Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion and Mission estimates.

57. Sharply reduced production of sugar is reflected in a steep decline in exports. Supplying the domestic demand has priority over exports and thus the internal consumption of sugar dropped less.

Table 11: EL SALVADOR: DOMESTIC CONSUMPTION AND EXPORT MARKETING OF SUGAR IN RELATION TO PRODUCTION, 1975-76 THROUGH 1980-81

(metric tons)

Item	1975-76	1976-77	1977-78	1978-79	1979-80	1980-81
Production	261,797	286,021	288,007	277,261	178,809	174,058
Domestic Use	134,721	120,795	157,712	116,431	144,285	129,715
Exports	127,076	165,226	130,295	160,830	34,524	34,343

Source: Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion.

58. The production of molasses is important both for domestic use and exports. It has been curtailed by the recent reduction in the output of sugarcane and this has seriously affected its availability for livestock feeding. The volume of molasses required for industrial use is more or less steady, and is utilized in the production of alcohol. After domestic needs for molasses are satisfied, the residue is then available for export.

Table 12: EL SALVADOR: PRODUCTION AND UTILIZATION OF MOLASSES, 1977-78 THROUGH 1981-82

(in barrels of 110 gallons)

Crop Year	Production	Destined Utilization		Exports
		Livestock Feed	Industrial	
1977-78	247,581	93,467	56,573	97,541
1978-79	233,283	125,076	57,352	50,855
1979-80	191,935	133,502	58,433	-
1980-81	158,000	91,660	43,000	23,340
1981-82 a/	193,000	95,000	50,000	48,000

a/ Estimated.

Source: Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion.

59. Prices for molasses marketed domestically tend to remain stable over certain periods but they do vary as between livestock and industrial uses. For industrial purposes, primarily alcohol, molasses does in fact have a higher use value than for livestock feeding. The price spread between the two increased from C 7 per barrel during 1977-78 to C 15 during 1979-81.

The Nationalization of the Sugar Sector

60. In March 1980, ISTA took over most of the sugar mills as well as their substantial landholdings under Phase I of the land reform program. The land was organized into 56 cooperatives. About 45 percent of the total sugarcane land is in the reform sector.

Table 13: EL SALVADOR: LAND DEVOTED TO SUGARCANE AND NUMBER OF GROWERS IN PRIVATE AND AGRARIAN REFORM SECTOR, CROP YEARS 1980-81 AND 1981-82

(land area in manzanas)

Crop Year	Private Sector (a)		Reform Sector (b)	
	Growers	Land Area	Growers a/	Land Area
1980-81	1,440	21,733	56	18,267
1981-82	1,079	23,120	56	19,210

a/ Includes ISTA agrarian reform cooperatives whose members total about 4,000 sugarcane growers.

Source: (a) Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion.
(b) MAG Oficina Sectorial de Planificacion Agropecuaria (OSPA) and INAZUCAR.

61. While ISTA took over about 45 percent of the sugar land, the National Sugar Institute (INAZUCAR) was established to deal with the production of sugar in the ten Government owned or expropriated sugar mills and all marketing of sugar and molasses. INAZUCAR is organized to function under a governing assembly, consisting of six members which included five Ministers --foreign trade, planning, economy, agriculture, and treasury--and the President of the Central Bank. The foreign trade Minister is the President of the governing assembly. Executive and administrative responsibility is vested in a President. During its first year, INAZUCAR had a total of some 3,000 permanent and temporary employees engaged in office and sugar mill operations.

62. INAZUCAR lacks capital. Its financing has been primarily from short-term credit from the Central Bank, profits from sales, and other funds from the banking system. This agency is presently up against the need to obtain longer term lines of financing for investment purposes. The amount needed has been estimated by INAZUCAR at C 25 million, which would include a foreign exchange component of US$2.5 million.

63. Government intervention through INAZUCAR coupled with ISTA's takeover of large landholdings and the uncertain status of medium size properties have combined with the prolonged internal strife and insecurity to significantly reduce sugarcane and sugar output. Extensive fires in some sugarcane fields also resulted in significant losses to growers. Curtailed output of sugarcane and other factors, such as personnel problems, combined to increase sugar mill operating costs.

Table 14: EL SALVADOR: INSTALLED CAPACITY AND UTILIZATION OF SUGAR MILLS 1976-77 THROUGH 1980-81

(in thousands of quintals)

Mill	Installed Capacity	1976-77 Used	%	1977-78 Used	%	1978-79 Used	%	1979-80 Used	%	1980 Used	%
El Angel	1,000	974.8	97.4	843.1	84.7	869.4	86.9	449.4	44.9	518.0	51.7
San Esteban	850	414.8	48.7	208.3	24.5	390.6	45.9	235.5	27.7	183.6	21.6
La Cabana	1,000	1,006.0	100.5	979.6	97.9	887.6	88.7	421.8	42.1	467.5	46.7
San Francisco	850	761.7	89.6	793.6	93.3	730.4	85.9	320.5	37.7	411.5	48.4
Chaunmico	250	257.7	103.0	252.5	101.0	222.6	89.0	140.9	56.3	203.2	81.2
La Magdalena	275	147.4	53.5	234.6	85.3	227.8	82.8	212.0	77.0	136.8	49.7
San Isidro	200	179.6	89.8	180.7	90.3	138.4	69.2	130.6	65.3	-	-
El Carmen	250	314.4	125.7	322.5	129.0	251.9	100.7	153.3	61.3	203.0	81.2
Talcualhuya	100	55.5	55.5	62.6	62.5	67.2	67.1	47.8	47.7	-	-
Izalco	1,300	1,183.7	91.0	1,167.2	89.7	1,280.9	98.5	1,062.0	81.6	1,066.0	82.0
El Castano	250	210.0	83.9	181.3	72.5	164.5	65.7	94.6	37.8	-	-
Ahuachapan	150	135.3	90.2	142.9	95.2	94.2	62.7	59.9	39.9	-	-
Jiboa	850	400.7	47.1	806.5	94.8	702.0	82.5	558.9	65.7	595.1	70.0
Total	7,325	6,041.6	82.4	6,180.2	84.3	6,027.4	82.2	3,887.2	53.0	3,783.9	51.6

Source: Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion.

64. El Salvador has 13 sugar mills, of which seven were transferred by ISTA to INAZUCAR; three are government property [6]/and three mills are privately held. Sugar mill capacity is significantly underutilized. During 1979-80, all 13 mills functioned but at 53 percent of capacity. In the 1980-81 grinding season, nine mills operated at an average of 52 percent of capacity. For 1981-82, only six mills were in operation instead of nine in the previous year with an expectation for 90 percent utilization of installed capacity. This compares with 1978-79 when all 13 sugar mills operated at about 82 percent capacity. In addition, one of the mills was maintained in reserve for an emergency. Of all these mills, INAZUCAR owns five, including the one in reserve; ISTA one and a private owner one.

65. When the private mills were expropriated, it was expected that compensation would take place on the basis of values in the 1979 tax declarations with allowances for improvements. Part of the compensation was in cash and depended on INAZUCAR's ability to pay; the remaining part in bonds. So far, no decisions have been made on the compensation of former sugar mill owners. However, since October 1980, INAZUCAR has contemplated transforming the expropriated sugar mills into mixed enterprises over a three-year period by selling shares to the general public but INAZUCAR would retain at least 51 percent of the capital.

Sugar Prospects

66. Having the sugar mills set up as mixed entities, ties in with the INAZUCAR aim of restructuring and reactivating the sugar sector and its industrial components. INAZUCAR understands that there is an urgent need to adopt vigorous measures to increase sugarcane acreage and productivity, and raise sugar mills' efficiency. The principal elements are: to recover sugar cane production and develop new areas to produce enough cane to operate existing sugar mills at least at the pre-1979 levels by improving sugarcane prices to the grower, and providing financing for medium and small growers as well as technical assistance; improve sugar mill efficiency to lower costs; relocate, if necessary, mills to new areas growing sugarcane. However, present sugar prices are not encouraging.

67. In technical matters, El Salvador used foreign sugar technicians in the past; however, they left the country when the internal strife increased. Now, the alternative would be to train more local technicians perhaps with outside assistance.

68. A recent MAG study indicated that land in the eastern areas has potential for growing sugarcane. This is a low-yield, cotton-producing area, privately owned. INAZUCAR has plans to develop sugarcane production in this area with an initial start already made in growing required seed material. Within two years, INAZUCAR expects to develop 7,000 hectares with sugarcane from 300-400 growers. INAZUCAR expects to relocate two sugar mills with a daily grinding capacity of 3,500 tons with an investment per mill estimated at about US$4-5 million. Of this, 25 percent will be in foreign exchange, primarily for

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6/ One of these is owned by Instituto Salvadoreno de Fomento Industrial (INSAFI), and another by ISTA while the third was acquired under earlier land reform activities as an investment by the State.

mill and transportation equipment. 7/ The funds needed would cover the cost of moving the two sugar mills, mill operational improvements, storage facilities for sugar and molasses, and sugarcane loaders and vehicles. INAZUCAR's plans, however, need to carefully assess present and future sugar prices before embarking on significant new investments for sugar production.

69. INAZUCAR also plans to upgrade all the country's sugar mills to improve their operation and increase their production capacity. The agency estimates that such replacement of machinery and equipment would cost at least C 4 million. Expenditures would also have to be made for sugar storage facilities and additional tanks for storing molasses. However, these investments would depend on more normal conditions in the country.

Basic Grains

70. Basic grains (corn, beans, rice, and sorghum), represent the basic nutritional component in the popular diet and an important generator of employment and income, especially in the low-income population. Government food policy has been directed at increasing production. The aim was to assure more adequate and stable supplies, especially for people heavily dependent on these foods for their subsistence. While notable progress was made until recently, internal unsettled conditions and other developments have strongly influenced recent annual crop results. Both crop area and output of basic grains have tended to fluctuate from one year to another. In terms of the total land area and output of all basic food grains, the peak year was in 1979-80. Most notable development in 1980-81, the first year of agrarian reform was the record production of corn and rice, which was partly due to late receipt of credit by ISTA coops, which interfered with planting other crops. Corn output, however, dropped in 1981-82 while production of other basic grains continued its decline from the 1979-80 level.

Table 15: EL SALVADOR: AREA AND OUTPUT OF BASIC GRAINS, CROP YEARS 1977-78 THROUGH 1981-82

(in thousands of hectares and metric tons)

	1977-78		1978-79		1979-80		1980-81		1981-82 a/	
Products	Area	Output	Area	Output	Area	Output	Area	Output	Area	Output
Corn	244.6	379.7	264.1	506.9	275.7	522.8	291.1	526.6	276.2	499.9
Beans	52.5	33.7	51.7	42.9	55.0	46.5	52.4	39.9	49.7	38.3
Rice	12.4	32.8	13.9	50.8	14.8	58.2	16.8	60.7	13.8	50.1
Sorghum	132.0	151.1	136.6	161.8	143.4	160.3	119.4	139.9	115.4	135.7
Totals	441.5	597.3	466.3	742.4	488.9	787.8	479.7	767.1	455.1	724.0

a/ Estimated.

Source: MAG Oficina Sectorial de Planificacion Agropecuaria (OSPA).

7/ INAZUCAR estimates that a new mill would require an investment of US$ 11,000 per ton of installed capacity.

71. Average yields of basic grains have varied rather widely from year to year. In spite of upgraded cropping practices, vagaries of weather still play an important role in determining yields with its influence on plant diseases and use of nutrients. This highlights the urgency for assuring some reserve stocks as a margin of food security from one crop harvest to another.

Table 16: EL SALVADOR: BASIC GRAINS AVERAGE YIELDS PER HECTARE, CROP YEARS 1977-78 THROUGH 1981-82

(in kilograms per hectare)

Product	1977-78 Yield	1978-79 Yield	1979-80 Yield	1980-81 Yield	1981-82 a/ Yield
Corn	1,552	1,920	1,896	1,809	1,810
Beans	642	829	845	760	771
Rice	2,633	3,660	3,947	3,618	3,620
Sorghum	1,144	1,184	1,118	1,172	1,176

a/ Estimated.

Source: MAG Sectorial Planificacion Agropecuaria (OSPA).

72. During the 1976-77 to 1980-81 crop years, except for sorghum, total costs of producing basic grains increased rather sharply. Corn production costs rose by 60 percent, beans costs more than doubled, and rice costs increased 40 percent. About 25 percent of the 1980-81 production costs of growing basic grains was spent for seeds, fertilizers, insecticides, and other essential materials. Nearly 30 percent of the costs represented expenditures for planting, cultivating and harvesting.

73. Agrarian reform cooperatives, with their ready access to credit and inputs, are expected to increase their participation in the production of basic grains. Before the reform, there reportedly were about 250,000 farming units that produced such crops mostly on farms of less than 10 hectares and occupied around one-fourth of the total farm area.

74. Government guaranteed producer prices are an incentive to increase production of basic food grains, especially corn, beans and rice. For 1980-81, these prices were set at C 24 (US$9.60) per quintal for corn, C 100 (US$40.00) for beans and C 33 (US$13.20) per quintal for rice. The initial guaranteed price for beans in 1980-81 was C 70 (US$28.00) but it was soon increased to C 100 (US$40.00) due to tight supplies.

e) Cottonseed

75. The principal domestic source of vegetable oil is cottonseed from the country's production of cotton. The supply of cottonseed varies with the size of each year's cotton crop. In 1980-81, it was nearly 63 percent below the previous year and about one-half the peak 1977-78 volume. The yield of cottonseed after the cotton ginning process averaged 59 percent of the product

produced by growers. In past years, cottonseed held for planting was in the range of 88-110 thousand quintals with the remaining supply used for processing into edible oil. Domestic consumption of cottonseed oil is at an annual level of 20,000 metric tons but local production is now only about 50 percent of the volume required.

Table 17. EL SALVADOR: COTTONSEED PRODUCTION AND PERCENTAGE YIELD FROM RAW COTTON, CROP YEARS 1976-77 THROUGH 1980-81

(in thousand quintals)

Year	Raw Cotton	Cottonseed	Yield (percent)
1976-77	4,315.6	2,586.1	59.9
1977-78	4,946.6	2,914.0	58.9
1978-79	4,408.3	2,592.0	58.8
1979-80	4,004.0	2,372.0	59.2
1980-81	2,602.9	1,487.0	57.1

Source: Cooperativa Algodonera Salvadorena (COPAL).

76. COPAL sells all domestically produced cottonseed to local processing mills at prices set by the Ministerio de Economia. The price has increased 40 percent since 1977-78. The 1980-81 price was C 17.50 (US$7.00) per quintal compared to C 12.50 (US$5.00) per quintal in 1976-77.

f) Other Agricultural Products

77. Other food crops for local consumption are relatively insignificant in land area requirements and volume of output, although important to consumers. The table below shows area and yields for some of these crops.

Table 18. EL SALVADOR: AREA AND PRODUCT YIELD OF SELECTED FOODS, CROP YEAR 1980-81

Crop	Area	Product Yield
	(manzanas)	(metric tons)
Sugarcane for panela	3,000	1,500
Peanuts	435	310
Tomatoes	2,290	20,800
Oranges	7,000	97,700
Pineapples	1,850	17,600
Watermelons	2,750	4,000
Mangoes	1,000	13,600
Cashew	4,000	2,200
Coconuts	5,700	53,000

Source: MAG Direccion General de Economia Agropecuaria.

g) Livestock and Poultry

78. El Salvador's livestock sector has been seriously undercut as the result of a combination of factors, which have adversely affected meat, milk, and poultry production. These included decapitalization of herds; indiscriminate slaughter, stealing, and slaughter of animals by participants in the civil strife; and the discouragement of raising cattle and hogs owing to the uncertainties created by the agrarian reform. The country's national cattle herd has been diminished by about 200,000 head since 1979, the 1982 population is estimated at 1.1 million heads. Both the tonnage of meat produced and the average yield per animal slaughtered have dropped sharply since 1979. It may be several years before the national livestock population recovers its 1979 size.

Table 19. EL SALVADOR: CATTLE POPULATION, NUMBER SLAUGHTERED, MEAT PRODUCED AND CARCASS WEIGHT YIELD, 1978 THROUGH 1982

Year	Population	Slaughter	Volume of meat	Average Yield
	(thousand)	(thousand)	(thousand MT)	(kilos)
1978	1,236	221	36	163
1979	1,294	240	40	167
1980	1,289	204	33	162
1981	1,172	188	30	160
1982 a/	1,100	200	32	160

a/ Estimated.

Source: MAG and U.S. Department of Agriculture, Foreign Agriculture Circular of December 1981.

79. El Salvador has two meat packing plants that are shipping meat to the United States. In March 1980, these plants lost their eligibility because U.S. Department of Agriculture inspectors found excessive levels of pesticide residues. Following corrective measures, both establishments were permitted to resume exports by mid-1981. In 1979, meat shipments to the United States totalled over 4,500 metric tons a year; little more than 900 metric tons were exported in the 1981 months after eligibility was restored. An early 1982 forecast of meat exports places possible shipments to the United States at nearly 4,000 metric tons.

Dairy Production

80. Dairy cattle have suffered the same adverse conditions as beef cattle. As a result, milk production declined to 342 million liters in 1981 or about 84 percent of the 1979 peak level of 409 million liters.These figures compare with 253 million liters in 1975. A major result is the sharp rise in imports of powdered milk.

Poultry

81. Poultry production increased dramatically since the mid-1970s, and became an important source of protein. Poultry has been encouraged by the Government as a cheaper substitute for red meat. In mid-1980, there were about 9 million head of poultry, of which 4.2 million were in family units and 5 million in commercial establishments. Large flocks had 3.3 million in 1976. Commercial poultrymen alone had over 3 million egg laying birds, nearly 1.8 million broilers and well over 700 thousand breeders. There were nearly 200 commercial poultry farms of which about 100 were producing eggs and 60 raising broilers with the remainder engaged in breeding operations. Egg production was estimated in 1980 at more than 580 million eggs compared with 490 million in 1976. The total output of poultry meat during the June-May period of 1979-80 was placed at nearly 34.2 million pounds of which approximately 29 million pounds were marketed.

Swine Production

82. There are less than 400,000 head of swine in family units. MAG has set a tentative short-term goal of encouraging swine production. For the time being, however, much of the required effort will have to await more favorable conditions in the countryside.

Livestock and Poultry Production Problems

83. El Salvador does not have the area for extensive livestock raising but it can increase productivity from natural and other pastures by improved management through brush and weed control, reseeding, use of legumes, fertilization, prevention of overgrazing and rotational grazing. Plant materials along with farm and processing factory wastes should be conserved for animal feeding because the possibilities for growing feed grains for cattle, swine and poultry are highly restricted in view of the importance of grains as a food for human consumption. There are also substantial supplies of by-products available from sugar, flour and rice milling, oil extraction, slaughtering, and other related processing operations that could be more fully utilized as feed. Nevertheless, the main feeding source would continue to be pastures, especially improved

pastures with the introduction of legumes. But a gap in feed supplies, especially grain concentrates and protein meals, would have to be made up, as in the past, through imports of corn, grain sorghums, soybean meal and other protein meals.

84. A major problem in the livestock sector is low productivity, especially in cattle. There is much room for upgrading of livestock through improved care and management and attention to selection and breeding. Nutrition is vital in the slaugher weight of animals and the volume of milk produced per cow and poor nutrition is a major factor contributing to low productivity. It also provides a good base for disease and parasite infection. Under such circumstances, calving rates are a deficient 60 percent or less; with improved conditions, they could be up to 70-75 percent. Moreover, calf mortality at a 10 percent rate in poorly attended herds could be reduced to around 5 percent. Improved pastures are essential for good livestock management. They permit a carrying capacity of four animals per hectare instead of only one or two under poor or deficient pasture conditions. This is in strong contrast with the poultry segment where more satisfactory conditions prevail due to improved breeds and breeding of egg laying and broiler flocks.

Fishing

85. The commercial fishing fleet in 1981 consisted of 84 boats, of which 73 are operated by 11 companies engaged in catching shrimp mostly for export frozen to the United States. Three other companies with eight boats specialized in catching langostinos, identified either as large shrimp or small lobsters. In addition, the Ministry of Education has one commercial boat for general fishing activity and the Government recently acquired two tuna fishing vessels. El Salvador has five processing companies with freezing and storage facilities. Three of the plants are located at Puerto El Triunfo and freeze shrimp while the other two at La Union handle langostinos. The five plants have adequate capacity to freeze and store catches at their present levels, but they would have to be expanded if the shrimp and langostino production potential is further exploited.

86. Production of all fish in 1980 totalled 7.2 thousand metric tons valued at nearly C 49 million. Commercial production represented 69 percent of the total volume and 88 percent of the value owing to the higher value of shrimp and langostinos. Shrimp alone accounted for nearly 3.2 thousand metric tons with a value of some C 32 million. The artisan fishing volume approximated 2.3 thousand metric tons with a value of nearly C 6 million. Aquaculture accounted for only 6.6 metric tons valued at C 0.1 million.

87. Recognizing the fisheries potential, the Government has invested in deep water and traditional fishing operations. The Government's two tuna boats were to be a start in fostering private enterprise commercial tuna operations in nearby and international waters. It is estimated that this activity could produce an annual minimum catch of 6,000 metric tons of tuna for export to the United States in frozen form. Programmed for 1982 was the construction of infrastructure for the fish port industrial zone at La Union. For servicing the artisan fishing fleet, which has an estimated 900 boats, three wharves are under construction in Acajutla, El Triunfo, and El Tamarindo.

C. Rising Dependence on Food Imports

88. El Salvador is up against the problem of financing both food and other import requirements of its expanding population and troubled economy. Despite recent efforts to lift domestic food output, reliance on agricultural imports has increased to make up for production deficits. Essential food imports have been given priority in expenditures of foreign exchange, even though the country's ability to earn foreign exchange has been impaired. The value of total food imports rose 120 percent from 1976 to 1980; most of the increase took place in 1980. Imports of fats and oils more than doubled between 1978 and 1980. Large increases also took place for imports of milk products, beans, fruits, etc. (See table below.) Furthermore, El Salvador became a heavier consumer of wheat. As the internal unrest continues, overall agricultural output deficits are likely to increase during 1981-83 and thus imports of food commodities. While import prospects for potatoes and vegetables are relatively stable, bean imports during 1982 and 1983 are expected to be considerably higher. Substantial imports of fats and oils and protein meals are also expected. A major factor is the progressive reduction of cotton production and cottonseed.

Table 20: EL SALVADOR: VALUE OF TOTAL FOOD PRODUCTS AND RELATED SELECTED AGRICULTURAL COMMODITY IMPORTS AS COMPARED WITH ALL IMPORTS, ANNUAL 1976, 1978, AND 1980

(thousand dollars)

Item	1976		1978		1980	
	Value	%	Value	%	Value	%
Food Products	67,471	9.2	105,645	10.3	149,099	15.0
Of which:						
Milk Products	12,018	1.6	19,891	1.9	23,428	2.4
Wheat	18,158	2.5	17,626	1.7	26,215	2.6
Corn	211	-	13,822	1.3	131	-
Fruits and preparations	5,824	0.8	11,077	1.1	20,460	2.1
Other Cereals & preparations	3,736	0.5	5,357	0.5	9,604	1.0
Beans, Other legumes and Potatoes	8,678	1.2	9,956	1.0	33,666	3.4
Fats and Oils	9,803	1.3	8,160	0.8	19,415	2.0
Animal Derivates	5,147	0.7	6,514	0.6	14,262	1.4
Vegetable Origin	4,656	0.6	1,646	0.2	5,152	0.5
Total All Imports a/	734,684	100.0	1,027,378	100.0	992,978	100.0

a/ Totals have small diferences with balance of payments figures on other tables.

Source: Direccion General de Estadistica y Censos.

89. El Salvador is being assisted by the United States under PL 480 in financing essential food imports and other agricultural commodities. Wheat purchases in fiscal year 1980-81 were funded under PL 480 provisions to the extent of US$11.8 million; the U.S. made also available US$30 million in credit guarantees in 1981 to finance imports of specified agricultural commodities, such as dry beans, corn and tallow. For 1982, the U.S. Government authorized export credit guarantees for up to US$19.5 million for sales tallow, protein meal, vegetable oils, and meat and/or bone meal.

D. Agricultural Exports

90. Even with assistance from outside sources, El Salvador has to earn foreign exchange in order to pay for needed imports. Now, the country is operating on a slim margin in its ability to meet essential needs. Reduced earnings from exports have forced belt tightening measures and imposition of priorities on import commodity procurement. Maintenance of agricultural exports is essential in this context. Agricultural exports reached a peak in 1979 with coffee exports contributing 64 percent of this total, cotton 7 percent and sugar 2 percent. In 1980, however, the value of coffee exports declined by one-third and as a result the coffee share decreased to 54 percent. Out of total exports of C 2.4 billion coffee contributed C 1.3 billion. In 1981, the value of exports dropped even lower as a result of relatively unfavorable international prices combined with lower agricultural production because of unrest, instability, and the agrarian reform.

Table 21: EL SALVADOR: VALUE OF TOTAL FOOD PRODUCTS AND RELATED SELECTED AGRICULTURAL COMMODITY EXPORTS 1976-1980

(thousand dollars)

Item	1976		1978		1979		1980	
	Value	%	Value	%	Value	%	Value	%
Food Products	461,535	62.1	474,157	55.9	823,815	67.4	658,337	61.5
Coffee, All Forms	406,404	54.7	440,253	51.9	779,620	63.7	624,141	58.3
Shrimp, Fresh	11,839	1.6	10,675	1.3	12,571	1.0	17,065	1.6
Sugar, Unrefined	40,512	5.5	18,914	2.2	26,828	2.2	13,224	1.2
Candy	2,280	0.3	2,966	0.4	2,481	0.2	1,791	0.2
Fruits, Fresh	500	0.1	1,349	0.2	2,315	0.2	2,116	0.2
Other Products	65,846	8.9	104,002	12.3	90,986	7.4	91,848	8.6
Cotton	64,142	8.6	100,469	11.8	87,003	7.1	87,096	8.1
Sesame Seed	1,120	0.2	3,123	0.4	3,196	0.3	3,972	0.4
Fats and Oils	584	0.1	410	-	787	0.1	780	0.1
Total All Exports a/	743,268	100.0	848,196	100.0	1,223,181	100.0	1,070,320	100.0

a/ Totals have small differences with balance of payments figures in other tables.

Source: Direccion General de Estadistica y Censos.

II. AGRARIAN REFORM AND ITS IMPACT

A. Early Trends

91. The skewed pattern of land tenure and the evergrowing need to provide more opportunity for more people has long been recognized as one of the most important social and political issues in El Salvador. In fact, the basic problem of land tenure itself goes back to 1881 when communal forms of landholding were eliminated. This gave rise to the development of large estates or haciendas. A range of small and medium farms also came into being along with mini-plots in individual holdings.

92. The land tenure situation that developed is fully reflected in the results of the 1971 agricultural census. Of about 270,868 farms with a total land area of 1,451,894 hectares, 71 percent were under 2 hectares with only 10.4 percent of the total land area. The census showed 92.4 percent of the farms as being under 10 hectares in size with only 21.1 percent of all the farmland, while 0.8 percent of all the farms covered 39 percent of the total farmland. Those in the 100 to 1,000 hectare range constituted 0.7 percent of all the farms but had 30 percent of the country's total farm area; farms of 1,000 hectares and more represented only 0.1 percent of all farms but 8.5 percent of the national farmland.

93. On the large estates that developed, the farm labor force consisted of colonos, who usually worked without any monetary compensation but with provision of a plot of land on the hacienda and housing, along with some limited family support services. A 1965 legislation sought to eliminate the colono system by setting fixed minimum wages. Colono labor, which previously had been cheap, became more costly, surplus labor was evicted from the big estates and these families had to scrounge around, relocating as best they could. This greatly added to the already high number of landless laborers and their families, estimated at 150,000. The unemployment rate increased substantially,except during peak season farm work periods.

94. Since substantial numbers of farmers (perhaps 60 percent of the total) had gone into farming as renters, legislation was enacted in 1974 establishing guidelines for rental agreements. The objective was to achieve fair treatment for those farming under rental agreements.

95. The Salvadorian Institute for Agrarian Transformation (ISTA) was created in 1975. It was responsible for executing agrarian reform projects in ways that would profoundly modify the land tenure system. The general objectives were to improve social, economic and living conditions of campesinos as well as raise their incomes through provision of land, supporting services and other aids to increase agricultural output and productivity.

96. After securing passage for a comprehensive land reform law in 1975, ISTA's plans to redistribute a large amount of land in what presently is the country's largest cotton area met vigorous opposition by large landholders, and the agrarian reform program could not be implemented. This came about with changes in the agrarian reform law which undercut ISTA's authority to redistribute land. Political unrest subsequently became greatly intensified with growing social and economic dissatisfaction.

B. The Basic Agrarian Reform Law

97. Although there was some improvement in the 1970s, the basic agrarian reform law (Decree No. 153) was issued in March 5, 1980; this has been characterized as a historic date. The decree set limits on large holdings of agricultural land in private hands. It also prescribed certain requirements governing the ownership and use of land to serve a social function. This revolutionary start aimed at balancing the land tenure system by redistributing the land to the workers of the large haciendas and to the minifundistas on rented land. The main goal was to give some land to the peasants. The reform was launched under difficult political conditions and in the middle of a guerrilla warfare. This explains some of its shortcomings; however, it must be said that apparently some likely consequences were not fully recognized, particularly the negative impact on agricultural production of the reform in a country with limited arable land and highly dependent on a few export crops for rural employment, income, and foreign exchange. This is to be expected from any radical transformation of the land tenure system, as the experience of other countries has shown. To ensure the success of the reform and compensate for the expected drop in production, a massive inflow of additional foreign and technical assistance was required, at least during a transitional period. This has not been the case in El Salvador. Nevertheless, the agrarian reform has accomplished significant land redistribution; it has benefitted about 60,000 families (35,000 plantation workers' families and 25,000 minifundista families), or about one-fourth of the estimated number of peasant families, who were renting a small parcel of land or were landless. In addition, over 100,000 minifundista families may benefit through new allocations under the land-to-the-tiller program. The next few paragraphs will analyze some of the positive results, as well as shortcomings of the agrarian reform. 8/

C. Phase I

98. Government Decrees Nos. 153 and 154 provided for the immediate implementation of the agrarian reform. ISTA was designated as executing agency, and authorized to take possession of properties and chattels in holdings exceeding 500 hectares. This was Phase I. Although Decree No. 153 is also applicable to holdings between 100 and 500 hectares, action on these properties (Phase II) was not included in Decree No. 154 and still remains in abeyance. The resulting uncertainty among these intermediate size landholders has generated a wait and see attitude with an adverse impact on their production and productivity.

99. Decree No. 153 also provides the basis for yet a third step (Phase III) of agrarian reform, which was implemented through Decree No. 207 issued April 28, 1980, which has become known as the land-to-the-tiller law. It enables those farming land under rental, share cropping or other such arrangements to become owners of the ground so tilled.

8/ Some shortcomings of the agrarian reform has been recognized by Salvadorian authorities. See, for example, ISTA, El Proceso de Reforma Agraria en El Salvador, July 1981 (page 22) and Comision de Reforma Agraria Nacional, Fundamentos y Perspectivas del Proceso de Reforma Agraria en El Salvador, September 1981 (pages 28-32).

100. ISTA made a strong start to carry out its mandate of expropriating landholdings that exceeded 500 hectares. The initial action, with military support, was directed at large haciendas targeted for this particular intervention. With what it figured was an ample force of technicians and other personnel, the agency vigorously undertook its assignment. In its preparations for moving forward with its agrarian reform assignment, ISTA made arrangements for a wide range of needed personnel from all major Ministry of Agriculture units and related agencies. Their specific work included taking possession of haciendas, development of farm operation and management plans, providing technical assistance, programming of credit, budget administration and performing various other operating functions. However, this resulted in a drain of technical and other essential workers from various entities. For example, Centro Nacional de Tecnologia Agropecuaria (CENTA) assigned to ISTA 185 technicians from its extension division.

101. The record shows that between March 6 and June 30, 1980, ISTA intervened 229 properties. As expropriation progressed, the agency organized, where feasible, hacienda colonos into cooperatives or related organizations to get agricultural production going again on these farms. On smaller properties, Decree 842 permitted ISTA to parcel them out among individual farmers rather than develop cooperatives to farm them.

102. ISTA soon discovered that, in anticipation of a possible expropriation, many haciendas had been decapitalized by their owners. This was done in large part through sale or other disposition of livestock, tractors and machinery. Restoration of tractors and other essential items had to be a first order of business to get a hacienda back into production. But such and other related expenditures required investment capital which neither the organized cooperatives nor ISTA had to spare.

103. From the start it was recognized that with the rounding up of personnel from other agencies and its own recruitment, ISTA staff responsibilities would grow as expropriation and related activities expanded and these workers would play an increasingly important role in the development, promotion, and operation of cooperatives. In effect, it was their job to make agrarian reform work in achieving the goals set by the basic mandate. Unfortunately, it turned out that ISTA was short on staff and other assistance in almost every category and many of those engaged were also lacking in needed experience as well as competency. In fact, shortly after the intervention process got underway, it became apparent that ISTA, and for that matter the Government itself, had underestimated the size and scope of the tremendous assignment undertaken in implementing the Basic Agrarian Reform Law and that advance planning had been insufficient. For example, apparently no solid determination had been made on overall ISTA operating and investment capital requirements for the first year. Thus, ISTA had to obtain emergency credit from the Central Bank to permit onward lending so that agrarian reform cooperatives could finance their initial cycle of crop production.

104. The agrarian reform cooperatives and related organizations need a great deal of bolstering through competent management, training, member education, and provision of extension and technical assistance or advisory services. The requirement for such varied support rests against the realization that it takes more than the unprepared colonos to formulate policy, plan, direct the cooperative and to run the farm as a business operation. In all of this, the

greatest weakness is in the transfer of technology and provision of technical assistance; the number of qualified personnel engaged in this work so far has been inadequate.

105. Agrarian reform had displaced most of the original administrative and management personnel on haciendas taken over. The evidence shows, however, that on the limited number of haciendas where original management had been retained, the farms were both more efficient and productive than others that had been expropriated. A large percentage of the intervened agricultural properties had utilized a high degree of technology, operated efficiently, made good use of land resources and had a big capital investment. These constituted the most productive category of farms in each segment of agricultural production. It is against this background that agrarian reform Phase I cooperatives are now functioning.

106. The Agrarian Reform Law prescribes that administration of acquired property should be subject to a system of co-management between ISTA and the cooperatives or other related organizations to which the particular holdings were assigned. This is expected to last for some time before the cooperatives are ready for self-management. ISTA assigns to each cooperative a technician, preferably one with some management training or experience, to serve in a co-management role with the organization's board of directors. The aim, of course, is to achieve agrarian reform objectives, continuance of production and productivity along with care and maintenance of the acquired property. In ISTA's view, the technician's relationship with the board is to provide advice and guidance concerning hacienda business and operating matters. At the time of takeover, colono beneficiaries were encouraged to continue the same production pattern and techniques utilized by the former property owner with backstopping support in the form of credit and technical assistance. In addition to the assistance that its own staff may be able to supply, ISTA relies on governmental agencies, such as CENTA, to provide extension and technical assistance services in agricultural production, with the nationalized banks advising in areas of credit and finance.

107. ISTA does not have enough competent staff to meet the full time co-management needs of many cooperatives. Therefore, the agency spread its personnel among various cooperatives to serve as co-managers on an intermittent or part time basis. In agrarian reform haciendas with cooperatives, around 80 percent had a technician, but some two-thirds of these worked only part time.

108. The time period for co-management of any given cooperative is a question that still remains to be resolved. A co-management provision written into the first land title ISTA provided to a cooperative stated that ISTA co-management would continue for a 5-year period and could be renewed for an additional five years if necessary. It also provided that ISTA could "retake management" at any time deemed necessary in the future. The apparent underlying intent, however, was that, after a suitable period of co-management, the cooperative should have gained enough experience to run its own affairs and ISTA would pull out of its management role. The cooperative would manage itself with the organization's board of directors responsible for policy decisions and possibly hire a manager. This, however, will require that ISTA co-managers provide significant training to the peasants in order to achieve self-management.

109. Within a period of less than 19 months after its initial Phase I agrarian reform intervention on March 6, 1980, ISTA acquired a total of 326 properties with 223.7 thousand hectares, (nearly 11 percent of the total national area) which incorporated some of the best agricultural lands in the country.

Table 22: EL SALVADOR: NUMBER OF AGRARIAN REFORM PHASE I PROPERTIES, TOTAL AREA, AND NUMBERS OF ORGANIZATION MEMBERS AT OCTOBER 31, 1981

Department	Properties		Members
	Number	Hectares	
Ahuachapan	27	16,317.00	2,610
Santa Ana	27	19,349.70	2,141
Sonsonate	37	25,652.34	4,095
Chalatenango	9	7,488.33	1,032
San Salvador	13	10,776.20	1,433
La Liberyad	53	38,718.94	6,122
Cuscatlan	3	3,443.00	421
Cabanas	2	729.19	35
La Paz	2	1,298.00	4,186
San Vicente	44	26,687.17	1,748
Usulutan	27	10,060.33	5,869
San Miguel	46	27,461.21	2,141
Morazan	19	19,734.80	700
La Union	17	16,024.80	2,125
TOTAL	326	223,741.01[a]/	34,658

a/ Calculating 6 family members, the beneficiaries were about 208,000.

Source: ISTA-Gerencia Operaciones Agrarias y Desarrollo Comunal Campesino.

110. Although all holdings in excess of 500 hectares were subject to takeover under Phase I, the properties actually acquired may be divided into two main groups. One consists of those properties with more than 500 hectares (about 56 percent) and the other covering holdings of less than 500 hectares. Expropriated properties with less than 500 hectares had formerly consisted of various noncontiguous holdings owned by one owner who in total possessed more than 500 hectares.

Table 23: EL SALVADOR: NUMBER AND AREA OF AGRARIAN REFORM PHASE I BY DEPARTMENTS AND SIZE GROUPS AT OCTOBER 31, 1981

Department	Over 500 Hectares		Under 500 Hectares a/		Combined Totals	
	Number	Area	Number	Area	Number	Area
Ahuachapan	14	12,627.80	13	3,689.20	27	16,317.00
Santa Ana	16	17,706.30	11	1,643.40	27	19,349.70
Sonsonate	25	23,170.40	12	2,481.94	37	25,652.34
Chalatenango	4	6,315.00	5	1,173.33	9	7,488.33
San Salvador	9	10,092.40	4	683.80	13	10,776.20
La Libertad	36	33,828.60	17	4,890.34	53	38,718.94
Cuscatlan	1	2,719.00	2	724.00	3	3,443.00
Cabanas	1	646.80	1	82.39	2	729.19
Morazan	1	833.00	1	465.00	2	1,298.00
La Paz	16	19,600.30	28	7,086.87	44	26,687.17
San Vicente	8	5,732.80	19	4,327.53	27	10,060.33
Usulutan	24	22,315.00	22	5,146.21	46	27,461.21
San Miguel	15	18,814.00	4	920.80	19	19,743.80
La Union	13	14,534.90	4	1,489.90	17	16,024.80
Totals	183	188,936.30	143	34,804.71	326	223,741.01

a/ Represents the various noncontiguous properties owned by individual owners whose total holdings exceeded 500 hectares.

Source: ISTA - Gerencia Operaciones Agrarias y Desarrollo Comunal Campesino.

111. The general level of Phase I property expropriations apparently has stabilized with very few additional interventions anticipated. Although there is some discrepancy in ISTA statistical information, as of November 21, 1981 there was a total of 374 agrarian reform properties with 228.7 thousand hectares of land including earlier acquisitions. The size distribution of these holdings is shown in Table 24. Another ISTA agrarian reform accounting shows that at the end of December 1981, the agency had a total of 496 properties with 313,459 hectares. This total included 326 agrarian reform holdings with 223,741 hectares that had been taken over by the end of November 1981. There also were 63 properties, 8,266 hectares, that had been obtained through voluntary sales to ISTA. The remaining 107 properties, having 81,452 hectares, had been acquired by ISTA up to March 6, 1980 through adjudications.

Table 24: EL SALVADOR: SIZE RANGE DISTRIBUTION OF AGRARIAN REFORM PROPERTIES AS OF NOVEMBER 17, 1981

(hectares in thousands)

Size Range	Phase I Properties		ISTA Purchases and Earlier Acquisitions		Combined Totals	
	Number	Hectares	Number	Hectares	Number	Hectares
Up to 500 Ha. a/	108	27.3	84	14.3	192	41.5
From 501 to 1,000 Ha.	112	72.4	6	3.8	118	76.2
From 1,001 to 1,500 Ha.	35	38.5	1	1.1	36	39.6
From 1,501 to 2,000 Ha.	6	10.0	1	1.9	7	11.9
From 2,001 Ha and Over	18	51.7	3	7.8	21	59.5
Totals	279	199.8	95	21.3	374	228.7

a/ Includes noncontiguous properties of any owner whose total holdings exceed 500 hectares.

Source: ISTA

112. About 34,658 organization members were involved in the expropriated properties but the beneficiaries totalled over 200,000 persons--an average of six beneficiaries per member. The greatest number of the Phase I holdings are in the Department of La Libertad with 16 percent of the properties and 17.3 percent of all the expropriated land. This department also led in both the number of organization members and beneficiaries. Ranking next in order in terms of both the number of properties and the amount of land included in them were the Departments of San Miguel and San Vicente; the Department of Cabanas was at the bottom of the list.

113. Under Decree 153, Phase I, properties were to be assigned to agricultural cooperatives, associations of campesinos or other organizations of agricultural workers. Thus on each hacienda taken over, ISTA had to set up a cooperative or other organization vested with production responsibilities and suitable to the particular circumstances of the property. On the 326 properties that had been acquired, ISTA established cooperatives on more than half of them (187 cooperatives with 20,159 members). The campesino groups totalled 78 with 12,027 members. In the process of being organized were 61 groups with 2,472 members.

114. Most of the production cooperatives organized were in the Department of Sonsonate where the number totalled 27 with 2,990 members. The Departments of La Paz and Usulutan each had 25 cooperatives with 2,333 and 3,150 members respectively. The greatest concentration of campesino associations was in the Department of La Libertad where there were 26 haciendas with such groups and a total of 3,915 members.

115. From its very start in March 1980, the agrarian reform process has been plagued by social and political unrest and violence. During the first year in which intervened properties were being organized into production cooperatives and campesino groups, 55 such organizations were confronted with problems and obstacles arising out of the prevailing situation. Despite such roadblocks, these particular organizations, according to ISTA, managed to continue functioning. There were, however, another 26 such agrarian reform organized groups that were forced to abandon their efforts as the result of high levels of violence, insecurity and even loss of life.

116. As of November 1981, ISTA reported that owners of about one-fifth of the Phase I haciendas had been indemnified. Indemnification payments had been made on about 70 haciendas for C 110.7 million. Of this amount, C 10.5 million was paid in cash and close to C 100.2 million in 6 percent interest bearing long-term bonds. In this regard, ISTA has taken some time in determining, from information previously supplied, the indemnification that should be paid on each expropriated hacienda. Furthermore, ISTA does not have the total financing required to pay the remaining indemnities that still should be made on haciendas.

117. A close issue is that of determining the financial liability that a cooperative group assumes when it receives from ISTA title to an assigned hacienda. Each group is expected to cover amortization and interest paid to the former owner. There also is an assessment of rent until the title is actually transferred to the group. The cooperative group assumes the debt on its assigned hacienda, in keeping with the terms (20, 25, or 30 years) of the particular bond issues to the former owner of the property. In any event, ISTA has not yet gone through the necessary calculations to determine the payments that might be required to amortize the obligation. Reportedly, only two cooperatives have so far been able to begin making payments on their debts. The title issuance process can and must be expedited to provide the basic linkage between the cooperative as a viable entity and its assigned property on which the members along with their families must rely for sustenance.

118. ISTA issues titles to the cooperative groups. The law makes no provision for ownership of the land by the campesino. Thus the individual member has no vested interest in the property other than being part of the organized group in which membership is held. In such circumstances, there is no clear property right that can be passed on as an inheritance which is the same situation that prevailed in the member's former status as a colono under a hacienda patron or owner.

119. The rights and obligations of cooperative members as well as the rights and obligations of a cooperative to its members under the agrarian reform legislation require elaboration and clarification so that they may be readily understood by the beneficiaries. Especially important is the question of property rights since it is the cooperative membership labor force that produces the wealth from its farming operations. Thus, from these earnings the cooperative has the financial ability to meet current obligations, build assets, promote savings and provide beneficial services. Unless settled, the question of property rights alone incorporates elements which in the long run could undermine the agrarian reform participants and generate dissatisfaction among them.

D. Phase II

120. The real heart of El Salvador's agricultural sector and its strength consists of the farm holdings in the 100 to 500 hectares range. From this group, the economy derives most of its output and export earnings while providing substantial employment and incomes for a large segment of the population. This is the category of properties which would be affected by whatever decision the Government makes in settling the Phase II Agrarian Reform. So far, planning for Phase II appears both inadequate and indecisive. From the very start, the scene has been dominated by increasing uncertainty and insecurity coupled with fear among the property owners. Even before Phase I, there was a start of decapitalization, a slowdown in making investments, relaxation of normal management practices and a general holdback in positive decision making. The Government sought to provide certain assurances and even added incentives so owners of properties in the 100 to 500 hectares range would be encouraged to maintain production levels. But uncertainties and hesitancies still persist along with the unrest and other difficulties.

121. Properties in the 100 to 500 hectares range total about 1,750 farming units with nearly 345,000 hectares of land (over 24 percent of the country's farm land). The holdings are widely distributed over the country. They include about 15 percent of the most productive land in coffee.

122. Based on the experience with Phase I, it should be clear that following through on Phase II in any manner similar to that of Phase I would require many times the present staff numbers with comparable increases in funding. The administrative and technical manpower needed, both in numbers and degree of competence, simply is not available now or in the near future. Allowing for non-contiguous holdings, Phase II involves over 2,000 properties--six to seven times the number of properties expropriated under Phase I--and correspondingly will require an expansion of ISTA's personnel and services in about the same proportion. At this time, such an undertaking may well be extremely difficult if not impractical from the standpoint of both the agricultural sector and the national economy, considering the productivity, structure and dispersion of holdings in the 100 to 500 hectares range group.

123. In any case, as matters stand, there remains the need for firm plans to eliminate the prevailing uncertainty with respect to Phase II. Phase I dealt with very large properties to eliminate great concentrations of land and afford more opportunities for more people. Elements of the same problem exist in the range of property holdings affected by Phase II. However, all factors considered, Phase II requires an entirely different approach. While land redistribution is still justified on equity grounds, implementing Phase II in a manner similar to Phase I has little economic justification. In order to reduce the production decline, some compromise solution, balancing production and redistribution objectives in a way that encourages present owners to divest part of their holdings, is needed, perhaps by dividing the holdings into economically viable farms, related to soil quality. Each unit would require backstopping support of effective extension and technical assistance services along with adequate credit for which the Government scarce trained manpower should be substantially expanded.

E. Agrarian Reform Phase III, Land-to-the-Tiller

124. The basis for Phase III of agrarian reform was included in Decree 153, the Basic Agrarian Reform Law, but Decree No. 207 of April 28,1980 implemented this reform. The purpose of this decree was to broaden agrarian reform to include renters, sharecroppers and other small farmers who had been working land without having title to it. Under Decree 207, these campesinos could acquire up to seven hectares of land previously rented by them. This aspect of the reform was directed at the minifundistas.

125. The administration of Decree No. 207 originally vested in ISTA did not continue for long. Decree No. 525 of December 12, 1980 created the National Financiera for Agricultural Land (FINATA) which under Decree No. 71 of December 22, 1980 was designated to administer Decree No. 207. FINATA has developed a staff of about 200 to deal with the acquisition and distribution of land to qualified campesinos through 20 regional and field offices. The agency has provided its employees with extensive cadaster training to expedite property identification and titling procedures.

126. Land for purposes of Decree No. 207 may be acquired by purchase or by expropriation for holdings of plots below 100 hectares. Owners of expropriated land have the right to be paid 50 percent in cash and the remainder in bonds. Landowners in excess of 100 hectares receive payment in accordance with the Basic Agrarian Reform Law. Compensation is established in both cases on the basis of value stated in tax reports for the years 1976 and 1977.

127. Campesinos pay for the plot received an amount equal to the compensation allowed to the previous owner. Campesinos must pay in regular installments for amortization and interest during a period of no more than 30 years. Advance payments or full cash payments are also permitted with some discount. Beneficiaries under Decree No. 207 are limited to the respective family units. The land acquired may not be transferred or mortgaged in general but at a beneficiary's death, a transfer may take place and also the property may be mortgaged as collateral for agricultural loans from a credit institution, which may repossess and redistribute the parcel to other beneficiaries. In any event, when a plot is acquired by a participant, the beneficiary is tied down to that piece of land for a 30-year period, unless the property is otherwise pre-paid or repossessed.

128. Within its first year of operations, FINATA took aggressive action to develop an understanding among campesinos and even landowners as to how they could participate and benefit under Decree No. 207. The agency sought to provide answers to common questions raised in connection with the availability of land for allocation to campesinos and the acquisition of land from owners and their compensation. The land-to-the-tiller aspect, or Phase III of agrarian reform, has had the support of farm workers organizations. Until December 1981, FINATA had received a total of 31,619 applications for land titles. Since an applicant can file for more than one plot, up to the limit of seven hectares, as there were 24,735 potential beneficiaries for a total of about 40,000 hectares valued at over C 62.2 million (roughly one-fifth of the estimated number of minifundistas). The average price was about C 1,100 per manzana and fluctuating from a low of C 343 per manzana for the Department of Morazan to a high of C 1,588 per manzana of the Department of La Libertad.

Table 25: EL SALVADOR: BENEFICIARIES OF DECREE No. 207 AT DECEMBER 4, 1981

Department	Number of Applications	Actual Beneficiary Families	Land Area	Land/Per Family Ratio	Estimated Value	Average per Manzana
			(manzanas)		(colones)	
Ahuachapan	5,135	3,276	7,954.50	2.4	7,782,634	978
Santa Ana	5,627	4,263	6,413.46	1.5	7,557,500	1,178
Sonsonate	4,870	3,793	6,541.81	1.7	7,801,884	1,192
Chalatenango	371	292	742.38	2.5	848,354	1,142
La Libertad	4,159	3,089	7,576.81	2.4	12,038,727	1,588
San Salvador	526	409	909.40	2.2	776,687	854
Cuscatlan	1,121	895	1,395.98	1.5	1,769,556	1,267
La Paz	1,534	1,408	2,770.22	1.9	3,400,034	1,227
Caba as	768	518	894.20	1.7	778,468	870
San Vicente	872	694	1,893.57	2.7	2,795,748	1,476
Usulutan	1,662	1,765	7,833.65	4.4	10,924,379	1,394
San Miguel	2,203	1,690	4,135.52	2.4	2,536,153	613
Morazan	1,274	1,087	2,149.27	1.9	738,099	343
La Union	1,497	1,096	5,827.79	5.3	2,495,072	428
Totals	31,619	24,725	57,038.56	2.3	62,243,295	1,091

Source: FINATA, Division de Adjudicaciones.

129. The amount of land allocated in each department varied with both the number of applications submitted and the total beneficiary families. Most significant, however, is the resulting average amount of land per beneficiary family, which nationally averages about 2.3 hectares. In some departments the average is higher; in others, lower. Nevertheless, whatever amount of land up to 7 hectares a recipient may get, the fact remains that the 30-year ownership commitment virtually locks the individual to the allocated plot of land. Thus, the average beneficiary family of six is figuratively faced with wrestling from that bit of land little more than enough to eat unless able to take advantage of outside employment or other earning opportunity.

130. Of the more than 32,000 applications submitted for land, provisional titles have been delivered to nearly 50 percent, although actual recipients totalled only 14,874 because some recipients received more than one document. Benefitting family members raise the number of beneficiaries to 89,244. There is need for expediting the issuance of provisional titles. It has been estimated that Phase III might enable 125,000 campesinos to establish ownership rights on plots of land totalling perhaps 180,000 hectares which they worked under rental or other arrangements. Thus the present level of accomplishment indicates that much more remains to be done.

131. Phase III is likely to have an immediate positive impact on some beneficiary families; to the extent that the debt service payments on their property is less than their prior rent, they are better off. Nevertheless, considering the small size of the units that have so far been allocated, such an amount of land is barely adequate to provide subsistence for average families. Most of the land will probably be devoted to growing basic grains and perhaps a vegetable garden for family consumption. Only the few with more than average size holdings might have some excess production to sell locally. Since Phase III farmers will need inputs, such as fertilizer and seeds, Decree No. 207 beneficiaries may obtain some credit for production inputs but they need the provisional title to qualify. Furthermore, required extension and technical assistance services probably would be in short supply or not available. Finally, some acknowledgement must be made now that a longer term land reform process will be needed to consolidate and rationalize the new minifundista as other, urban employment opportunities are created for the country's many subsistence farmers.

Impact on Agricultural Production

132. Aside from the destabilizing and depressing effect that continued unrest and violence had on crop and livestock production, the advent of agrarian reform had its own adverse impact on the agricultural output. This was particularly true among the medium and large landowners whose holdings ranged upward from 100 hectares. Although actual implementation of agrarian reform provisions of Decree No. 153 was made applicable under Phase I to properties exceeding 500 hectares, there still remained Phase II which, if implemented, would apply to holdings of 100 to 500 hectares. From the outset, the mere possibility of expropriation raised chilling fears among their owners. Some undertook decapitalization by selling off livestock and farm implements. In the case of several large coffee plantations, beneficios or mills on these properties were stripped of machinery for storage elsewhere or other disposal to avoid possible takeover. In other instances, large landholdings were divided into smaller units which were then transferred under titles for individual ownership.

133. Entering its initial cropping cycle for Phase I acquired properties, ISTA was faced with the immediate problem of getting production underway. The cooperative groups that had been organized required capable management, extension and technical assistance, financing and other essentials for 1980-81 crop-year farming operations. At the same time, there was a shortage of all these basic elements along with a serious lack of experience. The very few cooperatives that had been able to retain original management of their allocated properties were indeed fortunate from the standpoint of operating experience and know-how that readily could be applied. A delay in rounding up operating and production credit as well as procuring such essential farm inputs as fertilizer, seeds and others, got the 1980-81 cropping year off to a slow start even though with the banking system nationalized, ISTA cooperatives had adequate access to credit for agrarian reform cooperatives and also priority in the utilization of foreign exchange for purchases of inputs, such as fertilizer, as well as in the availability of extension and technical assistance. According to ISTA, intermediate institutions alone made available some C 155.1 million in production credit for 1980-81.

134. The harvested area under ISTA was about 123,900 hectares of which 24 percent represented pastures. The principal crops were basic grains (23.4 percent), coffee (17.6 percent), cotton (15.8 percent), sugarcane (9.7 percent),

various vegetables (1.1 percent) and other crops (8.4 percent). In some quarters it is estimated that Phase I cooperatives maintained a 90 percent level of production in the 1980-81 crop year. But no comparable information is supplied to show the level of production on the same properties before expropriation. Thus there may be an understatement of the decline in output actually experienced in 1980-81, especially in view of the inadequacies of management and know-how that were so prevalent at that time. Furthermore, there are significant declines in cotton and sugarcane output, activities on which ISTA controls one-third and 45 percent of the land devoted to these crops.

135. The relatively low level of production coupled with reduced international prices for coffee, cotton and sugar placed the cooperatives in a position where they could not repay the full amounts of credit extended to them in 1980-81. Also, part of the emergency credit obtained by ISTA for further relending was not recovered with some portion of this being charged off as a social cost.

136. Calculations using MAG and ISTA statistics purport to show that average per hectare crop yields on agrarian reform Phase I holdings have been generally higher than on all other farms or the national average. The validity of such a comparison is obviously superficial since it does not allow for the fact that the reform properties are among the more advanced in infrastructure and related production aspects, including some of the best land in the country. A more forthright presentation would be a comparison of Phase I yields with those on the same farms before expropriation but such earlier information is not available.

137. The 1981-82 crop planting area planned by ISTA totalled nearly 154,700 hectares, a 25 percent increase over the year before. It was contemplated that this land area would be devoted to basic grains (30.1 percent), pastures (19.2 percent), coffee (14.1 percent), sugarcane (11.6 percent), various vegetables (1.3 percent), and other crops (7.7 percent). On a percentage basis, the agrarian reform area land planned for different crops in 1981-82 would be equivalent to 44.8 percent of all the land devoted nationally to sugarcane in 1980-81, with 29.7 percent in cotton, 8.2 percent in coffee and 6.8 percent in basic grains.

138. In its planning for 1981-82 production, ISTA placed agrarian reform Phase I credit requirements from the same 1980-81 intermediate institutions at some C 213.9 million. This represented an increase of nearly 37.4 percent from the previous year. As before, the interest rate for this funding was 13-15 percent, depending on factors of crop and land. In fact, however, the total 1981-82 ISTA credit needs for production and other purposes exceed C 300.7 million.

The Agricultural Challenge Ahead

139. Despite the past emphasis on producing for export, rapidly growing population needs and related circumstances now require that top priority be given to further increasing output and exports to new high levels of foreign exchange earnings. Moreover, within the limited land capabilities there is much room for greater determination and more positive efforts to expand food production for domestic consumption. Moving in this direction is essential for cutting down on the prevailing heavy reliance on food imports. The mainstay

of the national diet is represented by the so-called basic grains--corn, sorghum, rice and beans. However, all of these food items are usually not yet being produced in quantities sufficient to meet consumption needs.

140. Broadening the production base by far greater crop diversification and revitalizing the livestock industry is of utmost importance to the well-being of the national population. Making more effective use of climatic conditions which range from semitropical to temperate would also greatly add to the abundance and diversity of food production. This would include such commodities as bananas, citrus fruits, a wide array of vegetables, roots, tubers, and such different fruits as apples, pears, peaches, and others. The potential benefits of exploiting such lines of production are virtually untouched. But to fully realize such gains would require improvements in production techniques as well as in handling and distribution from producing areas to the ultimate consumer.

III. DOMESTIC MARKETING OF AGRICULTURAL PRODUCTS

141. The domestic market operates primarily on the basis of private enterprise. The Government intervenes in the market by fixing prices for some consumer products and by buying and selling basic food grains. However, since 1980, the Government has extended its market intervention to the handling and marketing of export crops -- coffee and sugar--activities that were analyzed earlier.

142. Marketing of domestic crops is beset by numerous deficiencies. A multiplicity of intermediaries generally operate on wide margins between buying and selling prices affecting most producers, especially the small farmers. Small farmers are in a poor bargaining position because they lack the resources and the information needed for advantageous selling of their products. In addition, transportation is deficient and costs are high; marketing facilities and services are inadequate.

143. From the standpoint of both farmers and intermediaries, a more favorable marketing situation prevails in the San Salvador area. In recent years, market facilities have been built to improve operating efficiency and lower costs. Consumers have shared in these gains because of improved quality.

144. The situation of locally-produced commodities varies considerably between products. Fresh fruit and vegetable producers are subject to much waste and loss in hauling over rough roads. Commercial egg and broiler producers are more fortunate because they sell directly to retail outlets and are thus able to enjoy a larger share of the fixed consumer price. Fresh milk producers confront a larger number of processors who buy the fluid product from producers and sell at fixed retail prices to consumers; this limits distribution margins.

Basic Food Grains and the Regulatory Supply Institute (IRA)

145. The price and supply aspects of corn, beans, rice, and sorghum are controlled by the Regulatory Supply Institute (IRA), which is responsible for price support to the farmers. Retail prices are established by the Ministry of Economy. IRA has buying centers and storage facilities as well as a network of distribution outlets. IRA imports basic food grains when local supplies are short of consumer requirements.

146. IRA's working capital consists of a rotating credit of C150 million from the Central Reserve Bank of El Salvador (BCR). IRA's operating 1980 budget totaled C18.1 million; about 64 percent is used to cover personnel and related services. The staff totals 1,464, of which 27 are professionals, 171 technicians, 673 administrative personnel and 554 laborers. These include grain storage receivers, fumigators and others engaged in related handling procedures.

147. Agricultural commodity storage facilities in the country have a capacity of 364,000 metric tons. IRA owns about 37 percent. In addition to its own silos and warehouses IRA rents 27,000 metric tons of storage capacity and has 19,000 metric tons capacity under tarpaulin. Each of the storage plants and buying centers has machinery for drying, cleaning and grading the product received. There is provision to insure proper fumigation, sanitation and aeration to safeguard against insect damage or other loss. Additionally, storage plants are equipped to pack products. Domestic procurement in 1980-81 was most significant to consumers in terms of white corn and sugar; substantial imports of rice and beans were needed to offset deficits.

Table 26: EL SALVADOR: TOTAL IRA COMMODITY PURCHASES BY SOURCE OF SUPPLY, JULY 1980 - JUNE 1981

(in quintals)

Product	Domestic	Imports	Total
Corn	1,192,801	300,828 a/	1,493,629
Beans	210,976	70,209	281,185
Rice	487,277	111,237 b/	589,514
Sugar	516,643		516,643
Milk (powdered)		242,136	242,136
TOTAL	2,398,697	724,410	3,123,107

a/ Yellow corn bought for re-sale to feed mixing plants.
b/ Equivalent to rough rice (66,742 quintals milled rice).

Source: Instituto Regulador de Abastecimientos (IRA), Departamento de Compras.

148. Commercial production of corn, beans and rice involved in IRA buying in the 1980-81 crop year represented about 20 percent of the output of these products. IRA producer prices for basic grains are announced in advance of the planting season. The agency buys these products at their guaranteed prices from farmers and cooperatives affiliated with the credit system and who hopefully utilize the limited technical assistance services available. There has been a general upward trend in the volume of commodities purchased locally by IRA

particularly corn, beans, 9/ and rice. IRA buys basic grains at its guaranteed price and sells to its distributors at a price somewhat below the producer price. The distributor is allowed a fixed margin over IRA, prices and, thus, the consumer benefits from the subsidy.

149. Farmers with products to sell in the regular distribution system, however, are largely on their own (about 80 percent of the commercial production of basic grains). They must bargain with the initial buyer (usually a trucker). The prices paid by the trucker for corn, beans and rice are substantially below IRA's guaranteed prices; the buildup of margins from the producer to the consumer is also sizeable. IRA's prices for corn, beans and rice are relatively more favorable than the average trucker price for basic grains in the San Salvador market.

Sugar

150. Refined sugar is a major item among the domestic commodities bought by IRA. Since 1979, the volume of sugar purchased declined, reflecting a slackening in internal demand. Nevertheless, sugar ranked second to corn in domestic IRA purchases in 1980.

IRA's Imports

151. The volume of all commodities imported by IRA totaled 631,035 quintals in 1980. About 69 percent was basic grains, mostly corn followed by beans and milled rice. Powdered milk imports represented the remainder (31 percent). The agency has been a consistent importer of increasing quantities of powdered milk, especially whole milk. The table below shows the relative importance of milk and basic grains imports.

Table 27: EL SALVADOR: VALUE 1/ OF IRA COMMODITY IMPORTS, 1972-1980

(in thousand colones)

Year	Corn	Beans	Rice	Powdered Milk		
				Whole	Nonfat	Semi-fat
1972	-	-	-	285.0	475.4	119.0
1973	17,120.0	2,554.0	56.6	545.0	713.0	-
1974	2,407.4	9,207.0	6,661.4	6,705.0	1,724.0	-
1975	10,651.5	13,339.0	9,444.2	6,864.1	2,499.4	-
1976	-	-	-	12,960.0	-	-
1977	16,246.0	-	-	12,403.5	-	-
1978	7,708.2	-	-	11,836.0	-	-
1979	-	-	2,075.2	23,482.0	581.0	697.0
1980	5,171.0	7,775.0	3,795.0	38,789.0	1,397.0	1,236.1

1/ Rounded figures.

Source: Instituto Regulador de Abastecimientos (IRA), Departamento de Compras y Balance General.

9/ Consumer preference favors black beans. Their availability from commercial production has apparently lagged considerably in relation to red beans.

152. A fresh look at IRA commodity imports and expenditures for such products is presently warranted, especially with respect to powdered milk. The sharply increased volume of whole milk powder imports deserve special attention since this is among the most expensive of the dairy products. With local fresh milk production not likely to be restored soon, the prospect is for continued, growing reliance on powdered milk imports. IRA might consider cutting costs and expenditures by switching to importing non-fat powdered milk and butter oil or other fat that could be used in local production of reconstituted whole fluid milk in order to replace the more expensive whole milk powder imports. This will result in substantial savings without any inconvenience to consumers.

IRA: Policy Implications

153. In the marketing and distribution of basic food grains there are two realms. One is the IRA system and the other is the traditional course involving the trucker or other intermediary. Between the two structures there is relatively little interplay of competitive forces. Since IRA purchases are from producers affiliated with credit institutions, other farmers are left to fend for themselves in selling to truckers or other handlers in the marketplace. Because of this, the open market is deprived of the impact of IRA as a competitive factor, which enables buyers to strike their own deal with individual farmers without regard to IRA guaranteed producer prices.

154. Under the circumstances, except in a period of shortages, there is no compelling reason for a traditional buyer to come close to the IRA price when dealing with a producer. Thus, in fact, the farmer has little option but to sell at the price offered. Intermediaries are virtually free to buy and sell without much competition from IRA. As a result, the price paid the grower of basic grains is held as low as possible under the IRA price level while the ultimate consumer pays as much as the traditional seller can command. Moreover, the proportion of the marketable supply of a commodity handled by IRA and the nature of its distribution system do not permit its distribution operations to reach a larger percentage of low income families. IRA distribution to official institutions, for example, gets to those primarily in the middle income segment of the population with those in the low income needy group being deprived of basic grains they otherwise would receive. Furthermore, IRA distribution is virtually restricted to urban areas, so that the rural poor are left without any such food assistance.

155. Existing silo and warehouse facilities are inadequate to provide necessary storage for any material expansion in basic food grains volume or additional commodity procurement. For the present, however, there is no immediate pressing need for any significant expansion in storage capacity because of prevailing crop production and marketing difficulties. Production prospects for the 1981-82 crop year commercial supply of basic grains are not too bright in the light of continued rural violence and disruptions. Restoration of normal operating conditions in farming areas, however, should be conducive to resuming upward production trends and thus necessitate some expansion in storage facilities in the future.

IV. AVAILABILITY AND SUPPLY OF FARM INPUTS

156. The decline in El Salvador's agricultural production since 1978-79 partially reflects lower use of farm inputs, especially fertilizers and plant protection materials owing, among other reasons, to shortages, depleted stocks, uncertainties, lack of financing and in some cases, foreign exchange on a timely basis. This lowered maintenance and decreased yields. Lack of foreign exchange results in delayed placement of farm input orders, curtailments in quantities or late arrivals of shipments. The situation requires review for priority allocation of foreign exchange to finance procurement of some essential farm inputs and spare parts.

157. The country's largest single supplier of farm inputs is the Banco de Fomento Agropecuario (BFA); its role has been greatly expanded since the agrarian reform in 1980. BFA is a major supplier of farm inputs to ISTA cooperatives or other groups through a network of warehouses and storage facilities. Supplies vary widely from different formulations of fertilizers, insecticides, and herbicides to different kinds of improved seeds along with animal protein meals and small equipment.

Fertilizer

158. Fertilizer stocks increased toward the end of 1981 with the decline in the volume of fertilizers used. About 185,000 metric tons of fertilizer were reportedly available in the country. This amount represents about half of the yearly national fertilizer needs; ordinarily December stocks are only 20,000 metric tons or less. Obviously, farmers utilized much less fertilizer for the 1981-82 crops than they usually do. The inevitable result is reduced agricultural productivity.

159. Before the advent of the agrarian reform, BFA distributed about 20-30 percent of the fertilizer used in the country, INCAFE handled about 10 percent, and the Federacion de Cajas de Credito (FEDECREDITO) about 5 percent. All these fertilizers were imported by the respective entities. After the agrarian reform, BFA has become an even greater participant in the handling and distribution of fertilizer supplies. In 1980, BFA sales represented 64 percent of total sales of simple and mixed fertilizer materials. The largest private importer and supplier of fertilizer (to its cotton grower members) is COPAL. For the 1980-81 cotton crop, this cooperative spent nearly C 7.5 million for fertilizer imports to supply cotton producers with 18,000 metric tons of sulfate of ammonia (70 percent) and urea.

Seed and Planting Stock

160. Progress has been made in developing, multiplying and supplying seed and planting stock adapted to El Salvador's varied growing conditions. CENTA efforts have resulted in readily available supplies of improved seeds which include hybrid corn, beans, rice and sorghum along with different vegetable seeds, such as tomatoes and peppers. Yet despite these efforts in seed development and improvement, many producers still use local varieties with low yields. Such growers, mostly small farmers, save their own seed for replanting year after year. CENTA is also engaged in developing improved varieties of fruits and nuts for replanting. These include citrus, avocado, mango and

cashews. MAG is encouraging greatly expanded internal production of tree crops in order to improve the use of marginal lands and also add to the country's food supply.

161. CENTA maintains its own laboratories for seed and fertilizer testing, seed certification and related activities. This agency has seed storage and processing facilities for use in connection with its production and handling operations. CENTA also cooperates with growers in producing certified seed as well as in the multiplication of improved varieties for wider distribution.

162. The principal supplier of seed for cotton production is COPAL, which is also engaged in varietal development and improvement work through breeding and selection 286 manzanas dedicated to investigation activities. This cooperative's major achievement in its seed work included development of its own CEDIX variety and also other superior varieties being tested for multiplication.

163. Development of improved planting material for use in the production of coffee is handled by the Instituto Salvadoreno de Investigaciones del Cafe (ISIC). This agency is presently engaged in a cooperative effort in combatting coffee rust. For some time, however, it has sought to develop coffee rust resistant varieties that might be adapted to local conditions. ISIC is also working in coffee production management and varietal improvement fields in order to attain higher yields.

Livestock and Poultry Inputs

164. The marked depletion in cattle numbers, especially dairy animals, has greatly intensified the need for replacement stock and animals for breeding purposes. This will take several years to overcome. To speed up the rate of increase in the availability of livestock for replacement or breeding, artificial insemination using imported semen could be employed on a wider scale.

165. Through establishment of some specialized breeder flocks, El Salvador has developed a significant egg laying and broiler raising reproduction capacity. With good management, these flocks are capable of producing adequate supplies of hatching eggs and baby chicks to maintain a reasonable balance between product output and consumer needs. While much of the egg and poultry meat production is in commercial enterprises, MAG is anxious to encourage more small and medium farmers to raise poultry and also promote producers' cooperatives. This would require increased production of hatching eggs and baby chicks, for this purpose MAG has sought to work out three-year financial arrangements with the United States for imports of turkey poults as well as chicks for broiler production and egg laying flocks.

166. Adequate feed supplies in the form of grains and protein meals are vital to raising poultry. Cattle in El Salvador are mostly pasture or range fed, although some limited feed supplements may be used in milk production or breeding operations. With local feed and food crop production already down and likely to go lower, shortfalls in feeding requirements necessitate increasing imports. This has meant shipping into the country large quantities of yellow corn along with protein meals, most of which goes for poultry feeding.

167. About 90 percent of the sorghum produced in El Salvador is used as feed with the remaining 10 percent going for human consumption as a substitute for corn and wheat when these grains are in short supply. Of the sorghum used as feed, about 90 percent goes to poultry enterprises with pigs taking up the balance.

168. Oil mills now have considerable excess production capacity owing to the lower availability of cottonseed. These mills could utilize this extra capacity by extracting oil from imported cottonseed, soybeans or other such raw materials. This kind of operation would yield much needed supplies of vegetable oil for food uses. It would also result in a substantial output of by-product protein supplements which could substitute for imports and stretch local feed supplies.

V. EXTENSION AND RESEARCH SUPPORTING SERVICES

169. Progressive agriculture requires strong linkages with effective extension and technical assistance services backstopped by research and adequate credit. Moreover, land and water resources and forests have to be protected and conserved through wise use to insure their permanent availability to meet future needs.

A. Technology Transfer and Research

170. The Ministry of Agriculture (MAG) had general responsibility for agricultural research including agronomy, plant sanitation, horticulture and agricultural engineering, until the 1972 creation of the National Center of Agricultural Technology (CENTA), which has responsibility for research, extension, seed certification, and agricultural education at the middle level. At the same time, responsibilities of the General Directorate for Cattle (DGG) were broadened in the livestock research field through the creation of the Cattle Development Center (CEGA). This center has introduced numerous innovations in lines of investigation and methodology and helped widen the scope of livestock improvement and pasture development technology.

171. The General Directorate for Irrigation and Drainage (DGRD) of MAG demarcates useful agricultural land in the country and the potential for irrigation while the General Directorate of Natural Resources (DGRN) has primary responsibility for forest and soil resources as well as their development and conservation. MAG's General Directorate for Fishing Resources (DGRP), created in 1980, has responsibility for all aspects of commercial and artisan fishing and fisheries industry development. This includes improving technology, fleet maintenance and improvement, domestic and export marketing of fishery products, promotion of aquaculture, and conservation of fishery resources. Although each of these several MAG agencies has its own specific assignment and responsibilities, all of them relate to a common denominator of extension or technical assistance and research. Moreover, in one way or another, each has linkages with various elements of the agricultural resource base.

172. In 1980, ISTA confronted an acute scarcity of technical and other skills required to make agrarian reform work. Even after draining professional and technical personnel from the limited staff of MAG and CENTA, ISTA remained

acutely understaffed. Since the agrarian reform process was given first priority in the use of supporting services, the result was an unbalanced condition detrimental to the needs and interests of the traditional sector. Because of a shortage of technical staffing in both the reform and agricultural private sectors, overall production and productivity were adversely affected.

B. MAG Specialized Institutes

173. Profiting from this experience, MAG, in early 1982, launched a sweeping reorganization of its extension, research, technical assistance, and training services, along with those responsible for resource development and conservation. This significant innovation is now being implemented. It is based on regionalization of field operations and services which MAG now has incorporated in three specialized institutes. The country has been divided into four regions, each with its own director and budget. The specialized work of each institute will be carried on in every region consistent with local needs. The approach promises nationally unified but locally oriented science, research and technological transfer services functioning on a coordinated basis in each of the four regions. Moreover, it represents an effort to have closer contact with rural people and provide more direct services to a wider range of individual farmers and agrarian reform cooperatives or other groups. The three specialized institutes are: Instituto Salvadoreno de Capacitacion y Transferencia de Tecnologia (ISCATT), Instituto Salvadoreno de Investigacion Agraria y Pesquera (ISIAP), and Instituto Salvadoreno de Recursos Naturales (ISREN). They are an integral part of MAG directly linked to the ministerial office and responsible to the Minister for its operations and achieving MAG's policy and program objectives. The institutes are under a mandate to insure effective coordination; freely offer suggestions for improvement; promptly transmit the results of research or other findings; and provide all required support to facilitate and advance progress in respective areas of assigned responsibilities.

174. The general basic structure and assigned work responsibilities of each of the three specialized institutes may be briefly outlined as follows: ISCATT has responsibility for technical assistance, promotion and social organization, training and communications with farmers through publications and other means. The technical assistance division is the most important owing to its capabilities in the transfer of technology and raising individual farming and management skills. It is concerned mainly with the whole spectrum of technical assistance in crops, livestock and fisheries production and processing but also with proper land as well as soil and other resources building and conservation measures. A major function is to develop and upgrade agricultural and fishery or other resources utilization skills. ISIAP is primarily a research entity consolidating much of the crop and livestock investigational and testing work of both CENTA and DGG as well as the more recent DGRP fisheries research. Its most important functions are agricultural crops, livestock and fisheries research; plant and animal sanitation or protection from disease; insect or parasite control and eradication; and seed production, processing and storage, marketing and certification. ISREN is basically concerned with renewable natural resources. It has a major interest in the availability and use of water and the development and protection of natural areas. It is concerned with dams, flood protection, weather conditions, distribution of surface and underground water resources, irrigation technology, drainage, and forest conservation.

175. The reorganized MAG includes four existing entities, which are now linked directly to the ministerial office: the Regulatory Supply Institute (IRA), the National Agricultural School (ENA), the Agrarian Reform Institute (ISTA), the National Financiera for Agricultural Land (FINATA), and the Agricultural Development Bank (BFA).

176. The real test of this innovative approach will undoubtedly come in the actual implementation and execution of assigned responsibilities. That is when job performance, progress made and results achieved become most revealing. At the outset, however, the ability of these three specialized institutes to function effectively will depend in large measure on the advance preparations made to facilitate their field work. This requires identification of the problems and needs of the agricultural sector as well as its pertinent segments to provide the essential basis for planning, effective leadership, close coordination, and adequate training. Most of these have been previously identified as MAG institutional deficiencies, which also include shortages of funding and inadequate staffing.

C. Technical Assistance and Extension and the Role of ISCATT

177. The realities of the present situation are being brought into focus by the performance capabilities of the three specialized institutes. Starting from the current position, it is readily apparent that progress will not be made by any great leap forward. Since the start of agrarian reform, the Government assumed responsibility for introducion of virtually all crop and livestock science and technology among most farmers. The wide-ranging obligations inherent in that action, however, could not be fulfilled by any governmental agency even though ISTA tried hard to plug the gaps. Prior to the agrarian reform, the large haciendas had no great reliance on governmental advisory services; most of them had competent management and hired advisory assistance when needed. ISTA sought to overcome this problem by drafting required skills from other agencies and even doing its own recruiting but, as a result, much of the agricultural sector was stripped of the support services on which small- and medium-size farmers had long relied for assistance. Now, innovative ways need to be developed to reach the farmers without service regardless of their size and this is likely to take longer than presently anticipated. To meet these needs, the three specialized institutes will require a time-phased step-by-step approach within the clear limits of both qualified personnel and financial resources. Yet, even with the scarce manpower and other related supports available, a reasonably good but limited start can be made toward revitalizing the country's agricultural sector.

178. ISCATT can be a vital part and play a major role in agricultural and rural development, as well as in human resource improvement. Before ISCATT was established, extension and related technical services were scattered through several MAG agencies and related entities. ISTA had a total of 178 technicians in 1980 engaged in technical assistance to its intervened large farms which have been taken from other agencies: 82 professionals from CENTA, 27 from DGG, 34 from DGRNR, and 35 from ISIC.

179. Next to ISTA, in its technical assistance requirements for administering large cooperative farming operations, has been CENTA staffing of agricultural extension work. CENTA had 72 extension agencies with an extension staff

totalling 354 in 1981, of which 93 were administrative personnel and 261 technicians, of which 89 were professionally trained extension workers, 71 trained home economists, and 20 extension assistants employed in 4-H Club work or rural youth development. Within the limits of its staffing resources, CENTA assistance focuses on small and medium farmers, but with top priority given to agrarian reform needs.

180. ISTA, CENTA, and DGG account for about 575 extension and technical assistance personnel actually providing advisory and guidance services in the field. However, the total of extension or technical assistance technicians working for all MAG and related agencies apparently has not been compiled. Nevertheless, the number may be far below individual agency requirements and producers' needs. So far, the overall number of producers able to benefit from these services were indeed limited at best. For example, it has been indicated that CENTA extension services were available to 10-20 percent of the farmers while DGG reached possibly 5-10 percent of the livestock producers.

181. Extension and technical assistance services which could be provided by ISCATT have not been quantified by either ISIAP or ISREN. These institutes obviously first will need to review previous operational plans and establish their own new priorities for their responsibilities.

182. Extension and technical assistance have been basically oriented to a specific crop, livestock operation or other specific problem. ISCATT presents the opportunity for effective consolidation of all existing extension and technical assistance strengths and for building up both capabilities to assist the vast majority of farmers with improved technology. ISCATT's technical assistance division--a unified extension service--could deal more realistically with the needs and problems of crop and livestock production within the context of the individual cooperative or farm operating as a business enterprise.

183. Aside from extension services that might be made available to cooperatives or farms operating as business units, valuable aid could also be provided through services tailored to meet their specific needs. This could be arranged through a working agreement developed between ISCATT and the cooperative or large farm operation to supply the required services on a cost-sharing basis. Under such an arrangement, ISCATT would make available the number and calibre of qualified technicians needed with the cooperative or other participant sharing in the salary and maintenance costs of any personnel assigned to it. The organization or farm beneficiary would be obligated to provide office space and cover overhead costs, such as administration and transportation. ISCATT would provide, under this arrangement, supervision and professional backstopping as needed, maintain a flow of pertinent research information, and assure appropriate training. All this does not mean that ISCATT, however, should have a monopoly in supplying technical assistance or advisory services. Any ISTA cooperative or organization, such as COPAL or any large individual farm operation, willing to pay should be free to hire such services from competent private sources. In fact, private technical assistance and advisory service firms should be encouraged. Competition from them would contribute to improve ISCATT operating efficiency. There is also a need for providing technical assistance through development of a group approach under the leadership of extension personnel in each locality. The extension personnel can encourage the small farmers to organize in groups under an elected leadership responsible for receiving from local extension workers and transferring to the group information and technical knowledge.

184. An important consideration in dealing with extension or technical assistance requirements, is the location of the agencies out of which cooperatives, individual farmers and fishermen are served. Considering the spread of territory and the nature of the technical assistance to be provided, the four regions of the country need a total of about 250 agencies. This is almost triple the number maintained now by both CENTA and DGG. These agencies should be equitably distributed among the regions and within the respective zones and within direct and easy reach of most individual farmers, agrarian reform cooperatives or other groups. On the basis of the estimated number of farm units of all types and sizes in El Salvador, approximately 1,000 professional extension or technical assistance personnel would be required--one technician to about 400 farmers. These staff members stationed in the field agencies would need to be backstopped by an additional 1,000 assistant agrarian technicians. Also, there would be a need for about 250 home economists and an estimated 100 extension assistants for 4-C Club work in rural development. This staffing totals 2,350, mostly professionals. It does not include four regional office chiefs, 250 agency chiefs, and 11 assistant chiefs in zones, as well as assistants and administrative or other personnel.

185. The extension or technical assistance field workers would also, from time to time, require backstopping by specialists in coffee, cotton, sugar, basic grains, fruits and vegetables along with some other crops, as well as in fisheries, livestock, and poultry.

186. ISTA agrarian reform cooperatives and related groups still need to find their way to increase production and productivity in their operations. These farming groups would have to place more emphasis on producing for the greatest total return and net profit from the enterprise which also affords the opportunity for increasing gainful employment and improving family living. This issue undoubtedly should be reviewed by ISTA since it could bring a shift in technical assistance priorities and result in reinforcement of the work with the cooperatives. This would require involving the technical staff and rendering more pertinent assistance to the reform groups. This would mean increasing the technicians providing advisory and related services to about 300, the number of agrarian reform cooperatives and related groups that might be reached.

187. A high priority is the most urgent need to breathe new life into export crop production and revive its foreign exchange earning capabilities. This relates primarily to three crops--coffee, cotton and sugar. It presents a situation in which one of the major elements required is a massive infusion of appropriately directed extension or technical assistance services, particularly in the agrarian reform cooperatives of Phase I. The competent technicians thus engaged would have to be fully backstopped by necessary coffee, cotton or sugar specialists.

D. Training Resources and Needs

188. Many of the inherent characteristics of the ISCATT training division and its functional resources have their origin in the Centro Nacional de Capacitacion (CENCAP) which was created about mid-1970 as a MAG entity. Its basic purpose was to identify and meet training needs of the agricultural sector in all its aspects. A major objective has been to raise the level of technical knowledge and skills of agricultural producers, farm managers, technical workers, campesinos and related personnel through appropriated systematic

orientation and training. CENCAP has maintained eight training centers located in different parts of the country and operated eight mobile training units. During 1981, this agency provided a wide range of training to more than 9,500 individuals as compared with some 6,700 in 1980 and only little over 1,500 in each of the two previous years. With a permanent staff of 53 and supplemented as necessary, CENCAP through its own developed methodology provides training through especially tailored and regular courses, short courses, seminars and other various means.

189. Since 1980, much of CENCAP training activity has been oriented to advancing the agrarian reform while also meeting other diverse training needs. In giving priority to agrarian reform requirements, CENCAP has trained managers, accountants, administrative personnel, supervisors, organizers, and campesinos. Other course work and training in the institutional and private sector has been related to crop and livestock production, irrigation and drainage, resources development and management, transfer of technology, fishery operations and business organization

190. Against this background of actual operating experience, ISCATT's training division has embarked on building an effectively functioning structure to serve the agricultural sector's needs for extension or technical assistance services. This will require not only additional manpower but also much training and retraining of personnel. Understandably, this will take time with progress being made by steps. At the outset, however, it is necessary to inventory the extension and technical assistance staff capabilities already available. This should provide a base from which to move forward by identifying personnel training and retraining needs in relation to the field work load to be undertaken. This should also point up requirements for additional personnel and the means of recruitment. However, budgetary constraints may limit what can be acomplished in the short-run.

191. El Salvador needs to broaden the experience and knowledge of many technicians so as to overcome deficiencies and develop in them multiple technical assistance capabilities. This would facilitate moving away from the system of fragmented attention to a single crop or livestock problem and would permit providing services to a farm or cooperative on the basis of its total operational needs as a business enterprise. This would improve the use of scarce technical manpower as well as increase operating efficiency.

192. Advantage should be taken of every opportunity to improve the work skills and pertinent knowledge of extension and technical assistance personnel. In addition to providing scholarships, ISCATT might well arrange with the National Agricultural School (ENA) to include in its curriculum appropriate courses on extension and technical assistance along with home economics and leadership development. There is also need to encourage professionalism in agriculture, providing opportunities and inducements to study its various subjects in schools and universities, giving greater prominence to agriculture as a profession. Training should also be provided for the formulation and implementation of personnel policies in the three specialized institutes to stimulate professionalism and promote or foster job satisfaction. In addition

to training, it is vital that the extension technician have the mobility or transportation required to get out into the field to reach and work with farmers or cooperatives. Otherwise, being desk bound is both wasteful and useless.

E. Agricultural Technology and the Role of ISIAP

193. ISIAP is in effect the fountainhead of generated information and technology for the agricultural sector and fisheries. With its already large store of accumulated knowledge and results from internal studies, the country has so far developed a body of research findings and technological information far greater than can be transferred usefully to farmers by its present extension capabilities. This constraint, however, is expected to be overcome gradually by ISCATT improvements in technical assistance services.

194. ISIAP needs to reexamine the status of agricultural and fisheries research, define more precise objectives and set its priorities. The need is illustrated by examining the most recent fiscal year's operative plans of individual MAG agencies, especially CENTA in crop-related activities and DGG in the livestock field. The plan documents show that a substantial part of the research workload has been thinly spread over a wide number of program and subprogram activities, some of them repetitious and some of little consequence. While much valuable research and related work is being done, the outstanding fact is that there is a tendency to dilute limited available technical manpower and financial resources by spreading the work over a large number of activities with little or no regard for priorities.

195. Facilities and personnel incorporated in ISIAP by the recent restructuring of MAG thus provide a good base for the research and related work of those institute divisions respectively concerned with crops, livestock, plants and animal health, and seed technology. The largest of the agencies affected by this transformation is CENTA with its seed technology complex and modern facilities for handling, storage, testing and certification of improved, newly developed and hybrid planting material, as well as its three experimental stations, eight experimental farms and four demonstration farms, and laboratories for soil testing and analysis. In 1981, CENTA had a research staff that totalled 179 of which 71 were professionals (including 10 agronomists and 10 soil specialists). The remaining 108 members of the total research staff included 55 assistant agronomic technicians and 17 laboratory assistants. Much of the CENTA work was, of course, done away from headquarters.

196. The other agency affected by the transformation is DGG, which was involved in practically every aspect of livestock research, development and testing. This agency's physical facilities include three animal pathology laboratories engaged in extensive testing and diagnostic work and the regional livestock development centers.

197. The extraordinarily heavy use of chemicals in local cotton insect and disease control is now a major costly problem that urgently merits research and technical attention. Insects attacking cotton in El Salvador can be divided into two major categories: inherent insect pests, and induced pests. The inherent pests are those that cause damage primarily in the absence of insecticide use; induced pests are those that increase to numbers that cause economic damage because of destruction of natural enemies, the development of insecticide resistence, or other factors. Experiences in different parts of the

world indicate that many of the cotton insect problems are induced. A number of practical survey and prediction technologies are available which can be used to substantially reduce induced insect problems. Also, some practical and numerous emerging biological suppression technologies are known for possible use in control of inherent and induced pests. To get at the heart of the cotton insect problem in El Salvador, a special research and investigatory approach would be required. Two or three carefully selected experts (with knowledge of tropical cotton agroecosystems, and with a broad practical knowledge of the latest survey, prediction and suppression technologies for cotton insects) should carefully review the cotton situation on-site. This team should be able to analyze the problem, to identify and transfer significant new technology, and to make specific recommendations on the best approach to providing technical inputs in the long term.

198. There are numerous agricultural production problems that are crop or area specific. This also calls for on-the-spot investigatory work. Such an approach would utilize research results already available and adapt findings to local conditions that may differ from one area to another.

199. Inclusion of fishing in the divisional structure of ISIAP follows earlier recognition of the importance of fishery resources when in 1980 MAG created the Direccion General de Recursos Pesqueros (DGRP) to be responsible for development of this segment of the economy. Although fishing has long been followed in El Salvador, growth of the sector has been relatively slow and for the most part has developed spontaneously. More recent interest, however, has sparked some increases in investment and expansion of operations.

200. Realization of the fisheries potential could be aided materially by much needed research. A major requirement is to develop through research a national fishery exploitation system for building the resource to increase productivity and promote its conservation. This research would have to be concerned with fisheries management in harmony with the life cycles of the species. There already is some fear that shrimp and langostinos in nearby areas may be in danger of extinction. Through research, ways could also be developed to make fuller use of the fish and other sea life caught with shrimp or other netted species. Needed research on improvements in artisan fishing methods and gear employed could result in substantial increases in individual catches and total fish production.

VI. RENEWABLE NATURAL RESOURCES

A. ISREN and Renewable Natural Resources

201. The most valuable natural resources that El Salvador has are land and water. These resources must be managed wisely to insure their availability for permanent use along with the nation's forests. With the sparseness of land in relation to population, the country is fortunate that climatic conditions permit multiple cropping. This along with the development of the irrigation potential may greatly enhance crop and livestock growing opportunities. This general area of renewable natural resources is served by ISREN.

202. Despite the intense and still growing pressure of population against extremely limited land resources, still potentially productive soils remain virtually unutilized. With an overall land area totalling some 2.1 million hectares, there is an apparent potential for bringing appreciably more land into crop production in annual and semiannual as well as permanent plantings. On the basis of 1980 actual land use compared to the utilization potential, there is much scope for natural pasture improvement or reseeding in expanding livestock production as well as for reforestation.

Table 28. EL SALVADOR: ACTUAL 1980 AND POTENTIAL USE OF SOIL RESOURCES

(in thousands of hectares)

Land Activity	Actual Use		Actual as % of Total	Potential Use			Potential as % of Total
A. Crop Production	678.1		32.2	867.7			41.2
1. Annual and Semipermanent		458.7			531.1		
a. Unrestricted						110.6	
b. Restricted						420.5	
2. Permanent Crops		219.4			336.6		
B. Livestock	522.4		24.8	522.4			24.8
1. Pastures							
a. Improved		134.0					
b. Natural		388.4					
C. Forests	260.2		12.4	634.0			30.2
D. Scrub or Brush	568.4		27.0				
E. No Agricultural Possibilities	75.0		3.6	80.0			3.8
National Total	2,104.1		100.0	2,104.1			100.0

Source: MAG Direccion General de Recursos Naturales Renovables, (DGRNR).

203. In the case of forests, only 41 percent of the forest land potential is being utilized while vast areas are in scrub or brush growth, which utilizes land without any economic return. This represents a large part of the national territory which the country cannot afford to neglect, especially since each year substantial lumber imports are needed to supplement local needs. The Government has been developing a growing awareness of the need to make more effective use of the forest land potential through reforestation; as a result, tree plantings are contemplated for both protective and commercial forestry purposes.

204. A large part of the agricultural resource base has become impoverished and its soil left vulnerable to further deterioration through negligence and mismanagement. A major factor has been the irrational cutting of trees and denuding of extensive forest areas which eliminated the protective cover and left the land subject to erosion. Further contributing factors have been crop practices that disregard slopes as well as tilling steep or shallow soils

unsuited for cropping. Erosion and soil fertility problems have been further aggravated by burning of crop stubble after harvest. In the case of livestock, relatively little attention has been paid to management of natural pastures let alone improving them. This has resulted in overstocking and overgrazing with damaging impacts on the productivity of grasslands and diminution of protective cover that inhibits washing and erosion.

205. The loss of forest, grass or other ground cover promotes surface water runoff by inhibiting its permeation into the soil. Underground water resources are thus restricted along with the recharge of aquifers. This breaks the ecological equilibrium with damaging effects on plant and animal life. The disappearance of surface soil and its fertility through erosion has become a major problem, a leading carrier being the Rio Lempa with much waterborne sediment accumulating at its dams.

206. The nature and extent of the erosion problem affecting El Salvador may be expressed in simple statistical terms. Of the total land area, only 10 percent is not yet affected by erosion; 16 percent has little erosion, but the remaining 74 percent has significant erosion.

B. Role of Irrigation and Drainage

207. Irrigation offers an opportunity to stretch limited land resources to increase agricultural productivity by extending crop growing seasons into water deficit periods of the year and by supplementing natural rainfall in the event of temporary shortages. Moreover, there is the additional possibility of increasing agricultural production in extensive low-lying areas that are plagued by drainage problems. As has been demonstrated in different parts of the country, increasing productivity of such areas requires installation of drainage and flood control works.

208. Both irrigation and drainage problems relate to the wet and dry seasons. During the wet season, rainfall for crop production is abundant, averaging around 1,800 mm for its May-October period of six months. The dry season extends over the other six months from November through April when it is practically rainless. This dry season makes irrigation important for multiple cropping; it has an effect similar to that of adding more land to an already severely restricted natural resource base.

209. On the basis of available soil resources suitable for agriculture, MAG estimates indicate a potential 323,000 hectares of land could be advantageously irrigated for crop production. An additional 32,000 hectares could be recovered from low-lying areas for agricultural use through installation of drainage works. Thus through irrigation and drainage, agricultural production could be increased from better utilization of 355,000 hectares; about 41 percent of the potential crop land. This would represent a substantial addition to present levels of utilization.

210. The development of irrigation has taken place rather gradually. The country has 10 irrigation dams. Now, however, there are some indications that the pace may be quickened as responsible agency restructuring within ISREN takes hold. The land area irrigated by these dams totalled some 37,200 hectares in 1980-81, an increase of 85 percent with respect to 1970-71. The largest single irrigated area (Sonsonate Banderas dam), was up only 47 percent during that same

period but the most spectacular gain took place in the Lempa dam--155 percent from its 1970-71 total. Of the 37,243 hectares of land under irrigation, the Western region had 43 percent, the Central region 18 percent, the Paracentral region 20 percent, and the Eastern region 19 percent. Much irrigated land is in small parcels with only a little more than one-third of the users receiving any technical services in 1980-81.

211. Now, there are some indications that irrigation works may accelerate with the creation of ISREN. First, there are considerable possibilities for the development of small irrigation projects based on catchments and simple diversions from local watercourses without storage reservoirs but utilizing gravity flow for distribution. While individual projects have been constructed in the past, financing was a major problem; beneficiaries first had to be organized into cooperatives so that BFA could provide needed funding. However, the 1980 agrarian reform and ISTA's cooperatives provide a new basis for the development of small irrigation projects where sources of needed water supplies are available. Financing is no longer a major constraint since cooperatives are given a priority in obtaining credit from financial institutions. The likelihood of agrarian reform cooperatives adding 20,000 hectares of new irrigated land through small irrigation projects is considered by MAG's 1981-83 agricultural plan. This would raise the land area under irrigation by 54 percent to a total of 57,243 hectares. However, this would still represent only about 18 percent of the 323,000 hectares of land that potentially could be irrigated in the country, of which 60 percent has good possibilities for irrigation, 30 percent has moderate limitations and the remaining 10 percent has significant limitations. Second, the agrarian reform may facilitate undertaking some of the large irrigation projects that previously had difficulty in obtaining external financing because of the land tenure problem. Projects previously at some stage of development may be speeded-up, such as the San Miguel-Usulutan project.

C. Resources Conservation and Development

212. The deterioration already experienced in El Salvador's land, forest, and water resources need not continue in the future. Within the scope of ISREN responsibility in the field of renewable natural resources, there exists the basis for priority attention to their conservation and development. The expertise for effectively dealing with the country's critical land, forest and water problems is already concentrated in ISREN. These elements provide for a good start in formulating an urgently needed national agricultural resources conservation and development program. The kind of policies and programs needed will have to be developed on the basis of the needs already detected in each of El Salvador's four regions. ISREN may require research support from ISIAP in special fields and the cooperation of ISCATT's extension or technical assistance staff to reach the producers and cooperatives in the field, because the program will require active cooperation and support from them.

VII. AVAILABILITY OF AGRICULTURAL CREDIT

213. The nationalization of the private banking system placed the Government in position to channel banking credit to potential borrowers. When the agrarian reform was initiated, ISTA organized cooperatives were given

priority over all other borrowers in obtaining credit from financial institutions. This applied to commercial banks that had been nationalized as well as to specialized official credit institutions. The latter controlled 40 percent of the total loans of the financial system with BFA alone providing 36 percent of the 1979 agricultural credit. Altogether, 14 credit sources became involved with about 280 ISTA cooperatives. In August 1980, the 14 credit institutions were each assigned by the Central Reserve Bank (BCR) a certain number of the cooperatives and were directed to meet their credit needs. For the most part, however, this was done indiscriminately and without considering that some banks had previously dealt with owners of haciendas that had since been organized as cooperatives. The distribution was as follows: 80 cooperatives were assigned to the 10 nationalized commercial banks, 91 to BFA and the others spread to the remaining financial institutions. The commercial banks were not ready to take on their new assignment because they did not have farm oriented units to take care of cooperative credit needs or provide suitable loan supervisions. They quickly moved to overcome these and other deficiencies but conflicts arose with ISTA representatives and MAG due to institutional differences in motivations and lack of coordination in the agrarian reform area. Meanwhile, BFA had a striking advantage over the commercial banks since it was experienced in dealing with cooperatives and had a full field staff of 148 credit agents and loan supervisors.

Table 29: EL SALVADOR: AGRICULTURAL CREDIT

(million colones)

Agricultural Credit	1978	1979	1980	1981
Banking System				
New Credit	585.9	563.5	505.4	554.7
Refinancing	79.3	90.8	145.9	196.5
New Credit/Gross Value of Production (%)	27.5	20.8	23.0	28.1
Credit Outstanding	442.1	511.8	467.7	521.3
Banco de Fomento Agropecuario				
Credit Outstanding	151.1	208.0	224.7	263.4

Source: Central Reserve Bank and Agricultural Development Bank.

214. While awaiting institutional lending to begin with priority to agrarian reform credit, ISTA had no financing to get operations going. In this situation, an emergency fund of about C 120 million was reportedly supplied by Banco de Fomento Agropecuario for ISTA lending to cooperatives since it already was getting late to start the 1980-81 crop production cycle. Of this C 75 million were subsequently not recovered. ISTA paid by issuing bonds that will be repaid with the payments of cooperatives.

215. From the start of the agrarian reform, BFA provided emergency financing to take care of the needs of the cooperatives. Credit to the reform sector rose to a total of some C 126.2 million broken down as follows:

(1) Loans to ISTA -
- Employee salary payments on cooperatives . . . C 51,887,753.39
- Production inputs . . . . . " 29,522,791.40
- Payment of allowances to ISTA and MAG technicians . . . . . " 1,101,104.25
- Interest charges . . . . . " 3,455,503.64
Subtotal . . . . . " 85,967,152.68

(2) Anticipated Credits -
- Agricultural production preparations on cooperatives . . . . . " 40,242,163.14

Total C126,209,315.68

About C 89.1 million were provided as loan credits of which C13 million were recovered by the end of December 1980, with C 54.5 million anticipated from the Banco Hipotecario. It was expected that the remaining balance of the total eventually would be cancelled.

216. While confronted with the immediate problem of getting credit for the 1980-81 crop year, ISTA also had to plan ahead for the following 1981-82 production cycle.

Table 30. EL SALVADOR: CREDIT GRANTED TO ISTA COOPERATIVES BY INSTITUTIONAL SOURCES, 1980-81 AND 1981-82

(in colones)

Source	1980-81	1981-82[b]/
Banco Agricola Comercial	11,881,806.86	11,811,210.00
Banco Cuscatlan	9,386,923.15	11,701,840.00
Banco Capitalizador	3,528,085.16	4,763,015.48
Banco Mercantil	542,998.94	1,672,511.00
Banco de Credito Popular	9,559,400.00	11,970,400.00
Banco Salvadoreno	7,677,110.36	16,895,492.00
Banco de Comercio	7,274,785.09	9,848,905.00
Banco Internacional	898,538.94	1,720,050.00
Banco de Desarrollo e Inversion	2,800,929.00	3,354,660.00
Banco Financiero	427,100.00	713,450.00
Banco Hipotecario	38,326,839.78	34,862,198.30
Fedecreditos	2,268,634.00	4,062,195.59
Incafe	34,491,185.93	41,625,278.00
Banco Fomento Agropecuario	26,066,452.66[a]/	58,108,566.48
	155,130,789.87	213,109,771.85

a/ Includes credit provided by BFA through ISTA to reform sector cooperatives.
b/ Estimated on the basis of data on crop production credit provided for may plantings plus financing for sugarcane in the 1981-82 crop year.

Source: Instituto Salvadoreno de Transformacion Agraria (ISTA).

Applications submitted by ISTA cooperatives to their assigned financial institutions resulted in granting some C 155.1 million in credit for the 1980-81 crop year and C 213.1 million colones for the 1981-82 crop year. However, credit granted to ISTA cooperatives and community associations by the nationalized banking system, other public financing institutions and BFA for the 1980-81 crop year was actually greater (C 188 million) and included some additional expenditures. The increased funds covered different items as the concluding phase of planning agricultural production and agro-industry activities along with various other ISTA expenditures such as for management and co-management by technicians.

217. Experience with the 1980-81 credits granted to the ISTA cooperatives shows a rather unsatisfactory repayment record. These were primarily one-year crop production loans at 13-15 percent interest that varied with the crop and the land used. Of the C 155.1 million in credit to cooperatives, assured recovery after liquidation of that year's crops amounted to only C 115.6 million. There thus was a shortfall of 26 percent left for refinancing. The inability of the cooperatives to repay in full was attributed primarily to low export product prices and the prevailing violence in the countryside which did not permit normal crop production and harvesting. Additional factors were lack of adequate technical assistance, low productivity and efficiency in farm work along with salary payments possibly in excess of the established minimum that cut into the profitability of cooperative production operations.

218. The eighty ISTA cooperatives that were allocated to the 10 nationalized banks for financing, had loan repayment difficulties similar to those of virtually all other associations but they additionally had overextended their borrowing. The nationalized banks had granted this group a total of approximately C 60 million in credit for producing specific crops. The security for such crop production loans consisted of the crops and the endorsement by ISTA for 50 percent of the amount of credit provided by the nationalized banks. After the 80 cooperatives liquidated the 1980-81 crop output, there was an estimated shortfall of C 18 million, or 30 percent, in repayment of production credit alone. This consisted of C 3 million in loans made by the nationalized banks and C 15 million in directly related production credit extended by BFA. On top of the crop loan deficit, an additional C 20 million were loaned to the 80 cooperatives by BFA for farm improvements, investments, administrative costs and other expenditures. Additionally, the cooperatives owed ISTA a total of C 7 million for use of the land they occupied. Thus, with the shortfall of production credit repayments, unreimbursed other expenditures made out of BFA financing and the unpaid rental to ISTA, the 80 cooperatives thus had a global deficit of C 45 million colones.

219. For the 1981-82 crop year, the C 213.1 million credit granted to ISTA cooperatives represented an increase of 37 percent from the 1980-81 amount. This represented about 71 percent of the total ISTA had earlier estimated as needed for financing 1981-82 production and other activities on agrarian reform sector haciendas. With a planned area of some 135.8 thousand hectares in crops, which was an increase of 5.3 percent from the previous year, ISTA contemplated expenditures of nearly C 58.6 million for agricultural production inputs. Of this, 69 percent was for fertilizer, 28 percent for insecticides, and the remainder for herbicides and other materials.

220. As a major source of institutional financing in El Salvador, BFA in 1980 supplied nearly C 311.4 million in credit, of which 91.8 percent was for agricultural operations in both the traditional and reformed sectors. Practically 100 percent of the BFA total volume of credit extended to the reform sector alone was for financing agricultural activities. Of the amount that went to the traditional sector, 86 percent went into agricultural uses.

Table 31. BFA AGRICULTURAL CREDIT EXTENDED TO TRADITIONAL AND REFORMED SECTORS BY LENDING ACTIVITY, 1980

(area in manzanas and credit in thousand colones)

Activity	Traditional Sector		Reformed Sector		Total	
	Area	Credit	Area	Credit	Area	Credit
Food Crops	231,375	84,981	37,160	30,829	268,535	115,810
Export Crops	261,923	40,728	48,539	68,488	75,462	109,216
Livestock Development	2,526	26,791	2,619	9,947	5,145	36,738
Agro-Industry Development	3,964	4,515	12,082	6,398	16,064	10,913
Rural Social Development	18	2,272	-	730	18	3,002
Resources Conservation	24	420	83	322	107	742
Total Agricultural Operations	264,830	159,707	100,483	126,167	365,313	285,874
Nonagricultural Total	-	25,480	-	42	-	25,522
Total All BFA Action	264,830	185,187	100,483	126,209	365,313	311,396

Source: Banco de Fomento Agropecuario (BFA)

221. BFA's 1980 credit for total agricultural operations in both the traditional and reformed sectors amounted to C 285.9 million and applied to 365,000 hectares. About 56 percent went to the traditional sector, covering 73 percent of the land serviced by BFA and the rest to the reformed sector. But in terms of credit by land area, the traditional sector got an average of C 860 per hectare with the reformed sector at nearly C 1,800. The national average was somewhat under C 1,100 per hectare. Over half of the credit supplied to the reformed sector was used for export crop production and about one-fourth for food crops. On the other hand, over half of the traditional sector financing went for food crops with export crops utilizing about 25 percent.

222. The export crops produced, as reported by BFA credit approvals for 1980, were topped by coffee in the reformed sector and by cotton in the traditional sector. In both the reformed and traditional sectors, sugarcane production ranked second. Export crop expenditures were greatest for cotton in the reformed sector but with an area that ranked a low third. The amount spent for cotton was also highest in the traditional sector as was the area devoted to this crop. Of the C 68.5 million in export crop loans for the reformed sector, cotton absorbed 49 percent, coffee 35 percent, and sugarcane 16 percent. With 48.5 thousand hectares in this sector producing for export, coffee utilized 52 percent, sugarcane 36 percent and cotton 12 percent. In the traditional sector, of the C 40.7 million for export crop production credit, cotton used 62 percent,

coffee 20 percent and sugarcane 18 percent; out of the 26.9 thousand hectares producing for export in the traditional sector, cotton plantings represented 44 percent, sugarcane 36 percent and coffee 20 percent.

223. Of the total amount of credit mader available by BFA in 1980, just over 50 percent went to cooperatives. These borrowers represented only 4.2 percent of the total number of loans made but 41 percent of the area covered by BFA financing.

Table 32. BFA CREDIT ACTIVITY BY TYPE OF BORROWER, 1980

(area in manzanas and credit in thousand colones)

Borrower	Loans Made		Coverage		Financing	
	Number	%	Area	%	Amount	%
Cooperatives a/	2,010	4.2	149,967	41.1	156,676	50.3
Solidary Groups	6,112	12.7	59,713	16.3	21,757	7.0
Subsistence Individuals	12,576	26.1	32,898	9.0	8,384	2.7
Integrated Individuals b/	27,466	57.0	122,735	33.6	124,579	40.0
TOTAL	48,164	100.0	365,313	100.0	311,396	100.0

a/ Each cooperative varies in size of membership responsible for credits received.

b/ Includes different production cost items.

Source: Banco de Fomento Agropecuario (BFA), Planificacion.

224. In its 1980 report, BFA refers to the special attention it gave to the credit requirements of cooperatives in both reform and traditional sectors as well as to the needs of subsistence individuals and solidary groups that consist mainly of little farmers. These categories totaled 20,698 borrowers who received C 186.8 million that financed production on 242,578 mz of crop land. The traditional farmer category, consists primarily of small to medium farmers who represented 57 percent of all the BFA loans made and received 40 percent of all the credit extended with the amount supplied being used on 33.6 percent of the total land area covered by BFA financing.

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(Population in Units)

Medium Variant 1/

All Ages	1950	1955	1960	1965	1970	1975	1980	1985	1990	1995	2000
	1930.641	2202.402	2542.148	2942.382	3397.642	3924.095	4539.517	5235.673	5997.034	6327.106	7730.402
0-4	327.668	393.570	474.683	549.659	620.935	708.532	816.167	915.936	1005.912	1099.581	1203.733
5	56.687	66.707	81.043	97.429	111.623	126.328	145.552	167.806	186.719	204.492	223.946
6	54.228	63.669	77.223	93.492	107.937	122.226	140.554	162.672	182.093	199.900	218.923
7	51.977	60.960	73.703	89.663	104.404	118.449	135.879	157.577	177.516	195.469	214.092
8	49.934	58.540	70.457	85.943	100.993	114.940	131.495	152.542	172.971	191.159	209.429
9	48.098	56.367	67.461	82.339	97.673	111.643	127.370	147.588	168.441	186.932	204.907
5-9	260.925	306.244	369.886	448.866	522.630	593.587	680.851	788.185	887.740	977.952	1071.297
10	46.421	54.464	64.699	78.852	94.476	108.552	123.475	142.708	163.969	182.792	200.523
11	44.856	52.855	62.158	75.487	91.433	105.665	119.776	137.896	159.599	178.741	196.199
12	43.635	51.175	59.764	72.249	88.200	102.659	116.244	133.312	155.010	174.537	191.936
13	42.851	49.254	57.475	69.143	84.619	99.371	112.847	129.032	150.066	170.062	187.678
14	42.363	47.244	55.294	66.173	80.848	95.904	109.555	124.995	144.930	165.400	183.415
10-14	220.125	254.991	299.391	361.904	439.575	512.152	581.898	667.944	773.574	871.532	959.731
15	41.918	45.422	53.293	63.322	77.206	92.556	106.365	121.032	139.900	160.798	179.181
16	41.540	43.680	51.487	60.579	73.638	89.308	103.277	117.144	134.910	156.262	174.976
17	41.095	42.314	49.655	58.027	70.242	85.915	100.111	113.457	130.182	151.538	170.644
18	40.480	41.483	47.702	55.703	67.103	82.296	96.774	110.009	125.854	146.544	166.112
19	39.728	41.007	45.733	53.561	64.174	78.561	93.328	106.728	121.825	141.411	161.439
15-19	204.761	213.906	247.869	291.191	352.363	428.636	490.854	568.371	652.671	756.554	852.351
20	39.017	40.527	43.898	51.544	61.311	74.905	89.952	103.506	117.831	136.348	156.796
21	38.361	40.090	42.116	49.692	58.527	71.295	86.652	100.361	113.889	131.307	152.202
22	37.405	39.595	40.715	47.828	55.947	67.872	83.224	97.154	110.163	126.542	147.439
23	36.005	38.948	39.857	45.868	53.614	64.729	79.600	93.804	106.698	122.201	142.433
24	34.325	38.177	39.360	43.907	51.478	61.814	75.880	90.361	103.416	118.176	137.307
20-24	185.113	197.338	205.947	238.839	280.877	340.614	415.308	485.186	551.997	634.573	736.178
25-29	148.436	177.242	188.881	196.906	228.591	269.342	327.534	400.697	468.775	533.943	614.319
30-34	120.422	141.144	168.865	179.883	187.237	217.755	257.159	313.899	385.129	451.500	514.612
35-39	109.650	113.627	133.410	160.009	170.328	177.054	206.348	244.485	299.393	368.760	433.028
40-44	91.146	102.657	106.282	125.079	150.458	160.129	166.192	194.323	230.831	283.944	351.037
45-49	72.224	84.264	95.080	98.374	116.117	140.299	149.328	154.856	181.526	216.473	267.433
50-54	58.367	65.585	76.781	86.878	89.823	106.514	129.408	137.875	142.649	167.880	200.913
55-59	42.589	51.679	58.312	68.672	78.028	80.718	96.282	117.841	125.549	129.723	153.207
60-64	32.510	36.510	44.617	50.610	59.984	68.552	71.024	85.390	105.237	112.264	115.747
65-69	22.545	26.552	30.017	37.060	42.343	50.664	58.351	60.677	73.510	91.396	97.600
70-74	16.354	17.144	20.416	23.332	29.186	33.716	40.831	47.517	49.612	60.680	76.080
75-79	10.070	11.225	11.894	14.390	16.670	21.215	24.845	30.527	35.892	37.700	46.537
80+	7.736	8.723	9.820	10.732	12.495	14.615	18.138	21.965	27.036	32.650	36.598

1/ One third reduction in fertility.

Source: CELADE and MINPLAN.

Table 1.1: EL SALVADOR: DEMOGRAPHIC INDICATORS, 1950-2000

Medium Variant

YEAR	POPULATION (IN THOUSANDS) TOTAL	AGED 15-64	WOMEN 15-49	DEPENDENCY RATIO (PER 1,000)	CHILD-WOMEN RATIO (PER WOMAN)	SEX RATIO (PER 100 FEMALES)	MEDIAN AGE (YEARS)
1950	1930.641	1065.218	465.073	812.4	0.705	100.6	18.82
1955	2202.402	1183.953	514.549	860.2	0.765	100.6	18.42
1960	2542.148	1326.042	572.830	917.1	0.829	100.5	17.56
1965	2942.382	1496.440	644.551	966.3	0.853	100.3	16.90
1970	3397.642	1713.807	742.479	982.5	0.836	100.2	16.64
1975	3924.095	1989.614	866.563	972.3	0.818	100.1	16.72
1980	4539.517	2318.437	1010.768	958.0	0.807	100.1	16.91
1985	5235.673	2702.922	1181.025	937.0	0.776	100.0	17.16
1990	5997.034	3143.757	1385.495	907.6	0.726	100.0	17.54
1995	6827.106	3655.615	1623.360	867.6	0.677	99.9	18.07
2000	7730.402	4238.824	1885.659	823.7	0.638	99.8	18.70

	AVERAGE ANNUAL RATES OF GROWTH (PERCENT) EXPONENTIAL	COMPOUND	IMPLIED VITAL RATES (PER 1,000) NATURAL INCREASE	CRUDE BIRTH	CRUDE DEATH	ESTIMATED NUMBERS OF (IN THOUSANDS) BIRTHS	DEATHS	NET MIGRATION RATE (PER 1,000)
1950-55	2.634	2.669	29.40	49.12	19.72	507.560	203.799	3.10
1955-60	2.869	2.911	32.02	49.71	17.70	589.676	209.929	3.37
1960-65	2.924	2.967	32.84	48.01	15.17	658.293	208.059	3.65
1965-70	2.877	2.919	32.63	45.49	12.86	721.048	203.789	3.91
1970-75	2.881	2.923	32.86	43.73	10.88	800.522	199.069	4.10
1975-80	2.914	2.957	33.34	42.58	9.24	900.990	195.568	4.25
1980-85	2.853	2.895	32.78	40.62	7.83	992.556	191.400	4.30
1985-90	2.715	2.753	31.56	38.29	6.73	1075.239	188.878	4.45
1990-95	2.593	2.627	30.41	36.26	5.85	1162.625	187.552	4.52
1995-2000	2.485	2.516	29.49	34.70	5.21	1262.763	189.467	4.67

	REPRODUCTION RATES GROSS	NET	TOTAL FERTILITY RATE (PER 1,000 WOMEN)	GENERAL FERTILITY RATE	EXPECTATION OF LIFE AT BIRTH (YEARS) MALES	FEMALES	TOTAL
1950-55	3.150	2.160	6457.5	207.2	45.60	47.80	46.67
1955-60	3.320	2.397	6806.0	216.9	48.40	50.90	49.62
1960-65	3.340	2.539	6847.0	216.3	51.50	54.30	52.87
1965-70	3.230	2.569	6621.5	207.9	54.50	57.50	55.96
1970-75	3.090	2.562	6334.5	199.0	57.50	60.65	59.04
1975-80	2.930	2.520	6006.5	192.0	60.35	63.65	61.96
1980-85	2.710	2.403	5555.5	181.1	62.90	66.35	64.58
1985-90	2.490	2.262	5104.5	167.6	65.00	68.65	66.78
1990-95	2.310	2.141	4735.5	154.6	66.80	70.70	68.70
1995-2000	2.170	2.044	4448.5	143.9	68.20	72.40	70.25

Source: CELADE and MINPLAN.

Table 2.1

EL SALVADOR: GROSS DOMESTIC PRODUCT BY EXPENDITURE

(MILLIONS OF CURRENT COLONES)

ITEM	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970
CONSUMPTION	1,264.9	1,250.8	1,400.2	1,509.0	1,615.6	1,738.7	1,875.9	1,963.7	2,074.6	2,140.8	2,232.6
PRIVATE	1,121.8	1,101.8	1,238.9	1,349.7	1,453.1	1,566.1	1,692.1	1,761.0	1,858.8	1,892.0	1,956.9
GENERAL GOV'T	143.1	149.0	161.3	159.3	162.5	172.6	183.8	202.7	215.8	248.8	275.7
GROSS DOMESTIC INVESTMENT	219.4	191.8	194.4	214.6	317 3	294.7	341.8	318.8	255.5	303.2	330.8
FIXED	204.4	167.8	173.1	202.6	262.8	283.3	306.1	315.7	248.1	273.6	298.3
PRIVATE	163.8	122 3	134.8	158.6	214.3	215.6	226.7	254.9	189.3	208.6	235.7
PUBLIC	40.6	45.5	38.3	44.0	48.5	67.7	79.4	60.8	58.8	65.0	62.6
CHANGE IN STOCKS	15.0	24.0	21.3	12.0	54.5	11.4	35.7	3.1	7.3	29.6	32.5
GROSS DOMESTIC EXPENDITURE	1,484.3	1,442.6	1,594.6	1,723.6	1,932.9	2,033.4	2,217.7	2,282.5	2,330.1	2,444.0	2,563.4
RESOURCE BALANCE	-64.3	1.5	8.0	-30.0	-66.2	-41.2	-108.0	-66.8	-38.2	-62.2	8.0
EXPORT OF GOODS & NFS	289.5	324.0	374.5	410.0	476.5	535.8	523.5	571.5	586.8	559.3	642.5
IMPORT OF GOODS & NFS	353.8	322.5	366.5	440.0	542.8	577.0	631.5	638.3	625.0	621.5	634.5
GDP AT MARKET PRICES	1,420.0	1,444.1	1,602.6	1,693.6	1,866.7	1,992.2	2,109.7	2,215.7	2,291.9	2,381.8	2,571.4
NET FACTOR INCOME	-9.8	-10.3	-12.8	-14.5	-15.5	-19.0	-19.0	-21.5	-18.2	-20.1	-22.0
GNP AT MARKET PRICES	1,410.2	1,433.8	1,589.8	1,679.1	1,851.2	1,973.2	2,090.7	2,194.2	2,273.7	2,361.7	2,549.4

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.1

EL SALVADOR: GROSS DOMESTIC PRODUCT BY EXPENDITURE

(MILLIONS OF CURRENT COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
CONSUMPTION	2,332.6	2,442.1	2,816.0	3,383.1	3,715.3	4,565.5	5,426.6	6,378.5	7,068.0	7,965.7	8,357.4
PRIVATE	2,057.7	2,134.5	2,467.0	2,954.3	3,214.1	3,879.6	4,621.9	5,409.5	5,962.0	6,665.3	7,042.4
GENERAL GOV'T	274.9	307.6	349.0	428.8	501.2	685.9	804.7	969.0	1,106.0	1,300.4	1,315.0
GROSS DOMESTIC INVESTMENT	421.7	408.2	609.0	892.2	990.5	1,119.6	1,678.7	2,005.7	1,435.8	896.4	1,083.0
FIXED	359.4	474.2	521.0	718.5	1,030.6	1,145.4	1,520.5	1,790.1	1,598.8	1,109.4	1,148.7
PRIVATE	263.7	346.0	377.0	508.4	673.6	791.4	995.5	1,256.9	1,016.8	510.0	522.7
PUBLIC	95.7	128.2	144.0	210.1	357.0	354.0	525.0	533.2	582.0	599.4	626.0
CHANGE IN STOCKS	62.3	-66.0	88.0	173.7	-40.1	-25.8	158.2	215.6	-163.0	-213.0	-65.7
GROSS DOMESTIC EXPENDITURE	2,754.3	2,850.3	3,425.0	4,275.3	4,705.8	5,685.1	7,105.3	8,384.2	8,503.8	8,862.1	9,440.4
RESOURCE BALANCE	-50.5	31.8	-93.5	-331.5	-228.1	20.8	61.8	-692.0	114.8	81.5	-578.0
EXPORT OF GOODS & NFS	668.8	841.8	1,003.0	1,283.5	1,485.2	2,177.8	2,767.3	2,362.8	3,282.8	3,046.0	2,333.3
IMPORT OF GOODS & NFS	719.3	810.0	1,096.5	1,615.0	1,713.3	2,157.0	2,705.5	3,054.8	3,168.0	2,964.5	2,911.3
GDP AT MARKET PRICES	2,703.8	2,882.1	3,331.5	3,943.8	4,477.7	5,705.9	7,167.1	7,692.2	8,618.6	8,943.6	8,862.4
NET FACTOR INCOME	-24.8	-26.8	-37.5	-52.8	-65.6	-17.0	-72.3	-130.3	-60.3	-127.5	-132.6
GNP AT MARKET PRICES	2,678.9	2,855.3	3,294.0	3,891.0	4,412.1	5,688.9	7,094.8	7,561.9	8,558.3	8,816.1	8,729.8

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.2

EL SALVADOR: GROSS DOMESTIC PRODUCT BY EXPENDITURE
(MILLIONS OF 1978 COLONES)

ITEM	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970
CONSUMPTION	2,733.3	2,625.6	3,082.3	3,198.2	3,496.9	3,670.5	3,969.7	4,153.7	4,277.3	4,396.2	4,472.7
PRIVATE	2,411.5	2,279.7	2,750.3	2,823.8	3,108.6	3,280.6	3,548.4	3,391.1	3,787.7	3,831.0	3,857.5
GENERAL GOV'T	321.8	345.9	332.0	374.4	388.3	389.9	421.3	462.6	489.6	565.2	615.2
GROSS DOMESTIC INVESTMENT	568.6	534.9	536.9	547.2	923.0	690.5	873.5	702.2	573.5	696.8	727.2
FIXED	465.1	398.2	414.5	479.0	616.4	629.1	681.5	686.1	516.7	551.5	619.0
PRIVATE	368.1	291.0	323.5	375.8	503.6	486.0	510.3	554.5	410.0	419.9	478.2
PUBLIC	97.0	107.2	91.0	103.2	112.8	143.1	171.2	131.6	106.7	131.6	140.8
CHANGE IN STOCKS	103.5	136.7	122.4	68.2	306.6	61.4	192.0	16.1	56.8	145.3	108.2
GROSS DOMESTIC EXPENDITURE	3,301.9	3,160.5	3,619.2	3,745.4	4,419.9	4,361.0	4,843.2	4,855.9	4,850.8	5,093.0	5,199.9
RESOURCE BALANCE	-269.2	-89.5	-204.4	-193.2	-403.4	-288.5	-401.7	-283.7	-90.4	-111.7	-117.2
EXPORT OF GOODS & NFS	764.3	816.0	810.3	1,089.0	1,174.2	1,275.8	1,319.3	1,463.3	1,574.0	1,502.0	1,454.3
IMPORT OF GOODS & NFS	1,033.5	905.5	1,014.7	1,282.2	1,577.6	1,564.3	1,721.0	1,747.0	1,664.4	1,613.7	1,571.5
GDP AT MARKET PRICES	3,032.7	3,071.0	3,414.8	3,552.2	4,016.5	4,072.5	4,441.5	4,572.2	4,760.4	4,981.3	5,082.7
NET FACTOR INCOME	-34.2	-38.6	-48.9	-52.1	-56.1	-74.8	-82.0	-93.6	-88.3	-87.7	-90.5
GNP AT MARKET PRICES	2,998.5	3,032.4	3,365.9	3,500.1	3,960.4	3,997.7	4,359.5	4,478.6	4,672.1	4,893.6	4,992.2

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.2

EL SALVADOR: GROSS DOMESTIC PRODUCT BY EXPENDITURE
(MILLIONS OF 1978 COLONES)

ITEM		1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
CONSUMPTION	21	4,652.5	4,693.9	5,163.2	5,320.9	5,335.6	6,004.2	6,277.0	6,378.5	6,251.0	6,239.5	6,082.1
PRIVATE	22	4,073.4	4,014.3	4,405.2	4,591.9	4,566.9	5,149.8	5,379.9	5,409.5	5,232.6	5,191.7	5,083.5
GENERAL GOV'T	23	579.1	679.6	758.0	729.0	768.7	854.4	897.1	969.0	1,018.4	1,047.8	998.6
GROSS DOMESTIC INVESTMENT	24	949.8	374.1	1,376.8	1,483.9	1,082.0	1,190.0	1,881.0	2,005.7	1,127.2	710.1	743.9
FIXED	25	699.2	918.1	834.6	954.9	1,225.1	1,245.0	1,598.3	1,790.1	1,399.2	917.8	788.5
PRIVATE	33	511.8	665.1	600.8	687.1	783.2	845.1	1,050.4	1,256.9	869.2	458.2	391.1
PUBLIC	34	187.4	253.0	233.8	267.8	441.9	399.9	547.9	533.2	530.0	459.6	397.4
CHANGE IN STOCKS	26	250.6	-544.0	542.2	529.0	-143.1	-55.0	282.7	215.6	-272.0	-207.7	-44.6
GROSS DOMESTIC EXPENDITURE	35	5,602.3	5,068.0	6,540.0	6,804.8	6,417.6	7,194.3	8,158.0	8,384.2	7,378.2	6,949.6	6,826.0
RESOURCE BALANCE	27	-188.2	140.8	-359.5	-281.6	0.7	-414.4	-793.1	-692.0	-10.0	-124.2	-466.7
EXPORT OF GOODS & NFS	28	1,601.3	2,016.5	1,849.2	1,989.5	2,228.0	2,350.8	2,402.1	2,362.8	2,735.7	2,284.5	1,961.1
IMPORT OF GOODS & NFS	29	1,789.5	1,875.7	2,208.7	2,271.1	2,227.3	2,765.2	3,195.2	3,054.8	2,745.7	2,408.7	2,427.8
GDP AT MARKET PRICES	30	5,414.1	5,208.8	6,180.5	6,523.2	6,418.3	6,779.8	7,364.9	7,692.2	7,368.2	6,825.4	6,359.3
NET FACTOR INCOME	31	-97.8	-101.4	-123.6	-121.0	-138.3	-72.7	-121.9	-130.3	-53.1	-130.1	-115.5
GNP AT MARKET PRICES	32	5,316.3	5,107.4	6,056.9	6,402.2	6,280.0	6,707.1	7,243.0	7,561.9	7,315.1	6,695.3	6,243.8

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.3

EL SALVADOR: GROSS DOMESTIC PRODUCT BY EXPENDITURE
(MILLIONS OF 1975 COLONES)

ITEM	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970
CONSUMPTION	1,907.0	1,829.9	2,152.1	2,231.4	2,441.0	2,563.0	2,772.0	2,899.3	2,984.9	3,064.7	3,115.9
PRIVATE	1,697.2	1,604.4	1,935.6	1,987.3	2,187.8	2,308.8	2,497.3	2,597.7	2,665.7	2,696.2	2,714.8
GENERAL GOV'T	209.8	225.5	216.5	244.1	253.2	254.2	274.7	301.6	319.2	368.5	401.1
GROSS DOMESTIC INVESTMENT	424.0	375.2	386.0	425.7	610.1	550.8	631.0	587.7	454.7	508.1	555.4
FIXED	395.0	336.9	351.7	406.6	524.2	533.6	577.2	583.2	438.8	467.4	525.1
PRIVATE	316.6	250.3	278.2	323.2	433.1	418.0	438.9	476.9	352.6	361.1	411.3
PUBLIC	78.4	86.6	73.5	83.4	91.1	115.6	138.3	106.3	86.2	106.3	113.8
CHANGE IN STOCKS	29.0	38.3	34.3	19.1	85.9	17.2	53.8	4.5	15.9	40.7	30.3
GROSS DOMESTIC EXPENDITURE	2,331.0	2,205.1	2,538.1	2,657.1	3,051.1	3,113.8	3,403.0	3,487.0	3,439.6	3,572.8	3,671.3
RESOURCE BALANCE	-285.5	-152.5	-240.3	-260.3	-430.7	-352.8	-444.3	-368.3	-231.0	-240.0	-239.3
EXPORT OF GOODS & NFS	509.5	544.0	540.2	726.0	782.8	850.5	879.5	975.5	1,049.3	1,001.3	969.5
IMPORT OF GOODS & NFS	795.0	696.5	780.5	986.3	1,213.5	1,203.3	1,323.8	1,343.8	1,280.3	1,241.3	1,208.8
GDP AT MARKET PRICES	2,045.5	2,052.6	2,297.8	2,396.8	2,620.4	2,761.0	2,958.7	3,118.7	3,208.6	3,332.8	3,432.0
NET FACTOR INCOME	-16.2	-18.3	-23.2	-24.7	-26.6	-35.5	-38.9	-44.4	-41.9	-41.6	-42.9
GNP AT MARKET PRICES	2,029.3	2,034.3	2,274.6	2,372.1	2,593.8	2,725.5	2,919.8	3,074.3	3,166.7	3,291.2	3,389.1

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.3

EL SALVADOR: GROSS DOMESTIC PRODUCT BY EXPENDITURE
(MILLIONS OF 1975 COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
CONSUMPTION	3,244.4	3,268.3	3,594.5	3,707.0	3,715.3	4,181.4	4,371.2	4,438.9	4,346.6	4,337.0	4,228.8
PRIVATE	2,866.8	2,825.2	3,100.3	3,231.7	3,214.1	3,624.3	3,786.3	3,807.1	3,682.6	3,653.8	3,577.7
GENERAL GOV'T	377.6	443.1	494.2	475.3	501.2	557.1	584.9	631.8	664.0	683.2	651.1
GROSS DOMESTIC INVESTMENT	661.8	624.0	857.5	955.5	990.5	1,034.5	1,425.3	1,572.2	1,099.6	707.2	645.0
FIXED	591.6	776.4	705.6	807.3	1,030.6	1,049.9	1,346.1	1,511.8	1,175.8	765.4	657.5
PRIVATE	440.2	572.0	516.7	590.9	673.6	726.8	903.4	1,081.0	747.6	394.1	336.4
PUBLIC	151.4	204.4	188.9	216.4	357.0	323.1	442.7	430.8	428.2	371.3	321.1
CHANGE IN STOCKS	70.2	-152.4	151.9	148.2	-40.1	-15.4	79.2	60.4	-76.2	-58.2	-12.5
GROSS DOMESTIC EXPENDITURE	3,906.2	3,892.3	4,452.0	4,662.5	4,705.8	5,215.9	5,796.5	6,011.1	5,446.2	5,044.2	4,873.8
RESOURCE BALANCE	-309.0	-98.5	-466.2	-420.7	-228.1	-559.8	-856.4	-774.6	-288.2	-329.8	-560.1
EXPORT OF GOODS & NFS	1,067.5	1,344.3	1,232.8	1,326.3	1,485.3	1,567.2	1,601.4	1,575.2	1,823.8	1,523.0	1,307.4
IMPORT OF GOODS & NFS	1,376.5	1,442.8	1,699.0	1,747.0	1,713.3	2,127.0	2,457.8	2,349.8	2,112.0	1,852.8	1,867.5
GDP AT MARKET PRICES	3,597.2	3,793.8	3,985.8	4,241.8	4,477.8	4,656.1	4,940.1	5,236.5	5,158.0	4,714.4	4,313.7
NET FACTOR INCOME	-46.4	-48.1	-58.6	-57.4	-65.6	-34.5	-57.8	-61.8	-25.2	-61.7	-54.8
GNP AT MARKET PRICES	3,550.8	3,745.7	3,927.2	4,184.5	4,412.1	4,621.6	4,882.3	5,174.7	5,132.8	4,652.7	4,258.9

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.4

EL SALVADOR: GROSS DOMESTIC PRODUCT BY SECTOR

(MILLIONS OF CURRENT COLONES)

ITEM	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970
PRIMARY PRODUCTION	451.7	469.2	549.7	536.6	584.7	582.5	576.9	603.3	605.8	610.6	735.4
AGRICULTURE	449.3	467.0	547.3	533.5	581.9	579.6	573.9	599.9	602.7	607.1	731.2
MINING	2.4	2.2	2.4	3.1	2.8	2.9	3.0	3.4	3.1	3.5	4.2
SECONDARY PRODUCTION	270.1	287.4	298.6	336.1	385.9	440.6	501.2	522.0	539.9	569.8	596.0
MANUFACTURING	206.8	223.4	241.4	267.7	306.1	352.2	396.6	422.3	448.0	466.2	484.7
CONSTRUCTION	47.0	46.2	38.8	47.0	55.6	62.0	74.7	68.2	56.8	67.6	72.4
PUBLIC UTILITIES	16.3	17.8	18.4	21.4	24.2	26.4	29.9	31.5	35.1	36.0	38.9
SERVICES	698.2	707.6	788.8	823.7	934.8	969.1	1,031.6	1,090.4	1,146.2	1,201.4	1,240.0
TRANSPORT & COMMUNICATIONS	66.4	69.6	75.1	76.9	86.8	89.5	91.2	97.8	113.7	123.1	128.3
COMMERCE	317.6	319.6	374.3	394.3	474.7	482.3	511.3	528.0	539.8	541.7	543.6
BANKING, INSURANCE,ETC.	21.3	22.5	26.2	26.9	32.7	33.4	38.2	42.2	46.0	51.3	57.5
HOUSING	80.3	70.4	69.7	71.4	72.9	78.1	81.4	85.8	90.2	93.3	94.9
PUBLIC ADMIN. AND DEFENSE	114.7	121.1	131.8	133.1	134.9	142.3	155.2	167.4	170.1	190.6	200.2
PERSONAL SERVICES	97.9	104.4	111.7	121.1	132.8	143.5	154.3	169.2	186.4	201.4	215.5
GDP AT MARKET PRICES	1,420.0	1,464.2	1,637.1	1,696.4	1,905.4	1,992.2	2,109.7	2,215.7	2,291.9	2,381.8	2,571.4

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.4

EL SALVADOR: GROSS DOMESTIC PRODUCT BY SECTOR

(MILLIONS OF CURRENT COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
PRIMARY PRODUCTION	733.3	732.5	928.0	1,006.3	1,035.6	1,622.2	2,382.2	2,057.4	2,518.1	2,487.3	2,058.3
AGRICULTURE	729.0	728.1	922.4	999.0	1,028.2	1,614.4	2,374.1	2,048.9	2,508.5	2,476.0	2,045.8
MINING	4.3	4.4	5.6	7.3	7.4	7.8	8.1	8.5	9.6	11.3	12.5
SECONDARY PRODUCTION	639.6	707.8	763.0	907.4	1,107.3	1,238.4	1,480.4	1,718.6	1,838.1	1,757.1	1,786.9
MANUFACTURING	519.2	562.6	610.5	706.6	831.3	932.6	1,046.6	1,204.7	1,318.1	1,306.1	1,275.1
CONSTRUCTION	80.1	102.1	104.0	146.4	219.4	216.3	327.3	382.4	366.8	277.8	320.8
PUBLIC UTILITIES	40.3	43.1	48.5	54.3	56.6	89.4	106.5	131.5	153.2	173.2	191.0
SERVICES	1,330.9	1,441.8	1,640.5	2,030.2	2,334.8	2,845.3	3,304.4	3,916.2	4,262.6	4,699.2	5,017.2
TRANSPORT & COMMUNICATIONS	131.6	139.6	146.4	173.4	187.6	211.1	242.8	291.0	291.9	313.5	324.2
COMMERCE	587.0	644.0	741.9	964.9	1,112.1	1,411.6	1,600.9	1,894.1	2,061.4	2,155.2	2,280.4
BANKING, INSURANCE,ETC.	62.1	65.5	85.1	103.9	128.2	156.9	234.4	259.5	286.2	301.9	339.9
HOUSING	100.3	107.0	118.0	142.2	171.9	192.2	227.0	284.8	330.3	393.0	454.4
PUBLIC ADMIN. AND DEFENSE	219.0	238.6	278.6	338.1	383.8	485.7	570.7	697.4	761.3	958.0	1,000.7
PERSONAL SERVICES	230.9	247.1	270.5	307.7	351.2	387.7	428.6	489.4	531.5	577.6	617.6
GDP AT MARKET PRICES	2,703.8	2,882.1	3,331.5	3,943.8	4,477.7	5,705.9	7,167.0	7,692.2	8,618.7	8,943.6	8,862.4

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.5

EL SALVADOR: GROSS DOMESTIC PRODUCT BY SECTOR

(MILLIONS OF 1962 COLONES)

ITEM	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970
PRIMARY PRODUCTION	428.9	453.5	539.3	520.7	542.3	520.1	530.4	561.1	570.6	591.8	630.8
AGRICULTURE	426.2	451.1	537.0	518.4	540.0	517.2	527.3	557.7	567.7	588.6	627.2
MINING	2.7	2.4	2.3	2.3	2.3	2.9	3.1	3.4	2.9	3.2	3.6
SECONDARY PRODUCTION	256.7	278.8	299.5	332.2	375.4	420.9	475.9	504.9	516.5	528.1	547.1
MANUFACTURING	200.5	218.7	241.4	262.4	295.6	332.9	370.7	401.7	419.4	422.5	438.3
CONSTRUCTION	40.5	43.4	39.7	48.5	55.2	60.2	73.1	67.6	56.8	64.1	63.8
PUBLIC UTILITIES	15.7	16.7	18.4	21.3	24.6	27.8	32.1	35.6	40.3	41.5	45.0
SERVICES	697.1	699.2	763.8	818.6	909.8	984.6	1,057.2	1,109.7	1,159.0	1,204.5	1,215.7
TRANSPORT & COMMUNICATIONS	62.9	66.9	75.1	77.5	83.6	90.7	95.6	102.5	115.9	119.1	127.9
COMMERCE	334.6	313.5	349.2	391.7	462.1	511.5	544.3	563.2	582.1	582.1	565.6
BANKING, INSURANCE,ETC.	22.0	23.8	26.3	27.5	31.2	32.4	36.6	40.4	43.9	49.1	51.0
HOUSING	65.5	67.6	69.7	72.0	74.2	75.4	79.0	81.4	84.3	87.3	90.4
PUBLIC ADMIN. AND DEFENSE	111.8	121.3	131.8	131.1	130.7	137.0	151.3	160.9	159.4	178.9	182.8
PERSONAL SERVICES	100.3	106.1	111.7	118.9	128.0	137.6	150.4	161.3	173.4	188.0	198.0
GDP AT MARKET PRICES	1,382.7	1,431.5	1,602.6	1,671.5	1,827.5	1,925.6	2,063.5	2,175.7	2,246.1	2,324.4	2,393.6

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.5

EL SALVADOR: GROSS DOMESTIC PRODUCT BY SECTOR

(MILLIONS OF 1962 COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
PRIMARY PRODUCTION	654.2	664.2	676.2	745.7	791.8	729.2	755.0	860.3	891.2	847.9	762.4
AGRICULTURE	650.7	660.3	672.0	740.8	787.3	725.2	751.3	856.6	887.4	844.0	758.6
MINING	3.5	3.9	4.2	4.9	4.5	4.0	3.7	3.7	3.8	3.9	3.8
SECONDARY PRODUCTION	590.0	635.2	663.7	702.1	776.5	822.4	906.4	953.3	909.0	752.2	659.8
MANUFACTURING	468.9	486.9	521.8	552.2	578.0	628.6	661.5	691.5	663.8	557.9	470.0
CONSTRUCTION	72.2	93.9	80.9	85.7	128.0	115.9	157.1	165.2	141.5	92.6	91.4
PUBLIC UTILITIES	48.9	54.4	61.0	64.2	70.5	77.9	87.8	96.6	103.7	101.7	98.4
SERVICES	1,264.5	1,346.5	1,439.8	1,510.6	1,554.5	1,695.4	1,782.3	1,850.6	1,801.5	1,678.9	1,545.2
TRANSPORT & COMMUNICATIONS	129.5	136.0	141.9	164.1	172.9	195.6	214.3	223.3	208.8	193.7	170.8
COMMERCE	576.1	613.5	658.0	681.9	709.2	770.0	803.4	819.3	779.0	690.9	594.7
BANKING, INSURANCE, ETC.	54.9	59.8	68.5	75.7	77.7	88.3	101.5	103.9	106.1	97.0	94.0
HOUSING	93.1	99.4	102.9	106.6	110.4	114.3	118.3	122.5	126.9	130.0	131.9
PUBLIC ADMIN. AND DEFENSE	199.4	213.6	234.3	243.4	243.9	274.3	288.2	310.9	322.7	332.0	339.9
PERSONAL SERVICES	211.5	224.2	234.2	238.9	240.4	252.9	256.6	270.7	258.0	235.3	213.9
GDP AT MARKET PRICES	2,508.7	2,645.9	2,779.7	2,958.4	3,122.8	3,247.0	3,443.7	3,664.3	3,601.6	3,279.0	2,967.4

SOURCE: CENTRAL RESERVE BANK AND MISSION ESTIMATES

Table 2.6

EL SALVADOR: GROSS FIXED CAPITAL FORMATION BY MAJOR SECTOR
(MILLIONS OF CURRENT COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
TOTAL FIXED CAPITAL FORMATION	359.3	474.2	521.0	718.5	1,030.5	1,145.4	1,520.5	1,790.1	1,598.9	1,109.4	1,148.7
PRIVATE	263.6	346.0	377.0	508.4	673.5	791.4	995.5	1,256.9	1,016.8	510.0	522.7
MACHINERY AND EQUIPMENT	193.1	261.3	282.5	375.2	552.6	645.6	786.5	927.9	687.8	378.6	388.0
AGRICULTURE AND RELATED	15.6	20.4	26.0	34.1	48.2	40.2	60.4	78.2	46.8	-	-
INDUSTRY	70.8	104.6	109.5	149.9	242.2	307.2	264.8	316.9	234.8	-	-
CONSTRUCTION	12.2	14.6	13.3	27.2	39.4	42.5	82.8	61.7	51.7	-	-
ELECTRICITY	6.1	6.2	6.4	12.1	22.4	16.8	20.2	18.9	14.0	-	-
TRANSPORT	71.5	98.2	105.8	123.0	148.2	195.7	302.0	391.8	283.7	-	-
COMMERCE AND SERVICES	16.9	17.3	21.5	28.9	52.2	43.2	56.4	60.4	56.7	-	-
CONSTRUCTION	70.5	84.7	94.6	133.2	120.9	145.8	208.9	329.0	329.0	131.4	134.7
RESIDENTIAL	58.3	62.7	66.3	88.7	82.8	103.7	152.7	261.7	-	-	-
NON-RESIDENTIAL	12.2	22.0	28.3	44.5	38.1	42.1	56.2	67.3	-	-	-
PUBLIC	95.7	128.2	144.0	210.2	357.0	354.0	525.1	533.2	582.0	599.4	626.0

SOURCE: CENTRAL BANK, MINISTRY OF PLANNING AND MISSION ESTIMATES.

Table 2.7

EL SALVADOR--GDP PROJECTIONS--BASE PROJECTION
(MILLIONS OF CONSTANT 1980 DOLLARS)

ITEM	1980	1981	1982	1983	1984	1985
GROSS DOMESTIC PRODUCT	3,577.6	3,265.9	3,060.4	3,059.8	3,206.5	3,354.8
TERMS OF TRADE ADJUSTMENTS	-	-65.8	-17.0	-3.5	-13.7	-16.0
GROSS DOMESTIC INCOMES	3,577.6	3,200.1	3,043.4	3,056.2	3,192.8	3,338.8
IMPORTS OF GOODS AND SERVICES	1,185.8	1,182.9	1,126.8	1,124.1	1,178.3	1,240.1
EXPORTS (TTA)	-1,218.4	-954.9	-883.5	-854.9	-952.4	-1,041.3
CONSUMPTION	3,186.2	3,031.4	2,956.3	2,994.5	3,031.4	3,130.1
INVESTMENT	358.4	396.7	330.3	320.0	387.3	407.4

SOURCE: MISSION ESTIMATES

Table 2.8

EL SALVADOR--GDP PROJECTIONS--ALTERNATIVE 1
(MILLIONS OF CONSTANT 1980 DOLLARS)

ITEM		1980	1981	1982	1983	1984	1985
GROSS DOMESTIC PRODUCT	8	3,577.6	3,265.9	3,060.4	2,869.1	2,817.7	2,907.7
TERMS OF TRADE ADJUSTMENT	9	-	-65.8	-17.0	0.4	-3.8	0.5
GROSS DOMESTIC INCOME	10	3,577.6	3,200.1	3,043.4	2,869.6	2,813.9	2,908.2
IMPORTS OF GOODS AND SERVICES	11	1,185.8	1,182.9	1,126.8	1,116.7	1,114.5	1,125.9
EXPORTS (TTA)	12	-1,218.4	-954.9	-883.5	-761.3	-821.3	-896.1
CONSUMPTION	13	3,186.2	3,031.4	2,956.4	2,940.6	2,739.7	2,753.5
INVESTMENT	14	358.3	396.7	330.3	284.3	367.4	384.5

SOURCE: MISSION ESTIMATES

Table 3.1

EL SALVADOR: BALANCE OF PAYMENTS
(MILLIONS OF US$)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
CURRENT ACCOUNT											
EXPORTS (GOODS & NFS)	267.5	336.7	401.1	513.4	594.1	871.1	1,106.9	945.1	1,313.1	1,218.4	933.3
MERCHANDISE (FOB)	243.2	301.7	360.6	463.1	532.6	743.5	973.5	801.7	1,129.2	1,075.3	793.1
NON-FACTOR SERVICES	24.3	35.0	40.5	50.3	61.5	127.6	133.4	143.4	183.9	143.1	140.2
IMPORTS (GOODS & NFS)	-287.6	-324.0	-438.6	-646.0	-685.3	-862.8	-1,082.2	-1,221.9	-1,267.2	-1,185.8	-1,164.5
MERCHANDISE (CIF)	-247.8	-278.5	-373.8	-563.4	-598.0	-739.2	-930.8	-1,029.1	-1,024.5	-962.1	-980.8
OTHER NFS	-39.8	-45.5	-64.8	-82.6	-87.3	-123.6	-151.4	-192.8	-242.7	-223.7	-183.7
RESOURCE BALANCE	-20.1	12.7	-37.5	-132.6	-91.2	8.3	24.7	-276.8	45.9	32.6	-231.2
FACTOR SERVICE INCOME (NET)	-9.9	-10.7	-15.0	-21.1	-28.9	-18.1	-33.5	-60.6	-62.7	-84.0	-70.0
PROFITS AND OTHER, NET	-6.2	-7.0	-10.7	-15.9	-21.9	-4.1	-18.0	-43.0	-42.0	-59.9	-40.5
INTEREST, ML & LT	-3.8	-3.7	-4.3	-5.2	-7.0	-14.1	-15.5	-17.6	-20.7	-24.1	-29.5
NET TRANSFERS	17.2	12.1	14.3	18.3	27.3	30.4	39.6	51.4	51.4	48.9	41.2
CURRENT ACCOUNT BALANCE	-12.8	14.1	-38.2	-135.4	-92.8	20.6	30.8	-286.0	34.6	-2.5	-260.0
CAPITAL ACCOUNT											
FOREIGN DIRECT INVESTMENT	7.0	6.5	6.0	20.1	13.1	12.9	18.6	23.4	-10.0	5.9	-
PUBLIC M&LT LOANS, NET 1/	6.3	17.1	7.1	85.5	33.7	71.3	6.9	68.9	71.5	106.7	164.5
DISBURSEMENTS	16.7	22.4	15.6	87.9	67.4	88.5	57.7	80.3	83.4	123.8	181.6
AMORTIZATION	-11.9	-6.7	-16.5	-18.9	-47.3	-22.2	-54.0	-12.3	-12.7	-17.1	-17.1
OTHER CAPITAL 2/	1.5	1.4	8.0	16.5	13.6	5.0	3.2	0.9	0.8	-	-
ALLOCATION OF SDR'S	3.7	4.0	-	-	-	-	-	-	5.8	5.1	2.7
OTHER CAPITAL 3/	19.3	-13.1	8.0	65.9	29.3	4.9	16.3	302.3	13.3	-56.5	-32.2
ERRORS & OMISSIONS	-26.5	-10.0	5.4	-23.7	48.0	-25.7	-31.7	-75.6	-214.0	-317.6	-
CHANGE IN RESERVES	3.1	-18.6	11.7	-12.4	-31.3	-84.0	-40.9	-33.0	98.8	217.9	100.0
ARREARS	-	-	-	-	-	-	-	-	-	41.0	25.0

1/ DATA FROM IBRD DEBT REPORTING SYSTEM. INCLUDES LOANS TO CENTRAL BANK AND TO THE PRIVATE SECTOR WHEN PUBLICLY GUARANTEED.
2/ LOANS REPAYABLE IN LOCAL CURRENCY, DISBURSED IN FOREIGN CURRENCY
3/ INCLUDES SOME MEDIUM- AND LONG-TERM PRIVATE AND ALL SHORT TERM CAPITAL.
SOURCE: CENTRAL BANK, IMF BALANCE OF PAYMENTS YEARBOOK, IBRD DEBT REPORTING SYSTEM

Table 3.2

EL SALVADOR: EXPORTS
(MILLIONS OF US DOLLARS)

ITEM	1960	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970
(CURRENT US DOLLARS)											
COFFEE	68.8	72.1	78.6	71.4	90.8	95.6	89.1	97.1	92.2	87.2	119.1
COTTON	15.8	21.3	32.3	37.6	39.8	37.8	24.4	16.9	14.5	19.5	23.2
SUGAR	1.4	1.6	2.5	2.4	2.8	1.5	6.6	4.3	9.1	6.1	7.0
SHRIMP	4.8	5.8	5.6	4.5	4.3	3.1	4.8	3.6	4.1	5.0	5.2
MANUFACTURED GOODS	9.0	16.1	17.8	31.8	35.7	44.0	55.1	70.8	79.6	76.4	74.6
ALL OTHER GOODS	2.8	1.9	2.1	2.5	2.1	8.0	9.5	15.2	12.2	7.9	7.1
TOTAL MERCHANDISE	102.6	118.8	138.9	150.2	175.5	190.0	189.5	207.9	211.7	202.1	236.2
NON-FACTOR SERVICES	13.2	10.8	10.9	13.8	15.1	24.3	19.9	20.7	23.0	21.6	20.8
TOTAL	115.8	129.6	149.8	164.0	190.6	214.3	209.4	228.6	234.7	223.7	257.0
(CONSTANT 1975 US DOLLARS											
COFFEE	108.5	104.7	125.4	121.4	131.4	120.0	116.8	146.5	142.5	135.7	143.9
COTTON	26.2	34.2	52.0	61.8	60.5	62.8	43.4	29.3	24.6	35.1	43.3
SUGAR	6.4	8.0	12.8	12.3	12.3	8.5	29.8	18.7	47.4	37.8	32.0
SHRIMP	10.6	11.4	10.8	9.6	11.0	7.6	11.4	9.4	7.1	8.4	10.4
MANUFACTURED GOODS	16.2	29.7	38.0	48.6	61.7	75.6	90.0	113.1	127.9	127 5	106.8
ALL OTHER GOODS	6.6	4.7	6.0	5.6	4.7	17.1	20.8	33.2	26.5	16.0	13.5
TOTAL MERCHANDISE	174.5	192.7	245.0	259.3	281.6	291.6	312.2	350.2	376.0	360.5	349.9
NON-FACTOR SERVICES	29.3	24.9	25.1	31.1	31.5	48.6	39.6	40.0	43.7	40.0	37.9
TOTAL	203.8	217.6	270.1	290.4	313.1	340.2	351.8	390.2	419.7	400.5	387.8

SOURCE: CENTRAL RESERVE BANK.

Table 3.2

EL SALVADOR: EXPORTS
(MILLIONS OF US DOLLARS)

ITEM		1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
(CURRENT US DOLLARS)												
COFFEE	1	106.2	130.1	159.4	194.7	172.0	384.2	605.6	385.6	675.2	615.2	452.6
COTTON	2	29.0	38.6	36.4	48.2	76.4	64.1	75.7	98.4	84.6	82.8	52.6
SUGAR	3	9.4	18.0	17.8	39.6	82.1	40.5	26.4	18.9	26.8	13.2	14.0
SHRIMP	4	6.0	6.8	9.0	8.2	10.4	11.9	10.5	10.6	12.3	13.4	18.7
MANUFACTURED GOODS	5	83.7	98.0	128.7	162.8	181.0	223.6	239.5	259.6	296.6	294.7	179.7
ALL OTHER GOODS	6	8.9	10.2	9.3	9.6	10.7	19.2	15.8	28.6	33.7	53.2	75.4
TOTAL MERCHANDISE	7	243.2	301.7	360.6	463.1	532.6	743.5	973.5	801.7	1,129.2	1,072.5	793.0
NON-FACTOR SERVICES	8	24.3	35.0	40.6	50.3	61.5	127.6	133.4	143.4	183.9	145.9	140.2
TOTAL	17	267.5	336.7	401.2	513.4	594.1	871.1	1,106.9	945.1	1,313.1	1,218.4	933.2
(CONSTANT 1975 US DOLLARS												
COFFEE	9	139.4	188.9	147.2	173.8	172.0	174.4	144.9	118.1	216.4	223.5	187.0
COTTON	10	48.7	58.8	53.9	45.9	76.4	53.7	54.4	76.4	57.2	52.8	29.7
SUGAR	11	43.2	84.8	58.6	80.0	82.1	78.4	80.7	70.0	92.9	21.2	20.9
SHRIMP	12	9.4	9.2	10.4	9.2	10.4	8.1	8.4	8.1	8.7	8.7	10.5
MANUFACTURED GOODS	13	128.8	120.9	152.1	156.5	181.0	167.8	217.0	198.7	198.2	176.5	112.3
ALL OTHER GOODS	14	15.8	16.7	11.6	7.7	10.7	19.0	14.3	21.9	22.5	31.9	47.4
TOTAL MERCHANDISE	15	385.3	479.3	433.8	473.1	532.6	501.4	519.7	493.2	595.9	514.6	407.8
NON-FACTOR SERVICES	16	41.7	58.4	59.3	57.4	61.5	125.5	120.9	109.8	122.9	85.7	87.6
TOTAL	18	427.0	537.7	493.1	530.5	594.1	626.9	640.6	603.0	718.8	600.3	495.4

SOURCE: CENTRAL RESERVE BANK.

Table 3.3

EL SALVADOR: IMPORTS
(IN MILLIONS OF US DOLLARS)

ITEM		1960	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970
(CURRENT US DOLLARS)												
FOOD	1	17.2	16.3	21.4	23.0	25.4	27.9	29.9	27.3	30.4	26.6	24.5
OTHER CONSUMER GOODS	2	31.0	25.6	27.7	25.0	31.4	33.9	41.4	38.8	41.5	39.5	46.6
FUEL	3	7.2	6.7	7.4	13.0	12.4	10.1	10.8	10.9	12.0	8.6	4.8
INTERMEDIATE GOODS	4	42.0	42.0	44.9	64.1	81.9	82.9	91.9	101.3	99.9	103.8	100.5
CAPITAL GOODS	5	25.2	18.4	23.5	27.7	40.7	47.0	46.0	45.6	31.8	33.2	37.8
TOTAL MERCHANDISE (CIF)	6	122.6	109.0	124.9	152.8	191.8	201.8	220.0	223.9	215.6	211.7	214.2
NON-FACTOR SERVICES	7	18.9	20.0	21.7	23.2	25.3	29.0	32.6	31.4	34.4	36.9	39.6
TOTAL GOODS AND NFS	8	141.5	129.0	146.6	176.0	217.1	230.8	252.6	255.3	250.0	248.6	253.8
(CONSTANT 1975 US DOLLARS)												
FOOD	9	41.4	37.8	56.0	47.2	60.0	63.0	68.4	62.7	69.7	57.1	48.8
OTHER CONSUMER GOODS	10	65.2	54.4	59.4	52.0	64.8	70.0	84.0	78.8	84.0	77.0	85.4
FUEL	11	37.9	34.7	43.8	67.3	69.4	53.4	57.1	57.7	64.1	45.9	24.0
INTERMEDIATE GOODS	12	78.1	76.6	65.3	122.5	154.9	150.6	172.4	193.4	185.4	188.6	189.7
CAPITAL GOODS	13	63.4	39.6	48.4	66.0	92.9	90.1	86.6	85.4	60.4	61.0	65.1
TOTAL MERCHANDISE (CIF)	14	286.0	243.1	272.9	355.0	442.0	427.1	468.5	478.0	463.6	429.6	413.0
NON-FACTOR SERVICES	15	32.0	35.5	39.3	39.5	43.4	54.2	61.0	59.5	48.5	66.9	70.5
TOTAL GOODS AND NFS	16	318.0	278.6	312.2	394.5	485.4	481.3	529.5	537.5	512.1	496.5	483.5

SOURCE: CENTRAL RESERVE BANK.

Table 3.3

EL SALVADOR: IMPORTS
(IN MILLIONS OF US DOLLARS)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
(CURRENT US DOLLARS)											
FOOD	25.8	25.3	41.3	50.8	65.2	67.5	81.8	105.6	105.4	149.7	148.0
OTHER CONSUMER GOODS	48.5	54.9	60.0	73.0	82.4	91.4	156.0	160.8	170.5	148.4	118.2
FUEL	13.0	12.7	21.5	52.3	50.2	52.5	78.9	83.5	122.4	158.9	180.0
INTERMEDIATE GOODS	114.3	121.2	180.0	288.3	254.0	332.7	379.4	414.0	410.2	393.1	420.0
CAPITAL GOODS	46.2	64.4	71.0	99.0	146.2	195.1	234.7	265.2	216.0	112.0	114.6
TOTAL MERCHANDISE (CIF)	247.8	278.5	373.8	563.4	598.0	739.2	930.8	1,029.1	1,024.5	962.1	980.8
NON-FACTOR SERVICES	39.9	45.5	64.8	82.6	87.3	123.6	151.4	192.8	242.7	223.7	183.7
TOTAL GOODS AND NFS	287.7	324.0	438.6	646.0	685.3	862.8	1,082.2	1,221.9	1,267.2	1,185.8	1,164.5
(CONSTANT 1975 US DOLLARS)											
FOOD	53.7	47.4	55.1	47.4	65.2	73.0	74.1	80.8	72.2	93.0	92.5
OTHER CONSUMER GOODS	86.2	92.6	84.4	78.6	82.4	90.8	141.3	123.1	113.9	88.9	73.9
FUEL	51.3	45.4	56.1	44.3	50.2	49.1	74.1	92.4	104.9	95.2	91.8
INTERMEDIATE GOODS	208.6	223.3	301.4	332.3	254.0	330.9	343.8	317.0	274.1	235.4	262.5
CAPITAL GOODS	74.2	93.7	89.9	103.8	146.2	183.6	212.6	203.1	144.3	67.0	71.6
TOTAL MERCHANDISE (CIF)	474.0	502.4	586.9	606.4	598.0	727.4	845.9	816.4	709.4	579.5	592.3
NON-FACTOR SERVICES	76.6	74.7	92.7	92.4	87.3	123.4	137.2	147.6	162.1	134.0	134.0
TOTAL GOODS AND NFS	550.6	577.1	679.6	698.8	685.3	850.8	983.1	964.0	871.5	713.5	726.3

SOURCE: CENTRAL RESERVE BANK.

Table 3.4

EL SALVADOR: BALANCE OF PAYMENTS--BASE PROJECTION
(MILLIONS OF US DOLLARS)

ITEM	1980	1981	1982	1983	1984	1985
CURRENT ACCOUNT						
EXPORTS (GOODS & NFS)	1,218.3	933.3	889.4	922.6	1,086.5	1,267.8
MERCHANDISE (FOB)	1,075.3	793.1	738.4	754.7	900.5	1,058.8
NON-FACTOR SERVICES	143.1	140.2	151.0	167.9	186.0	209.0
IMPORTS (GOODS & NFS)	-1,185.8	-1,164.5	-1,135.0	-1,198.8	-1,345.7	-1,512.0
MERCHANDISE (CIF)	-962.1	-980.8	-917.3	-961.3	-1,087.8	-1,222.3
OTHER NFS	-223.7	-183.7	-217.7	-237.5	-257.9	-289.7
RESOURCE BALANCE	32.6	-231.2	-245.6	-276.1	-259.2	-244.3
FACTOR SERVICE INCOME (NET)	-84.0	-70.0	-40.1	-44.9	-52.5	-61.2
PROFITS AND OTHER, NET	-59.9	-40.5	-8.0	-8.0	-10.0	-11.0
INTEREST, ML & LT	-24.1	-29.5	-32.1	-36.9	-42.5	-50.2
NET TRANSFERS	48.9	41.2	137.0	117.0	80.0	55.0
CURRENT ACCOUNT BALANCE	-2.5	-260.0	-148.6	-203.9	-231.7	-250.5
CAPITAL ACCOUNT						
FOREIGN DIRECT INVESTMENT	5.9	-	-3.0	-	-	15.0
PUBLIC M&LT LOANS, NET	106.7	164.5	192.4	187.4	220.2	269.3
DISBURSEMENTS	123.8	181.6	233.0	232.0	263.9	312.4
AMORTIZATION	-17.1	-17.1	-40.6	-44.6	-43.7	-43.1
OTHER CAPITAL	-	-	-	-	-	-
ALLOCATION OF SDR'S	5.1	2.7	-	-	-	-
OTHER CAPITAL, ERRORS AND OMMISSIONS	-374.1	-32.2	-49.3	28.0	+11.5	16.2
CHANGE IN RESERVES (-increase)	217.9	100.0	8.5	-11.5	-	-50.0
ARREARS	41.0	25.0	-	-	-	-

SOURCE: MISSION ESTIMATES

Table 3.5

EL SALVADOR: EXPORTS--BASE PROJECTION
(MILLIONS OF US DOLLARS)

ITEM	1980	1981	1982	1983	1984	1985
(CURRENT US DOLLARS)						
COFFEE	615.2	452.6	398.2	416.0	473.7	522.4
COTTON	82.8	52.6	52.1	55.7	73.3	130.8
SUGAR	13.2	14.0	14.5	12.8	14.1	15.0
SHRIMP	13.4	18.7	12.5	14.7	17.3	20.1
MANUFACTURES	294.7	179.7	190.1	171.2	222.4	254.2
ALL OTHER GOODS	53.2	75.4	71.0	84.3	99.7	116.3
TOTAL MERCHANDISE	1,072.5	793.0	738.4	754.7	900.5	1,058.8
NON-FACTOR SERVICES	145.9	140.2	151.0	168.0	186.0	209.0
TOTAL	1,218.4	933.2	889.4	922.7	1,086.5	1,267.8

SOURCE: MISSION ESTIMATES

Table 3.6

EL SALVADOR: IMPORTS--BASE PROJECTION
(IN MILLIONS OF US DOLLARS)

ITEM	1980	1981	1982	1983	1984	1985
(CURRENT US DOLLARS)						
FOOD	149.7	148.0	140.6	155.9	175.1	191.1
OTHER CONSUMER GOODS	148.4	118.2	130.4	142.5	160.8	185.8
FUEL	158.9	180.0	160.5	160.5	176.6	194.2
INTERMEDIATE GOODS	393.1	420.0	396.3	424.0	473.6	536.6
CAPITAL GOODS	112.0	114.6	89.5	78.5	101.7	114.6
TOTAL MERCHANDISE (CIF)	962.1	980.8	917.3	961.3	1,087.8	1,222.3
NON-FACTOR SERVICES	223.7	183.7	217.7	237.5	257.9	289.7
TOTAL GOODS & NFS	1,185.8	1,164.5	1,135.0	1,198.8	1,345.7	1,512.0

SOURCE: MISSION ESTIMATES

Table 3.7

EL SALVADOR: EXPORT PROJECTIONS--ALTERNATIVE 1
(MILLIONS OF DOLLARS)

ITEM	1980	1981	1982	1983	1984	1985
(CURRENT US DOLLARS)						
COFFEE	615.2	452.6	398.2	305.4	325.3	346.4
COTTON	82.8	52.6	52.1	55.7	73.3	130.8
SUGAR	13.2	14.0	14.5	12.8	14.1	15.0
SHRIMP	13.4	18.7	12.5	14.7	17.3	20.1
MANUFACTURES	294.7	179.7	190.1	171.2	222.4	254.2
ALL OTHER GOODS	53.2	75.4	71.0	84.4	99.7	116.3
TOTAL MERCHANDISE	1,072.5	793.0	738.4	644.2	752.1	882.8
NON-FACTOR SERVICES	145.9	140.2	151.0	168.0	186.0	209.0
TOTAL	1,218.4	933.2	889.4	812.2	938.1	1,091.8

SOURCE: MISSION ESTIMATES

Table 4.1 EL SALVADOR

EXTERNAL PUBLIC DEBT OUTSTANDING INCLUDING UNDISBURSED AS OF DEC. 31, 1981
DEBT REPAYABLE IN FOREIGN CURRENCY AND GOODS
(IN THOUSANDS OF U.S. DOLLARS)

TYPE OF CREDITOR / CREDITOR COUNTRY	DEBT OUTSTANDING: DISBURSED	UNDISBURSED	TOTAL
FINANCIAL INSTITUTIONS			
BAHAMAS	333	-	333
FRANCE	3,000	2,099	5,099
UNITED KINGDOM	1,289	-	1,289
UNITED STATES	7,628	6,580	14,208
TOTAL FINANCIAL INSTITUTIONS	12,250	8,679	20,929
MULTILATERAL LOANS			
BCIE	44,690	105,361	150,051
IBRD	98,337	63,420	161,757
IDA	27,018	-	27,018
IDB	155,842	139,692	295,534
IMF TRUST FUND	22,927	-	22,927
OPEC SPECIAL FUND	1,750	-	1,750
TOTAL MULTILATERAL LOANS	350,564	308,473	659,037
BILATERAL LOANS			
CANADA	3,734	8,078	11,812
FRANCE	29,964	822	30,786
GERMANY, FED.REP. OF	916	2,119	3,035
JAPAN	18,160	346	18,506
SPAIN	5,160	2,382	7,542
UNITED STATES	129,880	23,683	153,563
VENEZUELA	113,391	15,959	129,350
TOTAL BILATERAL LOANS	301,205	53,389	354,594
TOTAL EXTERNAL PUBLIC DEBT	664,019	370,541	1,034,560

NOTES: (1) ONLY DEBTS WITH AN ORIGINAL OR EXTENDED MATURITY OF OVER ONE YEAR ARE INCLUDED IN THIS TABLE.
(2) DEBT OUTSTANDING INCLUDES PRINCIPAL IN ARREARS BUT EXCLUDES INTEREST IN ARREARS.

Table 4.2 - EL SALVADOR

SERVICE PAYMENTS, COMMITMENTS, DISBURSEMENTS AND OUTSTANDING AMOUNTS OF EXTERNAL PUBLIC DEBT

PROJECTIONS BASED ON DEBT OUTSTANDING INCLUDING UNDISBURSED AS OF DEC. 31, 1981
DEBT REPAYABLE IN FOREIGN CURRENCY AND GOODS
(IN THOUSANDS OF U.S. DOLLARS)

YEAR	DEBT OUTSTANDING AT BEGINNING OF PERIOD		TOTAL TRANSACTIONS DURING PERIOD					OTHER CHANGES	
	DISBURSED ONLY	INCLUDING UNDISBURSED	COMMIT-MENTS	DISBURSE-MENTS	SERVICE PAYMENTS: PRINCIPAL	INTEREST	TOTAL	CANCEL-LATIONS	ADJUST-MENT *
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
1977	262,645	450,567	58,522	57,733	54,019	15,528	69,547	3,922	-523
1978	266,044	450,625	206,541	80,283	12,300	17,605	29,905	843	2,664
1979	333,689	646,687	84,550	83,424	12,697	20,705	33,402	118	-1,190
1980	404,720	717,232	234,564	123,791	17,189	24,078	41,267	3,109	-5,936
1981	509,368	925,562	134,121	181,603	17,081	28,023	45,104	20	-8,021
1982	664,019	1,034,561							
	* * * * * * THE FOLLOWING FIGURES ARE PROJECTED * * * * * *								
1982	664,019	1,034,561	-	84,152	46,701	31,412	78,113	-	-4,380
1983	697,973	983,480	-	75,933	43,796	31,576	75,372	-	8
1984	730,117	939,692	-	63,524	43,085	31,002	74,087	-	2
1985	750,557	896,609	-	53,431	36,630	30,512	67,142	-	7
1986	767,362	859,986	-	37,300	35,845	30,472	66,317	-	6
1987	768,823	824,147	-	25,023	42,485	30,363	72,848	-	3
1988	751,366	781,665	-	18,075	44,433	29,539	73,972	-	2
1989	725,006	737,234	-	9,380	46,728	28,415	75,143	-	2
1990	687,663	690,508	-	2,749	49,955	26,873	76,828	-	8
1991	640,465	640,561	-	96	48,612	25,108	73,720	-	1
1992	591,950	591,950	-	-	46,647	22,943	69,590	-	4
1993	545,307	545,307	-	-	46,714	20,613	67,327	-	4
1994	498,597	498,597	-	-	45,589	18,166	63,755	-	-
1995	453,008	453,008	-	-	43,056	15,877	58,933	-	-
1996	409,952	409,952	-	-	38,442	13,735	52,177	-	2
1997	371,512	371,512	-	-	36,054	11,903	47,957	-	-5
1998	335,453	335,453	-	-	33,553	10,146	43,699	-	8
1999	301,908	301,908	-	-	30,978	8,652	39,630	-	-1
2000	270,929	270,929	-	-	27,245	7,296	34,541	-	1
2001	243,685	243,685	-	-	26,190	6,138	32,328	-	2

* THIS COLUMN SHOWS THE AMOUNT OF ARITHMETIC IMBALANCE IN THE AMOUNT OUTSTANDING INCLUDING UNDISBURSED FROM ONE YEAR TO THE NEXT. THE MOST COMMON CAUSES OF IMBALANCES ARE CHANGES IN EXCHANGE RATES AND TRANSFER OF DEBTS FROM ONE CATEGORY TO ANOTHER IN THE TABLE.

Table 4.3 - EL SALVADOR

EXTERNAL PUBLIC DEBT OUTSTANDING INCLUDING UNDISBURSED AS OF DEC. 31, 1981
DEBT REPAYABLE IN LOCAL CURRENCY
(IN THOUSANDS OF U.S. DOLLARS)

CURRENCY OF DRAWINGS / CREDITOR COUNTRY	DEBT OUTSTANDING			IN ARREARS	
	DISBURSED	UNDISBURSED	TOTAL	PRINCIPAL	INTEREST
DRAWINGS IN LOCAL CURRENCY					
BCIE	15,743	-	15,743	-	-
IDB	18,690	16,150	34,840	-	-
UNITED STATES	111	-	111	-	-
TOTAL DRAWINGS IN LOCAL CURRENCY	34,544	16,150	50,694	-	-
DRAWINGS IN FOREIGN CURRENCY					
IDB	54,768	-	54,768	-	-
TOTAL DRAWINGS IN FOREIGN CURRENCY	54,768	-	54,768	-	-
TOTAL EXTERNAL PUBLIC DEBT	89,312	16,150	105,462	-	-

NOTES: (1) ONLY DEBTS WITH AN ORIGINAL OR EXTENDED MATURITY OF OVER ONE YEAR ARE INCLUDED IN THIS TABLE.
(2) DEBT OUTSTANDING INCLUDES PRINCIPAL IN ARREARS BUT EXCLUDES INTEREST IN ARREARS.

Table 4.4: EL SALVADOR

SERVICE PAYMENTS, COMMITMENTS, DISBURSEMENTS AND OUTSTANDING AMOUNTS OF EXTERNAL PUBLIC DEBT

PROJECTIONS BASED ON DEBT OUTSTANDING INCLUDING UNDISBURSED AS OF DEC. 31, 1981
DEBT REPAYABLE IN LOCAL CURRENCY
(IN THOUSANDS OF U.S. DOLLARS)

YEAR	DEBT OUTSTANDING AT BEGINNING OF PERIOD		TOTAL TRANSACTIONS DURING PERIOD					OTHER CHANGES	
	DISBURSED ONLY	INCLUDING UNDISBURSED	COMMITMENTS	DISBURSEMENTS	SERVICE PAYMENTS: PRINCIPAL	SERVICE PAYMENTS: INTEREST	SERVICE PAYMENTS: TOTAL	CANCELLATIONS	ADJUSTMENT *
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
1972	24,466	34,185	11,500	2,307	881	741	1,622	-	-
1973	25,892	44,804	41,130	12,137	1,363	1,028	2,391	920	9,015
1974	39,536	92,666	3,135	22,117	1,636	1,443	3,079	-	2,963
1975	60,015	97,128	7,400	21,789	1,695	1,710	3,405	104	286
1976	80,108	103,015	-	9,965	1,901	2,037	3,938	309	589
1977	88,174	101,394	-	6,238	2,916	2,285	5,201	88	222
1978	91,497	98,612	-	2,930	3,559	2,265	5,824	28	1,546
1979	90,870	96,571	3,935	3,761	3,666	2,147	5,813	-	3,191
1980	90,963	100,031	6,727	2,873	3,357	2,314	5,671	10	10
1981	89,885	103,401	4,000	2,990	3,598	2,156	5,754	-	1,659
1982	89,312	105,462							
	* * * * * * THE FOLLOWING FIGURES ARE PROJECTED * * * * * *								
1982	89,312	105,462	-	2,023	3,233	2,216	5,449	-	-
1983	88,102	102,229	-	2,404	4,035	2,308	6,343	-	2
1984	86,473	98,196	-	2,954	4,632	2,382	7,014	-	-6
1985	84,789	93,558	-	3,096	4,778	2,288	7,066	-	1
1986	83,107	88,781	-	2,303	4,944	2,183	7,127	-	-2
1987	80,464	83,835	-	1,537	4,824	2,032	6,856	-	-
1988	77,177	79,011	-	1,050	4,793	1,876	6,669	-	-1
1989	73,433	74,217	-	678	4,855	1,764	6,619	-	3
1990	69,259	69,365	-	106	4,934	1,647	6,581	-	-3
1991	64,428	64,428	-	-	4,491	1,509	6,000	-	-2

* THIS COLUMN SHOWS THE AMOUNT OF ARITHMETIC IMBALANCE IN THE AMOUNT OUTSTANDING INCLUDING UNDISBURSED FROM ONE YEAR TO THE NEXT. THE MOST COMMON CAUSES OF IMBALANCES ARE CHANGES IN EXCHANGE RATES AND TRANSFER OF DEBTS FROM ONE CATEGORY TO ANOTHER IN THE TABLE.

Table 5.1

EL SALVADOR: SUMMARY OF CENTRAL GOVERNMENT CASH OPERATIONS
(MILLIONS OF COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981 2/
TOTAL CURRENT CASH REVENUES	295.8	326.6	404.6	487.5	564.2	807.9	1,191.7	1,036.9	1,216.7	1,123.0	1,127.9
CURRENT REVENUES	299.7	326.4	402.7	484.4	576.7	810.0	1,181.8	1,026.8	1,215.4	1,039.8	1,107.9
OTHER /1	-3.9	0.2	1.9	3.1	-12.5	-2.1	9.9	10.0	1.3	83.2	20.0
CURRENT EXPENDITURES	256.5	280.2	320.5	384.4	458.1	560.1	680.1	842.6	861.7	1,077.3	1,229.3
CURRENT SAVINGS	39.3	46.4	84.1	103.2	106.1	247.8	511.6	194.3	355.0	45.7	-101.4
CAPITAL REVENUES	0.3	9.8	4.1	0.2	0.2	0.2	0.1	0.1	0.2	0.3	6.0
CAPITAL EXPENDITURES (EXCLUDING AMORTIZATION)	61.2	88.4	114.8	148.0	176.6	294.7	323.0	342.4	414.8	499.0	468.1
OVERALL CASH DEFICIT (-)	-21.6	-32.2	-26.6	-44.7	-70.3	-46.7	188.7	-148.0	-59.6	-453.0	-563.5
FINANCING	21.6	32.2	26.6	44.7	70.3	46.7	-188.7	148.3	59.6	453.0	563.5
NET DOMESTIC FINANCING	15.5	42.2	-2.3	-2.6	33.9	20.1	85.4	163.0	359.3	289.0	481.7
NET FOREIGN FINANCING /3	12.1	32.2	45.0	54.2	152.7	67.5	75.0	141.9	158.4	218.7	274.0
CASH BALANCES AND OTHER	-6.0	-42.2	-16.1	-6.9	-116.3	-40.9	-349.1	-156.6	-458.1	-54.7	-192.2

1/ PREVIOUS YEARS OPERATIONS AFFECTING THE INITIAL BUDGET SURPLUS
2/ PRELIMINARY
3/ INCLUDES ALL EXTERNAL DISBURSEMENTS OF THE CENTRAL GOVERNMENT
SOURCE: MINISTRY OF FINANCE AND CENTRAL BANK.

Table 5.2

EL SALVADOR: CENTRAL GOVERNMENT CASH REVENUES
(MILLIONS OF COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
CURRENT REVENUES	299.7	326.4	402.7	484.4	576.7	810.0	1,181.8	1,026.8	1,215.4	1,039.8	1,107.9
TAX REVENUES	278.9	304.9	376.1	453.3	541.3	767.6	1,131.5	972.0	1,162.3	989.3	991.1
INCOME TAX	45.3	52.1	62.6	80.0	118.9	139.4	164.2	201.8	192.9	235.1	226.2
PERSONNEL	22.0	25.5	32.2	36.3	51.0	64.8	80.0	90.4	97.8	115.8	112.2
FIRMS	15.0	17.4	20.5	32.3	47.3	52.1	55.9	77.9	73.2	92.5	91.0
OTHER	8.3	9.2	9.9	11.4	20.6	22.5	28.3	33.5	21.8	26.8	23.0
PROPERTY TAXES	24.5	23.5	30.8	29.4	35.3	47.6	73.3	83.8	84.4	76.9	71.0
FOREIGN TRADE TAXES	106.6	118.4	154.6	186.3	204.6	355.4	623.7	401.5	571.2	374.9	322.5
IMPORT TAXES	68.3	70.9	78.5	93.1	92.8	115.3	163.7	157.3	178.3	98.5	86.9
EXPORT TAXES	38.3	47.5	76.1	93.2	111.8	240.1	460.0	244.2	392.9	276.4	235.6
COFFEE	33.9	42.5	74.0	89.9	78.0	227.2	416.8	126.9	379.5	273.6	232.0
SUGAR	-	-	-	-	25.6	3.3	0.5	-	0.9	0.5	0.2
OTHER	4.4	5.0	2.1	3.3	8.2	9.6	42.7	117.3	12.5	2.3	3.4
DOMESTIC TRANSACTION TAXES	101.8	110.1	127.2	156.8	181.5	224.2	269.7	284.3	313.7	301.6	370.6
ON PRODUCTS	69.4	73.8	83.3	97.6	115.2	141.0	167.1	170.1	191.6	185.7	190.3
LIQUOR	28.6	32.1	34.6	44.9	50.2	60.9	73.3	73.7	76.6	77.5	82.7
CIGARETTES	12.5	11.6	16.3	17.8	20.2	24.6	27.8	30.5	38.1	44.0	45.4
PETROLEUM PRODUCTS	18.9	19.9	22.4	21.4	23.3	27.0	27.1	30.1	36.2	26.5	24.3
SELECTIVE CONS. TAXES	-	-	-	3.5	9.2	13.1	22.7	21.9	20.7	13.9	13.0
OTHER	9.4	10.2	10.0	10.0	12.3	15.4	16.2	13.9	20.0	23.8	24.9
ON SERVICES	7.8	8.3	9.8	11.6	12.8	16.0	18.4	20.9	21.0	21.9	26.9
STAMP TAX /1	23.0	26.3	32.1	45.0	50.8	63.7	80.3	88.7	96.0	89.0	148.4
OTHER TAXES ON PRODUCTION AND TRADE	1.6	1.7	2.0	2.6	2.7	3.5	3.9	4.6	5.1	5.0	5.0
OTHER TAXES	0.7	0.9	0.9	0.8	1.0	1.0	0.6	0.6	-	0.8	0.8
NON-TAX REVENUES	20.8	21.5	26.6	31.1	35.4	42.5	50.3	54.8	53.1	50.5	116.8
CAPITAL REVENUES	0.3	9.8	4.1	0.2	0.2	0.2	0.1	0.1	0.2	0.3	6.0
TOTAL REVENUES	300.0	336.2	406.8	484.6	576.9	810.2	1,181.9	1,026.9	1,215.6	1,040.1	1,113.9

1/ INCLUDES ALL STAMP TAXES ON TRANSACTIONS AND BUSINESSES.
SOURCE: MINISTRY OF FINANCE.

Table 5.3

EL SALVADOR: CENTRAL GOVERNMENT CASH EXPENDITURES
(MILLIONS OF COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
CURRENT EXPENDITURES	256.5	280.2	320.5	384.4	458.1	560.1	680.1	842.6	861.7	1,077.3	1,229.3
CURRENT BUDGET	243.7	275.3	313.4	376.2	445.2	547.4	656.6	819.5	838.2	1,045.5	1,185.7
WAGES AND SALARIES	140.4	157.1	171.0	202.3	228.7	298.9	349.0	411.0	475.2	617.7	657.5
GOODS AND SERVICES	30.3	40.8	41.8	55.8	68.7	89.4	115.4	130.9	129.8	159.7	180.2
INTEREST DEBT	5.2	6.8	7.8	8.9	12.3	14.4	17.7	22.3	25.8	39.5	98.1
TRANSFERS	67.8	70.6	92.9	109.2	135.5	144.7	174.5	255.3	207.4	228.6	249.9
TO PRIVATE SECTOR	20.3	20.6	21.0	22.2	23.5	23.3	27.4	31.6	37.1	42.5	54.0
TO PUBLIC SECTOR	45.2	48.1	68.6	84.8	108.6	115.8	139.4	216.8	167.3	185.3	191.0
TO ABROAD	2.3	1.9	3.3	2.2	3.4	5.6	7.7	6.9	3.0	0.8	4.9
PREVIOUS BUDGET	12.8	4.9	7.1	8.2	12.9	12.7	23.5	23.1	23.5	31.8	43.6
CAPITAL EXPENDITURES	61.2	88.4	114.8	148.0	176.6	294.7	323.0	342.4	414.8	499.0	468.1
CURRENT BUDGET	45.3	49.4	75.0	116.7	134.2	235.1	229.4	242.5	303.0	294.1	335.6
FIXED INVESTMENT	29.2	28.8	31.1	47.2	61.5	102.3	120.4	117.2	159.2	156.5	150.7
FINANCIAL INVESTMENT	0.2	11.6	21.3	8.1	29.9	16.5	8.7	2.2	12.6	1.4	0.4
TRANSFERS TO PUB SECTOR	15.3	8.8	21.8	60.7	41.9	115.3	94.1	114.8	124.8	129.8	183.3
OTHER CAPITAL TRANSFERS	0.6	0.2	0.7	0.7	0.9	1.0	6.2	8.3	6.4	6.4	1.2
PREVIOUS BUDGETS	15.9	39.0	39.8	31.3	42.4	59.6	93.6	99.9	111.9	204.9	132.5
TOTAL EXPENDITURES (EXC.AMTZ.)	317.7	368.6	435.3	532.4	634.7	854.8	1,003.1	1,185.0	1,276.6	1,576.3	1,697.4
AMORTIZATION	5.6	11.5	13.2	16.3	21.1	23.4	29.9	33.0	28.8	24.4	60.4
EXTERNAL DEBT	2.5	3.9	5.3	6.0	6.7	6.4	8.5	10.6	11.0	10.4	14.7
DOMESTIC DEBT	3.1	7.6	7.9	10.3	14.4	17.0	21.4	22.4	17.8	14.0	45.7
TOTAL EXPENDITURES (CURRENT PRICES)	323.3	380.1	448.5	548.7	655.8	878.2	1,033.0	1,218.0	1,305.4	1,600.7	1,757.8

SOURCE: MINISTRY OF FINANCE, CENTRAL BANK AND MINISTRY OF PLANNING

Table 5.4

EL SALVADOR: CENTRAL GOVERNMENT CASH EXPENDITURES BY MINISTRIES
(MILLIONS OF COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
LEGISLATIVE	1.8	1.8	1.8	3.9	2.4	2.5	2.6	2.9	2.5	0.9	0.8
JUDICIARY	6.2	6.4	6.9	7.6	9.3	12.4	12.3	13.8	14.3	18.0	18.4
ACCOUNTING OFFICE	2.6	2.6	2.7	3.1	3.3	4.1	4.4	4.9	7.0	7.6	7.7
ELECTORATE OFFICE	0.9	1.1	0.4	1.1	0.5	1.3	1.6	1.7	1.0	0.8	2.3
CIVIL SERVICE TRIBUNAL	0.1	0.1	0.1	0.2	0.2	0.2	0.2	0.2	0.3	0.3	0.3
PRESIDENCY	8.8	9.1	12.8	16.3	24.6	30.1	34.7	18.4	15.1	18.0	17.0
PLANNING	-	-	-	-	-	7.0	10.0	15.5	14.1	23.4	29.2
FINANCE MINISTRY	13.6	13.0	15.9	18.0	22.0	28.6	31.7	97.5	40.1	54.4	63.1
FOREIGN AFFAIRS	4.8	4.8	5.4	6.1	6.4	7.6	10.3	11.5	10.1	12.7	12.8
INTERIOR	9.2	8.7	9.8	10.9	12.8	19.1	30.3	36.9	39.0	50.3	54.9
DEFENSE	20.5	23.6	28.6	35.3	36.0	48.0	61.2	79.5	125.9	149.4	186.4
PUBLIC SECURITY	11.5	11.9	11.6	13.2	14.5	19.4	22.8	31.0	50.2	75.2	103.4
JUSTICE	6.5	6.7	6.5	7.5	10.2	14.9	16.8	17.4	20.3	28.0	27.6
EDUCATION	98.6	107.2	116.3	138.6	159.2	201.1	253.8	273.8	272.6	344.3	332.0
HEALTH	41.9	46.9	48.6	62.5	79.8	91.6	120.8	110.7	128.5	163.8	174.3
LABOR AND WELFARE	3.3	3.1	3.5	4.4	4.7	5.7	6.5	7.7	9.5	13.3	12.6
ECONOMY	11.2	20.6	30.0	58.0	70.4	58.7	51.8	76.2	149.3	198.5	138.9
AGRICULTURE	17.0	21.0	27.1	43.7	59.6	114.6	104.8	92.4	94.4	119.3	141.3
PUBLIC WORKS	31.4	40.0	69.7	65.2	78.5	143.2	177.2	195.0	196.0	203.0	219.4
DEBT SERVICE	10.7	18.9	21.7	27.0	34.6	39.5	47.0	59.0	56.7	69.7	158.6
PENSION FUNDS	17.9	27.3	20.3	19.7	20.3	18.6	19.4	24.6	29.4	32.8	38.8
OTHER	4.8	5.3	8.8	6.4	6.5	10.0	12.8	47.4	29.1	17.0	18.0
TOTAL EXPENDITURES	323.3	380.1	448.5	548.7	655.8	878.2	1,033.0	1,218.0	1,305.4	1,600.7	1,757.8

SOURCE: MINISTRY OF FINANCE.

Table 5.5: EL SALVADOR: CENTRAL GOVERNMENT CURRENT TRANSFERS 1/

(In millions of colones)

	1977	1978	1979	1980	1981
Total	174.5	195.3	207.5	231.5	249.9
To rest of general government	116.0	126.5	130.0	146.3	149.0
Municipalities	9.0	12.0	6.0	11.9	5.7
Public Hospital System	44.2	50.1	58.7	70.8	73.4
National University	40.1	42.3	42.7	33.3	36.4
Educational Credit Institute	0.2	0.1	0.1	0.1	--
Institute of Agrarian Transformation (ISTA)	5.3	5.5	4.9	7.1	5.9
Foreign Trade Institute (ISCE)	1.1	1.1	1.3	1.2	1.1
Tourism Institute (ISTU)	5.3	5.2	6.1	5.4	6.2
Other	10.8	10.2	10.2	16.5	20.3
To state enterprises	27.9	25.6	27.6	38.7	31.7
Regulatory Supply Institute (IRA)	13.2	14.2	17.0	22.4	22.0
Urban Housing Institute (IVU)	0.2	0.5	0.4	0.4	0.2
National Water and Sewerage Administration (ANDA)	9.0	7.3	4.5	6.3	--
Port Commission (CEPA)	5.0	3.4	5.0	8.0	7.1
San Miguel garment factory	0.6	0.2	0.7	1.2	0.6
National Theater Circuit	--	--	--	0.4	0.3
Lempa River Hydroelectric Commission (CEL)	--	--	--	--	1.5
To public financial institutions	0.4	0.5	2.5	0.6	2.4
Fund for Productivity Studies (FOSEP)	--	--	0.2	0.1	2.4
Fund for Small Business Promotion (FIGAPE)	0.4	0.3	0.3	0.5	--
Institute for Industrial Promotion (INSAFI)	--	0.2	2.0	--	--
Financiera Nacional de Tierras Agricolas (FINATA)	--	--	--	--	--
To private sector	22.5	35.8	44.4	45.1	66.1
To abroad	7.7	7.0	3.0	0.8	0.7

1/ Does not include transfers related to commitments made under previous budget authorizations.

Source: Central Reserve Bank of El Salvador and IMF.

Table 5.6: EL SALVADOR: CENTRAL GOVERNMENT CAPITAL TRANSFERS 1/

(In millions of colones)

	1977	1978	1979	1980	1981
Total	73.7	105.2	99.7	77.1	65.1
To rest of general government	29.3	27.3	26.6	27.9	30.1
Municipalities	7.5	4.0	2.9	2.0	3.4
Public Hospital System (INSHOS)	--	--	--	--	0.7
National University	3.5	5.5	3.1	7.0	--
Educational Credit Institute (EDUCREDITO)	1.0	1.0	1.0	1.0	--
Institute of Agrarian Reform (ISTA)	9.1	9.9	15.0	14.0	21.9
Institute for Coffee Research (ISIC)	--	--	--	--	--
Foreign Trade Institute (ISCE)	0.2	2.2	3.2	0.9	--
Tourism Institute (ISTU)	8.0	4.3	1.0	1.1	2.2
Other	--	0.4	0.4	1.9	1.9
To state enterprises	34.9	30.9	30.3	26.8	25.1
Commodity Stabilization Institute (IRA)	10.9	8.5	2.5	1.2	1.7
Urban Housing Institute (IVU)	6.2	12.0	6.5	10.0	7.1
National Water and Sewerage (ANDA)	13.0	10.4	10.0	10.0	4.5
Port Commission (CEPA)	4.1	--	9.8	4.1	11.8
Lempa River Hydroelectric Commission (CEL)	0.7	--	1.5	1.5	--
To public financial institutions	9.5	34.0	40.5	18.7	8.3
Preinvestment studies (FOSEP)			2.2	1.5	3.7
Fund for Small Business Promotion (FIGAPE)	1.0	9.0	14.0	9.0	2.1
Housing fund (FSV)	7.5	5.0	--	--	--
Industry promotion (INSAFI)	1.0	20.0	24.3	8.2	--
Financiera Nacional de Tierras Agricolas (FINATA)	--	--	--	--	2.5
To private sector	--	13.0	2.3	3.7	1.6

1/ Excludes capital transfers of previous years.

Sources: Central Reserve Bank of El Salvador, Ministry of Finance and IMF.

Table 5.7: EL SALVADOR: OPERATIONS OF REST OF GENERAL GOVERNMENT

(In millions of colones)

	1977	1978	1979	1980	1981	
Current revenue	261.7	303.9	353.1	347.2	332.2	
Contributions to ISSS received	82.4	97.4	115.5	129.3	122.7	
Sales of goods and services and property income	60.5	68.6	80.5	68.6	71.3	
Transfers from	116.5	136.6	156.1	148.4	138.3	
Central Government	(116.0)	(132.2)	(153.8)	(147.5)	(138.3)	
State enterprises	(--)	(3.3)	(1.6)	(0.3)	(--)	
Private sector	(--)	(0.5)	(0.2)	(0.2)	(--)	
Abroad	(0.5)	(0.5)	(0.5)	(0.4)	(--)	
Other current revenue	2.3	1.3	1.0	0.9	--	
Current expenditure	219.6	262.7	290.8	318.8	335.8	
Wages and salaries	110.6)	139.3)	165.1)	188.8	196.8	
Goods and services	90.5)	92.1)	--	--	100.1	
Interest	--	--	--	--	0.1	
Transfers to	18.5	31.3	27.7	36.5	38.8	
Public enterprises	(--)	(6.0)	(2.0)	(1.7)	(--)	
Public sector	(18.5)	(25.3)	(25.7)	(34.8)	(38.8)	
Current account surplus or deficit (-)	42.1	41.2	62.3	28.4	-3.5	
Capital receipts	30.0	25.1	44.5	35.7	23.9	
Transfers from Central Govt.	29.2	24.9	43.5	35.7	22.3	
Other capital receipts	0.8	0.2	1.0	--	1.6	
Capital expenditure	50.1	41.8	59.3	54.9	27.4	
Fixed capital formation	49.2	41.7	59.1	41.9	27.4	
Other	0.9	0.1	0.2	13.0	--	1/
Overall surplus or deficit (-)	22.0	24.5	47.5	9.2	-7.0	
Foreign financing	0.2	-1.0	-0.7	-1.9	--	
Drawings	(0.9)	(--)	(0.5)	(0.4)	(--)	
Amortization	(-0.7)	(-1.0)	(-1.2)	(-2.3)	(--)	
Domestic financing	-18.0	-2.2	-37.6	12.3	10.5	
Central Bank	(-10.1)	(16.9)	(26.1)	(7.8)	(0.2)	2/
Commercial banks	(-10.5)	(-10.1)	(-46.4)	(-12.8)	(30.0)	
Central Government (net lending)	(5.0)	(-0.4)	(1.8)	(0.5)	(12.4)	
Other domestic	(-2.4)	(-8.6)	(-19.1)	(16.8)	(-32.1)	1/
Residual	-4.2	-21.3	-9.2	-19.6	-3.5	

1/ Excludes land purchases by ISTA amounting to C 202.6 million in 1981 and C 150 million in 1982.

2/ Differs from banking data by a C 75 million liability of the BFA assumed by ISTA, and not recorded here.

Source: Central Reserve Bank of El Salvador and IMF.

Table 5.8: EL SALVADOR: OPERATIONS OF PUBLIC ENTERPRISES

(In millions of colones)

	1977	1978	1979	1980	1981
Operating revenue	348.8	425.9	466.0	532.9	559.9
Operating expenditure	279.2	302.8	363.7	442.2	462.9
Operating surplus	69.6	123.1	102.3	90.7	97.0
Transfers	62.7	62.4	55.6	54.6	41.9
From Central Government	(60.3)	(59.2)	(51.0)	(54.6)	(41.9)
From private sector	(2.4)	(3.2)	(4.6)	(--)	(--)
Transfers	9.1	19.7	13.7	13.5	13.4
To Central Government	(9.1)	(19.3)	(11.1)	(13.1)	(13.0)
To rest of general government	(--)	(--)	(2.0)	(--)	(--)
To private sector	(--)	(0.4)	(0.6)	(0.4)	(0.4)
Capital revenue	14.8	7.2	4.6	7.6	7.1
Capital expenditure	236.3	249.5	282.9	245.9	216.2
Fixed capital formation	(236.3)	(249.5)	(282.9)	(245.9)	(216.2)
Overall surplus or deficit (-)	-98.3	-76.5	-134.1	-106.5	-83.6
External financing	-2.6	130.9	109.5	69.7	115.8
Drawings	(80.8)	(140.7)	(122.3)	(83.2)	(136.0)
Amortization	(83.4)	(-9.8)	(-12.8)	(-13.5)	(-20.2)
Domestic financing	96.6	-32.5	83.5	83.7	-32.2
Central Reserve Bank (net)	(58.5)	(-35.6)	(26.4)	(80.5)	(-13.1)
Commercial banks (net)	(-11.1)	(-33.4)	(49.4)	(-14.4)	(-16.7)
Central government (net lending)	(-2.2)	(2.1)	(2.3)	(-0.4)	(14.8)
Rest of general government	(13.3)	(36.5)	(4.9)	(-5.5)	(-11.6)
Other domestic	(38.1)	(-2.1)	(0.5)	(23.5)	(-5.6)
Residual	4.2	-21.9	-58.9	-46.9	--

Source: Central Reserve Bank of El Salvador.

Table 5.9: EL SALVADOR: CONSOLIDATED OPERATIONS OF THE NON-FINANCIAL PUBLIC SECTOR

	1977	1978	1979	1980	1981	
			(In millions of colones)			
Current suplus or deficit (-)	611.7	408.7	503.6	88.4	-34.1	
Capital revenue	18.1	2.4	20.7	4.3	14.2	
Capital expenditures	555.4	529.3	697.0	698.7	635.4	1/
Net lending	78.2	-11.9	9.0	3.8	2.9	
Overall surplus or deficit (-)	-3.8	-106.3	-181.7	-609.8	-658.2	
Foreign financing (net)	31.0	169.6	148.1	193.7	308.6	
Drawings	(125.2)	(192.7)	(172.9)	(218.8)	(340.0)	
Amortization	(-94.2)	(-23.1)	(-24.8)	(-25.1)	(-31.4)	
Domestic financing	(-60.0)	-37.4	147.0	497.2	417.5	
Central Reserve Bank	(-59.3)	(20.5)	(176.8)	(485.0)	(426.8)	2/
Commercial banks	(-15.8)	(-43.0)	(-2.2)	(-26.7)	(60.5)	
Other domestic	(15.1)	(-14.9)	(-27.6)	38.9	1/-69.8	1/
Residual	32.8	-25.9	-113.4	81.1	-67.9	
Memorandum item						
Nominal GDP	7,167	7,692	8,619	8,944	8,862	
			(In percent of GDP)			
Current surplus or deficit	8.5	5.3	5.8	1.0	-0.4	
Overall surplus or deficit	-0.1	-1.4	-2.1	-6.8	-7.4	
Net domestic bank borrowing	-1.0	-0.3	2.0	5.1	4.7	

1/ Excludes payments for purchases of banks in 1980 (C 71.6 million), 1981 (C 80.8 million), and 1982 (C 37.6 million); and of land in 1981 (C 202.6 million) and in 1982 (C 150 million). These transactions, related to the financial and agrarian reforms, were financed with long-term, non-negotiable bonds.

2/ Differs from banking data by some C 385 million corresponding to capitalization of INCAFE (C 160 million), INSAFI (C 150 million), and BFA (C 75 million).

Source: Central Reserve Bank of El Salvador.

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
A. Autonomous Agencies				
I. Social Security Institute (ISSS)				
1. Current Revenues	91.4	184.1	151.2	178.1
Of which: transfers from Central Government	82.7	174.4	127.8	159.8
2. Current Expenditures	54.8	70.6	85.5	117.7
Surplus(+)/Deficit (-)	36.6	113.5	65.7	60.4
3. Capital Receipts	--	--	--	17.0
Of which: transfers from Central Government	--	--	--	--
Sales of Assets	--	--	--	2.0
Other	--	--	--	15.0
4. Capital Expenditure	35.0	96.6	23.6	75.8
Fixed Assets	7.3	3.9	4.5	31.8
Credit (net)	21.4	--	--	-2.0
Other	6.3	92.7	19.1	46.0
5. Overall Surplus or Deficit	1.6	16.9	42.1	1.6
6. Financing	-1.6	-16.9	-42.1	-1.6
External	--	--	--	--
Domestic	-1.6	-16.9	-42.1	-1.6
II. National University				
1. Current Revenues	31.7	44.8	45.2	47.9
Of which: transfers from Central Government	29.8	42.3	42.7	45.4
2. Current Expenditures	31.7	44.5	46.0	48.7
Surplus(+)/Deficit(-)	-	0.3	-0.8	-0.8
3. Capital Receipts	--	5.5	--	3.5
Of which: transfers from Central Government	--	--	--	--
Sales of Assets	--	--	--	--
Other	--	5.5	--	3.5
4. Capital Expenditure	--	7.9	5.3	10.6
Fixed Assets	--	7.9	5.2	9.0
Credit (net)	--	--	0.1	--
Other	--	--	--	1.6
5. Overall Surplus or Deficit	--	-2.1	-6.1	-7.9
6. Financing	--	2.1	6.1	7.9
External	--	--	--	-0.1
Domestic	--	2.1	6.1	8.0

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
III. Salvadorian Tourism Institute (ISTU)				
1. Current Revenues	7.2	6.6	11.4	7.6
Of which: transfers from Central Government	6.5	5.4	9.6	6.3
2. Current Expenditures	6.5	6.6	7.9	7.6
Surplus(+)/Deficit(-)	0.7	--	3.5	--
3. Capital Receipts	--	5.8	--	1.1
Of which: transfers from Central Government	--	--	--	1.1
Sales of Assets	--	--	--	--
Other	--	5.8	--	--
4. Capital Expenditure	8.4	5.8	0.8	1.1
Fixed Assets	7.9	4.0	2.4	1.1
Credit (net)	--	--	-1.8	--
Other	0.5	1.8	0.2	--
5. Overall Surplus or Deficit	-7.7	--	2.7	--
6. Financing	7.7	--	-2.7	--
External	--	--	--	--
Domestic	7.7	--	-2.7	--
IV. Agrarian Reform Institute (ISTA)				
1. Current Revenues	6.1	6.7	5.3	6.6
Of which: transfers from Central Government	5.3	5.5	4.9	6.1
2. Current Expenditures	5.4	6.2	5.9	7.1
Surplus (+)/Deficit (-)	0.7	0.5	-0.6	-0.5
3. Capital Receipts	9.1	29.9	15.5	12.9
Of which: transfers from Central Government	9.1	9.9	15.0	12.1
Sales of Assets	--	20.0	0.5	0.8
Other	--	--	--	--
4. Capital Expenditure	26.0	27.3	4.2	11.9
Official transfers	--	--	--	--
Fixed Assets	9.0	9.6	12.4	12.5
Credit (net)	--	--	-16.6	-0.6
Other	17.0	17.7	--	--
5. Overall Surplus or Deficit	-16.2	3.1	10.7	0.5
6. Financing	16.2	-3.1	-10.7	-0.5
External	--	--	--	--
Domestic	16.2	-3.1	-10.7	-0.5

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
V. Salvadorian Coffee Institute (ISIC)				
1. Current Revenues	3.9	2.6	3.2	3.3
Of which: transfers from Central Government	3.9	2.4	3.0	3.2
2. Current Expenditures	3.0	3.0	3.2	3.3
Surplus(+)/Deficit(-)	0.9	-0.4	--	--
3. Capital Receipts	--	--	--	--
Of which: transfers from Central Government	--	--	--	--
Sales of Assets	--	--	--	--
Other	--	--	--	--
4. Capital Expenditure	--	--	--	--
Fixed Assets	--	--	--	--
Credit (net)	--	--	--	--
Other	--	--	--	--
5. Overall Surplus or Deficit	--	-0.4	--	--
6. Financing	--	0.4	--	--
External	--	--	--	--
Domestic	--	0.4	--	--
VI. Salvadorian Foreign Trade Institute (ISCE)				
1. Current Revenues	1.7	1.9	2.1	2.1
Of which: transfers from Central Government	1.1	1.1	1.3	1.3
2. Current Expenditures	1.7	2.0	2.1	2.1
Surplus (+)/Deficit (-)	--	-0.1	--	--
3. Capital Receipts	--	6.1	--	5.4
Of which: transfers from Central Government	--	6.0	--	5.4
Sales of Assets	--	--	--	--
Other	--	0.1	--	--
4. Capital Expenditure	--	7.2	7.5	5.4
Official transfers	--	--	--	--
Fixed Assets	--	6.0	6.7	5.2
Credit (net)	--	--	--	--
Other	--	1.2	0.8	0.2
5. Overall Surplus or Deficit	--	-1.2	-7.5	--
6. Financing	--	1.2	7.5	--
External	--	--	--	--
Domestic	--	1.2	7.5	--

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
VII. Government Employees Pension Fund (INPEP)				
1. Current Revenues	19.4	35.1	41.5	58.9
Of which: transfers from Central Government	19.4	31.7	34.5	47.0
2. Current Expenditures	3.3	5.9	15.6	21.5
Surplus(+)/Deficit(-)	16.1	29.2	25.9	37.4
3. Capital Receipts	--	--	--	49.8
Of which: transfers from Central Government	--	--	--	--
Sales of Assets	--	--	--	--
Other	--	--	--	49.8
4. Capital Expenditure	14.0	49.1	31.4	87.4
Fixed Assets	--	39.2	--	--
Credit (net)	--	8.6	15.6	37.4
Other	14.0	1.3	15.8	50.0
5. Overall Surplus or Deficit	2.1	-19.9	-5.5	-0.2
6. Financing	-2.1	19.9	5.5	0.2
External	--	--	--	--
Domestic	-2.1	19.9	5.5	0.2
B. Public Enterprises				
I. Lempa River Hydroelectric Commission (CEL)				
1. Current Revenues	94.8	106.6	124.6	144.3
Of which: transfers from Central Government	--	--	--	--
2. Current Expenditures	37.2	52.3	49.5	58.6
Surplus (+)/Deficit (-)	57.6	54.3	75.1	85.7
3. Capital Receipts	2.1	20.9	5.6	4.1
Of which: transfers from Central Government	2.1	1.5	2.0	4.1
Sales of Assets	--	19.4	3.6	--
Other	--	--	--	--
4. Capital Expenditure	80.5	96.4	144.3	299.7
Official transfers	--	--	--	--
Fixed Assets	80.5	65.5	110.3	299.7
Credit (net)	--	--	--	--
Other	--	30.9	34.0	--
5. Overall Surplus or Deficit	-20.8	-21.2	-63.6	-209.9
6. Financing	20.8	21.2	63.6	209.9
External	-57.7	16.4	31.5	84.8
Domestic	78.5	4.8	32.1	125.1

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
II. Port Authority (CEPA)				
1. Current Revenues	38.6	50.6	42.8	47.2
Of which: transfers from Central Government	0.1	3.3	1.7	3.3
2. Current Expenditures	33.0	41.1	37.5	55.1
Surplus(+)/Deficit(-)	5.6	9.5	5.3	-7.9
3. Capital Receipts	13.2	5.6	0.1	14.8
Of which: transfers from Central Government	0.1	--	--	4.7
Sales of Assets	12.8	--	0.1	10.1
Other	0.3	5.6	--	--
4. Capital Expenditure	10.6	26.3	47.2	18.3
Fixed Assets	10.0	24.8	46.2	15.8
Credit (net)	--	1.5	--	1.9
Other	0.6	--	1.0	0.6
5. Overall Surplus or Deficit	8.2	-11.2	-41.8	-11.4
6. Financing	-8.2	11.2	41.8	11.4
External	-7.4	0.5	-1.5	6.6
Domestic	-0.8	10.7	43.3	4.8
III. National Administration for Telecommunications (ANTEL)				
1. Current Revenues	57.2	71.2	87.0	96.9
Of which: transfers from Central Government	--	0.2	0.4	--
2. Current Expenditures	37.5	49.9	53.3	58.7
Surplus (+)/Deficit (-)	19.7	21.3	33.7	38.2
3. Capital Receipts	--	12.4	--	9.9
Of which: transfers from Central Government	--	--	--	--
Sales of Assets	--	--	--	--
Other	--	12.4	--	9.9
4. Capital Expenditure	3.7	19.6	15.3	39.6
Official transfers	--	--	--	--
Fixed Assets	3.7	19.6	19.4	38.2
Credit (net)	--	--	-4.1	--
Other	--	--	--	1.4
5. Overall Surplus or Deficit	16.0	14.1	18.4	8.5
6. Financing	-16.0	-14.1	-18.4	-8.5
External	--	--	-3.5	--
Domestic	-16.0	-14.1	-14.9	-8.5

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
IV. Regulatory Supply Institute (IRA)				
1. Current Revenues	69.2	107.8	72.3	110.0
Of which: transfers from Central Government	11.5	12.8	11.4	18.1
2. Current Expenditures	12.3	13.3	92.6	132.5
Surplus(+)/Deficit(-)	56.9	94.5	-20.3	-22.5
3. Capital Receipts	--	4.2	1.6	1.2
Of which: transfers from Central Government	--	4.2	1.6	1.2
Sales of Assets	--	--	--	--
Other	--	--	--	--
4. Capital Expenditure	--	119.9	3.7	0.5
Fixed Assets	--	1.7	2.3	0.8
Credit (net)	--	--	-15.8	-0.3
Other	--	118.2	17.2	--
5. Overall Surplus or Deficit	--	-21.2	-22.4	-21.8
6. Financing	--	21.2	22.4	21.8
External	--	--	-0.6	-0.3
Domestic	--	21.2	23.0	22.1
V. National Administration for Water and Sewerage (ANDA)				
1. Current Revenues	31.0	31.2	31.3	31.2
Of which: transfers from Central Government	9.0	7.3	6.3	6.3
2. Current Expenditures	25.3	27.9	31.9	31.9
Surplus (+)/Deficit (-)	5.7	3.3	-0.6	-0.7
3. Capital Receipts	--	10.4	10.2	10.3
Of which: transfers from Central Government	--	10.4	10.2	10.3
Sales of Assets	--	--	--	--
Other	--	--	--	--
4. Capital Expenditure	--	14.2	8.5	39.9
Official transfers	--	--	--	--
Fixed Assets	--	13.7	42.7	41.0
Credit (net)	--	--	-34.2	-1.2
Other	--	0.5	--	0.1
5. Overall Surplus or Deficit	--	-0.5	1.1	-30.3
6. Financing	--	0.5	-1.1	30.3
External	--	--	-1.1	-1.1
Domestic	--	0.5	--	31.4

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
VI. Urban Housing Institute (IVU)				
1. Current Revenues	6.2	7.6	8.7	7.5
Of which: transfers from				
Central Government	0.2	0.3	0.5	0.4
2. Current Expenditures	6.8	7.0	7.2	6.4
Surplus(+)/Deficit(-)	-0.6	0.6	1.5	1.1
3. Capital Receipts	21.7	15.6	6.7	17.0
Of which: transfers from				
Central Government	13.1	11.8	6.7	10.0
Sales of Assets	0.6	0.6	--	7.0
Other	8.0	3.2	--	--
4. Capital Expenditure	19.5	22.3	15.1	16.9
Official transfers	--	--	8.1	--
Fixed Assets	13.7	9.5	14.9	11.0
Credit (net)	--	4.5	-2.8	-0.1
Other	5.8	8.3	3.0	6.0
5. Overall Surplus or Deficit	1.6	-6.1	-6.9	1.2
6. Financing	-1.6	6.1	6.9	-1.2
External	--	-1.1	--	-1.2
Domestic	-1.6	7.2	6.9	--
VII. Textil San Miguel (FMTSM)				
1. Current Revenues	5.0	5.2	5.4	5.7
Of which: transfers from				
Central Government	0.3	--	0.2	0.3
2. Current Expenditures	4.9	5.2	5.2	5.5
Surplus (+)/Deficit (-)	0.1	--	0.2	0.2
3. Capital Receipts	--	--	--	--
Of which: transfers from				
Central Government	--	--	--	--
Sales of Assets	--	--	--	--
Other	--	--	--	--
4. Capital Expenditure	--	0.2	--	0.2
Official transfers	--	--	--	--
Fixed Assets	--	0.2	--	0.2
Credit (net)	--	--	--	--
Other	--	--	--	--
5. Overall Surplus or Deficit	--	-0.2	--	--
6. Financing	--	0.2	--	--
External	--	--	--	--
Domestic	--	0.2	--	--

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
IX. NATIONAL LOTTERY				
1. Current Revenues	60.2	81.3	80.5	96.0
Of which: transfers from Central Government	--	--	--	--
2. Current Expenditures	59.6	78.0	78.9	96.3
Surplus(+)/Deficit(-)	0.6	3.3	1.6	-0.3
3. Capital Receipts	--	--	--	0.3
Of which: transfers from Central Government	--	--	--	--
Sales of Assets	--	--	--	--
Other	--	--	--	0.3
4. Capital Expenditure	0.3	3.8	--	--
Official transfers	--	--	--	--
Fixed Assets	--	0.9	--	--
Credit (net)	--	--	--	--
Other	0.3	2.9	--	--
5. Overall Surplus or Deficit	0.3	-0.5	--	--
6. Financing	-0.3	0.5	--	--
External	--	--	--	--
Domestic	-0.3	0.5	--	--
C. Financial Institutions				
I. Salvadorian Institute for Industrial Promotion (INSAFI)				
1. Current Revenues	15.9	14.6	17.4	6.0
Of which: transfers from Central Government	--	--	2.0	--
2. Current Expenditures	11.0	17.9	24.8	24.0
Surplus (+)/Deficit (-)	4.9	-3.3	-7.4	-18.0
3. Capital Receipts	1.8	47.6	24.3	8.2
Of which: transfers from Central Government	1.0	19.5	24.3	8.2
Sales of Assets	0.8	--	--	--
Other	--	28.1	--	--
4. Capital Expenditure	95.4	19.6	9.5	18.6
Official transfers	--	--	--	--
Fixed Assets	62.1	19.5	4.5	1.0
Credit (net)	25.4	-5.6	5.0	17.6
Other	7.9	5.7	--	--
5. Overall Surplus or Deficit	-88.7	24.7	7.4	-28.4
6. Financing	88.7	-24.7	-7.4	28.4
External	-15.4	--	--	--
Domestic	104.1	-24.7	-7.4	28.4

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
II. Financing Guarantee Fund for Small Businesses (FIGAPE)				
1. Current Revenues	4.7	4.7	4.8	10.0
Of which: transfers from Central Government	0.4	0.4	0.2	0.5
2. Current Expenditures	5.2	5.5	4.8	4.8
Surplus(+)/Deficit(-)	-0.5	-0.8	--	5.2
3. Capital Receipts	6.2	14.7	9.0	11.0
Of which: transfers from Central Government	4.0	4.0	9.0	11.0
Sales of Assets	2.2	2.2	--	2.5
Other	--	8.5	--	--
4. Capital Expenditure	-3.5	5.2	-1.6	25.5
Official transfers	--	--	--	--
Fixed Assets	--	--	--	0.1
Credit (net)	-3.6	5.2	-1.6	25.4
Other	0.1	--	--	--
5. Overall Surplus or Deficit	9.2	8.7	10.6	-9.3
6. Financing	-9.2	-8.7	-10.6	9.3
External	--	--	--	--
Domestic	9.2	-8.7	-10.6	9.3
III. National Housing Fund (FNV)				
1. Current Revenues	2.0	2.4	4.2	2.5
Of which: transfers from Central Government	--	--	--	--
2. Current Expenditures	2.1	2.2	3.1	1.9
Surplus (+)/Deficit (-)	-0.1	0.2	1.1	0.6
3. Capital Receipts	10.0	10.0	--	--
Of which: transfers from Central Government	--	--	--	--
Sales of Assets	10.0	10.0	--	--
Other	--	--	--	--
4. Capital Expenditure	18.1	19.0	88.2	10.1
Official transfers	--	--	0.4	--
Fixed Assets	--	--	--	--
Credit (net)	17.6	18.5	87.8	10.1
Other	0.5	0.5	--	--
5. Overall Surplus or Deficit	-8.0	-8.8	-87.1	-9.5
6. Financing	8.0	8.8	87.1	9.5
External	--	--	--	1.5
Domestic	8.0	- 8.8	87.1	8.0

Table 5.10: EL SALVADOR: SUMMARY ACCOUNTS OF DECENTRALIZED AGENCIES AND STATE ENTERPRISES

(In million colones)

	1977	1978	1979	1980
IV. Agricultural Development Bank (BFA)				
1. Current Revenues	43.8	51.9	67.8	145.8
Of which: transfers from Central Government	--	--	--	--
2. Current Expenditures	39.6	51.3	58.0	144.5
Surplus(+)/Deficit(-)	4.2	0.6	9.8	1.5
3. Capital Receipts	8.5	12.1	11.5	48.5
Of which: transfers from Central Government	--	--	11.3	10.2
Sales of Assets	--	0.3	--	17.6
Other	8.5	11.8	0.2	20.7
4. Capital Expenditure	33.8	39.1	79.6	151.9
Official transfers	--	--	--	--
Fixed Assets	--	--	--	--
Credit (net)	32.1	33.9	79.6	21.4
Other	1.7	5.2	--	130.5
5. Overall Surplus or Deficit	-21.1	-26.4	-58.3	-101.9
6. Financing	21.1	26.4	58.3	101.9
External	12.8	4.3	-4.7	23.2
Domestic	8.3	22.1	62.0	78.7
V. Social Housing Fund (FSV)				
1. Current Revenues	37.8	44.4	63.5	72.1
Of which: transfers from Central Government	32.9	38.5	52.8	57.7
2. Current Expenditures	4.6	5.6	7.0	6.5
Surplus (+)/Deficit (-)	33.2	38.8	56.5	65.6
3. Capital Receipts	5.0	5.0	1.4	--
Of which: transfers from Central Government	5.0	5.0	0.3	--
Sales of Assets	--	--	0.1	--
Other	--	--	1.0	--
4. Capital Expenditure	51.7	61.4	61.7	64.0
Official transfers	--	--	--	25.8
Fixed Assets	43.5	47.5	--	34.8
Credit (net)	4.9	8.9	5.4	3.4
Other	3.3	5.0	56.3	--
5. Overall Surplus or Deficit	-13.5	-17.6	-3.8	1.6
6. Financing	13.5	17.6	3.8	-1.6
External	--	--	--	--
Domestic	13.5	17.6	3.8	-1.6

Table 5.11: EL SALVADOR: TOTAL PUBLIC INVESTMENT BY SECTORS

(In Million Colones)

	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981 BUDGET	1981 JAN - JUNE
ECONOMIC SECTOR	46.3	70.1	207.8	158.4	239.5	263.4	214.0	287.5	430.3	701.3	413.9
Agriculture	24.5	38.7	82.3	89.6	135.2	152.9	178.7	259.7	409.5	677.9	408.1
Industry and Commerce	20.3	30.5	124.1	66.3	101.3	106.2	33.1	25.4	19.2	17.4	4.6
Tourism	1.5	0.9	1.4	2.5	3.0	4.3	2.2	2.4	1.6	6.0	1.2
BASIC INFRASTRUCTURE	63.0	81.6	135.0	201.9	173.0	195.9	295.1	335.1	318.6	354.2	148.8
Transportation	33.5	23.5	42.4	62.7	73.4	101.6	196.2	205.4	178.7	132.2	63.7
Telecommunications	6.9	5.5	3.0	10.7	9.5	10.9	24.8	19.4	5.8	12.8	8.7
Power	22.6	52.6	89.6	128.5	90.1	83.4	74.1	110.3	134.1	209.2	76.4
SOCIAL DEVELOPMENT	37.9	35.9	44.9	71.8	93.0	169.4	202.1	236.3	252.5	496.2	220.5
Health	8.1	6.3	7.7	16.3	15.9	26.2	31.1	18.1	35.8	21.7	9.5
Education	22.5	17.8	16.3	19.1	20.6	41.2	21.0	26.0	21.5	50.5	12.7
Housing	3.2	8.4	15.5	28.2	43.4	62.6	107.5	145.9	163.5	405.3	181.0
Community Development	1.5	1.0	1.0	2.4	2.5	2.8	3.1	3.6	--	3.3	2.4
Water and Sewerage	2.6	2.4	4.4	5.3	10.6	36.6	39.4	42.7	31.7	15.4	14.9
PUBLIC ADMINISTRATION	5.6	12.4	14.8	22.6	32.3	29.9	15.1	49.2	102.0	90.0	36.5
INVESTMENT STUDIES	--	--	--	--	--	--	--	--	1.1	7.2	0.6
TOTAL	152.8	200.0	402.5	454.2	537.8	658.6	726.3	908.1	1104.5	1648.9	820.3
FIXED INVESTMENT	119.5	142.9	210.5	325.1	382.2	433.3	453.4	538.1	584.9	625.13	267.5
Central Government	68.8	60.2	70.3	106.3	150.1	188.0	219.5	269.5	306.3	320.3	141.8
Autonomous Institutions	50.7	82.7	140.2	218.8	232.1	245.3	233.9	268.6	278.6	304.83	125.7
FINANCIAL INVESTMENT	33.3	57.1	192.0	129.1	155.6	225.3	272.9	370.0	519.6	1023.8	552.8
Autonomous Institutions	33.3	57.1	192.0	129.1	155.6	225.3	272.9	370.0	519.6	1023.8	552.8
TOTAL	152.8	200.0	402.5	454.2	537.8	658.6	726.3	908.1	1104.5	1648.9	820.3

SOURCE: Ministry of Planning.

Table 5.12: EL SALVADOR: INVESTMENT OF AUTONOMOUS AGENCIES AND PUBLIC ENTERPRISES

(In Million Colones)

	1970	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981 BUDGET	1981 JAN - JUNE
I. Autonomous Agencies													
TOTAL	5.1	5.9	8.1	8.8	10.0	15.7	27.3	22.1	20.9	31.2	43.6	31.43	11.9
ISSS	0.7	2.0	4.1	4.9	4.9	7.7	5.4	3.1	3.6	4.5	17.7	3.2	1.0
INSOSHS	0.1	--	--	0.1	0.1	0.1	0.2	1.5	--	--	--	--	--
National University	2.0	1.1	--	--	1.7	0.9	3.2	3.5	1.0	5.2	0.5	1.6	--
ISTU	0.4	0.5	1.5	0.9	1.4	2.5	3.0	4.3	2.2	2.4	1.6	6.0	1.2
ISTA	1.6	2.0	2.4	2.8	1.7	4.2	14.7	9.5	11.0	12.4	21.3	18.1	9.3
ISIC	0.3	0.3	0.1	0.1	0.2	0.3	0.4	--	--	--	--	0.03	--
ISCE	--	--	--	--	--	--	0.4	0.2	3.1	6.7	2.5	2.5	0.4
INPEP	--	--	--	--	--	--	--	--	--	0.1	--	--	--
II. Public Enterprises													
TOTAL	13.5	14.0	36.8	68.0	110.2	167.9	153.9	195.0	213.0	237.4	235.0	273.4	113.8
CEL	6.3	2.8	22.6	52.6	89.6	128.5	90.1	83.4	74.1	110.3	134.1	209.2	76.4
CEPA	1.8	0.6	1.4	0.8	8.8	16.3	14.9	34.6	57.2	46.2	45.9	7.9	2.1
ANTEL	0.9	5.2	6.9	5.5	3.0	10.7	9.5	10.9	24.8	19.4	5.8	12.8	8.7
ANDA	1.3	2.0	2.6	2.4	4.4	5.3	10.6	36.6	39.4	42.7	31.5	15.4	14.9
IRA	--	0.2	0.1	--	--	0.5	14.5	13.5	3.6	2.3	1.6	1.7	0.5
IVU	3.2	3.2	3.2	6.7	4.4	6.4	14.3	15.9	13.9	16.5	16.1	26.4	11.2
FTSM	--	--	--	--	--	0.2	--	0.1	--	--	--	--	--

SOURCE: Ministry of Planning.

Table 5.13: EL SALVADOR: PUBLIC FINANCIAL INVESTMENT

(In Million Colones)

	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981 BUDGET	1981 JAN - JUNE
BFA	16.6	29.9	75.4	74.1	87.5	112.1	152.4	208.0	356.4	624.0	380.0
INSAFI	16.2	25.5	70.9	24.5	33.7	58.5	11.6	5.0	10.1	3.0	0.5
INPEP	--	--	--	--	--	--	7.0	29.5	--	159.0	81.2
FSV	--	--	2.8	18.7	27.1	45.7	25.4	7.4	43.7	60.1	23.6
FNV	--	1.7	8.3	3.1	2.0	1.0	61.2	92.5	103.7	159.8	65.0
FIGAPE	--	--	34.1	8.7	4.3	7.0	14.3	6.6	4.6	9.7	1.6
EDUCREDITO	--	--	0.5	--	1.0	1.0	1.0	1.0	--	1.0	0.3
COFINTA	--	--	--	--	--	--	--	20.0	--	--	--
MAG[1/]	0.5	--	--	--	--	--	--	--	--	--	--
IOSEP	--	--	--	--	--	--	--	--	1.1	7.2	0.6
TOTAL	33.3	57.1	192.0	129.1	155.6	225.3	272.9	370.0	519.6	1023.8	552.8

1/ Programs - META, MEGA AND MEPO

SOURCE: Ministry of Planning.

Table 5.14: EL SALVADOR: PUBLIC SECTOR FIXED INVESTMENT

(In Millions of Current Colones)

	1965	1966	1967	1968	1969	1970	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981 BUDGET	1981 JAN - JUNE
Agriculture	2.1	4.8	3.9	3.1	5.0	5.7	10.5	7.5	8.8	6.9	15.5	47.7	40.8	26.3	31.7	53.1	53.93	28.1
Industry & Commerce 1/	2.5	2.2	0.4	1.3	0.8	4.0	6.1	4.1	5.0	19.1	33.1	63.3	40.7	7.2	13.8	4.5	4.7	2.5
Tourism	--	0.3	0.4	--	0.1	0.4	0.5	1.5	0.9	1.4	2.5	3.0	4.3	2.2	2.4	1.6	6.0	1.2
Transport & Urban Infrastructure	13.8	12.2	10.1	15.0	17.9	25.7	26.5	33.5	23.5	42.4	62.7	73.4	101.6	196.2	205.4	178.7	132.2	63.7
Telecommunications	8.0	14.5	6.9	0.6	--	0.9	5.2	6.9	5.5	3.0	10.7	9.5	10.9	24.8	19.4	5.8	12.8	8.7
Electricity	15.7	8.8	4.3	9.3	13.1	6.3	2.8	22.6	52.6	89.6	128.5	90.1	83.4	74.1	110.3	134.1	209.2	76.4
Housing	11.6	8.0	8.9	4.9	8.4	4.7	3.2	3.2	6.7	4.4	6.4	14.3	15.9	13.9	16.5	16.1	26.4	11.2
Public Administration	1.3	6.1	4.9	2.8	6.0	5.5	9.3	5.6	12.4	14.8	22.6	32.3	29.9	15.1	49.2	102.0	90.0	36.5
Health	3.6	6.8	8.7	6.2	7.5	3.2	6.3	8.1	6.3	7.7	16.3	15.9	26.2	31.1	18.1	35.8	21.7	9.5
Water and Sewerage	4.0	6.6	7.5	2.3	0.7	1.3	2.0	2.6	2.4	4.4	5.3	10.6	36.6	39.4	42.7	31.7	15.4	14.9
Education	5.1	9.1	4.8	4.2	3.7	3.8	7.0	22.5	17.8	15.8	19.1	19.6	40.2	20.0	25.0	21.5	49.5	12.4
Community Development	--	--	--	--	0.6	0.9	2.0	1.5	1.0	1.0	2.4	2.5	2.8	3.1	3.6	--	3.3	2.4
TOTAL	67.7	79.4	60.8	49.7	63.8	62.4	81.4	119.5	142.9	210.5	325.1	382.2	433.3	453.4	538.1	584.9	625.13	267.5

(In Millions of 1975 Colones)

	1965	1966	1967	1968	1969	1970	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981 BUDGET	1981 JAN - JUNE
Agriculture	3.6	8.4	6.8	4.5	8.2	10.4	16.6	12.0	11.5	7.1	15.5	43.5	34.4	21.3	23.3	33.2	29.7	15.5
Industry & Commerce	4.3	3.8	0.7	1.9	1.3	7.3	9.7	6.5	6.6	19.7	33.1	57.8	34.3	5.8	10.1	2.8	2.6	1.4
Tourism	--	0.5	0.7	--	0.2	0.7	0.8	2.4	1.1	1.4	2.5	2.7	3.6	1.8	1.8	1.0	3.3	0.7
Transport & Urban Infrastructure	23.6	21.3	17.7	22.0	29.3	46.7	41.9	53.4	30.8	43.7	62.7	67.0	85.7	158.5	151.1	111.8	72.7	35.0
Telecommunications	13.7	25.3	12.0	0.9	--	1.6	8.2	11.0	7.2	3.1	10.7	8.7	9.2	20.0	14.3	3.6	12.7	4.8
Electricity	26.8	15.3	7.5	13.6	21.4	11.5	4.4	36.0	69.0	92.3	128.5	82.2	70.3	59.9	81.2	83.9	115.0	42.0
Housing	19.8	13.9	15.6	7.2	13.7	8.5	5.1	5.1	8.8	4.5	6.4	13.1	13.4	11.2	12.4	10.1	14.5	6.2
Public Administration	2.2	10.6	8.6	4.1	9.8	10.0	14.7	8.9	16.2	15.2	22.6	29.5	25.2	12.2	36.2	63.8	49.5	20.1
Health	6.1	11.8	15.2	9.1	12.3	5.8	10.0	12.9	8.3	7.9	16.3	14.5	22.1	25.1	13.3	22.4	11.9	5.2
Water and Sewerage	6.8	11.5	13.1	3.8	1.1	2.4	3.2	4.1	3.2	4.5	5.3	9.7	30.9	31.8	31.4	19.8	8.4	8.2
Education	8.7	15.9	8.4	6.2	6.1	6.9	11.1	35.9	23.4	16.3	19.1	17.9	33.9	16.1	18.4	13.5	22.2	6.8
Community Development	--	--	--	--	1.0	1.6	3.2	2.4	1.3	1.0	2.4	2.3	2.4	2.5	2.7	--	1.8	1.3
TOTAL	115.6	138.3	106.3	73.3	104.4	113.4	128.8	190.6	187.4	216.7	325.1	348.9	365.4	366.2	396.2	365.9	344.3	147.2

1/ Includes fixed investment of INSAFI.

Source: Ministry of Planning.

Table 5.15: EL SALVADOR: PUBLIC FIXED INVESTMENT BY SECTORS

(In Millions of 1975 Colones)

	1976-77		1978-79		1980-81	
	Mln.	% Share	Mln.	% Share	Mln.	% Share
Agriculture	77.9	11	44.6	7	62.9	9
Industry, Commerce and Tourism	98.4	14	19.5	3	9.7	2
Total Productive Sectors	176.3	25	64.1	10	72.6	11
Infrastructure	323.1	45	385.0	58	399.7	56
Housing and Public Administration	81.2	11	72.0	11	137.9	19
Social Sectors	133.7	19	141.3	21	100.0	14
TOTAL	714.3	100	662.4	100	710.2	100

Source: Table 5.12

Table 6.1

EL SALVADOR: SUMMARY ACCOUNTS OF THE CONSOLIDATED BANKING SYSTEM
(END OF YEAR IN MILLIONS OF COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
INTERNATIONAL RESERVES, NET	131.0	182.4	131.8	150.8	271.2	415.9	469.6	552.2	305.3	-239.5	-479.9
DOMESTIC CREDIT	785.6	901.2	1,112.4	1,420.2	1,549.7	1,796.9	2,079.0	2,391.1	2,942.1	3,822.3	4,596.7
TO CENTRAL GOVERNMENT, NET	49.9	58.1	23.1	-5.1	30.5	-21.3	-127.4	-98.4	20.2	418.8	1,209.1
TO OFFICIAL ENTITIES, NET	42.0	11.2	3.6	13.0	26.3	60.1	97.4	71.7	105.4	121.2	179.2
TO PRIVATE SECTOR	692.4	832.3	1,043.3	1,371.0	1,460.6	1,683.4	2,099.3	2,413.4	2,813.6	3,244.1	3,171.9
OFFICIAL CAPITAL & RESERVES	-59.7	-67.8	-41.4	-59.0	-67.8	-83.3	-103.3	-145.2	-195.0	-244.1	-270.2
UNCLASSIFIED ASSETS, NET	61.0	67.4	83.8	100.3	100.1	158.0	113.0	149.6	197.9	282.3	306.7
ASSETS =LIABILITIES	916.6	1,083.6	1,244.2	1,571.0	1,820.9	2,235.7	2,570.4	2,984.5	3,261.3	3,585.8	4,119.0
ALLOCATION OF SDR'S	19.9	31.6	35.2	35.2	35.2	35.2	35.2	35.7	52.9	65.6	72.5
FOREIGN LIABILITIES (M&LT)	68.6	69.5	44.8	193.1	204.2	178.0	149.4	319.2	397.4	568.0	704.7
GOVERNMENT TRUST FUNDS	-	-	-	-	-	-	-	-	-	-	102.5
LIABILITIES TO NON-MONETARY FINANCIAL INTERMEDIARIES,NET	-	44.9	69.5	77.8	136.1	121.7	146.7	98.8	112.0	103.8	132.4
LIABILITIES TO PRIVATE SECTOR	828.1	937.6	1,094.7	1,264.9	1,445.4	1,877.9	2,217.3	2,489.6	2,685.1	2,845.4	3,104.7
CURRENCY IN CIRCULATION	145.2	173.3	199.1	237.4	250.6	376.1	427.4	496.1	736.6	712.9	697.1
SIGHT DEPOSITS	170.2	202.0	252.2	303.6	377.3	489.0	527.0	569.3	579.7	737.2	730.0
TIME & SAVINGS DEPOSITS	342.2	391.0	457.9	523.1	622.7	749.8	888.1	1,033.3	954.0	964.0	1,209.0
FOREIGN CURRENCY DEPOSITS	0.6	0.5	0.5	1.9	1.2	2.1	2.5	3.2	1.6	1.1	4.9
IMPORT DEPOSITS	-	-	-	-	-	30.9	20.3	8.2	5.9	7.6	4.4
COMMERCIAL PREPAYMENTS	-	-	-	-	-	-	-	-	-	51.6	73.1
MORTGAGE BONDS	97.5	101.0	102.0	120.0	103.9	123.3	220.5	230.2	243.1	190.2	205.1
CAPITAL AND RESERVES	72.4	69.8	83.0	78.9	89.7	106.7	131.5	149.3	164.2	180.8	181.1

SOURCE: CENTRAL RESERVE BANK.

Table 7.1: EL SALVADOR: STATUS OF PHASE I AGRARIAN REFORM, OCTOBER 31, 1981

Department	Cooperatives		Campesino Groups		Being Organized		Combined
	Number	Members	Number	Members	Number	Members	Number
Ahuachapan	17	1,742	9	868	1	-	27
Santa Ana	17	1,381	5	760	5	N/D	27
Sonsonate	27	2,990	4	805	6	300	37
Chalatenango	5	872	-	-	4	160	9
San Salvador	1	76	9	1,157	3	200	13
La Libertad	19	1,807	26	3,915	8	400	53
Cuscatlan	2	221	1	200	-	-	3
Caba as	1	35	-	-	1	-	2
La Paz	25	2,333	6	1,726	13	127	44
San Vicente	17	1,668	-	-	10	80	27
Usulutan	25	3,150	14	1,834	7	885	46
San Miguel	12	1,344	4	762	3	35	19
Morazan	2	700	-	-	-	-	2
La Union	17	1,840	-	-	-	285	17
Totals	187	20,159	78	12,027	61	2,472	326

Source: ISTA - Gerencia Operaciones Agrarias y Desarrollo Comunal Campesino.

Table 7.2: EL SALVADOR: PHASE III PROVISIONAL TITLES DELIVERED, RECIPIENTS AND FAMILY BENEFICIARIES, AT DECEMBER, 1981

Department	Provisional Titles		
	Delivered	Recipients a/	Beneficiaries b/
Ahuachapan	3,574	2,799	16,794
Santa Ana	2,141	1,583	9,498
Sonsonate	1,850	1,319	7,914
Chalatenango	204	165	990
La Libertad	1,856	1,574	9,444
San Salvador	343	1,454 c/	8,724
Cuscatlan	589	504	3,024
La Paz	1,041	869	5,214
Cabanas	478	334	2,004
San Vicente	761	599	3,594
Usulutan	1,148	1,036	6,216
San Miguel	1,765	1,534	9,204
Morazan	507	418	2,508
La Union	1,066	686	4,116
Totals	17,323	14,874	89,244

a/ Some received more than one provisional title.
b/ The number of beneficiaries represents the average campesino family of six persons.
c/ Includes 1,215 members of 18 cooperatives.

Source: FINATA, Division de Adjudicaciones.

Table 7.3: EL SALVADOR: DISTRIBUTION OF COTTON PRODUCTION BY FARM SIZE, 1979-80 CROP

Farm Size Group (hectares)	Numberms of Farms	Cotton Area Planted (hectares)	Cotton Area Harvested (hectares)	Raw Cotton Produced (metric tons)	Value of Production (colones)
Under 2	73	96.25	78.05	223.87	36,460.36
From 2 to 5	640	2,275.05	1,960.34	4,488.14	7,306,691.92
From 5 to 20	967	9,714.22	8,749.45	19,511.28	31,764,363.84
From 20 to 30	219	5,325.44	4,681.19	10,091.40	16,428,799.20
From 30 to 50	175	6,660.18	6,153.20	14,024.60	22,832,048.80
From 50 to 100	195	13,590.42	12,693.87	26,527.63	43,186,981.64
From 100 to 200	130	18,432.62	17,597.55	37,407.95	60,900,142.60
from 200 and over	95	34,557.11	33,072.16	69,249.46	112,738,120.88
TOTALS	2,494	90,651.29	84,985.81	181,524.33	259,521,609.24

Source: Cooperativa Algodonera Salvadorena, Ltda.

Table 7.4: EL SALVADOR: COSTS OF COTTON PRODUCTION

(costs per manzana in colones)

Cost Item	1973-74	1978-79	1980-81	1981-82 a/
Land Rental	200.00	300.00	300.00	300.00
Cutting Stalks	7.00	20.00	25.00	25.00
Subsoiling (once every 3 years)	10.00	16.66	17.00	18.33
Plowing	15.00	30.00	32.00	35.00
Discing (4 times)	36.00	80.00	120.00	140.00
Seed (70 lbs/mzn)	9.00	12.24	13.80	21.60
Fertilizer (150 kg formula 300 kg sulfate)	82.25	203.30	230.00	280.00
Insecticides	147.75	731.20	775.00	850.00
Airplane Spraying	67.50	144.00	170.00	180.00
Planting & Fertilizing	10.50	25.00	25.00	30.00
Replanting	4.00	18.30	20.00	20.87
Plant Selection	7.50	36.60	37.50	37.50
Cultivation	30.00	40.00	60.00	72.00
Hand Weed Control	60.00	130.00	165.00	175.00
Fertilizer Application	10.00	27.45	35.00	45.0
Land Maintenance	5.00	24.40	25.00	25.00
Pest Control Personnel	7.50	30.50	37.50	40.00
Harvesting (base 30 qq)	90.00	450.00	540.00	540.00
Management	22.00	57.60	60.00	60.00
Transport & Movements	7.50	34.50	37.85	41.30
Contingent Costs	10.00	78.72	90.00	90.00
Interest	49.92	139.53	189.23	225.45
Totals	875.94	2,630.00	3,004.88	3,252.05

a/ Estimated

Source : Cooperativa Algodonera Salvadorena (COPAL), surveys by MAG Direccion General de Economia Agropecuaria (DGEA) and Mission estimates.

Table 7.5. EL SALVADOR: CENTRIFUGAL SUGAR PRODUCTION, 1971-72 THROUGH 1980-81

Item	1971-72	1972-73	1973-74	1974-75	1975-76	1976-77	1977-78	1979-80	1980-81
Sugarcane (hectares)									
Planted	34,982	34,129	39,516	43,520	41,104	41,585	40,839	33,534	27,972
Harvested	22,685	23,553	30,251	33,175	33,540	34,650	34,350	27,273	26,573
Cane Produced (metric tons)	1,849,227	1,888,392	2,399,980	2.615,982	2,589,456	2,933,512	2,892,904	2,019,218	1,824,100
Sugar (metric tons)									
Production	187,473	190,164	231,722	256,757	261,797	286,021	288,007	178,809	174,058
Domestic Consumption	53,422	93,123	94,481	125,484	134,721	120,795	157,712	144,285	139,715
Exports	134,051	97,041	137,241	131,273	127,076	165,226	130,295	34,524	34,343
Molasses (metric tons)									
Production	—	—	—	108,843	118,105	145,953	150,332	116,543	91,558
Domestic Consumption	—	—	—	108,843	81,421	114,709	110,344	116,543	77,605
Exports	—	—	—	—	36,684	31,244	39,988	—	13,953

Source: Gerencia de Planificacion, INAZUCAR.

Table 7.6: EL SALVADOR: COST OF SUGARCANE PRODUCTION

(colones per manzana)

Item	1976-77	1977-78	1978-79	1979-80	1980-81
Fertilizer & other Inputs	269.60	327.97	341.50	285.59	360.47
Land Preparation	22.90	34.71	44.20	36.80	45.00
Planting, Cultivation and Harvesting	455.40	532.57	549.50	766.06	961.36
Administration	22.40	70.00	70.00	54.42	68.52
Contingencies	38.50	41.22	46.70	57.16	71.96
Interest	51.20	69.25	46.70	84.00	185.09
Rental (mainly land)	250.00	246.00	300.00	275.00	200.00
Transportation	603.70	671.60	671.60	769.56	911.87
Totals	1,713.70	1,993.32	2,070.20	2,328.59	2,814.27

Source: Ministerio de Agricultura y Ganaderia (MAG).

Table 7.7: EL SALVADOR: INAZUCAR EMPLOYMENT, MAY 1980 - JUNE 1981

(payment in thousand colones)

Activity Classification	Permanent Staff		Temporary Staff		Total Generated	
	Number	Payment	Number	Payment	Number	Payment
Office						
Technical	161	2,318	6	8	167	2,326
Non-technical	99	873	82	183	181	1,056
Total Office	260	3,191	88	191	348	3,382
Mill Operation						
Technical	512	4,662	152	371	664	5,033
Non-technical	785	4,133	1,438	4,382	3,223	8,515
Total Mill	1,297	8,795	1,590	4,753	2,887	13,548
General Total	1,557	11,986	1,678	4,944	3,235	16,930

Source: Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion.

Table 7.8: EL SALVADOR: GROWERS SUGARCANE PRICES
(colones per shortton)

Harvest	Price
1977-78	30.00
1978-79	30.50
1979-80	40.50
1980-81	47.00 a/
1981-82	50.00 a/

a/ Incentive level official price.

Source: Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion.

Table 7.9: EL SALVADOR: DOMESTIC PRICES FOR MOLASSES BY UTILIZATION

(colones per barrel of 110 gallons)

Year	Livestock	Industrial
1977	23.00	30.00
1978	23.00	30.00
1979	30.00	45.00
1980	30.00	45.00
1981	30.00	45.00

Source: Instituto Nacional del Azucar (INAZUCAR), Gerencia de Planificacion.

Table 7.10. EL SALVADOR: COSTS OF PRODUCING BASIC GRAINS

(in colones per manzana)

Product	1976-77	1977-78	1978-79	1979-80	1980-81
Corn	707.5	704.16	807.14	917.75	1,175.88
Beans	581.10	582.12	631.83	829.30	1,233.58
Rice	1,180.69	1,021.11	1,135.34	1,286.38	1,655.46
Sorghum	680.42	565.76	575.33	663.52	695.89

Source: MAG Direccion General de Economia Agropecuaria (DGEA).

Table 7.11. EL SALVADOR: COTTONSEED AND OIL PRODUCTION

Year	Cottonseed		Oil Produced [a]
	Volume (quintals)	Value (colones)	Volume (quintals)
1971-72	2,299,203.37	19,083,387.97	390,864.53
1972-73	2,365,969.18	17,153,276.56	402,218.16
1973-74	2,599,119.62	23,444,058.97	441,850.33
1974-75	2,639,432.38	31,673,188.56	448,703.50
1975-76	2,030,473.89	24,873,305.16	345,180.56
1976-77	2,474,116.14	30,307,922.72	420,599.74
1977-78	2,791,051.88	34,190,385.54	474,478.82
1978-79	2,492,744.81	33,083,647.20	423,766.62
1979-80	2,279,006.05	36,464,096.80	387,431.03
1980-81	1,417,499.82	24,806,246.85	240,974.97

a/ Based on 17 percent extraction rates.

Source: Cooperativa Algodonera Salvadorena (COPAL).

Table 7.12: EL SALVADOR: IRA STORAGE CAPACITY, 1981

(in quintals)

Location	Silos	Warehouses	Total
Storage Plants	1,591,230	659,770	2,251,000
San Martin	679,050	338,050	1,017,100
Usulutan	192,000	124,000	316,000
La Union	43,580	31,720	75,300
Santa Ana	169,220	72,000	241,220
San Miguel	247,760	52,000	299,760
Guaymango	259,620	42,000	301,620
Buying Centers	649,100	57,200	706,300
San Jose El Carao	89,780	5,720	95,500
San Juan Opico	164,780	5,720	170,500
Zacatecoluca	164,780	5,720	170,500
Metapan	41,580	5,720	47,300
Ahuachapan	43,580	5,720	49,300
Suchitoto	29,720	5,720	35,440
San Isidro	27,720	5,720	33,440
San Vicente	27,720	5,720	33,440
Mercedes Umana	29,720	5,720	35,440
Chapeltique	29,720	5,720	35,440
Total	2,240,330	716,970	2,957,300

Source: Administracion General de Centros de Almacenamiento y Unidad de Planificacion del IRA.

Table 7.13: EL SALVADOR: PRODUCER-CONSUMER PRICING IN IRA DISTRIBUTION NETWORK, 1981
(in colones per quintal)

Product	IRA Price a/ to Producer	Sales Price IRA-Distributor	Vendor Price to Consumer
Corn	24.00	22.35	23.50
Beans	100.00	95.00	100.00
Rice	33.00 b/	52.25 c/	55.00 c/

a/ IRA guaranteed price.
b/ Per quintal rough rice.
c/ Per quintal milled rice.

Source: Instituto Regulador de Abastecimientos (IRA), Departamento de Compras

Table 7.14: EL SALVADOR: IRA DOMESTIC PURCHASES OF BASIC FOOD GRAINS AND OTHER PRODUCTS
(in quintals)

Product	1976	1977	1978	1979	1980	1981 1/
White Corn	701,773	175,871	455,545	1,283,905	1,497,180	829,143
Yellow Corn	2,210	13,402	11,665	-	-	-
Red Beans	39,567	18,474	45,012	137,075	182,132	88,929
Black Beans	101,311	4,637	5,748	13,126	36,845	23,688
Rough Rice	122,429	34,212	115,095	405,073	578,048	207,895
Sorghum	137,990	45,003	73,876	123,680	97,622	-
Refined Sugar	854,800	757,009	772,204	850,069	680,663	415,031
Milk Powder Semi-fat	802	3,270	148	-	-	-

1/ January through November 13, 1981.

Source: Instituto Regulador de Abastecimientos (IRA), Departamento de Compras.

Table 7.15: EL SALVADOR: CONSUMER LEVEL IRA AND MARKET PRICES, BY MONTHS 1980-81
(price in colones per pound)

	Corn		Beans		Rice	
Month	IRA	Market	IRA	Market	IRA	Market
July	0.235	0.30	0.80	2.50	0.55	0.65
August	0.235	0.30	0.80	1.40	0.55	0.70
September	0.235	0.30	0.80	1.50	0.55	0.65
October	0.235	0.25	0.80	1.50	0.55	0.65
November	0.235	0.25	0.80	1.15	0.55	0.55
December	0.235	0.25	0.80	1.10	0.55	0.55
January	0.235	0.25	1.00	1.20	0.55	0.65
February	0.235	0.25	1.00	1.10	0.55	0.65
March	0.235	0.25	1.00	1.20	0.55	0.65
April	0.235	0.30	1.00	1.15	0.55	0.65
May	0.235	0.30	1.00	1.25	0.55	0.65
June	0.235	0.30	1.00	1.25	0.55	0.65

Source: Instituto Regulador de Abastecimientos (IRA).

Table 7.16: EL SALVADOR: IRA EXPENDITURES FOR LOCAL COMMODITIES
(in thousand colones)

Product	1976	1977	1978	1979	1980
Corn	12,998.8	3,854.3	10,381.2	29,530.0	34,792.4
Beans	3,100.7	1,605.3	3,312.6	10,363.9	18,892.5
Rice	3,464.1	1,090.1	2,386.7	12,130.0	17,623.5
Sorghum	2,234.8	714.2	1,293.0	2,226.2	1,757.2
Sugar	23,118.1	29,156.5	28,955.5	31,848.3	30,310.0
Milk Powder Semi-fat	-	673.5	30.2	-	-

1/ Figures rounded.

Source: Instituto Regulador de Abastecimientos (IRA), Departamento de Compras.

Table 7.17: EL SALVADOR: IRA FOOD IMPORTS
(in quintals)

Year	Corn	Beans	Milled Rice	Powdered Milk		
				Whole	Non-fat	Semi-fat
1972	-	-	-	2,311	5,887	-
1973	915,278	76,544	1,308	4,443	10,391	0,000
1974	99,300	100,665	122,620	36,113	13,378	-
1975	450,447	149,867	194,517	36,478	22,539	-
1976	-	-	-	76,633	-	-
1977	763,166	-	-	57,092	-	-
1978	344,373	-	-	88,050	-	-
1979	-	-	60,150	125,332	7,013	5,014
1980	300,828	69,970	66,742	178,120	12,000	3,375
1981	-	-	-	113,396	47,183	-

Source: Instituto Regulador de Abastecimientos (IRA), Seccion de Importacion.

Table 7.18: EL SALVADOR: TRADITIONAL TRADE PRODUCER TO CONSUMER PRICE BUILDUP, JANUARY 1981
(in colones per quintal)

Product	Producer Price from Trucker	Trucker to Wholesaler	Wholesaler to Retailer	Retailer to Consumer
Corn	19.00	22.00	23.00	25.00
Beans	85.00	100.00	102.50	120.00
Rice	23.00 1/	26.00 2/	57.00 2/	65.00 2/

1/ Per quintal rough rice.
2/ Per quintal milled rice.

Source: Instituto Regulador de Abastecimientos (IRA), Departamento de Compras.

Table 7.19: EL SALVADOR: IRA-GUARANTEED PRODUCER AND AVERAGE TRUCKER PRICES IN SAN SALVADOR
(in colones per quintal)

Product	IRA Price to Producer 1/	Trucker Level Price 2/	IRA-Trucker Price Relation (percent)
Corn	24.00	21.75	110
Beans	100.00	97.50	103
Rice	33.00	31.30	105

1/ Guaranteed producer price for 1981-82 crop.
2/ November-February average.

Source: Instituto Regulador de Abastecimientos (IRA), Departamento de Compras.

Table 7.20: EL SALVADOR: AGRICULTURAL FOOD IMPORTS

(thousand colones)

Item	1976 Value	%	1977 Value	%	1978 Value	%	1979 1/ Value	%	1980 1/ Value	%
Food Products	168,677	9.2	204,743	8.8	264,113	10.3	262,394	10.3	372,747	15.3
Meat and its Preparations	7,372	0.4	8,733	0.4	9,905	0.4	11,485	0.4	16,126	0.7
Milk Products	30,046	1.6	36,110	1.6	49,728	1.9	48,994	1.9	60,155	2.5
Fish and Other Sea Foods	3,634	0.2	5,944	0.3	5,816	0.2	4,829	0.2	6,440	0.2
Wheat	45,396	2.5	35,952	1.5	44,066	1.7	48,055	1.9	65,538	2.7
Wheat Flour	880	-	1,031	-	144	-	745	-	1,161	-
Corn	527	-	4,994	0.2	34,555	1.3	4,137	0.2	329	-
Other Cereals and Preparations	9,341	0.5	21,464	0.9	13,392	0.5	12,721	0.5	24,009	1.0
Fruits and Preparations	14,561	0.8	24,861	1.1	27,693	1.1	34,039	1.3	51,150	1.4
Beans, Other Legumes and Potatoes	21,694	1.2	18,347	0.8	24,889	1.0	38,034	1.5	84,164	3.5
Sugar and its Preparations	6,353	0.3	9,313	0.4	10,281	0.4	13,705	0.5	10,510	0.4
Live Animals	3,383	0.2	3,028	0.1	3,183	0.1	3,005	0.1	2,243	0.1
Others	24,490	1.4	34,966	1.5	40,461	1.6	42,646	1.7	50,922	2.9
Fats and Oils	24,508	1.3	29,364	1.3	20,399	0.8	40,068	1.5	48,537	2.0
Animal Derivatives	12,868	0.7	27,127	1.2	16,285	0.6	34,377	1.3	35,656	1.5
Vegetable Origin	11,640	0.6	2,237	0.1	4,115	0.2	5,692	0.2	12,881	0.5
Total All Imports	1,836,711	100.0	2,322,658	100.0	2,553,656	100.0	2,553,656	100.0	2,428,445	100.0

1/ Preliminary.

Source: Direccion General de Estadistica y Censos.

Table 7.21: EL SALVADOR: IMPORTS OF FERTILIZERS AND PLANT PROTECTION MATERIALS
(volume in thousand kilograms and value in thousand colones)

Year	Fertilizers		Plant Protection Materials 1/	
	Value	Volume	Value	Volume
1976	66,485	263,601	20,510	4,950
1977	84,278	382,114	35,950	9,165
1978	92,104	318,647	36,530	5,580
1979	70,059	226,615	43,014	6,409
1980	65,037	148,523	25,004	3,550

1/ Insecticides, fungicides and related materials.

Source: Direccion General de Estadistica y Censos.

Table 8.1

EL SALVADOR: GROSS VALUE-ADDED IN MANUFACTURING SECTOR
(MILLIONS OF CURRENT COLONES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
FOOD PROCESSING	146.4	159.7	169.7	186.2	257.5	276.5	299.0	331.9	348.9	353.0	366.3
BEVERAGES	57.7	61.6	65.4	80.2	96.1	105.7	115.2	133.2	137.3	139.6	135.8
TOBACCO	18.9	20.6	22.9	26.9	31.0	36.6	41.8	44.5	48.5	49.9	47.9
TEXTILES	67.9	72.7	76.8	87.7	83.2	93.4	103.3	122.4	134.2	119.0	113.7
CLOTHING AND FOOTWEAR	48.9	51.6	58.1	62.1	72.3	83.0	97.2	108.9	133.3	133.0	126.8
WOOD PRODUCTS	2.4	3.2	4.6	5.4	6.3	7.2	8.1	9.3	9.9	9.0	9.2
FURNITURE	8.4	7.9	8.6	11.3	12.9	15.4	18.5	22.1	23.2	20.7	20.6
PAPER AND PAPER GOODS	6.6	7.0	9.0	10.3	12.0	14.0	16.0	19.1	23.7	21.6	21.1
PRINTING MATERIALS	9.4	9.2	10.7	13.7	13.4	15.3	18.2	20.8	22.6	22.0	19.9
LEATHER PRODUCTS	4.2	4.5	4.8	6.3	9.3	10.2	12.2	16.6	17.9	19.0	18.9
RUBBER PRODUCTS	3.5	3.4	3.7	4.8	5.1	7.2	9.0	10.1	11.6	11.2	11.0
CHEMICAL PRODUCTS	42.9	46.5	51.1	60.5	69.9	82.5	94.2	112.6	117.8	110.5	112.5
PETROLEUM PRODUCTS	25.0	28.7	30.7	43.9	44.7	49.7	56.7	65.5	82.8	113.7	108.8
NON-METALLIC PRODUCTS	20.4	23.5	26.4	31.5	34.6	41.1	49.5	58.2	60.1	48.6	43.5
BASIC METAL INDUSTRIES	4.6	8.0	8.4	11.0	13.3	13.9	14.5	16.7	20.0	18.0	15.4
METAL PRODUCTS	7.4	7.7	8.3	9.5	10.2	11.6	13.8	17.5	18.9	22.0	15.5
MACHINERY, EXCL. ELECTRICAL	5.3	5.2	5.4	6.5	7.7	10.1	12.5	13.1	15.4	13.8	16.7
ELECTRICAL MACHINERY	14.9	16.7	18.4	20.3	22.6	25.7	28.8	34.7	43.6	37.9	31.2
TRANSPORTATION EQUIPMENT	7.5	8.3	9.1	10.4	8.7	9.5	9.5	9.7	9.7	7.9	7.0
OTHERS	16.9	16.6	18.3	18.3	20.6	24.1	28.6	37.8	38.7	35.7	33.3
TOTAL	519.2	562.6	610.4	706.8	831.4	932.6	1,046.6	1,204.7	1,318.1	1,306.1	1,275.1

SOURCE: CENTRAL RESERVE BANK.

Table 9.1

EL SALVADOR: WHOLESALE PRICE INDEX BY MAIN COMMODITY GROUP
(1955=100)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
CONSUMER GOODS	88.4	94.2	116.8	134.6	134.4	194.1	321.1	237.3	263.3	248.1	244.9
FOOD	83.3	90.1	116.0	135.3	131.1	202.1	359.8	251.7	278.0	248.5	229.2
OTHER	107.7	109.9	120.2	132.0	147.0	164.0	175.0	183.2	207.7	246.6	303.4
CAPITAL GOODS	99.2	105.5	116.6	156.1	167.1	217.0	231.8	231.1	248.2	280.2	315.0
CONSTRUCTION MATERIALS	87.9	87.2	104.7	138.5	147.0	159.6	186.3	198.5	224.8	270.2	303.8
FUEL AND ELECTRICITY	86.4	87.4	108.3	211.0	215.1	213.4	234.3	235.0	345.2	470.2	586.5
GENERAL INDEX											
ALL COMMODITIES	90.3	95.5	115.7	145.0	147.6	198.8	292.9	234.7	265.9	273.0	288.7
ALL COMMODITIES EXCL. COFFEE	98.1	102.0	121.4	158.5	169.8	188.9	211.0	221.1	253.2	300.8	345.4

SOURCE: CENTRAL RESERVE BANK.

Table 9.2: EL SALVADOR: YEAR-END MINIMUM WAGES

(In colones per 8-hour day)1/

	1976	1977	1978	1979	1980	1981
Agricultural workers 2/						
Men, 16 years and over	3.75	3.75	4.25	5.20	5.20	5.20
Women and men under 16 years	3.15	3.15	3.65	4.60	4.60	4.60
Harvesting workers (seasonal)						
Coffee	8.40	9.25	9.75	14.25	14.25	14.25
Sugarcane	5.50	5.50	5.50	9.00	11.50	11.50
Cotton	6.00	6.00	6.50	8.00	10.50	10.50
Agricultural industries (seasonal)						
Coffee processing plant	5.50	7.00	7.00	14.00	3/14.00	14.00
Sugar mills	5.50	6.00	6.00	8.00	8.00	8.00
Ginning mill	5.50	6.25	6.25	8.00	8.00	8.00
Manufacturing, construction, and services						
Municipality of San Salvador	6.20	7.00	7.00	9.00	11.00	11.00
Other municipalities	5.50	6.10	6.10	8.00	10.00	10.00
Commerce						
Municipality of San Salvador	6.50	6.50	7.20	9.00	11.00	11.00
Other municipalities	5.60	5.60	6.20	8.00	10.00	10.00

Sources: Ministry of Labor; and Social Security Institute.

1/ Wages are paid on the basis of a 44-hour week and the seventh day for rest with full remuneration.

2/ Effective December 4, 1973, all agricultural workers became entitled to a daily food allowance amounting to 0.72 colones.

3/ In the month of December the wage level was set at ¢ 14.00 per day but throughout the year its level was ¢ 8.00 per day.

Table 9.3: EL SALVADOR: MINIMUM WAGES

(In colones per day, at 1975 prices)

	December 31					
	1965	1970	1975	1978	1980	1981
Agriculture						
Men	3.59	3.40	3.10	3.14	2.82	2.45
Women	2.79	3.40	2.50	2.69	2.49	2.17
Harvesting						
Coffee	3.59	5.29	5.50	7.20	7.73	6.72
Sugar	3.59	5.29	5.50	4.06	6.24	5.42
Cotton	3.59	4.15	4.50	4.80	5.69	4.95
Processing						
Coffee	...	3.78	5.50	5.16	7.59	6.60
Sugar	...	3.78	5.50	4.43	4.34	3.77
Cotton	...	3.78	5.50	4.61	4.34	3.77
Manufacturing and services						
San Salvador	...	4.83	6.20	5.17	5.96	5.19
Other	...	4.23	5.50	4.50	5.42	4.71
Commerce						
San Salvador	...	5.29	6.50	5.31	5.96	5.19
Other	...	4.83	5.60	4.58	5.42	4.71
Memorandum item						
Cost of living Index (1975 = 100)	62.7	66.2	100.0	135.5	184.4	212.1 1/

Source: Central Reserve Bank of El Salvador.

1/ Assuming 15 per cent increase.

10. STANDARD TABLES

The concepts and formats in these tables have been standardized for purposes of intercountry comparisons and aggregations.

STANDARD TABLES

Table 10.1: EL SALVADOR: NATIONAL ACCOUNTS SUMMARY
(MILLIONS OF COLONES AT CURRENT PRICES)

ITEM		1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
GROSS DOMESTIC PRODUCT	1	2,703.8	2,882.1	3,331.5	3,943.8	4,477.7	5,705.9	7,167.1	7,692.2	8,618.7	8,943.6	8,785.7
RESOURCE GAP (M-X)	2	50.5	-31.8	93.5	331.5	228.1	-20.8	-61.8	692.0	-114.8	-81.5	577.9
IMPORTS, G&NFS	3	719.3	810.0	1,096.5	1,615.0	1,713.3	2,157.0	2,705.5	3,054.8	3,168.0	2,964.5	2,911.3
EXPORTS, G&NFS	4	668.8	841.8	1,003.0	1,283.5	1,485.2	2,177.8	2,767.3	2,362.8	3,282.8	3,046.0	2,333.3
TOTAL EXPENDITURES	5	2,754.3	2,850.3	3,425.0	4,275.3	4,705.8	5,685.1	7,105.3	8,384.2	8,503.8	8,862.1	9,363.6
CONSUMPTION	6	2,332.6	2,442.1	2,816.0	3,383.1	3,715.3	4,565.5	5,426.6	6,378.5	7,068.0	7,965.7	8,280.6
GENERAL GOVERNMENT	7	274.9	307.6	349.0	428.8	501.2	685.9	804.7	969.0	1,106.0	1,300.4	1,315.0
PRIVATE	8	2,057.7	2,134.5	2,467.0	2,954.3	3,214.1	3,879.6	4,621.9	5,409.5	5,962.0	6,665.3	6,965.6
INVESTMENT	9	421.7	408.2	609.0	892.2	990.5	1,119.6	1,678.7	2,005.7	1,435.8	896.4	1,083.0
FIXED INVESTMENT	10	359.4	474.2	521.0	718.5	1,030.6	1,145.4	1,520.5	1,790.1	1,598.8	1,109.4	1,148.7
CHANGES IN STOCKS	11	62.3	-66.0	88.0	173.7	-40.1	-25.8	158.2	215.6	-163.0	-213.0	-65.7
DOMESTIC SAVING	12	371.2	440.0	515.5	560.7	762.4	1,140.4	1,740.5	1,313.7	1,550.7	977.9	505.1
NET FACTOR INCOMES	13	-24.8	-26.8	-37.5	-52.8	-65.6	-17.0	-72.3	-130.3	-60.3	-122.5	-132.6
CURRENT TRANSFERS	14	43.0	30.3	35.8	45.8	68.3	76.0	99.0	128.5	128.5	122.3	70.5
NATIONAL SAVING	15	389.4	443.5	513.8	553.7	765.1	1,199.4	1,767.2	1,311.9	1,618.9	977.7	443.0
AVERAGE OFFICAL EXCHANGE RATE												
COLONES PER US$	71	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
COLONES PER SDR	72	2.7	2.7	3.0	3.1	2.9	2.9	3.0	3.3	3.3	3.2	2.9

STANDARD TABLES

Table 10.1: EL SALVADOR: NATIONAL ACCOUNTS SUMMARY
(MILLIONS OF US$ AT CONSTANT 1978 PRICES)

ITEM	1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
GROSS DOMESTIC PRODUCT	2165.6	2083.5	2472.7	2609.3	2567.3	2711.8	2946.0	3076.9	2947.3	2730.2	2543.7
TERMS OF TRADE EFFECT	25.3	-26.9	68.3	-73.8	-118.9	176.4	346.5	0.0	43.8	76.2	-26.1
GROSS DOMESTIC INCOME	2190.9	2056.6	2541.0	2535.5	2448.4	2888.2	3292.5	3076.9	2991.1	2806.4	2517.6
RESOURCE GAP (TTA)	50.0	-29.4	75.5	186.5	118.6	-10.6	-29.2	276.8	-39.8	-26.5	212.8
IMPORTS, G&NFS	715.8	750.3	883.5	908.5	890.9	1106.1	1278.1	1221.9	1098.3	963.5	971.1
CAPACITY TO IMPORT	665.8	779.7	808.0	722.0	772.3	1116.7	1307.3	945.1	1138.1	990.0	758.3
(EXPORTS, G&NFS)	640.5	806.6	739.7	795.8	891.2	940.3	960.8	945.1	1094.3	913.8	784.4
TOTAL EXPENDITURES	2241.0	2027.2	2616.0	2722.0	2567.0	2877.7	3263.3	3353.7	2951.3	2578.9	2730.4
CONSUMPTION	1861.1	1877.6	2065.3	2128.4	2134.2	2401.7	2510.8	2551.4	2500.4	2495.8	2432.8
GENERAL GOVERNMENT	231.7	271.8	303.2	291.6	307.5	341.8	358.8	387.6	407.4	419.1	399.4
PRIVATE	1629.4	1605.8	1762.1	1836.8	1826.8	2059.9	2152.0	2163.8	2093.0	2076.7	2033.4
INVESTMENT	379.9	149.6	550.7	593.6	432.8	476.0	752.5	802.3	450.9	450.2	297.6
FIXED INVESTMENT	279.7	367.2	333.8	382.0	490.0	498.0	639.4	716.1	559.7	367.1	315.4
CHANGES IN STOCKS	100.2	-217.6	216.9	211.6	-57.2	-22.0	113.1	86.2	-108.8	83.1	-17.8
DOMESTIC SAVING	304.5	205.9	407.4	480.9	433.1	310.1	435.2	525.5	446.9	234.4	110.9
NET FACTOR INCOME	-39.1	-40.6	-49.4	-48.4	-60.9	-29.1	-48.7	-51.4	-21.3	-52.0	-46.2
CURRENT TRANSFERS	67.9	45.8	47.1	41.9	63.4	130.1	66.7	51.4	45.2	39.5	21.7
NATIONAL SAVING	333.3	211.1	405.1	474.4	435.6	411.1	453.2	525.5	470.8	221.9	86.4
LOCAL CURRENCY DEFLATORS (1978=100)											
GROSS DOMESTIC PRODUCT	49.9	55.3	53.9	60.5	69.8	84.2	97.3	100.0	117.0	131.0	138.2
IMPORTS, G&NFS	40.2	43.2	49.6	7.0	76.9	78.0	84.7	100.0	115.4	123.1	123.1
EXPORTS, G&NFS	41.8	41.7	54.2	64.5	66.7	92.6	115.2	100.0	120.0	133.3	119.0
TOTAL EXPENDITURES	49.2	56.2	52.4	62.8	73.3	79.0	87.1	100.0	115.3	137.5	138.3
GOVERNMENT CONSUMPTION	47.5	45.3	46.0	58.8	65.2	80.3	89.7	100.0	108.6	124.1	131.7
PRIVATE CONSUMPTION	50.5	53.2	56.0	64.3	70.4	75.3	85.9	100.0	113.9	128.4	133.5
FIXED INVESTMENT	51.4	51.7	62.4	75.2	84.1	92.0	95.1	100.0	114.3	120.9	145.7
CHANGES IN STOCKS	24.9	12.1	16.2	32.8	28.0	46.9	56.0	100.0	59.9	102.5	147.2
EXCHANGE RATE INDEX	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Table 10.2: EL SALVADOR: BALANCE OF PAYMENTS (MILLIONS OF US$ AT CURRENT PRICES)

ITEM		1971	1972	1973	1974	1975	1976	1977	1978	1979	1980	1981
EXPORTS, G&NFS	43	267.5	336.7	401.1	513.4	594.1	871.1	1,106.9	945.1	1,313.1	1,218.4	933.3
MERCHANDISE (FOB)	44	243.2	301.7	360.6	463.1	532.6	743.5	973.5	801.7	1,129.2	1,075.3	793.1
NON-FACTOR SERVICES	45	24.3	35.0	40.5	50.3	61.5	127.6	133.4	143.4	183.9	143.1	140.2
IMPORTS, G&NFS	46	-287.6	-324.0	-438.6	-646.0	-685.3	-862.8	-1,082.2	-1,221.9	-1,267.2	-1,185.8	-1,164.5
MERCHANDISE (FOB)	47	-247.8	-278.5	-373.8	-563.4	-598.0	-739.2	-930.8	-1,029.1	-1,024.5	-962.1	-980.8
NON-FACTOR SERVICES	48	-39.8	-45.5	-64.8	-82.6	-87.3	-123.6	-151.4	-192.8	-242.7	-223.7	-183.7
RESOURCE BALANCE	49	-20.1	12.7	-37.5	-132.6	-91.2	8.3	24.7	-276.8	45.9	32.6	-231.2
NET FACTOR INCOME	50	-9.9	-10.7	-15.0	-21.1	-28.9	-18.1	-33.5	-60.6	-62.7	-84.0	-70.0
(M&LT INTEREST PAID)	53	-3.8	-3.7	-4.3	-5.2	-7.0	-14.1	-15.5	-17.6	-20.7	-64.7	-29.5
NET CURRENT TRANSFERS	54	17.2	12.1	14.3	18.3	27.3	30.4	39.6	51.4	51.4	48.9	41.2
CURRENT BALANCE	57	-12.8	14.1	-38.2	-135.4	-92.8	20.6	30.8	-286.0	34.6	-2.6	-260.0
M & LT CAPITAL INFLOW												
DIRECT INVESTMENT	58	7.0	6.5	6.0	20.1	13.1	12.9	18.6	23.4	-10.0	5.9	-
NET M & LT LOANS (DRS)	60	6.3	17.1	7.1	85.5	33.7	71.3	6.9	68.9	71.5	106.7	164.5
DISBURSEMENTS	61	16.7	22.4	15.6	87.9	67.4	88.5	57.7	80.3	83.4	123.8	181.6
REPAYMENTS	62	-11.9	-6.7	-16.5	-18.9	-47.3	-22.2	-54.0	-12.3	-12.7	-17.1	-17.1
OTHER M&LT (NET)	63	1.5	1.4	8.0	16.5	13.6	5.0	3.2	0.9	0.8	-	-
ALLOCATION OF SDR'S	73	3.7	4.0	-	-	-	-	-	-	5.8	5.1	2.7
NET CREDIT FROM IMF	64	4.0	-1.5	-10.6	21.9	-	-5.9	-15.6	-	-	6.9	37.5
CAPITAL FLOWS NEI	68	19.3	-13.1	8.0	65.9	29.3	4.9	16.3	306.8	11.1	-95.7	-32.2
ERRORS AND OMISSIONS	69	-26.5	-10.0	5.4	-23.7	48.0	-25.7	-31.7	-75.6	-214.0	-278.4	-
CHANGE IN NET RESERVES (LESS NET IMF CREDIT) (- INDICATES INCREASE)	70	-0.9	-17.1	22.3	-34.3	-31.3	-78.1	-25.3	-37.5	101.0	211.0	62.5


EL SALVADOR
GUATEMALA
HONDURAS
PACIFIC OCEAN
Lake Ayarza
Anguiatu
To Padre Miguel
To Puerto Barrios
To Santa Rosa de Copan
Metapan
Lake Guija
GUAJOYO
To Guatemala City
San Cristobal
Texistepeque
Nueva Concepción
Tejutla
El Carrizal
CHALATENANGO
SANTA ANA
RIO LEMPA
Antiocoyo
Chalatenango
Corron Grande Reservoir
RIO MOCAL
Chorrera del Guayabo
CABAÑAS
Perquin
Sensuntepeque
Guacotecti
Ilobasco
Suchitoto
CUSCATLAN
San Pablo Tacachico
San Juan Opico
Quezalmepeque
Ciudad Arce
Chanmico
Apopa
SAN SALVADOR
Cojutepeque
Lake Ilopango
San Ramon
San Vicente
San Idelfonso
SAN LORENZO (UNDER CONSTRUCTION)
MORAZAN
Ciudad Barrios
San Francisco de Gotera
LA UNION
Santa Rosa de Lima
SAN MIGUEL
RIO GRANDE DE SAN MIGUEL
Nueva Guadalupe
Jucuapa
Chinameca
San Miguel
Santiago de Maria
Berlin
USULUTAN
San Jorge
Usulutan
El Delirio
Puerto El Triunfo
Puerto Parada
Movopala
Olomega Lagoon
La Union Bay
La Union Cutuco
Point Amapala
Gulf of Fonseca
To Tepuzcolula
AHUACHAPAN
Ahuachapan
Concepcion de Ataco
Hachadura
To Escuintla
Lake Coatepeque
Izalco
Sonsonate
SONSONATE
Acajutla
Los Cobanos
Teotepeque
LA LIBERTAD
Santa Tecla
La Libertad
Olocuilta
LA PAZ
Comalapa
Zacatecoluca
Santa Cruz Porrillos
La Florencia
La Herradura
La Costa
El Nilo
SAN VICENTE
RIO LEMPA
Gulf of Mexico
JAMAICA
MEXICO
BELIZE
Caribbean Sea
GUATEMALA
HONDURAS
EL SALVADOR
NICARAGUA
PACIFIC OCEAN
COSTA RICA
PANAMA
PANAMA CANAL
PROJECT:
RURAL TRAINING CENTERS
NATIONAL PRODUCTIVITY CENTER
VOCATIONAL TRAINING CENTERS
CENCAP (AGRICULTURAL SCHOOL CENTERS)
EXISTING:
RURAL TRAINING CENTERS
POWER PLANTS
RESEVOIR
PAVED ROADS
MAIN ROADS
RAILROADS
INTERNATIONAL AIRPORT
MAIN PORTS
RIVERS
AGRICULTURAL REGIONS
DEPARTMENTAL BOUNDARIES
INTERNATIONAL BOUNDARIES
KILOMETERS
MILES
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